

rites Ltd. (rites)

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Call: Aug 2022

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IT RITES Te Faas RITES LIMITED — (Schedule 'A' Enterprise of Govt. of India)

No. RITES/SECY/NSE

Date: August 05, 2022

To To

Listing Department, Corporate Relationship Department,
National Stock Exchange of India Limited, | BSE Limited, Rotunda Building,
'Exchange Plaza', C-1, Block G, Bandra - P J Towers, Dalal Street, Fort,
Kurla Complex, Bandra (E), Mumbai - 400 001
Mumbai - 400 051

| Scrip Code- RITES Scrip Code- 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call on
Financial Results for Quarter ended on 30" June, 2022

Ref: Reaquisition 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Reaquirements} Regulations 2015

Sir/Ma'am,

Please find enclosed herewith Transcript of the Conference call with analysts and
investors held on Friday, July 29, 2022 to discuss the Financial Results of the Company
for the quarter ended on 30" June, 2022.

You are requested to take this information on record.

Thanking You,

Yours faithfully,

For RITES Limited

Joshit Ranjan Sikidar

Company Secretary & Compliance Officer

Membership No.: A32442

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CIN: L74899DL1974G01007227

RITES Limited

Q1 FY2023 Earnings Conference Call

Event Date / Time : 29/07/2022, 11:00 Hrs

Event Duration : 58 mins 21 secs

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Management: Shri Rahul Mithal

Chairman and Managing Director

Shri Gopi Sureshkumar Varadarajan

Director-Projects

Shri Anil Vij

Director-Technical

Shri. Bibhu Prasad Nayak

Director-Finance

Transcript - RITES Limited Q1FY23 Earnings Conference Call -1-

Q&A PARTICIPANTS:

1. Sanjay Doshi Nippon India Mutual Fund
2. Jainam Shah Equirus Securities Private Limited
3. Chintan Sheth Sameeksha Capital
4. Uttam Srimal Axis Securities Ltd
5. Arafat Saiyed Reliance Securities
6. Anuj Jain ValueQuest Capital
7. Parimal Mithani Individual Investor
8. Shreyans Mehta Equirus
9. Gaurav Jahagirdar Individual Investor
10. Venkatesh Subramanian LogicTree
11. Viraj Mithani Jupiter Financial
12. Nikhil Abhyankar DAM Capital
13. Ms. Prachi kadam IDBI Capital

- 14.Rohan Samant Multi-Act
15. Rohit Natarajan Antique
- 16.Kunal Sheth B&K
- 17.Harshit Kapadia Elara Capital

Transcript - RITES Limited Q1FY23 Earnings Conference Call -2-
Moderator

Good morning, ladies and gentlemen. I'm Kritika, moderator for RITES limited Q1 FY23 earnings conference call hosted by DAM Capital Advisors Limited. As a reminder, all participants lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touch-tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar from DAM Capital. Thank you and over to you, sir.

Mohit Kumar

Thank you Kritika, on behalf of DAM Capital, we welcome you all to the Q1 FY23 earnings call of RITES Limited. We have with us Shri Rahul Mithal, Chairman and Managing Director; Shri Gopi Sureshkumar Varadarajan, Director-Projects, Shri Anil Vij, Director-Technical, Shri Bibhu Prasad Nayak, Director-Finance. Without much delay, I'll hand over the call to CMD sir to take over the proceedings. Thank you.

Management Team

Good morning, everybody. Let me begin with the customary Safe Harbor statement. The presentation, press release, which we have uploaded on our website yesterday and discussions during the call today, may have some forward-

looking statements. These statements are considering the environment we see as of today. And obviously carry a risk in terms of uncertainty because of which the actual results would be different. We do not undertake to update those statements periodically.

Now, let me give you a brief overview of the performance of Q1, you must have already seen the details. It's an exciting time for us here at Team RITES. We are surging ahead. The Q1 results show that we continue to be on the path of a V-shaped recovery, as I said, which is in synch with the rebound of the economy.

The key takeaways have been that the Q1 of this year has been the highest ever operating revenue of Q1 ever. Not only that, but it's also the highest ever core EBIDTA of Q1, highest ever profit of Q1 and the highest ever EPS of Q1. It's also a growth as you see a 70% year-on-year growth in revenue. It's an 85% year-on-year growth in profit. And we have already declared an interim dividend of ₹4 per share. So, this has been possible due to a continued momentum coming across all our sectors of revenue and very disciplined execution at the ground level as well as very closely monitored cost cutting measures. Further on the business development front, there have been a very encouraging trend. We have got 90 orders in Q1 itself totaling to about 700 crore. And the order book has jumped by about = 250 crore from 31st March to 30th June. So, with those brief opening comments, I hand over the floor for questions.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you'd like to withdraw your request, you may do so by pressing * and 1 again.

Transcript - RITES Limited Q1FY23 Earnings Conference Call -3-

Participants are kindly requested to restrict with one question in the initial round and may join the queue for further questions. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. First question comes from Rohit Natarajan from Antique. Please go ahead.

Rohit Natarajan

Thank you. Thank you for this opportunity. Sir, my first question is on the export's potential. We understand that earlier you were looking at some international projects, but due to COVID, things weren't really moving at the pace what you decide, but now it's back to normalization. So, are we looking at some big-ticket numbers over there? If you're looking what exactly is the timeline for conversion of the two orders, and what exactly will be the tentative margin profile that you would be building in.

Management Team

Right. So, as you understand, there are two parts of our international revenue. One is international consultancy, and one is Expotech, that is export of rolling stock. So, coming first to international consultancy, as I pointed out after the last quarter that in FY'21-22, we did an all-time high of ₹ 100 crore in international consultancy, which was more than the average of about ₹ 60 odd crore in the previous years. And we had started bidding very aggressively in the last few months in a number of international consultancy leads and in fact, that has started giving us results already in

the first quarter. So, in fact to name one or two big orders, which we have received in international consultancy, we have received the PMC for the Ghana Railways for about ₹ 97 crore. We have received a construction supervision order for Guyana highways for about = 25 crore.

So, these are some of the examples where our aggressive outreach in the international consultancy area has started giving results. Not only that, but it has also started converting into revenue, so the international consultancy in Q1 has given us ₹45 crore as against a total of ₹100 crore in the last FY. So, as you see there is

a jump in that, and we will continue to focus

in this area. The second portion is the Expotech, exports of rolling stock. As you correctly mentioned that in the last two to two-and-a-half years, we did not get any fresh orders of export of rolling stock. And the two live orders, which we got about two to two-and-a-half years back, they were in the process of delivery, that is Mozambique, and the Sri Lanka orders.

And as I've been mentioning, in the beginning of this FY also, we had a balance of about = 400 crore against one of these two orders. And we were expecting that by the end of Q2 and Q3, this order will complete. So, all efforts are now on to get some finite concrete orders across a number of leads. And we are quite confident that down the coming months, we will be able to get some big orders in exports, which will then have a lead time. So, it will take some months to get fructified into revenue. So, I'm expecting some export type revenue to start maturing against new orders by early Q1 next year.

Rohit Natarajan

Any tentative number or any near term like prospective number that you would look in?

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Management Team

So, that will be speculative, we are following up on a number of leads to convert them into orders. And as soon as they fructify into orders, we will be informing you. Right now, they're all work in progress, but as I said, definitely some orders are expected to mature in the coming quarters.

Rohit Natarajan

Just to touch upon the same subject itself, now that given we have seen an inflationary pressures.

Management Team

I think you can come back for a follow-up question later.

Rohit Natarajan

Sure. No issues, yeah.

Moderator

Next question comes from Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta

Yeah, sir. Congratulations on a very strong set of numbers. Sir, two questions from my side. One in terms of the Consultancy and Turnkey, you know, we've seen, that we are almost back to the pre-COVID levels, in fact, better than the pre-COVID levels. So, are these in terms of revenue and margins, you know, sustainable?

Management Team

Well, we have made all our efforts to as I mentioned at the end of FY21-'22 that our target for 21-22 was to come back to pre-COVID levels. And you correctly said we surpassed it by about 8% both in top and bottom line. Even in Q1, we have, as I said done much better than the pre-COVID levels. Margins have been very good in Q1, but I think since as you correctly appreciate, our revenue is a mix of four streams and each one of them has a wide range of margins, while turnkey the margins are very low, and in QA, international consultancy and Consultancy in general, the margins are higher. So, while the mix changes from quarter to quarter and there may be a variation in the margins quarter to quarter, but yes, our efforts are to keep on a healthy mix of the four streams so that the margins are sustained at an appreciable level.

Shreyans Mehta

Got it, sure. And my second question is again pertaining to the export segment. Now that you know from the consultancy.

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Management Team

I think you can come back for your second question in the queue please, if you don't mind.

Shreyans Mehta

Sure.

Moderator

Participants are requested to ask one question in the initial round and may join the queue for further questions. We are having a question from Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia

Thanks for the opportunity and an extremely good set of numbers and you know, coming back to the pre-COVID level, my congratulations to management for this performance. My question to

you sir is, what is the order into pipeline that you look in the consultancy space, both domestic and international. You highlighted something on the international side, but what other geographies are we look

ing at apart from Ghana if you can share. Looking on the turnkey projects because the order inflow was reaching Q1, what projects are we looking in terms of the railway side which can be and a follow-up question is what is the quality assurance between the consultancy domestic number?

Management Team

So, as far as order book is concerned, as I mentioned, we got orders for about ₹ 700 crore in Q1. Our current order book stands at about ₹ 5100 crore plus and the breakup is about ₹ 2500 crore in consultancy, about ₹ 2100 crore in turnkey, the balance in Expotech for the Mozambique is about ₹ 350 crore and the balance is the leasing, etc. So, to answer your specific question in terms of targeting, which areas, so there are two to three points. In each of these segments, in consultancy, we have been targeting besides domestic consultancy across sectors, whether it is highways or ports or airports, tunnels, bridges, railways, QA, we have been targeting aggressively international consultancy in all. Whether it is metros, whether it is railways, whether it is highways, we have been targeting that continuously and as I said that showed results in Q1 with ₹ 45 crore revenue. In terms of Expotech for international orders, we have been as I mentioned in my reply to the previous question, we are targeting both African as well as Southeast Asian countries. And we are aiming for them to mature into some orders by the latter part of this year.

In Turnkey, we have an order book of about ₹ 2100 crore. In terms of railways Turnkey, we have been targeting, getting more and more works. Railways has changed over to the EPC mode. We are now already participating, targeting a number of railway tenders and coming months, will show how that pans out. Besides the turnkey in the railway infra, we are also looking at opportunities in the turnkey in certain building segments, in certain metro segments. So, going forward, we are targeting the turnkey domestic in a number of areas as also growing in international consultancy and exports. The QA has been showing a healthy trend. The QA revenue has been @ ₹ 89 crore in Q1, which is as against ₹ 60 crore in the last Q1 of FY22.

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Harshit Kapadia

Thank you, sir, I will come back for more questions in the queue.

Moderator

Thank you, sir. Next question comes from Gaurav Jahagirdar, an Individual Investor. Please go ahead.

Gaurav Jahagirdar

Thank you, sir. My questions were already covered by the previous participants. Thank you.

Management Team

Thank you.

Moderator

Thank you, sir. Next question comes from Venkatesh Subramanian from LogicTree. Please go ahead.

Venkatesh Subramanian

Good morning. Very nice numbers. Thank you. And your answers are also very clear. So, makes the life easy for all of us, sir. So, I have two questions. Second question, I'll reserve it for later.

Question is out of the, apart from the 4 streams of revenue that you mentioned, one of the important areas that we have been talking about in the last few quarters as being REMCL, which is the Renewable Energy Division and I think you had some big plans for this, and can you throw us some light on what kind of the opportunity it is, what is our focus, what kind of top line can we expect from that particular division in say 2-3 years' time sir.

Management Team

So, REMCL has been doing well. In fact, the Quarter One results have shown a growth vis-a-vis Q1 of FY2122. It's been a growth in both top line and bottom line, ₹ 27 crore top line, ₹ 14 crore bottom line. It has taken a number of initiatives, so traditional work of doing the power purchase for Indian railways that has been growing, it has also floated a number of tenders for solar power. Our windmill plant at Jaisalmer, that has shown an all-time high in terms of the availability, in terms of the output, in terms of the revenue. So, REMCL has been showing a lot of growth and I

foresee it playing more and more role in the renewable energy sector also, besides doing the traditional work of power purchase for the Indian railways.

Venkatesh Subramanian

So, the size of the opportunity over there and our plans envisaged, if I remember, some concalls about 4-5 quarters back, the top line that division can generate or say in two years' time, it was a

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very significant number that was mentioned, sir. Can you share with us what kind of vision you have say 2-3 years down the line in terms of top line for that particular division, REMCL?

Management Team

You see REMCL has been, we have been trying to garner more and more opportunities in development of solar power and that has to fructify, and we've had various rounds of trying to get into that and now also, we have floated two tenders for developing solar power, both on the developer mode. So, going forward as these find their finality, I think then you will see a jump in the top line and the bottom line as against the normal sustained growth, so that will be the tipping point for seeing the vertical growth. I think in the coming quarters, because as I said these are developmental tender, these are early on, so there are products based on the stakeholders' interaction, we are trying to find the best solution which is a win-win situation for both us and the stakeholders. So, I think going forward, you will see more finite larger growth in the bottom and top lines of REMCL.

Venkatesh Subramanian

If everything goes well, can that be ₹ 1000 Crore top line intake?

Management Team

I won't like to speculate a number, but I said the vision is very clear to go in a big way forward as these mature into finite orders and finite things, the coming months, we will be informing you and I'll be sharing more details as they fructify into finite orders.

Venkatesh Subramanian

Okay, sir. Thank you.

Moderator

Thank you, sir. Next question comes from Viraj Mithani from Jupiter Finance. Please go ahead.

Viraj Mithani

Good morning, sir, and congratulations on good set of numbers. My question is regarding, you mentioned about Smart City in the last call. Any color on that in terms of revenue growth?

Management Team

Yes. So, we have been getting a lot of good orders, good work being done by us in urban engineering. The urban engineering vertical has been doing work in important cities as you must be reading also, it was covered a lot in the public domain. We were doing lot of work in the Chandigarh Tricity Consultancy. We have been doing work for development of the mobility plan for Guwahati. We have been doing the logistic plan for Leh-Kargil area. So, we are, and these are just few of the examples, we are getting lot of. We have recently got something from the Rajasthan Roadways Development of their plan, for the bus connectivity. So, we are doing a lot of work in

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development of the concepts of the urban engineering coupled with the sustainability aspect of development of these urban engineering plans as well as IT-enabled applications as the underlying current for development of these Smart City Plans.

Viraj Mithani

Sir, can you give some color in terms of numbers right now we're doing some growth prospects and the profitability on this vertical?

Management Team

So, these are all part of my consultancy revenue, which you see has shown a big growth in terms of the revenue. The domestic revenue itself has gone up to ₹ 149 crore, the total consultancy revenue including QA is ₹ 283 crore for Q1, which is a very big jump, because considering our past trends have been a total of about ₹ 800 to ₹ 900 crore annually. We have managed to reach ₹ 283 crore in Q1 itself. So, these are all contributing, these are all consultancy projects, which we are contributing to my consultancy work.

Viraj Mithani

Is it fair

to assume sir, we can have one particular vertical matures, we can have some double-digit growth out here in terms of top line and bottom line?

Management Team

I think that's for you to say. I mean we are I would like not to just speculate on numbers. We're just aiming at getting an overall growth in the sector in a big way. Thank you.

Viraj Mithani

Thank you, sir. I will come in the queue for the next question.

Moderator

Thank you, sir. Next question comes from Nikhil Abhyankar from DAM Capital. Please go ahead.

Nikhil Abhyankar

Thanks for the opportunity, sir. I just had one question. How do you see the railway infra-order prospect and if you can quantify it for us?

Management Team

So, our order book as I mentioned, today Turnkey is about ₹ 2100 crore, which is primarily all the railway turnkey projects. And going forward, as I mentioned for the last few months railways has

moved over from the cost plus to the EPC mode and we have placed bids for a number of tenders, whether it is the station development, whether it is new line RE doubling or an electrical works. So, we are bidding in a number of projects, and these have been recent tenders in the past few

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months. We are also going to bid in a number of tenders in the coming months in the railway infra growth in turnkey segment. So, going forward as these get finalized, we look forward definitely to some of these maturing into finite orders.

Nikhil Abhyankar

Sir, any specific number for the order?

Management Team

So, as I mentioned, we have bid in a number of tenders already and are continuing to bid in the coming months. These have just been started by the railways in the last few months on the EPC modes. As they mature into order, only then we can be able to give you a number.

Nikhil Abhyankar

Okay. That's it from my side. Thank you.

Moderator

Thank you, sir. Next question comes from Prachi Kadam from IDBI Capital. Please go ahead.

Vishal Periwal (Introduced as Prachi Kadam)

Thanks for the opportunity. This is Vishal Periwal from IDBI Capital. Two questions from my side.

One, you mentioned quality assurance continued to remain strong and there is a railway, in railway sector, most of the projects are on order that we get on bidding. So, quality assurance is a nomination or is it on bidding that we get now?

Management Team

So, the railway portion of quality assurance has primarily about 60% roughly on about nomination. And going forward, you must be aware that railways have also started now looking on a EOI, they floated in EOI and we've also gone ahead in that. So, I think with our credentials and our experience in the QA business, you know, things like, I've been doing for a large number of years both for railway rolling stock as well as for railway lines, I mean, we'll continue to go ahead in this line of business.

Vishal Periwal

Okay. One question if I may ask, I think we have started on pretty strong footing in Quarter One in terms of growth rate and revenue EBIDTA. How exactly we are targeting for the full-year basis any console number or segmental if you can just get color?

Management Team

So, I wouldn't like to give you any kind of speculative figures. But one thing which I can say, as you see the growth, which has happened in FY21-22 as a complete year as well as a trend, which

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has been shown in Q1 and going forward with a solid order book and execution, we will continue to maintain these levels of growth. Yes, the margin that I said quarter to quarter may have a variation depending on the mix of the revenue streams, but normally, considering that Q1 should be round about 15 to 20%, that is the normal thumb rule that Q1 is roughly about 15 to 20% of the total top and bottom line. So, seeing our performance on top and bottom line for Q1, we will be aiming the entire year on those

lines. Thank you.

Vishal Periwal

Sure. Thanks for that. I'll come back in the queue for further questions.

Moderator

Thank you, sir. Next question comes from Rohan Samant from Multi-Act. Please go ahead.

Rohan Samant

Yeah, thanks for the opportunity. You made a comment that in the turnkey business, bidding is shifting from cost plus to EPC, could you just elaborate on that like, how does it change from an economics point of view for us?

Management Team

So, traditionally, you see turnkey or the model, which railways had been following for many years was the cost-plus model, right. In that (model) the variation in terms of cost or time that used to add on doesn't impact us. We used to have the standard model for any PMC consultant doing railway work which was on a percentage of the basic costs. Now, a policy decision having been taken by railways few months back that the subsequent tenders all across the sectors of railways, whether it is the civil infra work or the station development work or the electrical work, they are now coming on the EPC mode, where they are on a fixed cost and a total cost of the work, except certain fixed price variation clauses.

So, obviously, the importance of timely delivery, timely and disciplined execution, more control on the cost and time, becomes all the more critical, and we are geared up for that. And that's why -- as you see, we have already, this as I mentioned, in an answer to a previous question, that

disciplined execution has been a very priority area for us in the last few months, which has helped us improve our margin also in Q1. So, that going forward will be a key element for the EPC tenders, which we have bid, which has in the coming months will get finalized and we are hoping to get some orders out of the bids that we have made.

Rohan Samant

Okay sure, thanks.

Moderator

Thank you, sir. Next question comes from Sanjay Doshi from Nippon India Mutual Fund. Please go ahead.

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Sanjay Doshi

Good morning, sir. Congratulation to you and the team for a very good first quarter. And to limit myself to just one question which is with respect to our export business, if you can just highlight how many customers or projects are we actively in discussion even if you don't want to give any numbers, but how many projects or countries or customers are we actively in discussion for export business? Just that is the question. Thank you.

Management Team

So, as I mentioned, in export, one is export of rolling stock, and one is international consultancy, we are following up and we are bidding also in a number of countries both in the African continent, in the Southeast Asian area, so both in, whether it is in the highway business, whether it is in the railway business, whether it is in the metro business, so that is in consultancy and in export of rolling stock also, we are pitching for a number of African countries as well as Southeast Asian countries.

Sanjay Doshi

Okay sir. Thank you very much.

Moderator

Thank you. Next question comes from Jainam Shah from Equirus Securities Private Limited.

Please go ahead.

Jainam Shah

Thanks for the opportunity. Good morning, sir. My question mainly relates to some book keeping questions. So, the first thing is, you have guided for CapEx of around ₹ 150 crore for FY23 and for like near to medium term. So, are we on the guidance and what kind of CapEx we've already incurred for this one quarter?

Management Team

Yes. So, our Q1 CapEx has been ₹46 crore and the past trend as I mentioned in my previous interactions also, like '21-'22, our CapEx was ₹ 139. We are aiming to be in that range, somewhere between ₹ 100 to ₹150 crore that's our aim, and ₹ 46 crore has been the CapEx for Q1. Our CapEx plans are on track, and we will be in that range.

Jainam Shah

Okay. And sir, the cash balance of our own funds for June Quarter will be how much, like we have around ₹ 670 Crore for March?

Management Team

₹ 769 is my cash balance.

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Jainam Shah

It is our own fund, not the client fund, right?

Management Team

Yes, this is our own fund.

Jainam Shah

Okay, thank you sir.

Moderator

Thank you, sir. Next question comes from Chintan Sheth from Samiksha Capital. Please go ahead.

Chintan Sheth

Thank you for the opportunity and congrats on a good set of numbers. Sir, on export, I think this quarter there will be a spillover to next right, or we can expect the execution to be in 3rd quarter for rollingstock?

Management Team

So, we have a balance of about ₹ 360 crore of Expotech order book, out of which about ₹ 250 crore is based on the shipment and balance about ₹ 100 crore is the recurring monthly revenue for our operation and maintenance. So, there's ₹ 250 crore between Q2 and Q3, we're aiming to get it mature. Some portion will be coming in Q3.

Chintan Sheth

Okay. And sir, on consultancy we see a very strong recovery in execution and even the order

book has improved sharply. How do you see, you pointed out a few areas in terms of where it is coming from, but this run rate of ₹ 250 crore what you feel that will be sustainable going forward given the orderbook we have?

Management Team

Yes, our order book has been healthy, and we are continuing to get orders in consultancy, both domestic and international. And we are aiming to maintain this rate of QA revenue. There may be dip in a few quarters here and there in terms of revenue realization, but in terms of the multi-sectoral orders that we are getting as well as the leads that we have, as well as the bids in pipeline that we have, the overall consultancy including QA is definitely going to be a healthy revenue stream.

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Chintan Sheth

Sure. I will join back, thank you.

Moderator

Thank you, sir. Next question comes from Uttam Srimal from Axis Securities Limited. Please go ahead.

Uttam Srimal

Yes. My question has already been answered. Thanks. And congratulations for a very good set of numbers

Management Team

Thank you.

Moderator

Thank you, sir. Next question comes from Arafat Saiyed from Reliance Securities. Please go ahead. Arafat Saiyed from Reliance Securities, please go ahead. There seems to be no response.

Arafat Saiyed

Hello, am I audible? Hello. Yeah. Thanks for taking up the questions and congrats on very good numbers. My question is on Metro project.

Management Team

Yes, go ahead.

Arafat Saiyed

Yeah. So, I just want to understand what kind of spend you're looking in India from Metro project, and your scope and contribution in that segment?

Management Team

Metro, we are doing consultancy, across a number of cities, which we have done, which we are doing also. The Ahmedabad Metro, we're doing PMC in the Bangalore Metro, we are doing DPR in the J&K Metro. So, there are projects which we are doing, and we will continue to do that, whether it is a PFR, the DDC, the PMC, we will continue and we are confident that Metro Consultancy. Domestic in any case, will continue to be a key focus area for us. We're also doing as you know, the Mauritius Metro, which is still on, so I think our Metro sector, both domestic and international, will continue to remain a key focus area of our revenue.

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Arafat Saiyed

Fine sir, thank you.

Moderator

Thank you, sir. Next question comes from Anuj Jain from Valley Quest Capital. Please go ahead.

Anuj Jain

Hi sir. Thanks for the opportunity. I have one question regarding the locomotive exports. We understand that we were in the advance talks with National Railways of Zimbabwe for a big order. Is there any further update on that, sir?

Management Team

So, we are in constant touch with them. We have had a number of deliberations and meetings, and it

's work in progress. And the Zimbabwe is also cape gauge, which is similar to the gauge in Mozambique, it's a neighboring country. Mozambique was a very good experience for RITES in collaboration with Indian Railways. This fleet was developed, both locomotives and DEMUs, and it has been successfully sent there. The balance portion is also as I mentioned about ₹ 250 odd crore will be sent in the coming quarters and has received lots of positive response from Mozambique. So, there are a number of countries in Africa, there are about 11 countries in Africa. And so, we will continue to target each of those countries going forward in the coming months and we assure that as they fructify into finite orders, we would be keeping you informed.

Anuj Jain

Fine, sir. Thank you.

Moderator

Thank you, sir. Next question comes from Parimal Mithani, an Individual Investor. Please go ahead.

Parimal Mithani

Hello. Thank you sir for the opportunity and congratulations for good numbers. I have just two questions. One is in terms of your railway JV, what is the status on that? And secondly, are you going to bid separately now since the JV is closed and what's the way ahead sir?

Management Team

IRSDC is under the process of formal closure as we've already made a disclosure in our balance sheet also and also which is the same the progress vis-a-vis the last quarter when we had made this disclosure, the processes on and it will lead to its finality in the coming months. The railways has already started coming out, as I mentioned in reply to a previous question, with a number of

Transcript - RITES Limited Q1FY23 Earnings Conference Call -15-

station development projects on EPC mode. We have already bid for a number of them, and we will be bidding for them going forward in a number of upcoming tenders in the EPC mode for station development. So, this continues to be an area where we will continue to focus in the coming months.

Parimal Mithani

Yeah. Thank you, sir. Thanks for that.

Moderator

Thank you, sir. Next question comes from Kunal Seth from BNK. Please go ahead.

Kunal Sheth

Hi. Thank you for the opportunity and congratulations on a great set of numbers. My question is pertaining to the consultancy segment. I just wanted to quickly get your views on where do you think the share of consultancy business could be? I mean, will it be you know, similar three years out and within the consultancy segment, do you believe that the share of international consultancy could go up meaningfully over the next three years?

Management Team

So, as I mentioned at the end of last quarter and beginning of this financial year that international consultancy is going to be a very major focus area of ours and I gave you some details in reply to a previous question that this has started fructifying into finite revenue and finite orders. As I mentioned, the Ghana order in railways, and the Guyana order in highways. So, on international consultancies front, these efforts have started paying results. As I mentioned, the international consultancy in Q1 gave us a revenue of % 45 crore as against a total FY22 of 104 crore. So, as you see the international consultancy is growing, we will continue to keep this as a focus area of ours and I foresee that this will continue to grow, notwithstanding that the domestic consultancy also has got a very healthy order book and we are continuing to pitch for a number of domestic consultancy projects across sectors, so both consultancy which includes the domestic and international will continue to grow and will remain a key growth area of ours.

In consultancy, we've been targeting the multi-sectoral growth. And in areas and new areas also, as I mentioned, city planning, urban engineering planning, IT-enabled applications, sustainability and ESG vertical, we've been working on that. That's work in progress, that's going to show more growth, more finite contribution to my consultancy revenue.

Operation and maintenance, we've

been getting orders, we are growing in that area contributing to our consultancy revenue whether it is operation and maintenance of the conventional railway assets operation and maintenance, we're also looking at operation and maintenance of metros, RRTS and LRTS. So, the consultancy revenue stream will remain a focus area of ours.

Kunal Sheth

So, would it be right to assume that the overall share of consultancy in the total revenue would be higher, three years out versus what's it is today?

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Management Team

It is quite a high substantial contribution right now itself and this has been a trend. In terms of the mix, we will continue with that, and it will remain one of the key revenue streams for us. In terms of the total pie, as I said, the total pie will keep on, we are aiming to increase it further, both in domestic and international.

Kunal Sheth

Sure sir. Thank you so much. And best of luck for the future projects.

Management Team

Thank you.

Moderator

Thank you, sir. We are having a follow-up question from Harshit Kapadia from Elara Capital.

Please go ahead.

Harshit Kapadia

Thank you for giving me the opportunity again. Just a way to clarify sir, you will be mentioning now that the turnkey is now moving from cost plus to EPC mode. So, just wanted to check the working capital here now will be driven by us or still, you know, railways will be doing it, that is one point. And in second, you also mentioned that we will be also bidding for the metro project as well. So, here, it will be all finance by us. How do you try to do the tie-up in terms of working capital if you take the project?

Management Team

So, in the EPC mode also, the working capital is the same, that won't change. The mode change is basically in terms of time and cost overruns. So, as I mentioned, that requires more disciplined execution. So, the working capital requirement, which has been the trend for our past has not been a major critical factor for us. So that would remain in these projects, whether it is the railway EPC mode or whether it is the other areas of turnkey that we are looking at.

Harshit Kapadia

Okay. And given that you are turning to EPC mode, the margin maybe now much better. Can you look at more than 5% margin for at least over between 3 to 4% given your aggressive bidding or current bidding point?

Management Team

No, turnkey gives us about 3 in plus-plus margin. It is a still depressed margin much lower than that. And in the turnkey, whether the mode change will not really effect dramatically upwards or won't lower the margin much in vis-a-vis, the total margin trend, which has been there in

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the turnkey sector, it just makes it more, you know, as I said, requiring a more disciplined execution, so that there's a focus on not allowing time and cost overrun because if that happens, then the margins would start taking a hit.

Harshit Kapadia

Fine. Thank you, sir.

Management Team

Thank you.

Moderator

Thank you, sir. Next follow-up question comes from Venkatesh Subramanian, from Logic Tree.

Please go ahead.

Venkatesh Subramanian

So, my question is, one is on the, we have a 24% stake in Indian Station Development Corporation. What is the growth opportunity there? And the second question is, as far as I've observed, RITES, I think you've got a great workforce, but in this kind of transport infrastructure segment, you have 1400 engineers, with the backup team as well. As a PSU and as a government company, I'm sure that there'll be people who will be trying to attract talent from you. What is it that you do to retain it? Can you throw some little light on the work culture that keeps employees motivated to be in, right?

Management Team

So, coming specifically to IRSDC, IRSDC has been closed now. We had a ₹ 48-Crore investment

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in that and then, in the disclosure, I mentioned also sometime back that that it is in the process of getting wound up and the JV shareholders will get their due stake in the coming months as per due process. We continue to, I also mentioned that the railways have started coming out individually zone-wise, number of station development tenders in the EPC mode, which we have bid and will continue to bid, so that this will remain an area of work for us. Second, and I'm glad you asked this question. That's a very interesting question. I mean, I wish that this question is asked more by some more people and I normally answer only one question at a time, but I'm definitely going to answer this question right away as the second question.

You see that is a beauty about RITES. RITES has got about 2800 people, and it has got a mix of young and old, it has got a mix of youth and experience, it has got a mix of people across genders, across experience, across states, across qualifications, and across multi-sectoral experience. So, you could be having a PhD in Geotech, you could be having an MBA in HR, you could be having an MBA in finance, you could be having an MTech in industrial engineering, in building engineering, and those things like that. So, that is a richness of the HR force of RITES, and I think, what attracts them and what continues to keep them doing more and more projects is the kind of thrill and the kind of excitement, which they get in doing the best of the projects.

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So, you name any project, which has been in the media, let us say in the last two months, and RITES has been a part of it. So, and traditionally, we've done the best of the projects in tunnels, the Bogibeel bridge, the metros, international metros, so mention any project which was inaugurated, a big project, in the last few months. To give you an example recently, the Bundelkhand expressway was inaugurated by the Honorable PM. RITES has been a part of it. In

Delhi, you know, the RTR flyover portion of it, you know, a part of it was recently inaugurated. We have been a part of it. So that is the kind of skill, that is the kind of thrill which my people get here. And that is what continues to attract more and more young people as well as senior people to continue to join that.

Venkatesh Subramanian

Right. So, that's a very passionate response from you. I mean, I'm really thrilled to be a shareholder and more importantly, so it's not the money because I'm sure private sector obviously ends up paying more etc. It's the work satisfaction that they derive out of working at RITES, yeah?

Management Team

Exactly. You hit the nail on the head and that is what it continues, as I said to attract people. I see people constantly applying whenever we float a vacancy, whenever we are looking for people for a specific project-based contract, we have people having the highest of qualifications and experience wanting to be a part of brand RITES.

Venkatesh Subramanian

Right, right. So, you've 1400 engineers, so it will basically, you give a great degree of autonomy, empower people to make decisions because there's a lot of intellectual stuff that's going on. Isn't it?

Management Team

Yes, we have 10 different verticals where people are working both within the vertical and also coordinating across verticals for various projects.

Venkatesh Subramanian

Super sir. Thank you very much.

Moderator

Thank you, sir. Next follow-up question comes from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Thank you, sir for giving me opportunity again. If I were to ask you, vision for next five years of RITES, using like what would be like, which segment would be the leading segment in terms of

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growth, revenue, I mean just a thought process. There is no guidance I need from you, thought process

s because you're a part of industry and you know what's happening there.

Management Team

Yeah, for sure. You see, we are very clear. RITES is primarily a consultancy organization. That is our core strength. That's our inherent strength. That's our DNA and that is what we will continue to be in the coming years, whether it is in the domestic sector, whether it is the international sector, multi-sectoral we already have very strong verticals across various sectors. We are also continuously tapping on new sectors, as I mentioned sustainability, we've started a vertical focused on sustainability and ESG compliances consultancy, Urban engineering a very important area. So primarily, the point that I'm trying to reiterate that consultancy would remain the core focus.

Yes, of course, as you have been seeing in the past 3-4 years as we have graduated also into growth in the turnkey, we would continue to target turnkey in the range of about 20 to 25% of the pie. And that would still remain one of the key areas. And of course, exports of rolling stock have always been a key element of our revenue going forward what would definitely be our aim that export of rolling stock currently sees a sinusoidal revenue because they have lead time of two to three years after we get an order. So, if you analyze the export revenue for last three years, it shows a sinusoidal revenue materialization. So, our aim will be to have a number of export orders so that the revenue materialization in the export stream continues to be on a steady basis, rather being yoyo sinusoidal wave. So, that's the broad vision going forward.

Viraj Mithani

So, it's fair to assume that the major part would be consultancy going forward you know, and that would be the core of the company, then the rest would be the other sector leading to the group. Is it fair to assume that?

Management Team

Of course, as I mentioned, to reiterate, we are the consultancy organization, that's our inherent DNA and we will continue to be a consultancy organization and I mentioned also the contribution of turnkey in our pie, which is going to remain broadly going forward.

Viraj Mithani

Okay, thank you.

Moderator

Thank you, sir. We are having a follow-up question from Nikhil Abhyankar from DAM Capital. Please go ahead.

Nikhil Abhyankar

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Thanks for the opportunity again, sir. | just wanted to know, what is the prospect of Metro orders, domestic Metro orders in the coming six months or a year?

Management Team

Well, as | mentioned, we are doing already Metro, a lot of consultancy work in a number of cities and we are continuing to bid and partner with a number of partners as well as bid for a number of upcoming Metro consultancy, both domestic and international. And I'm sure that they're going to, this trend of Metro being a focus area whether for PFRs, DPRs, DDCs, PMCs, GC, they will continue to remain in the coming months and as they mature into more and more orders, we would be keeping your apprise, but nevertheless, the bottom line notwithstanding the major pack being that Metro consultancy for domestic, not only domestic, international also, will remain a steady stream of revenue in the coming months.

Nikhil Abhyankar

Okay. Thanks a lot.

Moderator

Thank you, sir. Next follow-up question comes from Parimal Mithani, an Individual Investor.

Please go ahead.

Parimal Mithani

Thanks for the opportunity. And just a follow up question in terms of further JV call SAIL-RITES Bengal wagon. Can you just talk on what's feature we are in and how are we performing there?

Management Team

Yes, in fact, SAIL-RITES after a little setback in FY22, the vis-a-vis, the earlier FYs has again bounced back with a very good set of numbers. The Q1 has shown revenue from @ 26 crore, which was against @ 7crore of Q1 FY22, it has shown a profit of 0.5 crore as against a loss of %0.2 crore in Q1 FY22. So, goin

g forward, we have already received order of 480 BOXNHL wagons in March '22. We have already started working on it. The production is planned for at least about 1000 plus wagons in this year, and we would see a good growth, good set of numbers for the entire FY.

Parimal Mithani

Okay. And sir, if you can throw a color on the how would this JV be over a period of time. Any idea on that, sir?

Management Team

So, this JV has tremendous scope. It has got a beautiful plant. It has got very good collaboration with SAIL. It has got very good scope of further growth taking on more orders both in domestic as

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well as aiming for some bidding for some international wagon orders. So, going forward, | see this JV of SAIL and RITES both SAIL and RITES are committed to making this JV grow. And we've had various rounds of deliberation and we are looking at seeing this JV give a very good growth prospect both in top and bottom lines in the coming months.

Parimal Mithani

Thank you, sir.

Moderator

Thank you, sir. We're having a follow-up question from Venkatesh Subramanian from Logic Tree.

Please go ahead.

Venkatesh Subramanian

This is a quick follow up on the previous question from Parimal, which is on the SAIL-RITES JV. You've mentioned the production of wagons is set to increase. Did you mention that we could probably do 1000 odd numbers in the current year in terms of production?

Management Team

Yes, | did.

Venkatesh Subramanian

Okay. That is set to grow in the future, possibly?

Management Team

Definitely. We are there's a lot of scope there and we are aiming to get more and more orders. Our team is geared up post COVID, all things are going up. The production lines are fully functional. SAIL and RITES are in close coordination, for supply of the steel. And | think it's definitely showing, the figures themselves show and going forward, these orders which we have received, we are aiming to make them fructify into finite deliveries in the coming years

Venkatesh Subramanian

Right. Thanks. Thanks a lot.

Moderator

Thank you, sir. Next follow-up question comes from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Yes. My question is do we have anything in high-speed rail?

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Management Team

In terms of what, I didn't get your question. We've been doing some consultancy, we have been doing and as the opportunities come up, we will be open for more. I didn't understand what your specific question.

Viraj Mithani

My question is especially projects like bullet trains or high-speed train, so there's a lot of planning by the Government, so do we have any types of consultancy, PLCs, do we have any business or anything in there. Do we have any?

Management Team

We have done at various stages of the high-speed rail at various stages in the initial, as the projects at various stages, you have given some inputs, and as this shapes out at whatever stage opportunities would be there for inputs for consultancy, we will definitely be looking at it.

Viraj Mithani

Okay. Thank you and all the best.

Moderator

Thank you, sir.

Yes, this will be the last question for the day. Now, I hand over the floor to the management for closing comments.

Management Team

Thank you for the good response from all of you. And as I mentioned in my opening remarks and also in my detailed answers to the questions, we see the trend going forward, we will continue to strive to not only maintain this trajectory but build on it in the coming months. We see very finite growth prospects and we are committed to maintaining our levels of performance as seen in the past few quarters. Thank you.

Moderator

Thank you, sir. ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using DSNL conference call service. You may disconnect your lines

now. Thank you and have a pleasant day.

-End-

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Audio file of the conference call is available at:

https://rites.com/Upload/MediaGallery/Audio/3/Q4FY22 n FY22 Earnings Call of Rites Ltd_m3-2022-Aug-03-11-44-26.mp3

For any clarifications you can write at investors @rites.com

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Call: Nov 2022

No. RITES/SECY/NSE
Date: November 18, 2022
To

Listing Department,
National Stock Exchange of India Limited,
'Exchange Plaza', C-1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai - 400 051
To

Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Code- RITES Scrip Code- 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call held to discuss Financial Results for quarter and half year ended 30th September, 2022

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015

Sir/Ma'am,

Please find enclosed herewith Transcript of the Conference call with analysts and investors held on Friday, November 11, 2022 to discuss the Financial Results of the Company for the quarter and half year ended 30th September, 2022.

You are requested to take this information on record.

Thanking You,

Yours faithfully,
For RITES Limited

Joshit Ranjan Sikidar
Company Secretary & Compliance Officer
Membership No.: A32442

JOSHIT
RANJAN
SIKIDAR Digitally signed by
JOSHIT RANJAN SIKIDAR Date: 2022.11.18 17:36:14 +05'30'
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"RITES Limited Q2 FY2023 & H1FY2023
Results Conference Call "
November 11, 2022

ANALYST : MR. HARSHIT KAPADIA - ELARA SECURITIES PRIVATE

LIMITED

MANAGEMENT : SHRI RAHUL MITHAL - CHAIRMAN & MANAGING
DIRECTOR – RITES LIMITED

SHRI BIBHU PRASAD NAYAK – DIRECTOR , FINANCE –
RITES LIMITED

SHRI AK SINGH – DIRECTOR , PROJECTS - RITES
LIMITED

SHRI JOSHIT SIKIDAR - COMPANY SECRETARY - RITES
LIMITED

RITES Limited

November 11, 2022

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Moderator: Good morning, ladies, and gentlemen. Welcome to the RITES Limited Q2 FY2023 Results Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you, and over to you, sir.

Harshit Kapadia: Thank you, Luzon. Good morning, everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY2023 and H1 FY2023 Conference Call of RITES Limited.

I take this opportunity to welcome the management of RITES Limited, represented by Shri Rahul Mithal, Chairman and Managing Director; Shri BP Nayak, Director Finance; Shri AK Singh, Director Projects; and Shri Joshit Sikidar, Company Secretary. We will begin the call with a brief overview by the management, followed by a Q&A session.

I will now hand over the call to Rahul sir for his opening remarks. Over to you, sir.

Rahul Mithal: Good morning, everybody, and welcome to the call. I will begin with the safe harbor statement. The presentation, which we uploaded on our website yesterday and discussions during the call today may have some forward -looking statements. These statements are considering the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically.

Let me begin with a few opening comments. The Q2 results were as per our projections and our outlook that we started the financial year with. We saw a good sequential growth and there was a good growth vis -à-vis H1 of last year. There was a challenge in terms of the dip in the export revenue because as we had said earlier, the balance part of the export orders were evening out and efforts for new orders were in the pipeline.

However, with combined efforts of all our verticals, we made good that shortfall by increased turnkey revenue as well as maintain the margin, which was a tough challenge by concentrating on key consultancy, high -margin areas.

So, all in all, it has been a good growth both sequentially as well as year -on-year, and it reiterates the belief in our core strength that even if one particular stream of revenue dips temporarily in one quarter, we have the wherewithal and the inherent strength to be able to
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make up both the top line and bottom line from our other streams of revenue. With those opening remarks, I leave the floor open for all questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: My first question would be on the order books. So, if we see the order book currently, we are at Rs. 5000 crores , and if we see the Q2, we have been at Rs. 5200 crores . It must be said that it realized something on the order book. But as the Capex of the railways going on, so

where do we stand on the exit point if you can tell us, and the second is which specific segment will start contributing more on the order book side, as we are saying the turnkey would be a better project mix, but also consultancy is going up this trend. So how has been going so far, so this is my first question.

Rahul Mithal: As you correctly said, our current order book is Rs. 5000 crores with the broad breakup of consultancy about Rs. 2400 crore, Turnkey about Rs. 2000 crore. The balance export from the current orders is 300 crores. leasing and subsidiaries total up to balance about Rs. 300 crores .

With this broad breakup, as I mentioned in my opening comments, going forward in these 2 quarters, the balance export would definitely get over and we are making all efforts to try and get the next export order as soon as possible to minimize the gap in the coming quarters from revenue realization from the export of rolling stock stream. Having said that, as we did in Q2, we have a strong order book in Turnkey also, and we are aiming for Turnkey projects so that we are able to tackle the shortfall in one stream from increased revenue on the Turnkey stream.

Pujan Shah: But the question was majority is moving out to see completing the export, and Turnkey would be contributing more of the size. So are we seeing the margin going somewhere, some dips in the margins because Turnkey has let us say 3.5% to 4% of the margin compared to export of 22%. So, like how we are tracking the margins going forward?

Rahul Mithal: Yes. As you correctly said, and you can see that in Q2. Again, as I mentioned, because the Turnkey has much lesser margins vis -à-vis the export, so the challenge on margins would remain. However, as we did in Q2 also we focus and picked up some key consultancy projects, which are higher -margin projects to try and make good the shortfall in margin vis -à-vis Turnkey vis -à-vis exports. So that will be the way forward for a few quarters till we are able to again start getting revenue realization from the future export orders.

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Pujan Shah: Thank you.

Moderator: Thank you. The next question is from the line of Venkatesh Subramanian from Logic Tree Investment Advisers Private Limited. Please go ahead.

Venkatesh Subramanian: Two questions. One is after the completion of the current order book, which I presume can happen over 2.5 years. If you can just give me a guideline on this Rs. 5000 Crore execution time frame, and during which course, what kind of growth can we assume in terms of the order book being replenished. So, 3 years down the line, if you have to maintain a growth rate what kind of order book visibility can you give us, sir?

Rahul Mithal: So, to put your question in perspective, we are seeing an order book of Rs. 5000 crores , which, as I said, has a breakup of Turnkey of about Rs. 2000 crore, and moving forward, again, as I have been reiterating in the past also, we are primarily a consultancy company, and we will remain so.

However, having said that, about 25% of our turnover would be from key Turnkey projects also. So, to keep that in mind and seeing an overall top line and bottom -line growth of a steady double -digit we foresee, we will have a balance between the Turnkey and the consultancy order books so that we are able to maintain the top line and bottom -line growth, as I have mentioned.

Venkatesh Subramanian: So, which means that this current order book of Rs. 5000 Crore gets executed in the next couple of years or something, do you expect that over the next years, we will be having order replenishment coming in, which will be equal or higher to the current order book, sir.

Rahul Mithal: Definitely, we are already pitching in all our various streams of revenue, and I see a substantial order book across, we would do it diligently and carefully to balance between the streams of revenue so that we maintain our overall bottom lines and margins.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: My question is confined to export orders. I want to understand that you are looking at \$100

million kind of individual packages in Africa or maybe some other countries like that. What is that number that you are targeting in terms of export order, and even if you win this order, it's highly unlikely that the work can begin in 12 months? Is that the understanding, right? Or is there any short-term quick to execute kind of orders that you are looking for?

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Rahul Mithal: So, very correctly mentioned, when we started this financial year, we had an order book balance of export for about Rs. 450 crores out of which we have executed in H1 about Rs. 150 crores, and as I had mentioned earlier also that these orders were about 2 years old pre-COVID and no fresh orders could be generated during the COVID time. Our efforts are on it, in the last few months across various target countries trying to be able to get an order, but as you again correctly said, from the time we get an order and the time that it manifests in revenue because by the time it gets manufactured and shipped, it is a good 12 to 18 months. So, our effort is to reduce this time gap or quarter gap between these orders finishing and the revenue generation from the fresh orders. So, I would foresee definitely a gap of about 2 to 3 quarters between the fresh revenue coming up and this revenue finishing the stream, only specifically in the export stream.

Rohit Natarajan: Yes. In terms of order inflow number, order inflow target?

Rahul Mithal: So right now, that is speculative. As I said, we are targeting 3, 4 countries, and we are quite confident that somewhere down the line as soon as possible. The effort is to minimize the gap as much as possible. As I mentioned, it could be 2, 3 quarters gap. Our effort is to reduce this to maybe 1 or 2 quarters so that as we transition rather than a sinusoidal curve, it should be as much as a flat or a growth curve in terms of export revenue.

Rohit Natarajan: Thank you I will get back in the queue.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: So, my first question pertains to our Turnkey segment. We are seeing a good amount of revenue bookings this quarter. So just wanted to understand, in terms of the quarterly run rate, is this the run rate we should look forward in third quarter and fourth quarter? Or we are still at those initial sales and there could be some healthier ramp-up in coming quarters.

Rahul Mithal: All turnkey projects are in full swing, and as you see the sequential growth in Turnkey between quarter 1 and quarter 2 itself, there is quite a substantial growth of about 30%, and the current trend of Q2 Turnkey would remain same. In fact, we would be pushing it more in the coming 2-3 quarters, as I said, so as to be able to balance out the drop in exports stream revenue for the next 2, 3 quarters.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

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Viraj: Can you give me the breakup of your margins in the order book, as I see the consultancy and Turnkey are more or less equal, and your comments on REMCL It is also just 100 crores, it would be nice if you can just throw some light on it.

Rahul Mithal: No, I did not get your point regarding margin and consultancy and Turnkey being similar.

Viraj: No sir, my question is the margins on all the segments of the order book consultancy, export and turnkey are similar, and REMCL is not growing as expected, it is Rs. 100 crores, but what I read in the news relating to railways somewhere that they are planning some huge solar projects. So, are we going to get benefited by it? That is what my question was.

Rahul Mit

hal: So, margins are in the various segments. The margins have been good. In fact, the consultancy margins have been in the range of about 30% plus the inspection and QA and consultancy combined have been in the range of 40% plus. Exports have been steady about 22%, 23%, and Turnkeys have been in the range of about 3.5% to 4%.

So, these are the trend of margins. As I said, the mix of revenue has been the focus to try and buffer the drop in export by concentrating on high margin areas. As far as REMCL is concerned, REMCL is focusing on growth pattern would be seen as these initiatives in the solar area will fructify in the coming quarters.

They are work in progress, and as they mature into finite revenue generators, you would see some upward growth in the REMCL contribution to the revenue.

Viraj: So over next 3 years, I think REMCL can be big for next 5 years because of the boost towards renewable and all, we can expect some huge top line coming from. Is it fair to assume this, that is what was my question?

Rahul Mithal: REMCL would definitely see some growth. The quantum of growth, I would not like to speculate, but definitely REMCL is the nominated entity for doing all renewable work for Indian Railways and we are exploring a number of areas in this field as the coming quarters as they mature into finite orders, we would be seeing the actual amount of growth which we can see in this sector.

Viraj: Okay. I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Pujan Shah from Cogruence Advisers. Please go ahead.

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Pujan Shah: Just wanted to know the Turnkey order book completion, like if we say the Rs. 1900 crore of order. So, what is the estimated date of completion? Is it 2 years, 3 years?

Rahul Mithal: You see normally Turnkey projects vary anywhere from 2 to 4 years because of some of them having issues of land acquisitions. But on an average, I would say, good Turnkey projects take about 2, 2.5 years and some of them take anything from 3.5 to 4 years. So median time for Turnkey project is 3 years approximately.

Pujan Shah: Okay. Got it. That is from my side. Thank you.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Sir, a few clarifications on the balance sheet side. One, in terms of our debtors which is roughly around Rs. 700 -odd crore have moved to around Rs. 840 -odd crore. So is it pertaining to the export orders, and secondly, what the CWIP has gone up from Rs. 60 -odd crore to Rs. 76 -odd crore. So, what is the reason behind that and lastly, on the Capex guidance for the year?

Rahul Mithal: I think you have asked 3 questions in one go, but just to quickly tell you, as far as debtors is concerned this is a temporary spurt. In fact, the good news is that all our export orders, the debtors, most of them are getting cleared. Sri Lanka, which had an outstanding of about Rs. 118 crores, about Rs. 100 crore we have received recently. So, the bulk of it is received and all our efforts are on to reduce the balance quantity from Mozambique. So that is not a worry at all. In debtors, there is a temporary growth. Further, I think the second question you asked was, I do not recollect, what was it?

Shreyans Mehta: So, sir, CWIP as on March was Rs. 58-odd crore, which has now moved up.

Rahul Mithal: So that is basically because of the building projects. It has contributed temporarily to growth in CWIP and as far as Capex is concerned, we are in the range of about Rs. 125 crores to Rs. 150 crores, and we would be maintaining that trend, we have already done Rs. 79 crores in H1. So, I think we would be on track

to maintain about Rs. 150 -odd crore.

Shreyans Mehta: Got it. Thank you and all the best sir. Thank you.

Moderator: Thank you. The next question is from the line of Kunal from B&K Securities. Please go ahead.

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Kunal: My question is pertaining to if you can give some sense about the pipeline in the domestic market, especially on the consultancy side, and also, if you share any guidance on order inflow for the current year?

Rahul Mithal: So as far as the pipeline and consultancy is concerned, we have been pitching and getting a lot of orders. In fact, in quarter 2 itself, we got a total of 70 orders, most of them consultancy, totaling to about Rs. 440 crore and out of 70, about 60 -plus are consultancy orders, and including the recent one which we got for Ahmedabad Metro Phase 2.

So going forward, across sector, whether it is the consultancy in metros or buildings or highways or smart cities, we have a number of orders in pipeline. In Turnkey, also, we have been pitching to maintain a healthy mix in our top line of about 25% for various key projects in Turnkey and one most recent order, which has been declared to exchange is of the depot for Bangalore Metro, in this our share is about Rs. 250 crores.

So, in terms of the total order, whether in consultancy or in turnkey, the trend is good enough, and we hope to build up on it further in the coming quarters.

Kunal: Sir, any guidance that you are sharing for the current year?

Rahul Mithal: We see a growth pattern as you see in sequential growth as well as year-on-year growth if you see H1, that is a good double-digit growth and I think we are on track to be able to maintain that, if not better.

Kunal: Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: Sir if you could touch upon the REMCL part. There are 2 segments. One is the trading model and the ownership model part of the solar assets portfolio that you have. Could you give us some color on it where exactly is the incremental addition going to happen in that vertical?

Rahul Mithal: No, we do not have any ownership model in solar. The REMCL is very clear as per the plan for about more than a year or 2, that all future developments in REMCL in the renewable, whether it is solar or wind or any renewable energies in the developer mode. So basically, REMCL gets revenue, not as the Turnkey revenue per se. It does not own any asset, except

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one windmill at Jaisalmer, which is about few years old. Moving forward, also, REMCL would not be investing any Capex in owning any asset in any renewable form of energy.

Rohit Natarajan: Okay thank you that is largely clear.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Sir, my question is you have been basically a consultancy company. But when I see today, the order book we are like more or less equal on Turnkey and consultancy. So, what is our sense going forward? I understand this is stop gap arrangement for the, our export or der being low. But if you can give some sense going forward in terms of consultancy growth, domestic international. Some color on that would be helpful.

Rahul Mithal: You see consultancy, the time frame of execution of consultancy orders is much much lesser compared to Turnkey orders, as I mentioned some time back that Turnkey orders normally have an average of about 3 years plus for execution. So at any stage of time, the

order book breakup would show more comparable or maybe it should ideally be more also
Turnkey order book will gradually grow

ow, we are aiming to make it grow, so in terms of value breakup of the order book, the Turnkey orders will always be more than the consultancy. But having said that, moving forward, we have been maintaining that we are a consultancy company and would remain so. Our contribution in consultancy to our top line would always be in the range of about 50% plus, and we would maintain that and Turnkey would be in the range of 25%. On a pan-out basis, except maybe quarter-on-quarter where some variations take place due to variations in the revenue inflow, but on an average basis, it is year-on-year, that is our way moving forward.

Viraj: The margins in Turnkey is low. So, what are the chances of loss being suffered by us, are we secured on loss front or?

Rahul Mithal: I already clarified that sometime back that margins in Turnkey are always much lower and the margins are always taken care of by taking and concentrating on the execution of high-margin consultancy order that is what has been seen. In spite of export area, which is a good margin revenue stream dipping in Q 2, our margins have been steady. We have a core EBITDA margin of 25% plus, both in Q1, Q 2, and we are maintaining that even if you see comparison year-on-year.

Viraj: Thank you and all the best sir.

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Moderator: Thank you. The next question is from the line of Parimal Yatish from Credential Investments. Please go ahead.

Parimal Yatish Mithani: I just wanted to know, can you give me the quality assurance number for H1 as well as compared to last year.

Rahul Mithal: Yes. The QA revenue is 187 vis-à-vis 144 last year, which is a growth of about 30%.

Parimal Yatish Mithani: Thank you sir.

Moderator: Thank you. The next question is from the line of Pujan Shah from Cogruence Advisers. Please go ahead.

Pujan Shah: Yes. So it will be a more basic on sector side question. So, on a railway Capex side, like what are we seeing? Are we in the mid-cycle or been in the completion cycle or what? Because I think on electric conversion from the diesel conversion, we have seen a great work, and we have almost completed that part. So on railway Capex side, specifically for double gauge and all other things, what are we seeing on specifically for our company and on a sector level?

Rahul Mithal: Railway Capex or mainly our Turnkey revenue can be broadly broken into 3 different parts. One is the electrification work. One is broadly the new line and other related doubling and other related infra work and the third is station development work.

So the new line and the electrification work, as you correctly said, is moving very fast and somewhere by next year, later part of next financial year, the IR is also targeting most of the electrification. So we should be seeing that pattern. The new line and doubling work orders which we have, are moving fast and we are in the good stage of execution. Because this is a continuous evolving area, new tenders and new work opportunities are coming up, which we have been bidding, and in station development we recently got an order just recently for Kolam station, which is about Rs. 160 crore. So these are just few contracts and the project is just about to begin.

As you see, there is a mix of 3 streams of various stages. This inflow from rail infra work in Turnkey would continue, and we are targeting to see a growth in this also, as we bid for more station development as well as the new line doubling works that are coming up.

Moderator: Thank you. The next question is from the line of Harshit Kapadia. Please go ahead.

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Harshit Kapadia: Just one question on the quality assurance part of it though the revenue growth has been around 30%, but when you look at Capex on railways for the first half of the financial year it has almost doubled. So do you expect the run rate for the quality assurance in the next half that is for H2 should be at much faster rate, maybe upwards of 50%, 60%. That is how we should interpret, or it will still remain at this 30% or 40% level?

Rahul Mithal: Okay. in terms of quality assurance, the growth in Q1, Q2, the H1 vis-à-vis H1 last year, has seen a good growth. But moving forward, there is, as I mentioned in a few calls earlier, that there is a policy decision by Indian Railways now to go in for a panel of QA agencies. As that gets panned out in the coming quarters and then it would be clear what is the percentage of work which gets divided between the four agencies which are empaneled .

Having said that, maybe the percentage of our QA revenue from IR as a client would reduce to that extent, but we do a lot of QA work for non -IR clients also across various sectors, and overall QA revenue, we are targeting that it remains the same, we are able to absorb that drop in IR revenue and maintain the same levels or in fact, going forward to increase further.

Harshit Kapadia: Understood, sir. Okay. I will join the question queue.

Moderator: Thank you. The next question from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Sir, my question is on the Turnkey business. Having low margins, what are the risk we run in big support of nonexecution commodity prices going up. So can you give us some color on that, like the risk we run in this business?

Rahul Mithal: Yes, Turnkey has risks in terms of the timely execution cost and time overruns more so with the latest policy of IR of coming with EPC tenders, for example, the latest order, which we got for Kolam station turnkey, that is an EPC mode. So the focus or the requirement of timely completion, both without time and cost overrun, so as to be able to maintain the originally envisage margin, is very crucial. Yes, the care has to be taken more so moving forward as we get more Turnkey orders in the EPC mode because that would be the mode of tendering now for all IR Turnkey orders. Yes, we focus on timely execution and keeping a check so that the escalation that we envisage while taking the orders, if the time overrun takes place, then obviously, it results in more chances of cost overrun.

Viraj: Are we equipped for that, sir, being a consultancy company, are we equipped to have this business?

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Rahul Mithal: We are more than equipped because we have been doing Turnkey for about 5 years now, and we are taking Turnkey as a mix of our consultancy business, as I mentioned, about 25% odd of our total revenue mix, and we take them on a selective basis. Both in terms of business selective choosing as well as strategic choice, and we are more than equipped for the contracts that we take to execute them timely.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: Sir, my question is related to market share of your consultancy segment? How was it in the past? How is it going to be in the future, and also help us understand within consultancy, the QA and non-QA portion?

Rahul Mithal: You see we operate in consultancy in about 8 different sectors. The Airports, highways, buildings, metros, smart cities etc.. To be able to give you individual figures in terms of market share, that is a tough proposition. But yes, that we can definitely say that our consultancy business, both domestic and international overall is seeing a healthy growth. There have been challenges in certain sectors of consultancy where like highways where more and more sm

aller consultancy firms are coming and the undercutting in margins have been going on.

We are maintaining a certain level of consultancy and we do not like to go beyond, compromising beyond a certain level in terms of the quality of consultancy, the quality of deployment of resources that we do for our consultancy order. In certain areas, there has been a dip in terms of the quantum of order that we are taking.

However, in certain areas, which are our niche areas of consultancy, for example, metros or in terms of smart city planning in terms of city mobility plans or logistic plans, we have been getting more and more orders on a competitive basis.

Moderator: Thank you. The next question is from the line of Parimal Yatish from Credential Investments. Please go ahead.

Parimal Yatish Mithani: I just wanted to know in terms of REMCL. Currently, if you can give a figure of what percentage of railway electric requirement is being handled and is there any capacity that we can cater currently.

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Rahul Mithal: REMCL is handling about 70% plus of the traction requirements of Indian Railways, and all efforts are to increase this further across states, individual negotiations are on from various states so that the aim is to reach 100%.

Parimal Yatish Mithani: Thank you sir.

Moderator: Thank you. The next question is from the line of Harshit Kapadia. Please go ahead.

Harshit Kapadia: Just one clarification. Since you mentioned part of your QA business will be now divided between you as well as other 4 firms. Do you think margin may be reduced or it will remain the same?

Rahul Mithal: No. Definitely, in terms of since there would be a competitive price bid between the 4 empanelled agencies. So yes, the top line share as well as the margins would also take a hit in terms of the IR QA business.

But as I said, we are already working on a number of non-IR clients, which we have traditionally. We are working to expand them and also explore opportunities for QA internationally in railway systems as well as non-railway systems, considering our legacy of more than 40 years of QA to be able to take care of both the bottom line and top line in terms of this demand from the IR as a client.

Harshit Kapadia: Fair enough sir. Thanks for the clarification.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Sir, my question was how are we placed against the other government companies like in Turnkey business like RVNL and IRCON. So they also do more of the same line of business what we do now.

Rahul Mithal: The Turnkey is being done similarly by other sister PSUs but as we said, our core strength is that we do consultancy primarily across various sectors more than about 8 sectors, and that is our core strength which is a bulk of our revenue.

Viraj: Yes, but my question is regarding Turnkey, how we will be placed against them. I understand that.

Rahul Mithal: I do not understand in terms of how we placed. We do similar work and we win contracts in Turnkey on a competitive basis. The Turnkey nature of course, is obviously similar,

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whether it is station development or railway electrification or building work or it is new line

doubling the Turnkey nature of work is similar. We get orders on competitive mode, not only from other sister railway PSUs, but across other competitors also.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: Sir, a big picture question. Like within next 5 years, how do you want to see this execution being drive

n by? Like will it be consultants, either it be exports or will it be Turnkey. Help us understand the big picture in terms of numbers, what is the management thinking about.

Rahul Mithal: Yes. I am glad you asked this question. We are clear as of now and moving forward year-on-year and in the next 5 years also as you asked that our core strength is consultancy in the key areas, about 8 different areas, as I mentioned. Some of them are niche strength which we have both domestically and internationally. We have a domain strength, legacy, and we will continue to work on that, whether it is, as I said, the metros or the smart cities, the bridge engineering, tunnel engineering etc. I mean, these are areas where we have core competence; very few both PSUs as well as private entities can match that and we win contracts in them on a competitive tender mode basis. So we will continue to leverage that and grow in that.

Turnkey, as I mentioned, is an important element because it is required for our top line also and to buffer some time, as you saw in this quarter, drops in export tech revenue. We would target a healthy mix of Turnkey aiming in a range of about 25% of our top line and export of rolling stock is a very good traditional area, a stream of business, which RITES has been doing for 40-plus years.

We have a lot of confidence in a number of clients not only in traditional clients in Southeast Asia and Africa, but we are also exploring other possible clients in Latin America and Central Asia. So we will continue to target export. It is a good high-margin business, which we have experienced both in commissioning and operation and maintenance of the exported rolling stock. So that will also continue to be a major part of at least 20%, 25% of our revenue stream.

Moderator: Thank you. The next question is from the line of Prasanth Gopal from Spark Asia Impact Managers. Please go ahead.

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Prasanth Gopal: During last call, you mentioned you are aiming for Rs. 250 crore of export order to mature in Q2 and Q3. Now Q2 export numbers are low. So is it fair to expect majority of order book to mature in Q3.

Rahul Mithal: Yes. as I mentioned at the beginning of the year, the year started with about Rs. 450 crore balance export order book, and till Q2, we are done by Rs. 150 crore. So the balance Rs.300 crore, out of that about Rs.200 crore odd is the export order for the balance shipment which is maturing primarily into Q3 with some partly maybe spill over to Q4, and the balance, about Rs.100 crore out of Rs. 300 crore is for the regular operation and maintenance work of the exported rolling stock, which will continue to keep coming on a monthly basis.

Prasanth Gopal: Thank you sir.

Moderator: Thank you. The next question is from the line of Ankur Sanwal an individual investor. Please go ahead.

Ankur Sanwal: So we have a joint venture with SAIL regarding wagon manufacturing. What are the future prospects of the company, and are we also interested into making passenger wagon.

Rahul Mithal: We have a joint venture, as you correctly said, with SAIL at Kulti. It is a very good facility, state-of-the-art, which has a lot of capacity. We are not, as of now, we feel that there is a lot of scope to leverage the existing capacity itself for more wagon manufacturing, both for IR as a client as well as looking at export wagons from this facility. We are working on that so that this facility can export wagons also so that we can directly use this rather than sourcing the wagons from another source. Maybe yes, your suggestion is also at due course of time since the facility is there, and it is a very good infrastructure facility we could look at

exploring using it for some kind of passenger stock als

o.

Ankur Sanwal: Thank you sir.

Moderator: Thank you. The next question is from the line of Venkatesh Subramanian from Logic Tree Investment Advisers Private Limited. Please go ahead.

Venkatesh Subramanian: A bit of a follow-up on the previous question, sir. One is in terms of growth rates, if I go back like 6 to 7 quarters before and in one of the calls, one of the key question that was asked was that Can RITES be like a top line company of Rs. 7000 -8000 crore we are talking about \$1 billion top line over 4 to 5 -year period there. Do you think that means the growth rate of broadly 18% to 20% over a period of time again, it gets into the big picture. Can you give us a guidance? Is there something like a vision that we can aspire for

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considering that you are on a supreme agency you are in 8 consulting segments and India's infrastructure growth, you are going to be huge. Would that be kind of a number too far - fetched or something realistic?

Rahul Mithal: I am glad you asked this question so that it clarifies clearly our core strength and the way we are moving forward. So you must appreciate that consultancy orders are much lesser in terms of their value vis -à-vis Turnkey order. So to grow from a current level of about Rs. 2500 -2600 crore to Rs.7000 crore in about 4 to 5 years, the whole complexion would have to be primarily shifted more towards Turnkey which then is, as I broadly mentioned in our broad vision and strategy, Turnkey would be limited to about 25% odd of our total business mix. We are primarily a consultancy agency, and we would look at watching the bottom line carefully also rather than just aspiring to be Rs. 7000 -8000 crore by taking Turnkey order and sacrificing our margins.

Our focus has been, as you compare whether it is quarter -to-quarter or year-on-year or H1 to H1 has been a very important focus on maintaining our profit margins and operating margins also. So that has to be a balance between the top line and the bottom line moving forward.

Venkatesh Subramanian: Thank you sir. I will join the queue.

Moderator: Thank you. The next question is from the line of Parimal Yatish Mithani from Credential Investments.

Parimal Yatish Mithani: I just wanted to know, in terms of leasing business, can you give us, what do you think will be in the next 3 to 4 years. Can you discuss about that business.

Rahul Mithal: So leasing business is a good revenue and a good source of both revenue and margins for us, and in fact, we have been continuously getting orders from new clients also in the leasing area, both in the operation and maintenance of the rolling stock that we lease and we recently got an order of Rs. 6 crore for more of leasing of locomotive and operation and maintenance order of the lease rolling stock of about Rs. 19 Crore. We have about 65 -plus locomotives, which we lease and also operate and maintain. Besides that, we do operation and maintenance of locomotives and wagons owned by the siding owners also. So this is a good stream, and we will continue to see a healthy growth in it, both in the top line as well as the bottom line.

Moderator: Thank you. The next question is from the line of Prasanth Gopal from Spark Asia Impact Managers. Please go ahead.

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Prasanth Gopal: What will be the quantum of QA revenue from Indian railways or the share of the Indian railways total and QA will be helpful.

Rahul Mithal: You see to give a specific number of the QA revenue client -wise would not be fair. But yes, it is a substantial amount varies from quarter -to-quarter. And as I mentioned sometime back

that with this in the coming quarters, this drop in the QA revenue from one client from IR, both in term

s of the top line and bottom line of IR as a client for QA revenue we are aiming to work on it to get more than make up for it from our other non-IR clients, which is also quite substantial.

Moderator: Thank you. The next question is from the line of Venkatesh Subramanian from Logic Tree Investment Advisers Private Limited. Please go ahead.

Venkatesh Subramanian: So my question is on REMCL. This is a kind of claw back to 2021 transcript. At that time, what was the notes that was broadly in the transcript was, REMCL could grow to be a top line of about 350 crores in some time and based on a particular kind of a sharing model where I think 70 paise per unit generated will go to RITES. If you can just let us know or reconfirm the revenue model on REMCL. There are very bright prospects that were indicated saying this company could be quite large going forward. Some sort of a vision would help.

Rahul Mithal: No, I think maybe at that stage, which we are talking about, maybe it could be based on the assessment a few years back that maybe REMCL would work more on the Capex asset model, which, as I said, sometime back in the last year or so, a conscious decision has been taken that REMCL will work on the developer model for all developments in the renewable energy arena, whether it is solar or wind.

With that, the growth in top line, which is in the range of Rs. 100 crore plus right now expected to grow suddenly to 350 in a year or 2 or so, that does not seem probable. It will be growing good, yes, since it is more and more electrification in the Indian Railways and IR targeting by next year, complete electrification and also growth in traffic, as we see in the last few quarters, IR traffic has seen a good growth, both in passenger and freight. So with that, the requirement of electric traction energy for IR is growing and REMCL will see a good growth catering to the IR traction requirements.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

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Viraj: Sir, my question is, is there any news on the OFS by DIPAM to us. That is my question because there was some press meeting about it some time ago.

Rahul Mithal: I would not be the right person to answer it. I think DIPAM would be the right agency to answer your question regarding that.

Viraj: Okay sir good day.

Moderator: Thank you. The next question is from the line of Ankur Sanwal an individual investor. Please go ahead.

Ankur Sanwal: Sir, after your joining of the company, the company has seen a memorandum of understanding with many marquee institutes of India and other countries. What is the thought process behind the same?

Rahul Mithal: I am glad you asked this question. The key reason for this, and we are constantly working on it across whether it is the academic institutions like IITs or whether it is key business top leading business companies like TCS or other key PSUs, we have been working on it so that we can complement our in-house strengths with their expertise and be able to give a solution to the client in various areas. For example, our sustainability vertical is working on areas such as clean air program and the solid waste management. We are looking at tie-ups and MOUs with various important institutions. So these are the kind of strategy which we have been following, and we will continue to work on this so that we can bring the best to the client in whatever we lack in certain areas, we can complement that with the expertise of the partner whom we partner with.

Ankur Sanwal: Thank you sir.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over

to Mr. Harshit Kapadia for his closing comments.

Harshit Kapadia: Thank you, Luzon. We would like to thank the management of RITES Limited, Shri Rahul Mithal, Chairman and Managing Director along with his team for giving us an opportunity to host this call. We would also like to thank our investors and analysts for attending this call. Any closing remarks Rahul Sir.

Rahul Mithal: Thank you, Harshit and the team for this opportunity for us to interact with our stakeholders and investors. We reiterate, as I said in the beginning that we have the core strength and our USP that we can target one stream, if one stream did face a setback certain time, our multi - RITES Limited
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sectoral presence ensures that we are able to protect both our top line and bottom line by suitable realignment from other schemes of traffic from other streams of revenue, and with this strength, we feel that moving forward, we will leverage this sequential as well as year - on-year growth. We are on track for this financial year as a whole. Our two recent aggressive endeavor in RITES Videsh targeting more of international consultancy and RITES Sustainability, targeting new areas of sustainable pollution control and other sustainable initiatives.

These we foresee giving us more contribution to both of our top and bottom line, and our dividend, which we have declared a second interim dividend of Rs. 4.5 per share which makes our cumulative dividend as Rs. 8.5 per share is also on track vis -à-vis the total Rs.17 per share, which we declared as a dividend last year. So, all factors show that our company is on track for the entire financial year, and I can only reassure all our investors that we will continue to leverage our inherent strengths and our expertise to take the company forward.

Moderator: Thank you. Ladies and gentlemen, on behalf of Elara Securities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

-End-

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For any clarifications you can write at investors@rites.com

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Call: Nov 2022

No. RITES/SECY/NSE
Date: November 18, 2022
To

Listing Department,
National Stock Exchange of India Limited,
'Exchange Plaza', C-1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai - 400 051
To

Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Code- RITES Scrip Code- 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call held to discuss Financial Results for quarter and half year ended 30th September, 2022

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015

Sir/Ma'am,

Please find enclosed herewith Transcript of the Conference call with analysts and investors held on Friday, November 11, 2022 to discuss the Financial Results of the Company for the quarter and half year ended 30th September, 2022.

You are requested to take this information on record.

Thanking You,

Yours faithfully,
For RITES Limited

Joshit Ranjan Sikidar
Company Secretary & Compliance Officer
Membership No.: A32442

JOSHIT
RANJAN
SIKIDAR Digitally signed by
JOSHIT RANJAN SIKIDAR Date: 2022.11.18 17:36:14 +05'30'
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"RITES Limited Q2 FY2023 & H1FY2023
Results Conference Call "
November 11, 2022

ANALYST : MR. HARSHIT KAPADIA - ELARA SECURITIES PRIVATE

LIMITED

MANAGEMENT : SHRI RAHUL MITHAL - CHAIRMAN & MANAGING
DIRECTOR – RITES LIMITED

SHRI BIBHU PRASAD NAYAK – DIRECTOR , FINANCE –
RITES LIMITED

SHRI AK SINGH – DIRECTOR , PROJECTS - RITES
LIMITED

SHRI JOSHIT SIKIDAR - COMPANY SECRETARY - RITES
LIMITED

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Moderator: Good morning, ladies, and gentlemen. Welcome to the RITES Limited Q2 FY2023 Results Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you, and over to you, sir.

Harshit Kapadia: Thank you, Luzon. Good morning, everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY2023 and H1 FY2023 Conference Call of RITES Limited.

I take this opportunity to welcome the management of RITES Limited, represented by Shri Rahul Mithal, Chairman and Managing Director; Shri BP Nayak, Director Finance; Shri AK Singh, Director Projects; and Shri Joshit Sikidar, Company Secretary. We will begin the call with a brief overview by the management, followed by a Q&A session.

I will now hand over the call to Rahul sir for his opening remarks. Over to you, sir.

Rahul Mithal: Good morning, everybody, and welcome to the call. I will begin with the safe harbor statement. The presentation, which we uploaded on our website yesterday and discussions during the call today may have some forward -looking statements. These statements are considering the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically.

Let me begin with a few opening comments. The Q2 results were as per our projections and our outlook that we started the financial year with. We saw a good sequential growth and there was a good growth vis -à-vis H1 of last year. There was a challenge in terms of the dip in the export revenue because as we had said earlier, the balance part of the export orders were evening out and efforts for new orders were in the pipeline.

However, with combined efforts of all our verticals, we made good that shortfall by increased turnkey revenue as well as maintain the margin, which was a tough challenge by concentrating on key consultancy, high -margin areas.

So, all in all, it has been a good growth both sequentially as well as year -on-year, and it reiterates the belief in our core strength that even if one particular stream of revenue dips temporarily in one quarter, we have the wherewithal and the inherent strength to be able to RITES Limited

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make up both the top line and bottom line from our other streams of revenue. With those opening remarks, I leave the floor open for all questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: My first question would be on the order books. So, if we see the order book currently, we are at Rs. 5000 crores , and if we see the Q2, we have been at Rs. 5200 crores . It must be said that it realized something on the order book. But as the Capex of the railways going on, so

where do we stand on the exit point if you can tell us, and the second is which specific segment will start contributing more on the order book side, as we are saying the turnkey would be a better project mix, but also consultancy is going up this trend. So how has been going so far, so this is my first question.

Rahul Mithal: As you correctly said, our current order book is Rs. 5000 crores with the broad breakup of consultancy about Rs. 2400 crore, Turnkey about Rs. 2000 crore. The balance export from the current orders is 300 crores. leasing and subsidiaries total up to balance about Rs. 300 crores .

With this broad breakup, as I mentioned in my opening comments, going forward in these 2 quarters, the balance export would definitely get over and we are making all efforts to try and get the next export order as soon as possible to minimize the gap in the coming quarters from revenue realization from the export of rolling stock stream. Having said that, as we did in Q2, we have a strong order book in Turnkey also, and we are aiming for Turnkey projects so that we are able to tackle the shortfall in one stream from increased revenue on the Turnkey stream.

Pujan Shah: But the question was majority is moving out to see completing the export, and Turnkey would be contributing more of the size. So are we seeing the margin going somewhere, some dips in the margins because Turnkey has let us say 3.5% to 4% of the margin compared to export of 22%. So, like how we are tracking the margins going forward?

Rahul Mithal: Yes. As you correctly said, and you can see that in Q2. Again, as I mentioned, because the Turnkey has much lesser margins vis -à-vis the export, so the challenge on margins would remain. However, as we did in Q2 also we focus and picked up some key consultancy projects, which are higher -margin projects to try and make good the shortfall in margin vis -à-vis Turnkey vis -à-vis exports. So that will be the way forward for a few quarters till we are able to again start getting revenue realization from the future export orders.

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Pujan Shah: Thank you.

Moderator: Thank you. The next question is from the line of Venkatesh Subramanian from Logic Tree Investment Advisers Private Limited. Please go ahead.

Venkatesh Subramanian: Two questions. One is after the completion of the current order book, which I presume can happen over 2.5 years. If you can just give me a guideline on this Rs. 5000 Crore execution time frame, and during which course, what kind of growth can we assume in terms of the order book being replenished. So, 3 years down the line, if you have to maintain a growth rate what kind of order book visibility can you give us, sir?

Rahul Mithal: So, to put your question in perspective, we are seeing an order book of Rs. 5000 crores , which, as I said, has a breakup of Turnkey of about Rs. 2000 crore, and moving forward, again, as I have been reiterating in the past also, we are primarily a consultancy company, and we will remain so.

However, having said that, about 25% of our turnover would be from key Turnkey projects also. So, to keep that in mind and seeing an overall top line and bottom -line growth of a steady double -digit we foresee, we will have a balance between the Turnkey and the consultancy order books so that we are able to maintain the top line and bottom -line growth, as I have mentioned.

Venkatesh Subramanian: So, which means that this current order book of Rs. 5000 Crore gets executed in the next couple of years or something, do you expect that over the next years, we will be having order replenishment coming in, which will be equal or higher to the current order book, sir.

Rahul Mithal: Definitely, we are already pitching in all our various streams of revenue, and I see a substantial order book across, we would do it diligently and carefully to balance between the streams of revenue so that we maintain our overall bottom lines and margins.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: My question is confined to export orders. I want to understand that you are looking at \$100

million kind of individual packages in Africa or maybe some other countries like that. What is that number that you are targeting in terms of export order, and even if you win this order, it's highly unlikely that the work can begin in 12 months? Is that the understanding, right? Or is there any short-term quick to execute kind of orders that you are looking for?

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Rahul Mithal: So, very correctly mentioned, when we started this financial year, we had an order book balance of export for about Rs. 450 crores out of which we have executed in H1 about Rs. 150 crores, and as I had mentioned earlier also that these orders were about 2 years old pre-COVID and no fresh orders could be generated during the COVID time. Our efforts are on it, in the last few months across various target countries trying to be able to get an order, but as you again correctly said, from the time we get an order and the time that it manifests in revenue because by the time it gets manufactured and shipped, it is a good 12 to 18 months. So, our effort is to reduce this time gap or quarter gap between these orders finishing and the revenue generation from the fresh orders. So, I would foresee definitely a gap of about 2 to 3 quarters between the fresh revenue coming up and this revenue finishing the stream, only specifically in the export stream.

Rohit Natarajan: Yes. In terms of order inflow number, order inflow target?

Rahul Mithal: So right now, that is speculative. As I said, we are targeting 3, 4 countries, and we are quite confident that somewhere down the line as soon as possible. The effort is to minimize the gap as much as possible. As I mentioned, it could be 2, 3 quarters gap. Our effort is to reduce this to maybe 1 or 2 quarters so that as we transition rather than a sinusoidal curve, it should be as much as a flat or a growth curve in terms of export revenue.

Rohit Natarajan: Thank you I will get back in the queue.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: So, my first question pertains to our Turnkey segment. We are seeing a good amount of revenue bookings this quarter. So just wanted to understand, in terms of the quarterly run rate, is this the run rate we should look forward in third quarter and fourth quarter? Or we are still at those initial sales and there could be some healthier ramp-up in coming quarters.

Rahul Mithal: All turnkey projects are in full swing, and as you see the sequential growth in Turnkey between quarter 1 and quarter 2 itself, there is quite a substantial growth of about 30%, and the current trend of Q2 Turnkey would remain same. In fact, we would be pushing it more in the coming 2-3 quarters, as I said, so as to be able to balance out the drop in exports stream revenue for the next 2, 3 quarters.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

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Viraj: Can you give me the breakup of your margins in the order book, as I see the consultancy and Turnkey are more or less equal, and your comments on REMCL It is also just 100 crores, it would be nice if you can just throw some light on it.

Rahul Mithal: No, I did not get your point regarding margin and consultancy and Turnkey being similar.

Viraj: No sir, my question is the margins on all the segments of the order book consultancy, export and turnkey are similar, and REMCL is not growing as expected, it is Rs. 100 crores, but what I read in the news relating to railways somewhere that they are planning some huge solar projects. So, are we going to get benefited by it? That is what my question was.

Rahul Mit

hal: So, margins are in the various segments. The margins have been good. In fact, the consultancy margins have been in the range of about 30% plus the inspection and QA and consultancy combined have been in the range of 40% plus. Exports have been steady about 22%, 23%, and Turnkeys have been in the range of about 3.5% to 4%.

So, these are the trend of margins. As I said, the mix of revenue has been the focus to try and buffer the drop in export by concentrating on high margin areas. As far as REMCL is concerned, REMCL is focusing on growth pattern would be seen as these initiatives in the solar area will fructify in the coming quarters.

They are work in progress, and as they mature into finite revenue generators, you would see some upward growth in the REMCL contribution to the revenue.

Viraj: So over next 3 years, I think REMCL can be big for next 5 years because of the boost towards renewable and all, we can expect some huge top line coming from. Is it fair to assume this, that is what was my question?

Rahul Mithal: REMCL would definitely see some growth. The quantum of growth, I would not like to speculate, but definitely REMCL is the nominated entity for doing all renewable work for Indian Railways and we are exploring a number of areas in this field as the coming quarters as they mature into finite orders, we would be seeing the actual amount of growth which we can see in this sector.

Viraj: Okay. I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Pujan Shah from Cogruence Advisers. Please go ahead.

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Pujan Shah: Just wanted to know the Turnkey order book completion, like if we say the Rs. 1900 crore of order. So, what is the estimated date of completion? Is it 2 years, 3 years?

Rahul Mithal: You see normally Turnkey projects vary anywhere from 2 to 4 years because of some of them having issues of land acquisitions. But on an average, I would say, good Turnkey projects take about 2, 2.5 years and some of them take anything from 3.5 to 4 years. So median time for Turnkey project is 3 years approximately.

Pujan Shah: Okay. Got it. That is from my side. Thank you.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Sir, a few clarifications on the balance sheet side. One, in terms of our debtors which is roughly around Rs. 700 -odd crore have moved to around Rs. 840 -odd crore. So is it pertaining to the export orders, and secondly, what the CWIP has gone up from Rs. 60 -odd crore to Rs. 76 -odd crore. So, what is the reason behind that and lastly, on the Capex guidance for the year?

Rahul Mithal: I think you have asked 3 questions in one go, but just to quickly tell you, as far as debtors is concerned this is a temporary spurt. In fact, the good news is that all our export orders, the debtors, most of them are getting cleared. Sri Lanka, which had an outstanding of about Rs. 118 crores, about Rs. 100 crore we have received recently. So, the bulk of it is received and all our efforts are on to reduce the balance quantity from Mozambique. So that is not a worry at all. In debtors, there is a temporary growth. Further, I think the second question you asked was, I do not recollect, what was it?

Shreyans Mehta: So, sir, CWIP as on March was Rs. 58-odd crore, which has now moved up.

Rahul Mithal: So that is basically because of the building projects. It has contributed temporarily to growth in CWIP and as far as Capex is concerned, we are in the range of about Rs. 125 crores to Rs. 150 crores, and we would be maintaining that trend, we have already done Rs. 79 crores in H1. So, I think we would be on track

to maintain about Rs. 150 -odd crore.

Shreyans Mehta: Got it. Thank you and all the best sir. Thank you.

Moderator: Thank you. The next question is from the line of Kunal from B&K Securities. Please go ahead.

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Kunal: My question is pertaining to if you can give some sense about the pipeline in the domestic market, especially on the consultancy side, and also, if you share any guidance on order inflow for the current year?

Rahul Mithal: So as far as the pipeline and consultancy is concerned, we have been pitching and getting a lot of orders. In fact, in quarter 2 itself, we got a total of 70 orders, most of them consultancy, totaling to about Rs. 440 crore and out of 70, about 60 -plus are consultancy orders, and including the recent one which we got for Ahmedabad Metro Phase 2.

So going forward, across sector, whether it is the consultancy in metros or buildings or highways or smart cities, we have a number of orders in pipeline. In Turnkey, also, we have been pitching to maintain a healthy mix in our top line of about 25% for various key projects in Turnkey and one most recent order, which has been declared to exchange is of the depot for Bangalore Metro, in this our share is about Rs. 250 crores.

So, in terms of the total order, whether in consultancy or in turnkey, the trend is good enough, and we hope to build up on it further in the coming quarters.

Kunal: Sir, any guidance that you are sharing for the current year?

Rahul Mithal: We see a growth pattern as you see in sequential growth as well as year-on-year growth if you see H1, that is a good double-digit growth and I think we are on track to be able to maintain that, if not better.

Kunal: Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: Sir if you could touch upon the REMCL part. There are 2 segments. One is the trading model and the ownership model part of the solar assets portfolio that you have. Could you give us some color on it where exactly is the incremental addition going to happen in that vertical?

Rahul Mithal: No, we do not have any ownership model in solar. The REMCL is very clear as per the plan for about more than a year or 2, that all future developments in REMCL in the renewable, whether it is solar or wind or any renewable energies in the developer mode. So basically, REMCL gets revenue, not as the Turnkey revenue per se. It does not own any asset, except

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one windmill at Jaisalmer, which is about few years old. Moving forward, also, REMCL would not be investing any Capex in owning any asset in any renewable form of energy.

Rohit Natarajan: Okay thank you that is largely clear.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Sir, my question is you have been basically a consultancy company. But when I see today, the order book we are like more or less equal on Turnkey and consultancy. So, what is our sense going forward? I understand this is stop gap arrangement for the, our export or der being low. But if you can give some sense going forward in terms of consultancy growth, domestic international. Some color on that would be helpful.

Rahul Mithal: You see consultancy, the time frame of execution of consultancy orders is much much lesser compared to Turnkey orders, as I mentioned some time back that Turnkey orders normally have an average of about 3 years plus for execution. So at any stage of time, the

order book breakup would show more comparable or maybe it should ideally be more also
Turnkey order book will gradually grow

Now, we are aiming to make it grow, so in terms of value breakup of the order book, the Turnkey orders will always be more than the consultancy. But having said that, moving forward, we have been maintaining that we are a consultancy company and would remain so. Our contribution in consultancy to our top line would always be in the range of about 50% plus, and we would maintain that and Turnkey would be in the range of 25%. On a pan-out basis, except maybe quarter-on-quarter where some variations take place due to variations in the revenue inflow, but on an average basis, it is year-on-year, that is our way moving forward.

Viraj: The margins in Turnkey is low. So, what are the chances of loss being suffered by us, are we secured on loss front or?

Rahul Mithal: I already clarified that sometime back that margins in Turnkey are always much lower and the margins are always taken care of by taking and concentrating on the execution of high-margin consultancy order that is what has been seen. In spite of export area, which is a good margin revenue stream dipping in Q 2, our margins have been steady. We have a core EBITDA margin of 25% plus, both in Q1, Q 2, and we are maintaining that even if you see comparison year-on-year.

Viraj: Thank you and all the best sir.

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Moderator: Thank you. The next question is from the line of Parimal Yatish from Credential Investments. Please go ahead.

Parimal Yatish Mithani: I just wanted to know, can you give me the quality assurance number for H1 as well as compared to last year.

Rahul Mithal: Yes. The QA revenue is 187 vis-à-vis 144 last year, which is a growth of about 30%.

Parimal Yatish Mithani: Thank you sir.

Moderator: Thank you. The next question is from the line of Pujan Shah from Cogruence Advisers. Please go ahead.

Pujan Shah: Yes. So it will be a more basic on sector side question. So, on a railway Capex side, like what are we seeing? Are we in the mid-cycle or been in the completion cycle or what? Because I think on electric conversion from the diesel conversion, we have seen a great work, and we have almost completed that part. So on railway Capex side, specifically for double gauge and all other things, what are we seeing on specifically for our company and on a sector level?

Rahul Mithal: Railway Capex or mainly our Turnkey revenue can be broadly broken into 3 different parts. One is the electrification work. One is broadly the new line and other related doubling and other related infra work and the third is station development work.

So the new line and the electrification work, as you correctly said, is moving very fast and somewhere by next year, later part of next financial year, the IR is also targeting most of the electrification. So we should be seeing that pattern. The new line and doubling work orders which we have, are moving fast and we are in the good stage of execution. Because this is a continuous evolving area, new tenders and new work opportunities are coming up, which we have been bidding, and in station development we recently got an order just recently for Kolam station, which is about Rs. 160 crore. So these are just few contracts and the project is just about to begin.

As you see, there is a mix of 3 streams of various stages. This inflow from rail infra work in Turnkey would continue, and we are targeting to see a growth in this also, as we bid for more station development as well as the new line doubling works that are coming up.

Moderator: Thank you. The next question is from the line of Harshit Kapadia. Please go ahead.

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Harshit Kapadia: Just one question on the quality assurance part of it though the revenue growth has been around 30%, but when you look at Capex on railways for the first half of the financial year it has almost doubled. So do you expect the run rate for the quality assurance in the next half that is for H2 should be at much faster rate, maybe upwards of 50%, 60%. That is how we should interpret, or it will still remain at this 30% or 40% level?

Rahul Mithal: Okay. in terms of quality assurance, the growth in Q1, Q2, the H1 vis-à-vis H1 last year, has seen a good growth. But moving forward, there is, as I mentioned in a few calls earlier, that there is a policy decision by Indian Railways now to go in for a panel of QA agencies. As that gets panned out in the coming quarters and then it would be clear what is the percentage of work which gets divided between the four agencies which are empaneled .

Having said that, maybe the percentage of our QA revenue from IR as a client would reduce to that extent, but we do a lot of QA work for non -IR clients also across various sectors, and overall QA revenue, we are targeting that it remains the same, we are able to absorb that drop in IR revenue and maintain the same levels or in fact, going forward to increase further.

Harshit Kapadia: Understood, sir. Okay. I will join the question queue.

Moderator: Thank you. The next question from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Sir, my question is on the Turnkey business. Having low margins, what are the risk we run in big support of nonexecution commodity prices going up. So can you give us some color on that, like the risk we run in this business?

Rahul Mithal: Yes, Turnkey has risks in terms of the timely execution cost and time overruns more so with the latest policy of IR of coming with EPC tenders, for example, the latest order, which we got for Kolam station turnkey, that is an EPC mode. So the focus or the requirement of timely completion, both without time and cost overrun, so as to be able to maintain the originally envisage margin, is very crucial. Yes, the care has to be taken more so moving forward as we get more Turnkey orders in the EPC mode because that would be the mode of tendering now for all IR Turnkey orders. Yes, we focus on timely execution and keeping a check so that the escalation that we envisage while taking the orders, if the time overrun takes place, then obviously, it results in more chances of cost overrun.

Viraj: Are we equipped for that, sir, being a consultancy company, are we equipped to have this business?

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Rahul Mithal: We are more than equipped because we have been doing Turnkey for about 5 years now, and we are taking Turnkey as a mix of our consultancy business, as I mentioned, about 25% odd of our total revenue mix, and we take them on a selective basis. Both in terms of business selective choosing as well as strategic choice, and we are more than equipped for the contracts that we take to execute them timely.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: Sir, my question is related to market share of your consultancy segment? How was it in the past? How is it going to be in the future, and also help us understand within consultancy, the QA and non-QA portion?

Rahul Mithal: You see we operate in consultancy in about 8 different sectors. The Airports, highways, buildings, metros, smart cities etc.. To be able to give you individual figures in terms of market share, that is a tough proposition. But yes, that we can definitely say that our consultancy business, both domestic and international overall is seeing a healthy growth. There have been challenges in certain sectors of consultancy where like highways where more and more sm

aller consultancy firms are coming and the undercutting in margins have been going on.

We are maintaining a certain level of consultancy and we do not like to go beyond, compromising beyond a certain level in terms of the quality of consultancy, the quality of deployment of resources that we do for our consultancy order. In certain areas, there has been a dip in terms of the quantum of order that we are taking.

However, in certain areas, which are our niche areas of consultancy, for example, metros or in terms of smart city planning in terms of city mobility plans or logistic plans, we have been getting more and more orders on a competitive basis.

Moderator: Thank you. The next question is from the line of Parimal Yatish from Credential Investments. Please go ahead.

Parimal Yatish Mithani: I just wanted to know in terms of REMCL. Currently, if you can give a figure of what percentage of railway electric requirement is being handled and is there any capacity that we can cater currently.

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Rahul Mithal: REMCL is handling about 70% plus of the traction requirements of Indian Railways, and all efforts are to increase this further across states, individual negotiations are on from various states so that the aim is to reach 100%.

Parimal Yatish Mithani: Thank you sir.

Moderator: Thank you. The next question is from the line of Harshit Kapadia. Please go ahead.

Harshit Kapadia: Just one clarification. Since you mentioned part of your QA business will be now divided between you as well as other 4 firms. Do you think margin may be reduced or it will remain the same?

Rahul Mithal: No. Definitely, in terms of since there would be a competitive price bid between the 4 empanelled agencies. So yes, the top line share as well as the margins would also take a hit in terms of the IR QA business.

But as I said, we are already working on a number of non-IR clients, which we have traditionally. We are working to expand them and also explore opportunities for QA internationally in railway systems as well as non-railway systems, considering our legacy of more than 40 years of QA to be able to take care of both the bottom line and top line in terms of this demand from the IR as a client.

Harshit Kapadia: Fair enough sir. Thanks for the clarification.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Sir, my question was how are we placed against the other government companies like in Turnkey business like RVNL and IRCON. So they also do more of the same line of business what we do now.

Rahul Mithal: The Turnkey is being done similarly by other sister PSUs but as we said, our core strength is that we do consultancy primarily across various sectors more than about 8 sectors, and that is our core strength which is a bulk of our revenue.

Viraj: Yes, but my question is regarding Turnkey, how we will be placed against them. I understand that.

Rahul Mithal: I do not understand in terms of how we placed. We do similar work and we win contracts in Turnkey on a competitive basis. The Turnkey nature of course, is obviously similar,

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whether it is station development or railway electrification or building work or it is new line

doubling the Turnkey nature of work is similar. We get orders on competitive mode, not only from other sister railway PSUs, but across other competitors also.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: Sir, a big picture question. Like within next 5 years, how do you want to see this execution being drive

n by? Like will it be consultants, either it be exports or will it be Turnkey. Help us understand the big picture in terms of numbers, what is the management thinking about.

Rahul Mithal: Yes. I am glad you asked this question. We are clear as of now and moving forward year-on-year and in the next 5 years also as you asked that our core strength is consultancy in the key areas, about 8 different areas, as I mentioned. Some of them are niche strength which we have both domestically and internationally. We have a domain strength, legacy, and we will continue to work on that, whether it is, as I said, the metros or the smart cities, the bridge engineering, tunnel engineering etc. I mean, these are areas where we have core competence; very few both PSUs as well as private entities can match that and we win contracts in them on a competitive tender mode basis. So we will continue to leverage that and grow in that.

Turnkey, as I mentioned, is an important element because it is required for our top line also and to buffer some time, as you saw in this quarter, drops in export tech revenue. We would target a healthy mix of Turnkey aiming in a range of about 25% of our top line and export of rolling stock is a very good traditional area, a stream of business, which RITES has been doing for 40-plus years.

We have a lot of confidence in a number of clients not only in traditional clients in Southeast Asia and Africa, but we are also exploring other possible clients in Latin America and Central Asia. So we will continue to target export. It is a good high-margin business, which we have experienced both in commissioning and operation and maintenance of the exported rolling stock. So that will also continue to be a major part of at least 20%, 25% of our revenue stream.

Moderator: Thank you. The next question is from the line of Prasanth Gopal from Spark Asia Impact Managers. Please go ahead.

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Prasanth Gopal: During last call, you mentioned you are aiming for Rs. 250 crore of export order to mature in Q2 and Q3. Now Q2 export numbers are low. So is it fair to expect majority of order book to mature in Q3.

Rahul Mithal: Yes. as I mentioned at the beginning of the year, the year started with about Rs. 450 crore balance export order book, and till Q2, we are done by Rs. 150 crore. So the balance Rs.300 crore, out of that about Rs.200 crore odd is the export order for the balance shipment which is maturing primarily into Q3 with some partly maybe spill over to Q4, and the balance, about Rs.100 crore out of Rs. 300 crore is for the regular operation and maintenance work of the exported rolling stock, which will continue to keep coming on a monthly basis.

Prasanth Gopal: Thank you sir.

Moderator: Thank you. The next question is from the line of Ankur Sanwal an individual investor. Please go ahead.

Ankur Sanwal: So we have a joint venture with SAIL regarding wagon manufacturing. What are the future prospects of the company, and are we also interested into making passenger wagon.

Rahul Mithal: We have a joint venture, as you correctly said, with SAIL at Kulti. It is a very good facility, state-of-the-art, which has a lot of capacity. We are not, as of now, we feel that there is a lot of scope to leverage the existing capacity itself for more wagon manufacturing, both for IR as a client as well as looking at export wagons from this facility. We are working on that so that this facility can export wagons also so that we can directly use this rather than sourcing the wagons from another source. Maybe yes, your suggestion is also at due course of time since the facility is there, and it is a very good infrastructure facility we could look at

exploring using it for some kind of passenger stock als

o.

Ankur Sanwal: Thank you sir.

Moderator: Thank you. The next question is from the line of Venkatesh Subramanian from Logic Tree Investment Advisers Private Limited. Please go ahead.

Venkatesh Subramanian: A bit of a follow-up on the previous question, sir. One is in terms of growth rates, if I go back like 6 to 7 quarters before and in one of the calls, one of the key question that was asked was that Can RITES be like a top line company of Rs. 7000 -8000 crore we are talking about \$1 billion top line over 4 to 5 -year period there. Do you think that means the growth rate of broadly 18% to 20% over a period of time again, it gets into the big picture. Can you give us a guidance? Is there something like a vision that we can aspire for

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considering that you are on a supreme agency you are in 8 consulting segments and India's infrastructure growth, you are going to be huge. Would that be kind of a number too far - fetched or something realistic?

Rahul Mithal: I am glad you asked this question so that it clarifies clearly our core strength and the way we are moving forward. So you must appreciate that consultancy orders are much lesser in terms of their value vis -à-vis Turnkey order. So to grow from a current level of about Rs. 2500 -2600 crore to Rs.7000 crore in about 4 to 5 years, the whole complexion would have to be primarily shifted more towards Turnkey which then is, as I broadly mentioned in our broad vision and strategy, Turnkey would be limited to about 25% odd of our total business mix. We are primarily a consultancy agency, and we would look at watching the bottom line carefully also rather than just aspiring to be Rs. 7000 -8000 crore by taking Turnkey order and sacrificing our margins.

Our focus has been, as you compare whether it is quarter -to-quarter or year-on-year or H1 to H1 has been a very important focus on maintaining our profit margins and operating margins also. So that has to be a balance between the top line and the bottom line moving forward.

Venkatesh Subramanian: Thank you sir. I will join the queue.

Moderator: Thank you. The next question is from the line of Parimal Yatish Mithani from Credential Investments.

Parimal Yatish Mithani: I just wanted to know, in terms of leasing business, can you give us, what do you think will be in the next 3 to 4 years. Can you discuss about that business.

Rahul Mithal: So leasing business is a good revenue and a good source of both revenue and margins for us, and in fact, we have been continuously getting orders from new clients also in the leasing area, both in the operation and maintenance of the rolling stock that we lease and we recently got an order of Rs. 6 crore for more of leasing of locomotive and operation and maintenance order of the lease rolling stock of about Rs. 19 Crore. We have about 65 -plus locomotives, which we lease and also operate and maintain. Besides that, we do operation and maintenance of locomotives and wagons owned by the siding owners also. So this is a good stream, and we will continue to see a healthy growth in it, both in the top line as well as the bottom line.

Moderator: Thank you. The next question is from the line of Prasanth Gopal from Spark Asia Impact Managers. Please go ahead.

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Prasanth Gopal: What will be the quantum of QA revenue from Indian railways or the share of the Indian railways total and QA will be helpful.

Rahul Mithal: You see to give a specific number of the QA revenue client -wise would not be fair. But yes, it is a substantial amount varies from quarter -to-quarter. And as I mentioned sometime back

that with this in the coming quarters, this drop in the QA revenue from one client from IR, both in term

s of the top line and bottom line of IR as a client for QA revenue we are aiming to work on it to get more than make up for it from our other non-IR clients, which is also quite substantial.

Moderator: Thank you. The next question is from the line of Venkatesh Subramanian from Logic Tree Investment Advisers Private Limited. Please go ahead.

Venkatesh Subramanian: So my question is on REMCL. This is a kind of claw back to 2021 transcript. At that time, what was the notes that was broadly in the transcript was, REMCL could grow to be a top line of about 350 crores in some time and based on a particular kind of a sharing model where I think 70 paise per unit generated will go to RITES. If you can just let us know or reconfirm the revenue model on REMCL. There are very bright prospects that were indicated saying this company could be quite large going forward. Some sort of a vision would help.

Rahul Mithal: No, I think maybe at that stage, which we are talking about, maybe it could be based on the assessment a few years back that maybe REMCL would work more on the Capex asset model, which, as I said, sometime back in the last year or so, a conscious decision has been taken that REMCL will work on the developer model for all developments in the renewable energy arena, whether it is solar or wind.

With that, the growth in top line, which is in the range of Rs. 100 crore plus right now expected to grow suddenly to 350 in a year or 2 or so, that does not seem probable. It will be growing good, yes, since it is more and more electrification in the Indian Railways and IR targeting by next year, complete electrification and also growth in traffic, as we see in the last few quarters, IR traffic has seen a good growth, both in passenger and freight. So with that, the requirement of electric traction energy for IR is growing and REMCL will see a good growth catering to the IR traction requirements.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

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Viraj: Sir, my question is, is there any news on the OFS by DIPAM to us. That is my question because there was some press meeting about it some time ago.

Rahul Mithal: I would not be the right person to answer it. I think DIPAM would be the right agency to answer your question regarding that.

Viraj: Okay sir good day.

Moderator: Thank you. The next question is from the line of Ankur Sanwal an individual investor. Please go ahead.

Ankur Sanwal: Sir, after your joining of the company, the company has seen a memorandum of understanding with many marquee institutes of India and other countries. What is the thought process behind the same?

Rahul Mithal: I am glad you asked this question. The key reason for this, and we are constantly working on it across whether it is the academic institutions like IITs or whether it is key business top leading business companies like TCS or other key PSUs, we have been working on it so that we can complement our in-house strengths with their expertise and be able to give a solution to the client in various areas. For example, our sustainability vertical is working on areas such as clean air program and the solid waste management. We are looking at tie-ups and MOUs with various important institutions. So these are the kind of strategy which we have been following, and we will continue to work on this so that we can bring the best to the client in whatever we lack in certain areas, we can complement that with the expertise of the partner whom we partner with.

Ankur Sanwal: Thank you sir.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over

to Mr. Harshit Kapadia for his closing comments.

Harshit Kapadia: Thank you, Luzon. We would like to thank the management of RITES Limited, Shri Rahul Mithal, Chairman and Managing Director along with his team for giving us an opportunity to host this call. We would also like to thank our investors and analysts for attending this call. Any closing remarks Rahul Sir.

Rahul Mithal: Thank you, Harshit and the team for this opportunity for us to interact with our stakeholders and investors. We reiterate, as I said in the beginning that we have the core strength and our USP that we can target one stream, if one stream did face a setback certain time, our multi - RITES Limited
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sectoral presence ensures that we are able to protect both our top line and bottom line by suitable realignment from other schemes of traffic from other streams of revenue, and with this strength, we feel that moving forward, we will leverage this sequential as well as year - on-year growth. We are on track for this financial year as a whole. Our two recent aggressive endeavor in RITES Videsh targeting more of international consultancy and RITES Sustainability, targeting new areas of sustainable pollution control and other sustainable initiatives.

These we foresee giving us more contribution to both of our top and bottom line, and our dividend, which we have declared a second interim dividend of Rs. 4.5 per share which makes our cumulative dividend as Rs. 8.5 per share is also on track vis -à-vis the total Rs.17 per share, which we declared as a dividend last year. So, all factors show that our company is on track for the entire financial year, and I can only reassure all our investors that we will continue to leverage our inherent strengths and our expertise to take the company forward.

Moderator: Thank you. Ladies and gentlemen, on behalf of Elara Securities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

-End-

Audio file of the conference call is available at:
https://rites.com/Upload/MediaGallery/Audio/3/ELA0520221111144323_mp3-2022-Nov-12-09-34-34.mp3
For any clarifications you can write at investors@rites.com

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Call: Feb 2023

No. RITES/SECY/NSE
Date: February 17, 2023
To:

Listing Department,
National Stock Exchange of India Limited
'Exchange Plaza', C-1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai - 400 051 To:

Corporate Relationship Department
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai – 400 001
Scrip Code - RITES Scrip Code - 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call held to discuss Financial Results for quarter and nine months ended 31st December, 2022

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015

Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and investors held on Friday, February 10, 2023 to discuss the Financial Results of the Company for the quarter and nine months ended 31st December, 2022.

You are requested to take this information on record.

Thanking You,

Yours faithfully,
For RITES Limited

Joshit Ranjan Sikidar
Company Secretary & Compliance Officer
Membership No.: A32442

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"RITES Limited
. Q3 FY '23 Earnings Conference Call "
February 10, 2023

MANAGEMENT : MR. RAHUL MITHAL – CHAIRMAN AND MANAGING
DIRECTOR – RITES LIMITED
MR. B.P NAYAK – DIRECTOR FINANCE – RITES
LIMITED
MR. A.K SINGH – DIRECTOR PROJECTS – RITES
LIMITED
MR. JOSHIT SIKIDAR – COMPANY SECRETARY – RITES
LIMITED
MODERATOR : MR. HARSHIT KAPADIA – ELARA SECURITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen , good day, and welcome to the RITES Limited Q3 FY '23 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participle lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded

I now hand the conference over to Mr. Harsh it Kapadia from Elara Securities Private Limited.

Harshit Kapadia : Thank you Seema. Good morning, everyone. On behalf of Elara Securities, we welcome you all for the Q3 FY '23 and 9 -month FY '23 conference call of RITES Limited. I take this opportunity to the management of RITES Limited represented ; Shri Rahul Mithal, Chairman and Managing Director; Shri BP Nayak, Director Finance; Shri AK Singh, Director Projects; and Shri Joshit Sikidar , Company Secretary. We will begin the call with a brief overview by the management followed by a Q&A session.

Now I'll handover the call to Mr. Rahul for his opening remarks. Over to you, sir.

Rahul Mithal : Good morning, everybody. Before I start, let me start with the safe harbor statement. The presentation, which we uploaded on our website yesterday and discussions during the call today may have some forward -looking statements. These statements are consider ing the environment we see as of today and obviously, carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically.

Let me give you a brief overview as my openi ng remarks on the performance of Q3. We must say that we at RITES have delivered what we promised in spite of the challenges of order book and a contribution by the export segment, which as I have been mentioning in my past interactions, that all our effor ts are on to get fresh orders , but in spite of that, the USP of the company came forth again that all the other 3 streams of revenue, the consultancy segment year -on-year, there was a growth of 16%. Turnkey segment of revenue more than doubled i.e. 115% , .the leasing increased by 10%. And because of selectively targeting the key orders and key projects, you could see a core EBITDA margin increase from 23% to 26% and a PAT margin increased from 18% to 20%.

So the core strength of consultancy as well as the USP of being able to balance on quarter -to-quarter between my various streams of revenue to give my shareholders and my stakeholders the best , we continued on that trend. But with those opening remarks, I leave the floor open.

Moderator: We take our first q uestion from the line of Yash Gupta from Kingsight Advisors .

Yash Gupta : First question is on the order book. How the order book is looking currently. In this quarter, we have increased our order book by almost INR 500 crores, but that comes from the Turnkey project. So Turnkey as a percentage of the order book keeps on increasing. I think in the last 2 years, we have increased from 37% to 47%. So how the future of like next one year looks like?

And would y ou like to comment any development on the export order size that we were talking about since last two quarters that there is some export order that we will able to achieve?

Rahul Mithal : So the key point is that, yes, the order book has grown substantially , a good healthy 10% growth from 30th September to 31st December. As it stands now, it's INR 5,500 crores, INR 2,600 crores in Turnkey and INR 2,500 crores in consultancy. We are very clear that we are primarily a consultancy company. While of consultancy, each order maybe of a smaller value as compared to a Turnkey order,

but in terms of numbers and total cumulative value this quarter itself, we got a total of 65 orders, out of which about 60 -plus orders are consultancy orders. And all those 65 have added up to INR 1,200 crores.

So going forward also, the breakup of the order book, yes, a larger percentage would be in Turnkey because Turnkey projects take about 3 to 4 years to get executed. So they have to have a larger percentage of the order book. But in terms of revenue mix, what we have been saying that consultancy would always be aimed to be 50% plus, that would continue and that we are close to that trend.

As of now, we are at about 46% -47%. The skew is only because the export contribution has been down in this quarter in the revenue segment -- revenue contribution. That is why you see a larger contribution by the Turnkey segment. But moving forward, as it even out, the consultancy would remain at 50% plus.

Specifically about export orders, yes, we have now across prospective clients, whether on a bidding stage or in terms of negotiation stage and finalizing the orders? Yes, we have been trying for last 2, 3 quarters, and we are now at quite advanced stage s across a number of prospective clients and we are pushing very hard to be able to convert it into a finite order.

The trend has started. We have already opened our score, wh ich maybe a small order of only 2 locomotives of about INR 10 crores , for Bangladesh export. But yes, it encourages us that a fter a high test of about 2.5, 3 years, the trend has started. And I'm sure in the coming months, you should be able to see finite orders also.

Moderator: We'll take the next question from the line of Vishal Periwal, IDBI Capital.

Vishal Periwal : Sir, one question was on like there was media report some time back, which highlighted railway has received multiple bids for quality assurance work and the bids were at a little lower rate than what RITES was charging. So any qualitative aspect or qualitative comm ents that you can provide? And because despite that, the bids are coming at a lower, we could see margins have improved for us in this quarter. So we're just trying to correlate this to come to some sort of conclusion?

Rahul Mithal : Yes, you're right that a few months back, 1 or 2 months back , an order of empanelment has been placed for 4 agencies, the RITES is one of them for doing the QA work. And as this kicks in the coming months, yes, it is going to be -- you see an impact in the margins on the Q&A segment of revenue.

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However, having said that ; RITES , because it's been in the QA business for more than 40 -plus years, it has got a lot of non -Indian railway clients also as part of their QA client. So our effort is that the coming months to minimize the impact of the IR business on QA by making goods from other non -IR clients. So while there -- yes, you're correct , in the coming months, you will temporarily see an impact on the margins in the QA stream of revenue. But I'm sure in the coming quarters, we are -- I thought it'll bring it back to the original l evels.

Vishal Periwal : So just continuing on this front. So as of now, can you say that whatever income that we have got, there is no impact of this particular regime change?

Rahul Mithal : See, this is a transition phase. The order has just been placed and as these fresh inspection calls come against the new order, that you see, inspection calls are done when the product gets ready. So even though the inspection agencies has been fixed by the time the execution starts and the revenue starts coming in, it wo uld see a gap of maybe 2, 3 months. So this is the revenue which you see now in Q3 and maybe part of Q4.

Moderator: We'll take the next question from the line of Ankur Chanwal, an Individual Investor.

Ankur Chanwal : I would like to know more about REMC L and future

potential of REMC.

Rahul Mithal : Yes. REMCL has been doing a good uptick in its performance. And this has primarily been because of the increased electrification in Indian Railways and the substantial growth in traffic.

As you know, REMCL is a nodal agency for procurement of traction power for Indian Railways. So in fact, if you see, year -on-year basis, the revenue has grown up by 27%. The PAT has grown up by 37%, and it's a high -margin subsidiary, which gives a margin of 50% plus. So the trend of 9 months also, if you see vis -a-vis the 9 months of last year, we are well on a growth path, it's about 20% growth.

Moving forward, I see this trend to continue, as I said, because of the increased electrification as well as the increased traffic. Fur ther REMCL has also been mandated as the nodal entity for the net zero mission of Indian Railways, a lot of initiatives are being taken under that. And I'm sure in the coming quarters, that will also further contribute to the growth in the revenue of REMCL .

Moderator: We'll take the next question from the line of Mr. Viraj from Jupiter Financial.

Viraj : My question is this budget has increased allocation by almost INR 100 crores. So how would be the RITES benefited , in what areas it would be, if you can just shed some light on that?

Rahul Mithal : We are very excited by this high capex budget, an all -time high of INR 10 lakh crores. And why we say that is because RITES is a consultancy company across all segments of Infra. So I have 9 different verticals , doing consultancy across all possible sectors. So , you see there as a roadway highway allocation of INR 2.7 lakh crores, railways INR 2.4 lakh crore, which itself total combined to 5 lakh plus .

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Urban Infra, which is whether it is smart cities, urban development, metros, they are INR 1.1 lakh crores, which again is a major area where we do a lot of work in city planning, in city mobility plans, metros, then Swachh Bharat, there's INR 12,000 crores, Jal Shakti 20,000 crores. All these areas, we are pitching. In fact, RITES sustainability, the vertical we started a few quarters back, that is targeting a lot of work in the sustainability area, whether it is solid waste management or clean air program.

So not only the old conventional infrastructure sector, but even the new age areas, we are very well equipped and we're going to leverage this high budget grant to our advantage in a big way.

Viraj: So continuing on that, I mean, can we have a 20%, 25% topline growth going forward?

Rahul Mithal: I would not like to speculate. But what I have been specifying and that's our company vision and strategy is to target a healthy growth in the profits and the core EBITDA, maintaining a healthy margin. So everything else stems from that. So if you should see our trend, whether it is 9 months to 9 months or sequentially, we are trying to have a healthy growth in our core EBITDA, as well as maintaining the margin and giving a substantial dividend and benefit to our shareholders, that is the strategy going forward and that will continue.

Moderator: We'll take the next question from the line of Yash Gupta from Kingsight Advisors.

Yash Gupta: Yes. So on Slide number 19, total number of employees and the regular employee count has come down in last 1 year by almost 10% as well as in the last quarter also, it has come down. So is the visibility of the execution is a little bit less? Or we expect like single-digit maybe growth in next like 1 or 2 quarters downgrading?

Rahul Mithal: You see our employees, we have 3 broad categories of employees. One is our regular employees, which is about 1,800 out of -- about 2,600. And balance about 800, 900 are people based on contracts for specific projects besides a few numbers and experts and advisers. So these contracts and project-based employees,

these we tweak for better effectiveness based on the profitability of a particular order. So normally, we have in every project, a mix of the regular employees and the contractual employees. And the aim was to effectively utilize our mix. And you see that is why there's a year-on-year 6% employee cost reduction in the employee cost, which has helped me maintain my margin. So it's not about numbers per se of the employees. It's about effectively utilizing them to service all my orders. And that would be a continuous exercise.

Moderator: We'll take the next question from the line of Ankur Chanwal an Individual Investor.

Ankur Chanwal: Sir, can you please elaborate about Israel rail joint venture?

Rahul Mithal: So Ankur, we have been shortlisted as a consortium, and we will be submitting a bid. In this case, that's the only actual information. And if anything mature over that, we'll inform the exchanges.

Moderator: We take the next question from the line of Mr. Viraj from Jupiter Financial.

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Viraj: Sir, my question is on your listing your consultancy business. When I look at your presentation that has been performing the best. So if we set the portion of the consultancy would go up or we might have an increase in the volume of the continent business going forward?

Rahul Mithal: So as I -- we are very clear as a company as our vision and our strategy that consultancy would always contribute of 50% plus in the total pie. And yes, growth would be always there, but the pie would grow and the share of each revenue stream would grow. But as a broad breakup, consultancy would always -- we are and will remain primarily a consultancy company. We are not primarily a construction company. And the aim would be to keep on leveraging our strength and consultancy across infrastructure sectors and grow on at least a minimum of 50% contribution from the consultancy stream of revenue.

Viraj: Continuing on that any color on green consultancy business, which you mentioned in the last call?

Rahul Mithal: Yes, as I mentioned, our RITES sustainability has bid for a number of opportunities across states, including the ministry. And we have bid for them. We have recently, about 1.5 months back, we had an MOU with IIT Kanpur, (their sustainability department) where IIT Kanpur is now a technology partner for all our sustainability initiatives, whether it is clean air program, solid waste management, net Zero. They are our technology partners for initiative across the country. And I foresee this maturing into orders and revenue in the coming quarters.

Moderator: We'll take the next question from the line of Mr. Harshit Kapadia from Elara Securities.

Harshit Kapadia: Just wanted to check on this quarter. QA part, sir, what portion of your current revenue is from

non-rail railways? And could you also give us a number for of QA in this quarter, that would be helpful.

Rahul Mithal : Yes. So QA, traditionally, we have about 2/3 railways broadly and the non -railway is about 1/3 of the total contribution. This quarter, the QA revenue was INR 72 crore, which has been a good contribution. This includes both IR and non -IR, and I'm sure that this trend, while as I mentioned sometime back, that there will be a setback for a few quarters as we try and come back to honor more non -IR clients as we come back and take more non -railways clients . I'm sorry, the figure for QA revenue this quarter is INR 99 crore not Rs. 70 crore.

Harshit Kapadia; Okay, sir. And just continuing with that part, how do you plan to add the non -railway portion, which are the sectors that you are in further can share some insight that would be helpful?

Rahul Mithal : In fact, what is the interesting and the good achievement of ours is that we recently got certified as ISA. We are not only the only PSU, but the o

nly second company in the country to get ISA

certification. Now the minute we get this ISA certification, we immediately opens up a lot of avenues, whether it is inspection in the metro sector, it opens up areas in a number of other prospective clients.

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We recently have had an MoU with the Ministry of Defense for certain sectors of the ir's where we can do the inspections. We are pushing very hard for prospective clients in the non -IR sector , to negate in the shortest possible time in few quarters, the impact due of IR portion of business opening up to 4 players.

Moderator: We have a follow -up question from the line of Yash Gupta from Kingsight Advisors.

Yash Gupta : On the quality assurance on the defense sector, the MoU, can you elaborate more on that, the quantum of it? And in what part of it we are working?

Rahul Mithal : So you see, it is MoU, as I said, which we will have one by one. I would not like to go into details of the products or the areas. The broad point which I was trying to make was that we are tapping a number of prospective clients to increase our non -railway contribution of QA business. And you would see the figures coming out. As I said, right now, it's roughly about 2/3 IR and 1/3 on a year. And the effort would be in every quarter to increase the ratio of the non -IR contribution, whether it is all prospective as I mentioned 1 or 2 of them.

Moderator: We'll take the next question from the line of Mr . Mudit Kabra from E lara Securities.

Mudit Kabra : Recently, we had the news for the station development program of 12 stations station has an outlay of INR 4 5,000 crores. Should we know the percent scope of work rights could have or could achieve in this program?

Rahul Mithal : Yes. In fact, you see that is the advantage of our various teams of business Mr. Mudit . And since we do both portion of our revenue as Turnkey EPC and portion as consultancy, we can tap this opportunity in a big way. So in terms of the Turnkey contribution, we are already doing 3 major stations. We are doing Varanasi, we are doing Ayodhya, recently, we got the Kollam station order. And parallelly, we have now started targeting the PMC i.e. project management consultancy for the station development work. So recently, we got an order for Somnath station. It was on competitive bidding mode, which was a PMC for the Somnath station development. Again, the strength of ours that based on one particular sector itself, and as you correctly said, it is a very high priority sector with a lot of high budget grant allocation in that. We are targeting both EPC mode also in certain stations and PMC also in certain station.

Moderator: We'll take the next question from the line of Uttam Kumar Srimal from Axis Securities.

Uttam Kumar Srimal : Sir, how about capex as you have incurred in the first 9 months and in the third quarter?

Rahul Mithal : You see capex , the total 9 months, we have reached a figure of INR 106 crores, which is in line with our broad projections of about INR 125 -odd crores. We are primarily a low capex company. A trend of capex has always been in the range of INR 100-125 crore maximum but INR 140 -odd crore. And I think this trend would continue in the coming quarters.

Moderator: On to the next question from the line of Parimal Mithani an Individual Investor.

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Parimal Mithani: So I just wanted to know, can you elaborate on the non -IR part of the business because in the last few calls, you've been particularly focusing on the non -IR side of the business? And how do you

see it going forward for exactly better than you are in your core?

Rahul Mithal : Yes. In fact, as I mentioned, we have 9 different verticals. And for example, these are highway, buildings, metros, city

planning, airports, ports and rail Infra is one of them and ports waterways, et cetera. You see, we are touching nearly every sector of infra. So even as you see the trend of recent orders which we have got in Q3 itself, that will give you a flavor of why I say that we have a varied presence.

We got 65 orders totaling to about INR 1,200 crores. Now just to give you a few examples of orders, which will show you the wide spread. We got a building order from IT Delhi. We got a metro depot from in Bangalore. We got a tunnel order in Abu Road - Tarana Hill. We got leasing order from NTPC. We got the PMC for railway sidings across 3, 4 major players. We've got an order for bridges on the Farkka bridge. We got an order from Paradip port. And we've got recently about 10 orders in the last 1 month in highways across Northeast. So you see as I just mentioned a few orders across sectors. So that's what gives us the strength and that's the core strength of our company that we can tap all possible sectors. And we can -- as I said, we started with sustainability a few quarters back. So moving forward, I'm sure we're going to get orders in the sustainability sector also.

Parimal Mithani: And sir, the revenue from this and margins to us, sir?

Rahul Mithal : The revenue spread across all these sectors. These are all consultancy, primarily consultancy order and are good margin orders.

Moderator: Before we move on to the next question, a reminder to all the participants. We take the next question from the line of Harshit Kapadia from Elara Securities.

Harshit Kapadia: I just wanted to check, sir, there has been a change in the bidding procedures for the turnkey construction. But the first half, we have seen a very lower amount of influence coming in. So how has been the competitive intensity in this turnkey construction project has been.

Rahul Mithal : So you see one major change that happened in the Turnkey segment a few months back, early part of last year was that I went in from the cost-plus model to EPC models. And the subsequent tenders, which have come out in the last 8, 9, 10 months are all in the EPC mode. So we have been now bidding in them in the EPC mode and we're getting orders in the EPC mode. So that - which was there in the non-IR sector is now in IR sector also where the tenders are in EPC mode.

What we have also done is that we have done very intensive monitoring of our Turnkey projects where always these are lower margin segment of revenue. Normally, it used to be in the range of about maximum 2% to 3%, if you see the margins have been -- we've been able to touch about 4.5% margins in the Turnkey segment. So that's a constant effort by effective monitoring faster execution and as I mentioned some time back, effective utilization of the resources deployed

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there, whether it is the man or material we want to pull as much possible to bring up the Turnkey segment margins also to an appreciable level. So Q3 margins in turnkey segment of revenue are as good as about 5%. If you compare year-on-year, Q3 last year was literally about 0%. If you compare 9 months to 9 months, the last year, it was 1.3%, and we are 4.2% now in the Turnkey segment.

Harshit Kapadia: How is the competitive intensity now with private players also bidding at the same forum as you are? And secondly, is this 5% now more sustainable number or it can again revert back to 3?

Rahul Mithal : So competition is tough. Yes, now it's an open field in all our segments of revenue. And that is a challenge and that is what we have taken it head on. But all my 4 streams of revenue in the last quarters have been opened up to all competitive bidding. And we are very, very well equipped compared to a number of sister competitors and sister companies where we have been bidding competitively getting orders, as you

see the trend of orders. And in terms of maintaining these

Turnkey margins in the range of 4%, 5%, it's a tough exercise, as you would appreciate, normally, it's very difficult to bring up turnkey margins above 2%, 3%. But our efforts would be on to keep it as high as possible.

Rahul Mithal : We'll take the next follow-up question from the line of Uttam Kumar Simal from Axis Securities

Uttam Kumar Simal: Sir, can you give me a figure for cash and cash equivalent at the 9 months?

Rahul Mithal : Yes. Our cash as of now, I have my Director of Finance, Mr. Nayak, we have about INR 800 crores. He'll give you more details.

Bibhu Prasad Nayak: See... We have around INR 742 crores, which is the BITES fund. Besides on behalf of the clients, we are holding around INR 2,500 crores, which actually belongs to the client, which are the

advances received for the project education.

Moderator: We'll take the next question from the line of Vishal Periwal from IDBI Capital.

Vishal Periwal: Sir, on our revenue guidance, I think last 2 quarters in terms of revenue, we are seeing probably muted numbers. So what the full year basis earlier we were targeting a double-digit kind of revenue growth. So how exactly are we seeing things now?

Rahul Mithal: Mr. Vishal, let me again reiterate. We have been targeting a healthy growth in the PAT and the core EBITDA. We have never said that we are targeting a double-digit growth in the revenue.

We are very, very clear that our taking of orders and our revenue will all stem from our core strategy and vision of having a healthy growth in the profits, the healthy growth in the EBITDA and maintaining a margin -- a steady core EBITDA margin in spite of the changed ecosystem of competition in all our 4 segments of revenue.

And if you see why I'm saying this, that we are on the right track, we deliver what we promise.

It is that in 9-month figures, if you see, we have seen a 9% growth in the PAT. We have seen a 7% growth in the core EBITDA. Our core EBITDA margins are at about 28%. Our PAT margins

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at 21% -- so we are on track. Our total PAT is about INR 432 crores in 9 months as against INR 539 crores in last FY complete.

So we are definitely on track as per our promises that we will continue to give a steady growth in the profit and the core EBITDA while maintaining our margins.

Vishal Periwal: Sure, sir. And just to continue with this. Maybe for EBITDA impact, can you seem like maybe like single-digit maybe high double digit? Or maybe like what project you will guide for yourself or maybe for the market to look at?

Rahul Mithal: You see, as I said, to speculate a number will not be fair. But continuously, whether you see sequentially, whether you see 9 months to 9 months, there has been a growth in the EBITDA and the profit, and we will continue to do that. Even if you see sequentially, the core EBITDA grew by 8%. The -- so that's what I say, a minimum. We are aiming for that kind of range. Yes, obviously, the aim would be to maximize it as much to reach double digit, cross double digit. But the aim and the continuous effort is to try and see a healthy growth in the core EBITDA.

Moderator: We'll take the next question from the line of Mr. Mudit from Elara Securities.

Mudit Kabra: Sir, would you throw some light on prospects from REMCL and the nodal agency for IR emission policy? Like apart from electrification, what other kind of projects can we get into.

Rahul Mithal: Yes. REMCL has now been mandated for last about a year, 1.5 years for the net 0 emission and a lot of various initiatives, various tenders and RFPs, RFQs have been floated for development in this area, in the RTC mode in the developer mode. And then moving forward, whether it is solar energy, wind energy and a combination of these, these will fructify, I'm sure, in the coming months.

. And REMCL has the nodal agency as the consultant for that initiative will definitely gain.

Mudit Kabra: Sir, can I have one more question?

Rahul Mithal: Yes, go ahead.

Mudit Kabra: So like now the exports are softening, but could we have some inquiry pipeline like across geographies? Like are we having any inquiries?

Rahul Mithal: Yes. As I mentioned, we have bid also, we are bidding also and we are tapping the non-bidding LOC kind of opportunities also across countries in Southeast Asia and Africa, and the start has been made. We got an order, as I said, a small order for 2 locomotives, but we are tying up with a number of prospective clients.

And I'm sure, yes, if you see export order by nature, take some time -- because all these countries have to arrange funding, whether under the line of credit mode or by the internal resources, whether they are Southeast Asian countries, Bangladesh, Sri Lanka or African countries, the Cape Verde countries.

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So they are also recovering from the economic setback of COVID, and in most of the cases, the negotiations are at the final stages of trying to get funding or bidding and things like that are. So I'm sure in the coming months, we should be able to definitely convert it into a finite order.

Moderator: We take the next question from the line of Prasanth Gopal from Spark Asia Impact Managers.

Prasanth Gopal: Can you give some color on execution time lines or margins under Turnkey segment for IR and non-IR projects?

Rahul Mithal : Yes, you see Turnkey projects per se, our experience shows that it takes anything from about 3 to 4 years. And that's the reason why even if we limit or we have been aiming and that will be a constant endeavor to continue to have about roughly in the range of about not more than on a steady basis, 25% contribution of revenue from the turnkey segment , it may vary from quarter - to-quarter, some ups and down , on a steady basis on an average basis.

But because these take about 3 to 4 years, they require a larger order book. And that's why if you see the order of the portion of the content of the order book on turnkey will always be more vis-a-vis consultancy. As far as margins are concerned, turnkey contracts by nature has low margin I mentioned sometime a little -- a few months back, that they are normally in the range of 2% to 3%. We have with a lot of effort of effective execution, timely execution. We have pulled up the margin in 9 months to 9 months.

We have gone up from about 1.3% in last 9 months to about 4.2%. And that be our endeavor to pull up these margins as much as possible so that our overall margins, which are our company vision is to have safe, good margins, the impact of the Turnkey segment is also satisfactory.

Moderator: We'll take the next mention from the line of Harshit Kapadia from Elara Securities.

Harshit Kapadia: Just wanted to check you on the consultancy side, if you can share any large projects which we are eyeing or we have bidded because Indian Railway is coming out with a very large size of project which hasn't announced in last multiple years. So any pipeline or any color on any project where we are there would be really helpful.

Rahul Mithal : Yes. So you see in terms of the thrust from our company seeing the allocations in this budget also. You see Rail Infra is an important -- it's one of the highest allocations, INR 2.4 lakh crores. And we thrust on rail connectivity, whether it is coal fields or ports or power plants, we have got a good number of orders in Q3 itself. And we are pitching both in the competitive as well as the nomination basis in IR rail connectivity, both at IR and non -IR times.

Many of these clients are non -IR client. They could be coal India in the subsidiaries, it could be NTPC, it could be ports. So we are -- and there are some private clients

also. So we are pitching

cement plants, etcetera. So rail connectivity is an area where we are going to pitch very aggressively. A Highway, you see, again, a very high allocation of INR 2.7 lakh crores. Again, recently, as I mentioned, we got about 10 orders itself in a span of few days in the Northeast totalling to about INR 23 crores.

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So highway is again an area where we are going to pitch very aggressively, again, both on bidding mode as well as independent engineers for various. We are doing a lot of work in -- across highways across states, whether it is UP, we are doing a lot of work in Kerala, and as I said, Northeast, across states, we have got a number of highway orders. Similarly, in the metro sector.

You see the metro sector is growing so rapidly across cities, whether it is Tier 2, Tier 1, Tier 3 cities, we have been pitching for a number of bids in metros. And I'm sure metro is another area . City planning ; we have recently got the logistic plan , we've got the pilgrim management plan order from Ayodhya. We've got a number of city plans. Most recently, we got the mobility plan for Kolkata.

And then moving forward, again, airport, the aviation growth, such a large allocation in airports, we are doing a lot of work in airports also. So across sectors, we are bidding for these areas as well as pitching to get them on a nomination basis also.

Harshit Kapadia: Anything on DFC or any high -speed train project where things are moving and we are getting some works there?

Rahul Mithal : DFC, we are already a partner. We are a consultant partner for DFC. And for high -speed rail, we keep doing a lot of surveys and consultancy work. We have been doing it. We keep doing it as the requirement comes up, whether it is for FLS, DPR, any particular bridge or any particular tunnel, any particular design. Whether it is from communication work, some signalling work for high speed. So you see we have got strength in each of these areas , whether it is the existing, or future DFCs , whether it is the high -speed railways or even now many semi high speed corridors are being identified. We have already been associated for making some FLS and PFR and DPRs for that.

Moderator: I would now like to hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited for closing comments.

Harshit Kapadia: Thank you, Seema. We would like to thank Shri. Rahul Mithal, Chairman and Managing Director, Bibhu Nayak, Director, Finance; Mr. A.K. Singh; and Joshit Sikidar, Company Secretary, for giving us an opportunity to host this call. We would like to all thank investors and analysts for joining for this call. Any closing remarks Rahul, sir?

Rahul Mithal : I just want to reiterate that our company is, as I said, we deliver what we promise, and we at RITES , each of our employees, 2,600 -plus employees are very excited by this amazing push in capex for Infra. And moving forward, this is our core strength. We are a consultancy company. This is our core strength, and we will leverage this to our advantage, to tap all possible structure sectors of Infra. Our commitment to our shareholders with this third interim dividend of INR 6 a share, taking it to a total of already Rs. 14.5 for the cumulative of 3 interim dividends for this FY vis -a-vis a total of INR 17 a share for the last FY, we are on track to do our best for our shareholders also. Thank you.

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Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Elara Securities Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

-End-

Audio file of the conference call is available at:

https://rites.com/Upload /MediaGallery/Audio/3/ELA0520230210145658_mp3 -2023 -Feb-10-17-15-14.mp3

For any clarifications you can write to investors@rites.com

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Call: May 2023

No. RITES/SECY/NSE
Date: May 26, 2023

To:

Listing Department,
National Stock Exchange of India Limited
'Exchange Plaza', C-1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai - 400 051

To:

Corporate Relationship Department
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai – 400 001
Scrip Code - RITES Scrip Code - 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call
held to discuss Financial Results for quarter and year ended 31st March, 2023

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations 2015

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and
investors held on Friday, May 19, 2023 to discuss the Financial Results of the
Company for the quarter and year ended 31st March, 2023.

You are requested to take this information on record.

Thanking You,
Yours faithfully,
For RITES Limited

Joshit Ranjan Sikidar
Company Secretary & Compliance Officer
Membership No.: A32442

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"RITES Limited
Q4 FY2023 & FY23 Earnings Conference Call "

May 19, 2023

ANALYST :
MR. HARSHIT KAPADIA – ELARA SECURITIES PRIVATE LIMITED

MANAGEMENT :
SHRI. RAHUL MITHAL – CHAIRMAN & MANAGING DIRECTOR – RITES LIMITED
SHRI. B P NAYAK – DIRECTOR FINANCE – RITES LIMITED

SHRI. A K SINGH – DIRECTOR PROJECTS – RITES LIMITED
DR DEEPAK TRIPATHI – DIRECTOR TECHNICAL – RITES LIMITED

May 19, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the Q 4 FY2023 Earnings Conference Call of RITES Limited hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you, and over to you Mr. Kapadia.

Harshit Kapadia: Thank you, Michelle. Good morning, everyone. On behalf of Elara Securities, we welcome you all for the Q 4 FY2023 and FY2023 Conference Call of RITES Limited. I take this opportunity to welcome the management of RITES Limited, represented by Shri. Rahul Mithal, Chairman and Managing Director, Shri. B P Nayak, Director Finance, Shri. A K Singh, Director Projects, and Dr. Deepak Tripathi, Director Technical. We will begin the call with a brief overview by the management followed by a Q&A session. I will now hand over the call to Rahul sir for his opening remarks. Over to you, sir.

Rahul Mithal: Good morning, everybody. Let me begin with a safe harbour statement. The presentation which we uploaded on our website yesterday and all discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different and we do not undertake to update those statements periodically.

So, at the outset, I would like to introduce the latest addition to our board, Dr Deepak Tripathi, our Director Technical. He is from the 1990 batch of the Indian Railway Service of Mechanical Engineers. He has had a wide experience across various portfolios in the Indian Railways and Konkan Railway, and he is a graduate in mechanical engineering with a doctorate and post-graduation from NITTE specializing in operations, quality and lead management.

Let me at the outset break down the numbers for you in brief before I take the questions. As you see the revenue quarter-on-quarter has been down by about 11%. If you see FY to FY, it has been flat. Primarily the export of rolling stock has been the reason for this. There is about a 70% to 80% drop in the contribution of this stream of revenue and this being a high-top line and high-bottom line contributor, the key point is that despite this drop the profits and the margins have been sustained.

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So my consultancy stream of revenue has been an all-time high of about Rs.1189 crore which is about an 18% jump year-on-year. Further to this, the international consultancy which I have been saying in the previous interactions under the RITES Videsh initiative saw 50% jump year-on-year which is a high margin contributor so because of this in spite of about 70% to 80% drop in the contribution from the export of rolling stock stream of revenue, the profits have gone up. The EBITDA has gone up by about 6% to 7% and the margins also have gone up on average by about 1%. The core EBITDA margins have gone up by about 1%. They are safe in the range of about 27%. The PAT margins have also gone up by about 1% so we are about 21%. Moving forward we are building up on this core consultancy stream of revenue and getting more export of rolling stock orders in the coming FY. On this opening backdrop, and I am open to questions now.

Moderator: Thank you very much, Sir. Ladies and gentlemen, we will now begin with the question-and-answer

session. Anyone who wishes to ask a question may press "*" and "1" on their touchtone telephone. If you wish to remove yourself from the question queue you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and Gentlemen, we wait for the moment, while the question queue assembles. Ladies and Gentlemen, to ensure that the management can address questions from all participants in the conference, please limit your question to 1. If you have a follow-up question, please rejoin the queue. Thank you. The first question is from the line of Shreyans Mehta from Equirus Capital. Please go ahead.

Shreyans Mehta: Congratulations on your strong operating performance. Sir My first question is primarily

what is the revenue growth that we are targeting for this year and in terms of exports when can we see traction in the export orders?

Rahul Mithal: So, the first part of your question is regarding growth. You see, as we have been reiterating, we are a bottom-line growth-driven company. We will target growth over the previous year's performance. You have seen a growth of about 6% to 7% in our bottom line and that has been in spite of such a muted contribution from the export of rolling stock so with this trend of growth in the consultancy stream which is a good margin area we will build up in this growth in the bottom line and by the latter part of the year this contribution from the export of rolling stock should also add to this, so we are aiming to better this growth of 6% to 7% in the bottom line. As far as finite orders from the export of rolling stock are concerned, we are very close now to a number of prospective clients. You see there is a lot of pent-up demand in a number of prospective clients across Africa and Southeast Asia for the export of rolling stocks. However, post-COVID, they are taking some time to get their funding mechanisms in place because the economy is also recovering, May 19, 2023

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but the stage at which we are in now, we are very confident that very soon, aiming to in this quarter itself, try and get some finite orders so that by the latter part of this FY the revenue from these orders start contributing.

Shreyans Mehta: Got it, Sir. I have a couple more questions. Thank you.

Moderator: Thank you. The next question is from the line of Yash Gupta from Think Right Advisory. Please go ahead.

Yash Gupta: Good morning, every one. Sir this quarter we have seen a margin dip across all our verticals whether it's consultancy, export, or turnkey. How are you looking at this and what trajectory we can expect going forward?

Rahul Mithal: So, I think Yash let me correct you. There has actually been an improvement in margins in all across streams of revenue QoQ. In fact, if you see the consultancy itself year-on-year also and that is the key point. In my consultancy, there is an improvement of about 3% in the margin. There is an improvement in the turnkey which is in any case a low-margin area. That also has improved from about 3% to 4%. My QA, which is also an important area, has also improved in margins. So except for the contribution from the export of rolling stock, there has been an improvement in margin from my all-other streams of revenue and that is the very reason why you see an improvement in the margins by about 1% to 1.5% whether it is the EBITDA margin which is in the range of about 27% now or the PAT margins which are in the range of over 21% now.

Yash Gupta: Okay thank you.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock Broking Limited. Please go ahead.

Rohit Natarajan: Thank you for this opportunity. Sir my question is about the continuation of the earlier point you made on the export orders. Can you give us a timeline as in before what time will you

be looking at these export order inflows to flow in and B part of the question will be, will it not have the spillover effects in FY2025 too?

Rahul Mithal: Yes, for sure. You see the first part regarding the timeline we are aiming to get it as early as possible. Our expectations are maybe very soon, maybe in this quarter itself. I mean, until we have a finite order in hand, it will not be correct for me to speculate. However, as I've clearly reiterated that we are in very advanced negotiations with several prospective clients, and I am sure that we should be able to convert it into a finite order May 19, 2023

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very soon and export of rolling stock by its very nature are long lead orders. They take some time to manufacture and then shipment, and the revenue starts maturing only when the shipment happens. So, the aim is to get some orders in this Q1 itself so that by the latter part of FY, the revenue starts coming in from these orders. They will definitely spill over to the next FY. The aim is that this gap of about two to two and a half years, unfortunately, because of the COVID period where there were no fresh orders, has resulted in the gap in contribution from this stream of revenue. Moving forward, we are aiming to have a mix of several rolling stock export orders so that there is a steady stream of revenue contribution which continues starting from the latter part of this FY.

Rohit Natarajan: Thank you Sir. I will join back in the queue.

Moderator: Thank you. The next question is from the line of Sanjay Doshi from Nippon India Mutual Fund. Please go ahead.

Sanjay Doshi: Good morning management team and congratulations on a very robust year despite all the challenges that you keep on highlighting . So my only question is on the overseas consultancy business which is getting very strong traction now in the last 12 months that we have seen . If you just help us appreciate what has been RITES doing it right to be able to make good of this opportunity . And if you can help us understand this opportunity from a three to five-year perspective ? Thank you.

Rahul Mithal: Thank you so much. In fact, you asked a question very close to the heart of our entire company . We have made very aggressive forays under the RITES Videsh initiative in the last FY across areas of consultancy and across continents . And as post -COVID , the world has opened , we have been getting orders and leads and revenue realization across sectors . So, whether it is a highway project in Guyana, the metro in Mauritius, we are doing a rail infra and a highway project in Bangladesh, ICP project, and airport project in Nepal. That has made it possible to see a 50 % growth in the international consultancy revenue. Moving forward , we are confident that this trend will continue . The kind of traction, the kind of mileage , and the kind of leads we are getting across countries. We are sure that we will be able to capitalize and build up on this trend . You will see in this FY, moving forward also this is going to continue to grow.

Sanjay Doshi: Thank you very much and all the best Sir.

Moderator: Thank you. The next question is from the line of Gautam V , an Individual Investor . Please go ahead.

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Gautam V: Good morning, Sir. Congratulations on the good results. Earlier , there was some thought process about expanding the project portfolio for the export business . I believe we were targeting new countries with different gauges of railways. could you please throw some light on the foot prints on that piece ?

Rahul Mithal: Yes, in fact , that is our core focus area. You see, just before COVID , we got this very interesting order of export of rolling stock to Mozambique , including locomotives, coaches and DMUs . This order was a cape gauge order which is unique. It is 1067 mm , a li

ttle more

than the meter gauge. There are about 11 countries in Africa and neighboring countries across Africa which have this gauge . so, with the order , as this order matured and we completed the shipment in the last 2021, 2022 and part of it in 2022-2023 this has got a lot of mileage . That is the reason why a number of countries in Africa have reached out to us to get similar kinds of rolling stock in cape gauge. We are more than equipped for it and this is what as I said we have been targeting very aggressively. These countries are getting their funding mechanisms in place . As I said post -COVID they are taking a little time to recover but I said I am confident that we should be able to translate this into orders very soon.

Gautam V: Understood Sir. Thank you.

Moderator: Thank you. The next question is from the line of Pranay Khandelwal from Alpha Invesco . Please go ahead.

Pranay Khandelwal: Thanks for the opportunity . I wanted to ask in the last quarter you had guided that there will be some non-railway orders in the QA business so can we just give a breakup of what it was last year and this year ?

Rahul Mithal: See on an average , we have both kinds of clients whether this is Indian Railways as a client and non -Indian Railway as a client across various sectors . So, as I said in the last interaction as the Indian Railway stream of revenue has now opened up to three other players , our aim is to continue to tap more and more further clients so that the overall stream of revenue from this stream remains intact and this quarter itself you would have seen that there is a growth in this stream of revenue . There is a contribution of growth of about 10 % growth . So, this has been possible because despite the competition from Indian Railways, as a client we have been able to tap a number of non -Indian Railway clients also and this is a trend that is going to continue so that overall, you should be able to see a steady stream of revenue from QA sector .

Pranay Khandelwal: Thank you.

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Moderator: Thank you. The next question is from the line of Vishal Periwal from IDBI Capital . Please go ahead.

Vishal Periwal: Yes, Sir thanks a lot for the opportunity , and one question on the consultancy side . We have an order book which is Rs.27 odd billion what is the export side contribution in this ,

and if you have the same numbers for FY2022 also ?

Rahul Mithal: Yes, good morning, Vishal . As you said correctly , the total 5870 order book , the turnkey is about 2850 . The consultancy is about 2700, and the export is only about Rs.100 crore , with the balance being export of rolling stock and leasing at Rs.150 crore , and the balance about is RMC.

Vishal Periwal: In consultancy because there is a line item in consultancy revenue line item of domestic and export revenue. So, within this order book of Rs.27 odd billion , what is the export side order book for consultancy ?

Rahul Mithal: No, export is a separate. The export line item is for the export of rolling stock , that is Rs.100 crore . We demarcate the revenue streams , and export of rolling stock. Consultancy is 2700 which includes all sectors whether some of them are domestics, and some are international consultancy which is the total consultancy pie. The export of rolling stock is over and above 2700 , which is pure export of rolling stock which is Rs.100 crore balance.

Vishal Periwal: Okay if I may ask one last question so I think the pie of this export side consultancy has increased in this year to around 30% odd . So, it looks like there is a benefit of operating leverage in this line item can you guide me in how this number could be in FY2024 or FY2025 ? maybe a ballpark will be helpful , sir.

Rahul Mithal: So, you see Rs.1189 crore is the total revenue from my consultancy stream which is a growth of about 18 % .

Out of that , Rs.1189 crore , there is an international consultancy element also . This is a non-export of rolling stock pure international consultancy , which has seen a growth of about 50% . So, that is what I mentioned some time back that this is an area moving forward. This trend is going to continue because within the consultancy pie itself between domestic consultancy and international consultancy , international consultancy gives me a slightly better margin . And that is the reason why the overall consultancy pie margins have gone up by about 3%. That is primarily that despite competition in the domestic sector of consultancy because of my growth in international consultancy, I have been able to have a growth in margins of about 3 %.

Vishal Periwal: Sure Sir. Thank you.

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Moderator: Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited . Please go ahead.

Dixit Doshi: Yes, thanks for the opportunity . In terms of consultancy , if we see the consolidated numbers the revenue is slightly higher, I think approx. Rs.1300 crore , and there our margins are almost at 50%. So, do you feel that such margins are sustainable ? and secondly , on the export of rolling stock business so I understand that you cannot guide for any exact numbers for the future orders but let us say in FY2023 we did Rs.300 crore top line. A year before that was almost Rs.1000 crore . Can it be like Rs.400 crore to Rs.500 crore revenue every year once the cycle starts?

Rahul Mithal: Yes, very correct . In fact , you have got the complete details right, and you hit the nail on the head. In fact, the total consultancy is Rs.1189 crore , which includes domestic consultancy and international consultancy. It includes the QA also, so this has overall seen a growth of about 18 % . Yes, this has seen very good margins , and that has been primarily because of a good growth in our international consultancy. There was good growth in our QA business. Moving forward , while the stress on margins due to conventional areas of domestic consultancy will be there and that was there in the last FY also but in spite of that the consultancy itself saw good growth in margins not only in numbers but also growth in margin . So moving forward our focus in consultancy would be , as far as the domestic sector is concerned to focus more and more on high margin skilled areas of consultancy which is our core strength i.e. metros, bridges, tunnels, urban engineering, city planning . In terms of international consultancy to grow further aggressively so that overall, you at least see sustain margins to the extent possible . If not grow but at least grow in terms of the top line and bottom line in consultancy .

As far as the export of rolling stock is concerned , you made a very good assessment of the kind of steady basis revenue on an annual basis for which we are aiming . As you see Rs. 966 crore were in 2021-2022 and about Rs. 300 crore in 2022-2023 which is primarily from two orders of Mozambique and Sri Lanka . So going by the past trend and the past few years that RITES has been exporting rolling stock to countries and the average size of the orders that we get plus the lead time that it takes to manufacture and export them , I think a fair enough assessment or at least a target on a steady basis of about Rs.400 crore to Rs.500 crore on an annual basis would be a good target to meet .

Dixit Doshi: Okay that is it for me. Thank you.

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Moderator: Thank you. A reminder to all the participants, anyone who wants to ask the question may press "*" and "1". The next question is from the line of Uttam Kumar Simal from Axis Securities Limited. Please go ahead.

Uttam Kumar Simal: Yes, thanks for the opportunity, Sir. Sir last year we did a revenue of around Rs.915 crore

in turnkey. So, what kind of revenue growth we are expecting in the turnkey this year?

Rahul Mithal: Turnkey has grown quite a lot as you see from the numbers and that has primarily happened because of the about 70% to 80% drop in the revenue contribution from the export of rolling stock. The top line has been and that is why the overall revenue is about flat on year on your basis and that is basically because of substantial growth in the contribution from the turnkey segment. However, having said that as we have been very clearly saying that we are a consultancy company, our key focus continues to be earned on the high margin consultancy area. Moving forward as we mature some export of rolling stock orders, the contribution of the turnkey segment to our overall revenue is going to gradually taper off. So our focus will and has been and will remain on consultancy as well as export of rolling stock.

Uttam Kumar Simal: Okay Sir thanks a lot.

Moderator: Thank you. The next question is from the line of Naysar Parikh from Native Capital. Please go ahead.

Naysar Parikh: Good morning. I just want to ask on the consultancy side right the order book that we have can you give us splits and out of that how much is the nomination versus competition base that we won? Overall, it seems like it is 50:50, but is it different on the consultancy side?

Rahul Mithal: The trend has been that in the last year, all my clients across various sectors, across states, across PSU, across private entities, and across the Indian Railway as a client has now started moving on from nomination to the competitive basis and you put it correctly that overall in fact it has now moved to about 50% on competitive basis. So, it would be very difficult to give bifurcation across sector, because we operate in about eight to ten key sectors and every sector has a different percentage of the competitive versus nomination. For example, in the metro sector I would say it is a 100% on competitive basis. It is zero on nomination, so it is primarily varying from sector to sector. Recently we have got a number of ropeways to make DPRs for the port connectivity for the IM S from NHLML. All these are on a competitive bidding basis, so this is again 100 to zero. Yes, there are certain clients like some PSUs or certain states which give orders may be in rail connectivity and

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rail infra on a nomination basis. But the extent of variation from sector to sector is very large.

Naysar Parikh: Right, got it. Now, the Rs.2700 crore order book that you have, out of that how much is executable in this year FY2024 and how much beyond? Secondly, how much percentage is international in this Rs.2700 crore?

Rahul Mithal: So, the first part of your question you see the consultancy as you would appreciate by its very nature has orders varying from timelines of about three to six months to orders varying from about three to four years so that is a wide mix depending on the nature of the order. You could be doing a PFR or a DPR which you have to do in three to six months. You could be doing PMC or general consultancy of a capex infra project which will last in construction for about three years so the range varies very largely. Rs. 1189 crore was the consultancy revenue an 18% growth year-on-year so this year also this is the trend that we are aiming at from a mix of the short lead, medium lead and long lead order and in terms of international consultancy the revenue growth which you saw and 50% growth year-on-year that trend would definitely aim to be continued in this FY from this Rs.2700 crore pie.

Naysar Parikh: Got it, is overall growth and within that 50% for international right?

Rahul Mithal: Yes.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique Stock

Broking Limited. Please go ahead.

Rohit Natarajan: Thank you for this opportunity again. Sir if you could guide us what is the initial feel about export EBIT margin that you are currently negotiating with? I am given to understand I mean in the last calls you have indicated somewhere like 15% to 20% but historically we have clocked even much higher number is there any translation gains you expect or

something of that sort ?

Rahul Mithal: So, if you are talking about the export of rolling stock traditionally.

Rohit Natarajan: And EBIT margins are what?

Rahul Mithal: Yes, so the export of rolling stock margins have been traditionally over the last four to five years if you see our stream-wise margins analysis export of rolling stock has been in the range of about 20 % odd . Now these would vary from order to order and not be possible
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for me to reveal the negotiations of the margins on each individual order . I mean they would vary from order to order but yes that has been the trend of margins and that is what would be the aim . However as I mentioned with every passing year , this sector is also becoming more and more competitive and post COVID all the prospective client countries in Africa and Southeast Asia they are also a little cash trapped , so they are also trying to optimize the order values because of their funding issues. So obviously these margins will also be difficult to sustain but yes they have been traditionally in the range of about 20 % odd .

Rohit Natarajan: Thank you Sir. That it from my side. Wish you all the best.

Moderator: Thank you. We have the next question from the line of Gautam V an Individual Investor . Please go ahead.

Gautam V: Just wanted to understand the longer -term perspective are there any new business verticals or new products which are being developed ? Earlier the previous chairman had also mentioned some thought processes around getting into road constructions, etc., maybe that was not going forward but if there are any other plans or business expansions if you could please share some thought processes for a three to five-year view that will be great .

Rahul Mithal: Right , so coming your second part of the question first , we are not a construction company, and we will not foray into any kind of major diversification , or any kind of even aggressive growth in being a construction company. We are a consultancy company , and as you have seen in the results of this year also that has been the growth area as I said about 18 % growth in the consultancy revenue and that has what has made it possible for the margins also to not only remain secure but grow and also the PAT to grow more from 6% to 7% in spite of muted contribution from export of rolling stock . Having said that consultancy both domestic and international across sectors will remain our focus area and as far as diversification is concerned , besides tapping on the new areas announced in the budget last year and this year you see Jal Jeevan Mission . Now that is another very important area which was announced a few years back. There is a large budget allocation for that. We recently got an order from the Rajasthan Jal Jeevan Mission of about Rs.148 crore and we hope to be able to capitalize on this and we are aiming to try and tap opportunities across states. Another very major area which I have been mentioning in my past few interactions was that last year we formed a new vertical called sustainability and we were very confident that by latter part of the year , we would be able to tap the various opportunities across states and get some orders . We are very happy that within a
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short period or less than a year , this newly formed vertical , have been able to get orders from the Ministry of Housing and Urban Development as a consultant for that solid

waste

management and used water management. We have been able to get orders in Bengaluru for air pollution and solid waste management , and there is a lot of potential across states in sustainability . So, that is an area which is a new age area . It has a lot of scopes that we are going to grow in aggressively .

Gautam V: Understood Sir. Sir just one thing on the cash balances could you please throw some idea on what the balance looks like and what your plans could be utilization of cash?

Rahul Mithal: We have got a cash balance of about Rs.800 crore and we are a low capex company . Our capex has been in the range traditionally of about Rs.100 odd crore . This year also we are aiming for about Rs.100 odd crore so moving forward , we do not see any major capex investment and that is the very reason we like to give back what we earn to our investors as you see with the final instalment recommended by the board for about Rs.6 per share makes it a total of Rs.20.5 a share which is about 92.8 % of our profit we are giving back to the shareholders as a dividend . That is going to be the trend that we are aiming for in the coming years also .

Gautam V: How much of this is the working capital requirement ?

Rahul Mithal: Our working capital requirements are very minimal as I said and we are a debt -free company , with very minimal working capital requirements and a very low capex.

Gautam V: Sure Sir. Thank you.

Moderator: Thank you. The next question is from the line of Ankur Sanwal an Individual Investor . Please go ahead.

Ankur Sanwal: Sir what is the potential of QA work in country like India and for company like RITES .

Rahul Mithal: It is a tremendous potential. I am glad you asked this question. Recently we have been certified as an ISA company also . We are maybe the second company in India , and the only PSU to have an ISA certification that further adds to our bouquet of services. We have been in this business for more than 40 to 45 years now and we have been doing QA across sectors whether it is the rail sector, private clients , structure , civil engineering , and electrical engineering . So, that is the wide bouquet of services that we offer under our QA vertical and with this recent additional certification that we have got, I am sure that this QA business in spite of increased competition is only going to grow .

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Ankur Sanwal: Sir just one suggestion apart from dividends if we can also think of buyback with such an amount of cash we are generating and that will be good for the company in the long term .

Thank you , Sir.

Rahul Mithal: Thank you , your suggestion is noted. We will definitely look at it in the coming FY, if possible. Thank you.

Moderator: Thank you. The next question is from the line of Parimal Mithani from Credential Investments . Please go ahead.

Parimal Mithani: Good morning, Sir. Thanks for the opportunity I just wanted a breakup of the quality insurance for the entire year how much was a part of the consultancy and the breakup in the order book also ?

Rahul Mithal: You see as far as the order book is concerned QA is a part of it a rolling order book so it will not be , it is a constant order that you keep getting and we ensure that it is a rolling order book . In terms of contribution to the total consultancy , it was about Rs.390 odd crore which is all time high also in terms of contributing to the consultancy stream and that is why it has gone a big way in contributing both in terms of the top line and bottom line for the consultancy stream of my revenue .

Parimal Mithani: Is it fair to assume that this business has doubled from the time of listing till now Sir?

Rahul Mithal: It has seen a steady growth , I would not say doubled, but it has seen a steady growth .

Parimal Mithani: Sir last question is you formed a company called Elicius Energy Private Limited ,

what is

this company about Sir?

Rahul Mithal: It is not a company. It is an investment. You are talking about Elicius right ?

Parimal Mithani: Yes Sir .

Rahul Mithal: So, it is an investment of ours for a startup with IIT Madras , for doing research work . As an incubator , we encourage R&D work . This is for studies in drone technology, in renewables and in research in that area.

Parimal Mithani: Okay Sir thank you.

Moderator: Thank you. The next question is from the line of Viraj Mithani from Jupiter Financial . Please go ahead.

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Viraj Mithani: Good morning, sir, and congratulations on a good number. Sir my question is with the export of rolling stock coming back and other sectors sharing for us would it be fair to assume we will have a double -digit top -line growth and the bottom line will be maintained at the same level in the years to come?

Rahul Mithal: I am glad you asked this question. You see I would put it in reverse . As you correctly said with all other sectors firing for us and all my streams of revenue have seen growth year -on-year in spite of muted contribution from exports, as I said from one stream you saw a 6% to 7% growth in the bottom line , so we will aim to improve this trend of growth in the bottom line more and let's aspire for a double -digit growth in the bottom line that would be our aspiration , our vision and our target .

Viraj Mithani: Okay means now the bottom line should improve in the days to come that is what the aim of the management .

Rahul Mithal: That is our vision, our aim, and our aspiration.

Viraj Mithani: Okay thank you , Sir. Thank you so much.

Moderator: Thank you. We have the next question from the line of Harshit Kapadia from Elara

Securities Private Limited . Please go ahead.

Harshit Kapadia: Thanks for the opportunity , and congrats on a very cool performance on consultancy . A few questions from my side Sir . Just on the REMCL , we are already seeing the electrification now touching about 84% probably and in the next years' time it will touch 100 % so where are we in terms of REMCL getting more business from the Indian Railways so out of 3 gigawatts which was estimated how much of electrification we have done from REMCL point of view ? and connected to this , is the DFC is expected to be operational in the next one and a half years time so are we also going to get the REMCL as in the electrification for DFC as well any color on this would be helpful .

Rahul Mithal: So REMCL I must say has performed well in this FY and it has further contributed to the overall performance of RITES as a consolidated performance. You see REMCL had major landmarks in this FY. It became a debt-free company . It capitalized on the growth of the electrification in Indian Railways and the growth in traffic post -COVID . For the first time crossed the Rs.100 crore bar of revenue. It has made a revenue of Rs.117 crore . It has a profit of Rs.59 crore which is a growth of 31 % . For the first time , gave the highest-ever dividend to its shareholders that is Indian Railways and RITES . It has given a total and it has recommended the final dividend of Rs.3 per share and interim of Rs.2.5 a share , it
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would total up to about Rs.58 crore of dividend which is about 98 % of its PAT . It is distributing it as a dividend to its shareholders, so REMCL has seen a tremendous performance this year . It is a PAT margin of 50 % plus and correctly said with this electrification reaching its complete nearly 100 % in this FY and DFC coming up . REMCL can only grow, and we are targeting more aggressive growth in this . Further today , it is catering to about 70% odd of the overall requirement of traction energy for Indian Railways and there are about seven states which are still not on the open access . The effort is to be ab

le to get these states on the open access so that we can increase even further . Besides the growth in electrification and traffic in Indian Railways more and more open Access , will increase the revenue of REMCL further .

Harshit Kapadia: Fair enough Sir. I will join the question queue.

Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Securities Private Limited . Please go ahead.

Harshit Kapadia: Thank you once again. Sir just a bookkeeping question what is the QA revenue for the entire FY2023 Sir?

Rahul Mithal: The QA revenue has been Rs.393 crore which is a jump of about 20% from the previous FY.

Harshit Kapadia: And what is the rail and non-rail share within this Rs.393 crore ?

Rahul Mithal: It is roughly about two-thirds and one-third , two third rail and one-third non-rail.

Harshit Kapadia: Okay and I will join the question queue , Sir. Thank you.

Moderator: Thank you. The next question is from the line of Gautam V , an Individual Investor . Please go ahead.

Gautam V: Sir just wanted to understand the JV of ISRDC could you please share an update on that ?

Rahul Mithal: So yes, good afternoon, Gautam . so, in 2021 -2022 latter part of 2021-2022 a decision was taken to close ISRDC and post that the process has started and is following the due necessary procedures I am sure that our expectation is that by the end of this FY , we are expecting that all necessary formalities would have taken place for its final closure .

Gautam V: Is the re any capital which will come back to RITES as a part of the closure?

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Rahul Mithal: No, capital will come back but we do not foresee any major adverse impact also on its closure.

Gautam V: Understood. Thank you.

Moderator: Thank you. We have the next question from the line of Harshit Kapadia from Elara Securities Private Limited. Please go ahead.

Harshit Kapadia: Yes, thanks , Sir. Just wanted to get the color on the consultancy within the domestic landscape if you can highlight some of the projects or some of the large projects where you are drawing consultancy across your infrastructure segment that would be helpful so that we can track how things are happening that is the first part .

Rahul Mithal: So, you see , our aim , and let me put it this way , our aim in domestic . We have about 10 different areas where we do domestic consultancy across all areas of infrastructure . Now, in this , there are certain areas where over a period , because of a large number of even small players coming up , the competition has become -- I would use the word --very stiff

and margins have become very tight like highway consultancy and building consultancy . While we are still getting a lot of orders in that , however, our focus is also to get more and more orders parallelly in the higher margin consultancy areas . Those are our core strength , where there are good players to compete with and then if you win a contract on competitive bidding , you get a good top line and bottom line , it is metros , city planning , DPRs or PMC for connectivity type of work . Now, as I said , we are getting a lot of work in ropeways , which is again a core strength of ours . We are getting a lot of work in city planning and IMS i.e. integrated model stations . These are the areas which are our traditional core strengths, and this is where we will continue to aim . We have got some recent orders from Jal Jeevan as I mentioned. We got some orders in Kerala of about Rs.84 crore on the non-transport sector of all infra consultancy there. We have got an order in Northeast from Assam Health Department for doing their project management consultancy for the construction of 12 hospitals, so these are areas which are relying on our core strength , and that is the area which we are going to work on . We have recently got an order from Hyderabad Metr

o General Consultancy , this is where we are going to target aggressively besides taking orders in the conventional areas of consultancy and new areas of sustainability .

Harshit Kapadia: Fair enough , Sir. Wishing you all the best. I will join the queue.

Moderator: Thank you. The next question is from the line of Prasanth Gopal from Spark Asia Impact Managers . Please go ahead.

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Prasanth Gopal: Sir could you give some color on the leasing business on the margins there ?

Rahul Mithal: Yes, so leasing is a good traditional business of ours which gives us good margins of about 30% and in leasing we own about 65 odd diesel locomotives of ours which we operate . We provide wet leases to a number of sidings and in-plant use . We run actually mini railway systems for them whether it is coal sidings or steel plants or power plants . We also operate and maintain the rolling stock which is owned by some of the clients like these coal plants or power plants . We also maintain and operate run their mini railway systems so that is a good business. It has seen a steady growth. It is a good -margin business. It contributes also to our top line of about 5% of our top line. It gives us good margins of about 30 % plus, so we see this is a good steady stream of business and as these number of private players are also coming up in mines and in steel plants and power plants, we are getting orders from them also in this sector .

Prasanth Gopal: Thank you , Sir.

Moderator: Thank you. The next question is from the line of Viraj Mithani from Jupiter Financial . Please go ahead.

Viraj Mithani: Sir can you give me some sense of your numbers into the sustainability vertical that would be the numbers you have done and then some sense should be helpful .

Rahul Mithal: Yes, so as I mentioned this is a newly formed vertical sometime early last financial year itself and by latter part of this FY, we started getting some order . For example , the order which we have got for being their consultant for solid waste management and used water management , that is about Rs.12 crore order . We have got an order from Bengaluru for solid waste management that is about Rs.4 crore to Rs.4.5 crore order . These are of size of a normal consultancy order . They are in the range of about Rs.4 crore to Rs.5 crore to Rs.10 crore . Moving forward , we see as I said in a short time of about eight to 10 months of this vertical we have already started converting them in to orders and then we are tapping a number of states and prospective client to grow in this . These two orders , which have come recently secured, will start contributing revenue from this Q1 itself of this F Y.

Viraj Mithani: Would it be fair to assume that the margins in this kind of business are higher than the normal level with better margins ?

Rahul Mithal: That would be too premature right now to give a generalization. This would depend on order to order, client to client. Maybe as we get more orders and the revenue starts coming in , it will be a better assessment , but yes these are good margin areas because

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these are niche areas and very few players have the kind of capability and strength that we have and that is the very reason we formed this vertical . We were doing consultancy in this for the last 30 to 40 years. The only thing , this skill was distributed across my other infrastructure verticals, so if we were doing highway work, we were doing some sustainability part of that, we were doing a building work, there was a green building

element to it, and we were doing a metro work where there was an EIA & SIA associated with that. This is a conscious measure to tap this avenue, we pooled in these resources and the skill of an experience and formed a standalone vertical which could get more finite standalone orders

Viraj Mithani: Thank you Sir.

Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Securities Private Limited. Please go ahead.

Harshit Kapadia: Thank you for the opportunity to just one question on the turnkey construction. We have seen that the segment is now being opened to private players as well so how has been the bidding? Have you seen more aggression coming in or what is your understanding of how the competition is fairing? Earlier only it was railway companies were competing.

Rahul Mithal: Yes, very true as you correctly said for all railway construction projects also whether it is station development or new line doubling works, all rail infra has been opened to a lot of competition. Some time back, projects of railways were being given on limited bidding between the railway PSU and then some other non-railway PSU. In the last FY, all sectors of construction for rail infra has been opened up to all private players also so yes it is definitely more competitive and we as I said as a strategy limiting our exposure to this turnkey business to a very limited amount and we take that strategically based on certain clients and certain sectors whether it is some rail infra or like a metro depot in Bengaluru or the IIT Delhi building. So we pick and choose and stagger them so that we have limited exposure to this low margin business.

Harshit Kapadia: Understood Sir and wish you all the best, Sir.

Moderator: Thank you. The next question is from the line of Ankur Sanwal, an Individual Investor. Please go ahead.

Ankur Sanwal: Sir what are the margins we are seeing in the Q&A business?

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Rahul Mithal: So, the overall margins of the consultancy revenue has been about 35% margin. There is a 35% plus margin which has contributions from domestic, QA, non-QA, and international so we look at margins on the overall consultancy stream.

Ankur Sanwal: Thank you Sir.

Moderator: Thank you. The next question is from the line of Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani: Sir thank you once again. Sir, I just wanted to know in your consultancy order book for the entire year can you give a breakup between domestic and international Sir if you do not mind?

Rahul Mithal: No as I said the orders, the consultancy order book is at a total of Rs.2700 crore and this is fluctuating some of the orders are QA in that, some of them are domestic, and some of them are international. The growth in international revenue is about 50% and the orders which are part of this will ensure that this trend continues in international consultancy.

Parimal Mithani: Okay thank you.

Moderator: Thank you. Ladies and gentlemen as that was the last question for today, I would now like to hand the conference over to Mr. Harshit Kapadia for closing comments. Over to you.

Harshit Kapadia: Thank you, Michelle. We would like to thank you, Shri. Rahul Mithal, Chairman and Managing Director, Shri. B. P. Nayak, Director Finance, Shri. A. K. Singh, Director Projects, and Dr Deepak Tripathi, Director Technical for giving us an opportunity to host this call.

We also would like to thank all investors and analysts for joining this call. Any closing remarks Rahul sir you want to share with investors?

Rahul Mithal: Yes, I would just like to reiterate that the performance in our consultancy wings, it is an all-time high revenue of domestic and all-time high revenue of international consultancy.

The orders receiving a consultancy order of about 200 fresh consultancy orders in this FY all these underscores the PAT and come out very aggressively and make a very strong statement that this is our core business. We are a premier consultancy company that is our niche area of operations, and we will continue to grow in this and tap all possible

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domestic and international opportunities including the niche and growth areas of diversification areas like sustainability, etc., so that we can raise the bar further in every FY. Thank You.

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Moderator: Thank you very much . On behalf of Elara Securities Private Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines. Thank you.

-End-

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Call: Aug 2023

No. RITES/SECY/NSE

Date: August 04, 2023

To

Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C-1, Block G, Bandra -
Kurla Complex, Bandra (E), Mumbai –
400051

To

Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Code- RITES

Scrip Code- 541556

Sub: Transcript of the Conference call held on July 31, 2023

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and investors held on Monday, 31st July, 2023 to discuss the unaudited financial results of the Company for the quarter ended on 30th June, 2023.

This is for your information and records.

Thanking You,

Yours faithfully,

For RITES Limited

Joshit Ranjan Sikidar
Company Secretary & Compliance Officer
Membership No.: A32442

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“RITES Limited
Q1 FY '24 Earnings Conference Call ”
July 31, 2023

MANAGEMENT : MR. RAHUL MITHAL – CHAIRMAN AND MANAGING
DIRECTOR – RITES LIMITED

MR. B.P NAYAK – DIRECTOR OF FINANCE – RITES
LIMITED
MR. A.K SINGH – DIRECTOR PROJECTS – RITES LIMITED
DR. DEEPAK TRIPATHI – DIRECTOR TECHNICAL – RITES
LIMITED

MODERATOR : MR. HARSHIT KAPADIA – ELARA SECURITIES PRIVATE
LIMITED

188039/2023/P&C215

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Mod erator : Good morning, ladies and gentlemen. Welcome to the RITES Q1 FY '24 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal an oper ator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you, and over to you, sir.

Harshit Kapadia: Thank you, Lizann. Good morning, everyone. On behalf of Elar a Securities, we welcome you all for Q1 FY '24 Earnings Conference Call of RITES Limited. I take this opportunity to welcome the management of RITES Limited represented by Shri. Rahul Mithal , Chairman and Managing Director; Shri. B P Nayak, Director Financ e; Shri. A K Singh, Director Project; and Dr. Deepak Tripathi, Director Technical. We will begin the brief overview by the management followed by a Q&A session.

I will now hand over the call to Rahul, sir, for his opening remarks. Over to you, sir.

Rahul M ithal: Good morning, everyone. Let me start with the safe harbour statement. The presentation and the press release, which we have uploaded on stock exchanges and our website on Friday, and all discussions during the call today may have some forward -lookin g statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different and we do not undertake to update those statements periodically.

Let me giv e you a brief overview of the Q1 results. Let's start with break ing down the results of Q1. When we started this FY, our strategy was to minimize the impact of two challenges, one was our export stream revenue; and the other was the changed dynamics in the QA, that is the inspection stream of business, and both stream s had an 188039/2023/P&C216

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impact. The export stream had an YoY impact of about INR16 crores on our profit. The inspection stream of business had an impa ct of about INR10 crores on our profit YoY. In the inspection stream, we built up on our new client base, and we also rationalized the cost to minimize the impact to the extent possible.

As a strategy,

we aggressively pursued efforts on expediting the high -margin project consultancy orders to minimize the impact to the extent possible, and the domestic project consultancy (excluding QA) revenues showed a 10% year -on-year growth. We could sustain the margins in the overall consultancy at about 44%. And this, along with an increased profit of about INR10 crores in our subsidiary R EMCL could minimize

the impact to a drop of about INR19 crores in the EBITDA, while still being able to maintain our core EBITDA margins at 29.6%, and PAT margins of about 21%.

So with this broad overview of the Q1 performance, I leave the floor open for questions.

Moderator: Thank you. The first question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: My first question is regarding the export business. So in the presentation, we have mentioned the export order book of INR56 crores, but I assume that we have received 2 orders of 1 Zimbabwe for around INR850 crores and Mozambique, around INR500 crores. So broadly, what is the order book, as of today if you can elaborate? And also, the execution timeline and by when this will start flowing into the revenue, how much time the designing phase will take if you can explain a bit?

Rahul Mithal: So our order books at exports stands at INR56 crores. As far as the NRZ, National Railway of Zimbabwe order is concerned, this was an agreement signed between RITES and NRZ during the IndoAfrican CII Conference a few months back. And that had a condition, as we declared to the stock exchange that the formal LOA will get released on approvals of their requisite funding. So that's why we are not counting it in the 188039/2023/P&C217

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order book, as of now. We are hopeful that the project should fructify soon.

As far as the Mozambique order is concerned, this was a global tender. For 10 locomotives, there was a separate tender, and there was a separate tender for 300 wagons. Both were global tenders, and we have emerged L1 in both of them. So as a mention of good practice, we declared it to the stock exchange with a clear clarification that, the CFM would follow the due process of finalizing the order. So, we are hopeful that they fructify into finite orders in the coming months.

Dixit Doshi: Okay. So is it fair to assume that Mozambique revenue will start flowing in from FY '25 and Zimbabwe by when you expect the funding to get sorted out?

Rahul Mithal: So as far as Mozambique is concerned, we haven't still got the order, so I wouldn't like to speculate on when and what time frame. We are hopeful that this gets converted into a finite order. And as far as Zimbabwe is concerned, we are in touch with them. They have started, and they are also very keen. They are aggressively following the due process of getting the necessary funding approval. So again, it would not be fair for me to speculate on time frame. But I can only say, the efforts, that I've been mentioning in the past investor calls, have seen movements in the positive direction in both these areas.

Dixit Doshi: Okay. And one last question. So any more orders or bidding in pipeline for exports?

Rahul Mithal: Yes. We have bid across a number of countries, number of types of rolling stock, and we'll keep you apprised, as some developments happen. But this much I can assure you that we are bidding and entering into MOUs and agreements across countries, including global tenders for different types of rolling stock, so as to minimize the impact of this stream of revenue, which you've been seeing for the past few quarters, which is depressing the entire overall bottom line and top line.

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Moderator: The next question is from th

e line of Shreyans Mehta: from Equirus.

Shreyans Mehta: Sir, congratulations on the export wins. Just to dwell upon the margins, will it be similar to what we've been doing in terms of the exports in FY '22?

Rahul Mithal: You see, again, I would not like to speculate or I would not call them wins right now. They are movements in the positive direction, as I clarified in my previous question. And as far as margins are concerned in Expotech, obviously, as more and more, these are becoming competitive tenders, it will be tough to maintain margins at the levels, which have been earlier. But the aim will be to try and keep an overall margin as safe as possible by focusing on other streams of revenue, like, as I mentioned at the outset, my project consultancy revenue, which also has been able to maintain a margin of 44%.

Shreyans Mehta: Got it, sir. And sir, secondly, in terms of any guidance for FY '25, if you could want to highlight something on that front?

Rahul Mithal: The guidance is that we've to make up for the lost ground, as I mentioned in the opening comments on both side streams of revenue and try and secure the margins to as close as possible at the trends, which have been.

Moderator: The next question is from the line of Rahil Shah from Crown Capital.

Rahil Shah: My question was on similar lines, like based on current order books what are you expecting in FY '24? How will your revenues and margin shape up, sir, I think if you want to elaborate more what steps are you taking in order to ensure good growth?

Rahul Mithal: As you see our current order book, as of 30th June is INR5,700 crores, which is about INR2,700 crores in consultancy, INR2,700 crores in turnkey, only INR50 crores in Expotech, INR150 crores in leasing and about INR100 crores in REMCL. So the focus is on to get some finite orders in Expotech that they start contributing to revenue by the latter part of the FY; two, to be able to blunt the impact of the QA, where the 188039/2023/P&C219

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new rate, which has started cutting in for the railway inspection is about 1/5 of the earlier rate, and this impacts about 60% of our QA stream of business.

So, to be able to garner more clients, we can fill up this lost ground and continue focusing on getting more orders in project consultancy and expediting the execution of the existing orders. With that, I think being a bottom line-driven company rather than a top line-driven company, we would aim to recover lost ground from both these schemes of revenue, which are good contributors to the bottom line, and also maintain margins to the extent possible. Like Q1, we have still been still to keep the margins in the past trend, our EBITDA margins at 29.6% and our PAT margins at about 21%.

Moderator: The next question is from the line of Viraj from Jupiter Financial.

Viraj: Sir, my question is about your MOU with DNV. Can you throw some more light on that? Like how is going to be benefiting us in terms of growth, in terms of profit top line? If you can give some more colour on that about this MOU you sign with DNV?

Rahul Mithal: Yes, for sure. As I mentioned at the outset, we are trying to tap as many new streams of revenue in the QA business to recover the lost ground, which is quite a substantial impact. And while exploring new clients, we've also got the certification for an independent safety assessment, the ISA certification. And with that and with others trying to tap various domestic and international opportunities for QA. DNV, as you're aware, is a reputed international inspecting agency headquartered in Norway and spread across more than 100 countries, including operations in India. So, we will be complementing each other's strength and geographies to try and explore more possible opportunities in the QA business.

Viraj: Any quantification

in terms of numbers possible right now? Or it's too early, right?

Rahul Mithal: It's too premature right now. 188039/2023/P&C220

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Moderator: The next question is from the line of Venkatesh Subramanian from LogicTree Investment Advisors Private Limited.

Venkatesh Subramanian: Yes. Sir, my question is two -pronged. One is with respect to the project -- the PMC business, you said, you have an order book of INR2,700 crores out of the overall order book of INR5,700 crores, and there's a focus on Expotech. So, 12 months to 18 months down the line, what percentage of your order book would you target, as to be part of exports?

And second thing is other streams of revenue that you think you're looking at, what would that comprise of?

Rahul Mithal: Our core strategy is that we are a niche consultancy company, and we have been aiming that our consultancy revenue is aimed to be above 50%. And I must say that this was the first quarter after many quarters, where the contribution of the consultancy stream of revenue to our total revenue was 53%. So, this is in line with our direction and vision moving forward. And we would like to continuously grow on this trend. The export, as I have mentioned, its contribution has been decreasing over the last quarter because there were no fresh orders. We were executing the old order. As we get some new orders in the coming quarter, the effort will be to get back the export contribution to a substantial amount and replace the turnkey contribution, which normally will be kept in the range of about 25 -odd percent of the total pie.

Moderator: The next question is from the line of Parimal Mithani from Credential Investments.

Parimal Mithani: Sir, I just wanted to know, if you can elaborate in terms of collaboration with DNV, as well as IRFC, if you can throw some light on it, sir? These are the 2 questions.

Rahul Mithal: Good morning, Parimal. So IRFC, as you are aware, has been there for many years and doing a lot of investments in the railway area. And we 188039/2023/P&C221

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thought that both IRFC and RITES have lot of strength and which can complement each other. Our collaboration will be for doing the due diligence for them for their investment proposals. And they're looking at us for the prospective areas, where they can look for investments of their funds.

As far as IRFC is concerned, this is in line with the recent MOU, which we signed with PFC. So, both major funding PSUs, felt the strength of RITES for doing due diligence for them and we are looking at them for giving us opportunities for their investment due diligence.

DNV, as I mentioned shortly, is an international reputed inspection agency. In our bid to aggressively make up for the lost ground and minimize the impact on the new orders after the rate cuts in inspection, we are partnering with them to explore new clients and new geographies.

Moderator: The next question is from the line of Uttam Kumar Srimal: from Axis Securities Limited.

Uttam Kumar Srimal: Sir, currently, we have turnkey order book of around INR2,695. What is the timeline for execution of these turnkey projects?

Rahul Mithal: Each project varies. Our experience shows that turnkey projects, based on their execution on an average, some could be about 2 years, or some could be about 3 years, 3.5 years. But an average turnkey project takes about 3 years to be executed.

Moderator: The next question is from the line of Shreyans Mehta: from Equirus.

Shreyans Mehta: Once these export orders translate into firm orders, what would be the time line for completion of those projects? Would it be 2 years, 2.5 years?

Rahul Mithal: So, you see, in general, the Different types of export of rolling stock take different time frames

. There are locomotives , DMUs, coaches and wagons. By nature, wagons take the least amount of time, and the maximum amount of time is normally taken by a locomotive and 188039/2023/P&C222

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sometimes by DMU because the DMU consists of 8 to 10 coaches together and the whole has to be exported in one go . So, the time frame could vary starting from wagons for about 9 months to 12 months and about 2 years to 2.5 years on the extreme side for the higher end rolling stock.

Moderator: We'll move on to the next question. That is from the line of Viraj from Jupiter Financial.

Viraj: you talked about the lost ground in terms of export and QA business. Are we setting any targets, year -to-year for this to achieve, and if you can throw some light on that, like in some number?

Rahul Mithal: If you see the contribution of export and QA business for the last 2 FYs, that is '21 -22 and 22 -23, where post COVID, will give you an idea of the QA average stream of business, what was the revenue, and what we'd like to come back to. The QA business has been giving a revenue of INR300 crores plus normally.

And the export stream of revenue, if you even out , has Rs. 500 crore to Rs. 600 cr. It has given us revenue in some quarters, the aim is that going forward, the consultancy should contribute to the overall revenue by at least 50% and as the export revenue grows up, turnkey should be limited to about 25 -odd percent. that's the overall target. Now moving forward, we would like the export business to develop.

Moderator: The next question is from the line of Venkatesh Subramanian: from LogicTree Investment Advisors.

Venkatesh Subramanian: Sir, my question was on DNV. Since you said they have a huge presence, and we want to explore working with the macro geographies, which means that if there are other infrastructure sectors in the country, other projects that require certification, safety, quality, et cetera, RITES would be keen to collaborate on that front as well?

Rahul Mithal: Yes. We are doing inspection across verticals, across projects. As I mentioned that the railway inspection business accounts for roughly 188039/2023/P&C223

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about , which has got impacted by these new orders , 60% of my total QA pie. We would like to grow the other portion, the other clients both domestic and international, so that, we recover lost ground, for which the current rates are about 1/5 of the earlier rate for the railway inspection.

Moderator: The next question is from the line of Shreyans Mehta from Equirus.

Shreyans Mehta: Sir, could you please help us with the debt and the cash numbers?

Rahul Mithal: The cash balance is about INR 900 crores. The exact figure is INR 836 crore, and client funds are separate. We don't count them in cash balance. Client funds as of Q1 is about INR 2,500 crores.

Shreyans Mehta: So INR836 crores is our own cash.

Rahul Mithal: INR836 crores is our own cash. We don't count the client fund in our cash balance.

Moderator: The next question is from the line of Parimal Mithani from Credential Investments.

Parimal Mithani: Sir, the MOU with PFC, you will be on a consultancy business, is it safe

to assume that, sir?

Rahul Mithal: Yes, for sure. Both with PFC and IRFC, this is a mutual win-win situation for both of them and RITES. We would be doing consultancy for their possible investments in various areas of infrastructure. And since we have the wherewithal to do consultancy across infrastructure sectors, we would be doing that for them. And they would be looking at tapping opportunities through us for being able to invest their finances in various areas of infrastructure.

Moderator: The next question is from the line of Viraj from Jupiter Financial.

Viraj: Sir, this is regarding

the last question only. You talked about QA of INR300 crores, any export numbers we would like to put as a target, if you can share that? 188039/2023/P&C224

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Rahul Mithal: So, you see the export orders as they mature have different lead times.

And as I mentioned and explained in detail, depending on the type of rolling stock, it varies anything from 9 months to 12 months to about 2 years, 2.5 years. So the aim is to have a steady flow, and that is only possible if you have 2-3 orders in hand rather than see cyclical booking of revenue because in export scheme, you can only book the revenue when the shipment actually is shipped out. The aim is to have a steady stream of revenue down the FY over quarter-on-quarter basis rather than the fluctuating revenue. And as we grow on that, the aim would be that exports will replace, as I explained some time back, the turnkey segment of revenue, which we'd like to limit it to 25%.

Viraj: Any target in ticket size of the export orders or any one ticket size, we will be looking, as export order then?

Rahul Mithal: Okay. Let me clarify again. As I mentioned, about export they are not finite orders right now, and we are only hopeful that they get converted into finite orders in the coming months. Parallely, we have also bid for a number of opportunities and global tenders across continents. We are hopeful that they will be finalized in the coming months. Our effort is to minimize the lead time, so that at least by end of the FY some revenue starts flowing in, in the export stream of revenue.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited.

Dixit Doshi: Sir, one clarification. You mentioned about the QA revenue, the 60% impact on our annualized revenue, so the price has been reduced or the order has been given to someone else?

Rahul Mithal: No. Few months back, railways floated a tender and they divided the entire QA business between 4 players, and RITES is one of the 4 players.

And in that tender, there is a slabs of fee rate for the different slabs of the orders. If you translate it to an average, the reduction in the rates is about 1/5 of the rate at which inspection was being done earlier. So, there is an impact in terms of being one of the 4 players. So that impact on the top line. And there is further impact that the rate of inspection is 188039/2023/P&C225

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about 1/5, so that has also compounded the impact and it doubled the impact, which is affecting 60-odd percent of my QA business.

Moderator: The next question is from the line of Uttam Kumar Simal from Axis Securities Limited.

Uttam Kumar Simal: Sir, what is our capex guidance for FY '24 and '25?

Rahul Mithal: Traditionally the pattern, which you've seen for the last few years, we are a low capex company, doing about INR100 to INR125 crores capex. We are not a high capex company. We are a consultancy company, and that's the trend that is going to remain.

Moderator: The next question is from the line of Viraj from Jupiter Financial.

Viraj: Any guidance on R EMCL, any thoughts on that?

Rahul Mithal: REMCL performed extremely well in this quarter. The revenue grew quarter -on-quarter from INR28 crores last year to INR43 crores. The profit grew by about INR10 crores. And we could declare a dividend of about INR21 crores, that is 90% of the profit . The PAT was about INR24 crores. R EMCL has been showing steady growth. Now it's a debt -free company ., which it became last FY. It has been declaring very high dividend. So R EMCL, moving forward is going to definitely grow. I see this good trend going on.

Moderator : The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private L

imited.

Dixit Doshi: Sir, in export segment, you mentioned that we are participating in a number of global tenders. Any rough idea you can give that how many tenders -- how much value of tenders we have participated and awaiting the results?

Rahul Mithal: I think, that would be speculative. I can only say that let some clarity emerge, as they get finalized . or at least they start getting open. That would be a better stage to apprise. And let's be assured, in terms of 188039/2023/P&C226

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transparency, when any major development happens, with all due clarifications, we'll definitely declare it to the stock exchange.

Dixit Doshi: And in terms of consultancy, what are the major projects or opportunities we see in, let's say, next 9 months to 12 months from where the orders can come?

Rahul Mithal: You see in consultancy, as I mentioned, we have reaffirmed our core strength and built up on a strong base. This quarter itself, we got about 70 orders totalling to more than INR300 crores, out of that about 60 - plus are for consultancy. And the consultancy contribution has been 53% of my total revenue.

The kind of orders, which we have got, just to give you a few examples, we've got the Hyderabad airport line Metro consultancy: the DPR for the Chandigarh Metro , expansion of the Gurgaon Metro –and city mobility plan for the Kolkata City. We have also got a number of ropeway orders for about INR10 crores. Additionally have got 4 different semi -high speed survey orders from railways totalling to about INR34 crores. We've got sustainability orders covering Swachh Bharat Mission 2.0 from MoHUA, apart from orders in clean air pollution, and solid waste management.

So, the point, I'm trying to underscore is that if you see the flavour of the orders, they Our range of orders are across sectors states, ministries, and all the orders that I mentioned are on the competitive mode. Moving forward, we are confident that we will be able to maintain this trend and leverage our strength and tap on the high capex allocation during this budget across sectors.

Moderator: The next question is from the line of Shreyans Mehta from Equirus.

Shreyans Mehta: Sir, as far as consultancy is concerned, can station redevelopment be a big opportunity for us. And secondly, what's the status of our investments in IRSDC? 188039/2023/P&C227

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Rahul Mithal: To answer your second question first, IRSDC, we had a share of 24%. all due processes are being followed in its closure. We don't expect to take any hit from that. All due diligence is being done and it is following due process for closure.

As far as opport unity in station development is concerned, in the last

few months, we got an order for the Kollam station development in a turnkey mode. We are doing the Ayodhya station and the Varanasi station, 2 iconic projects. Parallely, we are doing the PMC for various stations. We've also got the consultancy order for the Somnath station. So moving forward, this is an opportunity. Our focus on station development will be on consultancy, but periodically, we may take some orders on the EPC mode also, but that would be limited. Within the overall pie of limiting our turnkey revenue to not more than 25%. But in terms of PMC in various station development projects across Zonal Railways, we would be definitely bidding, and we are hopeful to get some orders.

Moderator: The next question is from the line of Viraj from Juptier Financial.

Viraj: what would be your vision on the RITES, 3 years from here? And secondly, some thoughts on sustainable business, which is there for RITES certainly?

Rahul Mithal: So as far as answering your second question first, in terms of sustainability, we started this vertical last year. We found that we

had

been doing a lot of work in sustainability across our various verticals, which was part of the consultancy, let us say, like highway project or a metro project or a building project, et cetera. We grouped these sources, tapped into some more resources and formed a dedicated sustainability vertical.

And within few months we have got forays into orders for Swachh Bharat Mission, air pollution and solid waste management, etc. So moving forward, we see this as a very good opportunity. There are large budget allocations from various states and the central government, and 188039/2023/P&C228

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with our experience and our credibility, we will be looking to leverage this opportunity.

As far as vision is concerned, we are clear that we are a niche consultancy company, and we would like to reaffirm that. We will move in the direction of being the go-to consultancy company, both domestic and international and shall continue to grow in that area.

Viraj: Any numbers on that, sir, like for 3 years down the line any targets, which you would probably love to achieve it?

Rahul Mithal: I wouldn't like to speculate on numbers, but the aim would be to have a healthy growth. We would like to grow in a healthy manner on the bottom line. And as well in spite of the changed ecosystem, where a number of policies have changed and wherein most of the opportunities now are on competitive bidding, we are geared up for that. So while the margins would be under stress, but we will try to secure and maintain the margins. We would like to grow on the trend of investor shareholder value, which we've been maintaining in the last few quarters.

Moderator: The next question is from the line of Uttam Kumar Simal from Axis Securities Limited.

Uttam Kumar Simal: Sir, what was the impact in the quality assurance business in this quarter in terms of revenue?

Rahul Mithal: So you see the new orders started cutting in the order. The inspection calls, as per the reduced rate started cutting in from this quarter. And this impact will only grow, as the old inspection calls as per the old inspection rates are now nearly over. This quarter itself, if you compare Y-on-Y, the impact on the revenue has been INR15 crores and the impact on the profit has been about INR10 crores. So while the new rates were cutting in, we parallelly took action to build up on the other client base, as well as rationalize some cost, so that the impact could be blunted to the extent possible. 188039/2023/P&C229

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Moderator: The next question is from the line of Harshit Kapadia from Elara Securities.

Harshit Kapadia: And sir, just 2 questions from my side. So this is the fourth export order, which you got for wagons. So just wanted to understand, since we are not going to manufacture these wagons or probably, we have a subsidiary called a SAIL -RITES JV, would they be manufacturing wagons or it would be given to PSU or the private company?

Rahul Mithal: So you see, first of all, as I clarified, we have not yet got that order. But in terms of SAIL -RITES, it has already got an order for wagons from Gatex. And we are trying to get some orders in the railway wagons, which they are tendering, aiming for about 900 wagons. We are trying to build up on that. And moving forward, as we are able to cater to these orders, maybe expand and see how SAIL -RITES can cater to export orders also. We have a MOU with RDSO approved firm called Jupiter Wagons. And whenever we get an order for wagons, we would be sourcing wagons from them for export, at least as of now. Till the time SAIL -RITES is able to expand its capacity after completing its current order book. We are geared up for export.

Moderator: The next question is from the line of Harshit Ka

padia from Elara Securities.

Harshit Kapadia: Just wanted to get a clarification on the quality assurance business. So does it mean, you were earlier doing some inspection work already for railways, and RDSO and others, a few agencies were doing other work for railway in terms of inspection. Now it is an open-door thing, so, you can also bid for something, which you were earlier not doing, and you can get that business, as well the price at which you quote. Is that or you're only confined still to your domain and where the prices are lower, just understanding on that.

Rahul Mithal: Let me clarify. Traditionally, we were doing both railway inspection, and we had a number of clients, who were not railway clients. This particular tender, which got finalized a few months back is for the railway portion of business, where 4 agencies, RITES being one of them, have been fixed 188039/2023/P&C230

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for those products. And there, the rates on an average have come down by 1/5 from the earlier rate.

We would, in any case, while doing that for the railway inspection portion would -- to, as I said, to blunt the impact, we would like the volume of orders of other clients, which we have that volumes to grow. The rates based on quantum or the scope of inspection are decided on a client-to-client basis. That is being done even today.

Harshit Kapadia: Just another question on how you look at the domestic consultancy business pipeline in present time, sir, if you can highlight some projects, which you are working on some large projects that would be great, sir?

Rahul Mithal: The overall consultancy order book, as of 30th June is INR 2,700 crores. We witnessed a good trend of getting more than 60-plus orders in consultancy in quarter 1. The orders which I mentioned show the kind of orders, which we are getting across sectors. Q1 has shown a very healthy trend in spite of the impact on the other streams of revenue, like export and QA. The domestic project consultancy grew by about 10% year-on-year and gave good margins. That is why overall in consultancy, including QA, we could maintain margins of 44%.

. In fact, the overall contribution of consultancy is 53%, which is in line with our vision, of having consultancy above 50%. International consultancy in the total consultancy pie has contributed about 12%. We would want that this contribution grows in the coming quarter.

So, both in terms of securing fresh orders across sectors of infrastructure or expediting the existing orders, especially the high-margin consultancy order, as well as getting fresh international

consultancy orders and getting revenue from the existing international consultancy orders, I see a healthy trend in all these areas of consultancy moving forward in the coming quarters.

Moderator: I now hand the conference over to Mr. Harshit Kapadia for his closing comments. 188039/2023/P&C231

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Harshit Kapadia: Thank you, Lizann. We would like to thank Shri. Rahul Mithal, Chairman and Managing Director; Shri. A K Singh, Director Projects; B P Nayak, Director Finance; and Shri Dr. Deepak Tripathi, Director Technical for giving us an opportunity to host this call. We thank all investors and analysts for joining for this call. Any closing remarks, Rahul sir?

Rahul Mithal: I said at the outset, our strategy moving forward will be in line with the strategy at the beginning of this FY. We saw the movement in the right direction, blunting the impact of the changed scenario and building up on our core strength. And I'm confident that as the Q1 has shown, we will build up on this trend and tap the opportunities, both in the domestic and the international sector moving forward. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of

Elara Securities Private
Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

-End-

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188039/2023/P&C232

Call: Nov 2023

No. RITES/SECY/NSE
Date: November 08, 2023

To

Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C-1, Block G, Bandra -
Kurla Complex, Bandra (E), Mumbai –
400051

To

Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Code- RITES

Scrip Code- 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call
held to discuss Financial Results for quarter and half year ended 30th
September, 2023

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations 2015

Dear Sir/Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and
investors held on Wednesday, November 01, 2023 to discuss the Financial Results of
the Company for the quarter and half year ended 30th September, 2023.
You are requested to take this information on record.

Thanking You,
Yours faithfully,
For RITES Limited

Nikhil Agarwal
Company Secretary & Compliance Officer
Membership No.: A42626

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"RITES Limited
Q2 FY '24 Earnings Conference Call"
November 01, 2023

MANAGEMENT : MR. RAHUL MITHAL–CHAIRMAN AND MANAGING
DIRECTOR– RITES LIMITED
MR. A.K. SINGH – DIRECTOR PROJECTS – RITES
LIMITED
DR. DEEPAK TRIPATHI – DIRECTOR TECHNICAL –
RITES LIMITED

MR. K. G. AGARWAL – DIRECTOR FINANCE - RITES
LIMITED

MODERATOR : MR. HARSHIT KAPADIA–ELARA SECURITIES PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the RITES Q2 FY '24 Earnings Call hosted by Elara Securities Private Limited. As a reminder, all participants' will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded.

I now hand over the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you, and over to you, sir.

Harshit Kapadia: Thank you, Malcolm. Good morning, everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY '24 and H1 FY '24 conference call of RITES Limited. I take this opportunity to welcome the management of RITES represented by Shri. Rahul Mithal, Chairman and Managing Director; Shri. A K Singh, Director Projects; Dr. Deepak Tripathi, Director Technical and Shri. K. G. Agarwal, Director Finance. We will begin the call with a brief overview by the management followed by Q&A session.

I'll now hand over the call to Rahul, sir, for his opening remarks. Over to you, sir.

Rahul Mithal: Good morning, everyone. So I go ahead with the opening safe harbor statement. The presentation and the press release, which we uploaded on our website yesterday and all discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously, carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically. In my opening comments, a brief overview of the Q2. It's been a tough quarter but has been satisfying for our entire team is that it is in line with the strategy we had envisaged at the beginning of the FY to tackle the twin challenges of revenue from my export stream of business and

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for the changed dynamics in the inspection consultancy stream of business. It was a threefold strategy: one, to give more and more stress on the project consultancy revenue, which has seen a substantial increase, both sequentially as well as Y-o-Y as well as getting fresh orders in consultancy.

The second was to try and diversify the client base in the inspection stream of business from more and more non-IR clients to minimize the impact of the changed dynamics that also has seen a substantial improvement sequentially. There has been a growth in the client base and an increase in the revenue also. And third was to aggressively pursue export opportunities so that the major dent in both top and bottom line from the export stream of revenue, that gets mitigated. We are quite happy that we have been declared L1 in 2-3 locations, order value of about INR1,500-plus crores and we are looking forward to them being converted to finite orders in the coming weeks, which we will pursue for generating revenue in the coming quarter.

So all in all, a tough quarter. But yes, satisfaction that all three fronts have seen a substantial progress, and we will continue to work in that direction. With those opening comments, I'll leave the field open for questions.

Moderator: Thank you very much. The first question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: My first question is regarding the export business. So in the last quarter, we had two order wins of Zimbabwe INR850 crores in Mozambique INR500 crores. And recently, we have one order in Bangladesh of INR900 crores. If you can update on all three of this where it is by when you expect to sign the agreement and find we can start working on these projects and how much time it will take for th

e execution?

Rahul Mithal: Good morning Dixit. So yes, in terms of all these three, we were in the Mozambique tender and the Bangladesh tender, declared L1. And the

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TEC proceedings are on. We are looking forward to them getting ratified as soon as possible in the coming weeks that they get converted into an LOI. We have not yet added any of these to our order books. When we will get a finite LOA only then we will add it to our order books, but we are looking forward to them getting converted soon. The Bangladesh is for 200 coaches and Mozambique could be for locos could be wagons or both. So that would depend on what the LOA finally comes, what quantity comes.

All these three types have different delivery scheduled based on the production cycle. But our efforts would be to at least start generating revenue from them latest by Q1 of the coming FY and then stabilize it on a steady basis quarter-on-quarter and the coming FY. So definitely, next FY these orders should generate revenue.

Dixit Doshi: Okay. And update on Zimbabwe?

Rahul Mithal: Yes. So the Zimbabwe one was an agreement signed about 4 months back when the Zimbabwe delegation came here, it was an agreement signed for locomotives and wagons. Subject to their funding being approved by their funding agencies. They are still under the process of taking all requisite approvals from the government. We are ready with all necessary steps to be taken as soon as the agreement is signed. Again, we are looking forward for that to get signed in the coming months. But all 3 of them are progressing parallelly, they could mature as I said, in the coming weeks and months, definitely sometime in this quarter.

Moderator: The next question is from the line of Shreyans Mehta from Equirus.

Shreyans Mehta: So during this quarter, we've seen issues or, I would say, pressure across segments in terms of margins, except for one. So fair to assume this is the new normal or this is just a one-off?

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Rahul Mithal: No, very correct. You see all the 4 streams of revenue are more and more getting opened to the competitive mode. You saw that in the inspection stream from the IR. Consultancy across all my 13 verticals across all areas of infrastructure are getting more and more coming in the competitive mode rather than the nomination mode. While our efforts are still on to continue with clients who are being traditionally giving some orders on nomination.

However, that's the new normal as you correctly said. And obviously, when you have competitive mode whether both in the domestic bidding or international bidding margins are definitely going to be lesser than what traditionally they have been in the pure nomination era. So for sure, moving forward, in all streams of revenue, all by 4 streams of revenue, margins would definitely be under continued stress.

Shreyans Mehta: All right. Any number you would like to assign in terms of guidance, say, '22 to '24 something?

Rahul Mithal: You see each of the four streams of revenue have wide ranges of margins, from turnkey to the consultancy. Even within consultancy, they keep vary. So it would not be proper right now. This is evolving over every quarter, the mix is changing between competitive to nomination. I can only say that all efforts are there to secure margin as close as possible to the historic levels.

Moderator: The next question is from the line of Rohit Natarajan from Antique. Please go ahead.

Rohit Natarajan: Sir, if you could tell me what was the QA number booked in this particular quarter? And what was the kind of margins attributable to that?

Rahul Mithal: You see, I can tell you that QA if you compare Q2 Y-o-Y, we got a dent of about INR25 crores. On an average QA used to be about INR90 crores to INR100 crores a quarter. And this took a

dent of about INR25

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crores starting from Q1 this year. However, as I said in my opening comments, the aim was right from last few months to diversify our client base.

And that is why Q1 to Q2 saw about a 7% growth in the QA revenue from about INR73 crores to about INR78 crores. So I have been able to balance out the dent in the margins in the competitive mode of QA vis-a-vis getting revenue in higher streams of project consultancy, and we could see an overall consultancy margins of about 40%.

Moderator: The next question is from the line of Yash Gupta from Think Site Advisory.

Yash Gupta: Sir, my first question is on the QA. Clear you're saying that currently, we are at INR75 crores on a quarter-on-quarter basis. So what the expectations for the second half of the year? Are we expecting on the same line? And as we have already said that margin that QA has always did this. So we are expecting further dip in the margin in FY '25 also?

Rahul Mithal: Yes. You see very correct. Yash. As I mentioned, average, the quarter revenue in QA used to make INR90 crores to INR100 crores. That's been the trend. Last Q2, last FY was about INR98 crores. So, we are aiming to go reach back that level by diversifying our client base. As you see, the trend is already moving towards that INR73 crores in Q1, INR78 crores in Q2. We are aiming to reach back those levels in the quarters of next FY.

It's a tough challenge to come back to those levels, especially since the IR business, now you are 1 among 4, including the reduced rate. So the hit is both in terms of the quantum as well as the rate. So to come back to those levels, it's going to be a tough challenge in the coming quarter. But as you correctly said, the margins also will be constantly under stress in this stream of business. So our aim is to come back to those

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levels. But as you see, the upward swing is already there, 73 to 78, about 7-odd percent, and we would continue to aim for that.

Yash Gupta: So we expect a normal edge too also on the QA business.

Rahul Mithal: Let me not use the word to our expect. We would say that the aim for coming back in the coming quarters, in the coming few quarters to the levels of revenue of QA that we were in the previous FY.

Moderator: The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj Mithani: My question is regarding QA only, we had some joint venture with some international companies. Can you give some color on that? Like what is the update? How it's going to be planning in future? Any update on that would be helpful.

Rahul Mithal: Yes. In fact, that was initiated a few months back as part of many such initiatives which we are taking. So what we are trying to do in QA is, one, as I said, expand on the client base. So we are starting to get orders from non-IR both government as well as private clients.

Two, we are exploring opportunities in the international QA, which was the reason for partnership with the company or we are trying to also look into areas of application of AI into QA for which we have recently partnered with IIT Roorkee. So all of these are aimed at giving the client another level of QA, increasing the client base and coming back to the levels of QA, which we work even in this changed ecosystem.

Viraj Mithani: Is it going in the right direction? I mean what's your sense I understand the business takes time, but is it going in the right direction?

Rahul Mithal: Yes, we can say with satisfaction that it's moving in the right direction. You see coming from 73 in Q1 to 78 in Q2 at least the number of clients have also increased. I see a positive movement in response from a number of new clients including our ISA certification, which we got,

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which is giving us a number of new prospects of inspection like metros, etcetera. So we are going in the right direction.

Yes, it's going to be a tough call in the coming quarters if we come back to previous levels of revenue. And then at those levels, margin obviously to get those on the margin would be wait out, but it is getting back those levels of revenue and then substantially building up on the part of the EBITDA and profits from the business.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited.

Dixit Doshi: On the export front, so once we signed the agreement, typically, how much time goes into the designing and how much time it will take to start recognizing the revenue in the P&L and the margins will be similar of the historic export orders of 24%, 25% and lastly, on the export, is there any more large ticket export in the pipeline?

Rahul Mithal: So let me -- you asked 3 questions. Let me quickly break down into 3 parts. First, you see these types of stock in these we were L1, which have coaches, locomotive and wagons. Now each one of them, as you can appreciate have a different time frame. The shortest is for the wagons followed up by coaches and then followed up by locomotives. So our aim is that blended mix between the 2 -- from the time that we get the formal LOA agreement, we are aiming of at least 6 to 9 months' time maximum, we start generating some revenue from the wagons, coaches, locomotives as early as possible.

Rahul Mithal: So in terms of the second thing about margins, which you asked, as you can see, the Bangladesh tender, as I said, was an open global tender on a competitive mode, which is open to all the countries, the suppliers in the world. This is the first in the last so many odd years, may be the first one vis-a-vis most of them which were either through the line of credit or a G2G basis.

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So obviously, the margins moving forward where you're competing and trying to get orders in global tenders in a competitive mode cannot be the same level. Definitely, margins in the export stream also will be definitely comparatively lesser than what they have been there in the

past.

In terms of the third part of your question, in terms of big ticket orders anymore, we have been continuously aggressively bidding across the continents, both Southeast Asia and Africa and Latin America they have started yielding results, as you can see. It would be premature for me to pre-empt anything, but as soon as we get something, we will definitely declare to the exchanges. But I can only say that a number of opportunities are being bid for literally on a weekly and monthly basis.

Moderator: The next question is from the line of Shreyans Mehta from Equirus.

Shreyans Mehta: Sir, my question pertains to our top line. So assuming the export orders, as you've been guiding would be probably 6 months, 9 months down the line. So is it fair to assume or probably are you confident that we'll be able to meet the last year's numbers as far as the top line is concerned?

Rahul Mithal: Well, as you've seen from the numbers and the mix of the revenue vis-a-vis what it was last year, it's not an apple-to-apple comparison because the mix is totally different. While our aim is to reach back to those levels, the first aim is to reach back to as close to levels of EBITDA and profit to last year. And then, obviously, parallelly working on reach back to levels of revenue last year. This is a new consolidation and holding on and trying to make as many in all the 3 fronts, which I mentioned at the outset, substantial progress in a quick manner so that we are able to use them and start generating substantial revenue and profits in the coming FY.

Shreyans Mehta: Got it. Got it.

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Moderator: The next question is from the line of Yash Gupta from Think Site Advisory.

Yash Gupta: Second question is on your consultancy business. So consultancy used to do around to be like INR300-plus crores of revenue. And in the QA business, you are getting head-off around to be like INR25 crores to INR30 crores. So my question is that what about the other business, the other part, other in the consultancy other than the QA business, how that particular business performing? Are we expecting like 10% to 12% growth there and marginal stagnant? Or there also we are hoping submitting the margin as well as the growth.

Rahul Mithal: You see, as you correctly pointed out, my core stream of revenue is consultancy and in project consultancy, in terms of the revenue, we saw a 20% growth Y-o-Y and a 10% growth sequentially. There is substantial growth, both in the project consultancy revenue as well as the QA revenue sequentially, which you saw. So you could see an overall growth in the consultancy revenue of about 5% Y-o-Y.

And you take the project consultancy, which is a substantial portion of the consultancy, that, as I said, saw 20% growth Y-o-Y and a 10% growth sequentially. So the key factor is that consultancy, which is our core strength is substantially growing not only in terms of revenue realization, but in terms of getting fresh orders also.

So this quarter, we have got about 78 orders, which is on an upward trend from about 70 in Q1 which is currently at the rate of 0.85 orders a day. And the way we are progressing, we are aiming for a milestone of reaching 1 order a day in the coming quarter. So consultancy is progressing well. I've already explained to you about the prospects in exports. Leasing is another about 5% of my pie which is also growing, margins have been healthy. So that's quite a steady growth. Turnkey is our limited area, which we are not really a construction company, but we've got an order book of INR2,500 crores and turnkey revenue

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would keep on being maintained at a steady level. These are very low margin, and this is not primarily our main line of business.

Yash Gupta: Sir, in the project consultancy as you've told that 20%. So the margins are constant there? Or there is some special margin there also.

Rahul Mithal: No. because the mix from inputs and because of the inspection, we have taken a hit on the margin. And even within project consultancy, as I said at the outset, because of more and more competitive bidding in certain sectors, project consultancy also are under strain. So, maintaining margins at the historical level, whether it is for inspection stand-alone or consultancy overall, which includes project consultancy, is always going to be a tough. However, we have still been able to maintain overall consultancy margins at about 40% which is going to be a tough, but we are aiming to be as close as possible to the historical margins moving forward.

Yash Gupta: Small suggestion toward the moderator, if you can allow 2 questions for participants, it will be much easier for us.

Moderator: The next question is from the line of Vishal Periwal from IDBI Capital.

Vishal Periwal: My question is on the margins. I think you did highlight a little distress on the margins in this particular year. But in this quarter, if you look at, there has been a weakness in margin in consultancy as well as there was a loss at EBIT level. At turnkey also, there has been a decline. In all three, you expect the same kind of trajectory going ahead? Or probably there is one-off in turnkey and export in this quarter?

Rahul Mithal: No. As I said, in all core streams and for the reasons as I said for exports, because now it is more and more of competitive global tenders, which we are aggressively bidding, have lesser contribution compare to LOC type G2G contracts. Now more and more

around competitive bidding
on global tenders, so export margins are not at the same levels
historically.

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Consultancy since inspection itself is a part of the consultancy revenue and for the reason explained as well as project consultancies, some of the sectors in project consultancy with more and more being opened up to competitive bidding will definitely also see a stress in margins.

So turnkey, by nature itself are in the range of about 2%-3%, which on a steady basis on an annual basis will even out in about 2%-3%. So maybe a quarter wherein there is a fluctuation in the turnkey margin.

But on overall in a project or the milestones get achieved in construction, they will be out on an average about 2%-3%.

Leasing is the good level of margins with business of 5%. We are planning to expand the client base also in leasing. We would gain or getting more revenue and more profits in leasing. But overall, yes, in terms of the overall core EBITDA, blended core EBITDA for the entire company for all the reasons in all 4 streams of revenue that I explained maintaining margins to the level that they were is always going to be tough, moving forward.

Vishal Periwal: Okay. So, it's basically change in the guidance earlier, like revenue growth will be flattish, margin improvement will be there. So there's a change in the guidance on that front. Profitable growth. So that at least in FY '24, it looks challenging, FY '25, whenever the export moves up, then only the traction could come? That's broadly one can summarize.

Rahul Mithal: So basically the change in challenges this year started with the same 2 challenges and the strategy of trying to hold on and maintain levels of revenue and EBITDA to last FY. And that is what our aims are going to be, that we're moving forward in the coming 2 quarters, even with the strength in margins because of the mixed blend both inspection

and export our high-margin contributors to the overall pie. So definitely, margins comparable to last year will be tough. But the aim of trying to reach the levels of revenue and EBITDA or PAT at last

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FY that aim will always still be there for this FY we are holding on and consolidating and next FY, growth in both the top and bottom line with even the stress from market.

Moderator: Mr. Periwal, I am sorry to interrupt you. I would please request you to please join the queue since we have more participants for more questions. If you could please join the queue back again. The next question is from the line of Viraj from Jupiter Financial.

Viraj Mithani: I wanted a color on REMCL. How are things progressing there? And what are your feelings about it?

Rahul Mithal: Thank you for asking that. In fact, REMCL is actually to our happiness and satisfaction moving forward aggressively. The revenue grown substantially. If you compare Y-o-Y, Q2, both revenue and profit, a growth of about 17% in revenue, a growth of about 16% in PAT.

It is successively for quarters now it is paying dividend to both the RITES and IR, it has paid the highest ever dividend during this quarter. About, 99% plus of its profit, it is distributing a dividend. REMCL is moving forward very aggressively, both in terms of its traditional line of business as well as the net zero emission of Indian Railways is already finalized the first tender of RTC a few months back, and it's on the part of processing other similar RTC tenders in the coming quarters.

Viraj Mithani: Is it fair to grow at double-digit margins, double-digit revenues, I mean high double-digit revenue.

Rahul Mithal: It will go at a steady pace after because electrification is increasing, the traffic is increasing in IR. So it will grow at a steady pace. It's obviously garnering all possible growth that is happening in IR, both in electrificatio

n as well as traffic. However, after a certain stage, coming forward, we'll give you depending on when a certain entire level of electrification is reached. By that time, definitely, there will be a substantial growth.

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Moderator: The next question is from the line of Parimal Mithani from Credential Investments.

Parimal Mithani: I just wanted to know, sir, REMCL last year, there was almost INR95 crores in revenue and INR45 crores in PAT. And current year, we almost come to INR79 crores and INR42 crores in PAT. And this is just for the existing electrification using. Do you think we can surpass last year's revenue in this current year itself with the same margins?

Rahul Mithal: Yes, for sure. We are already moving in that direction. As you are currently saying the figures compared to last year has been a substantial growth. And even, as I said, Q2 Y-o-Y has seen a 16%, 17% growth both in revenue and profit. So with the increase in electrification and traffic growth in IR we are on path for definitely exceeding last year's revenue as well as profits in REMCL.

Parimal Mithani: The dedicated freight corridor, do we do any part in REMCL right now, sir?

Rahul Mithal: Only IR is a client right now, which includes dedicated freight corridor.

Moderator: The next question is from the line of Sampat Nayak from Tiger Asset. Please go ahead.

Sampat Nayak: Yes. So all our future projects will be on a competitive basis, right? So the bidding will be on a competitive basis, right?

Rahul Mithal: I mean, it's unfair to use the word all. I can only say that the trend is

moving towards more and more competitive bidding across all streams of business. That's the trend now, and that is across sectors. Sampat Nayak: Right. And can you give a ballpark number on this sustainable EBITDA margins going ahead?

Rahul Mithal: So as I said, it's not fair for me to give a number, considering it's an evolving situation. There are 4 blends, 4 streams of revenue. The fact is across all 4 stream of revenue for the reasons that I explain some time

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back are definitely going to be difficult to maintain at the historical level. But yes, the dip or the variations in the margins in each of the 4 streams will be different. Overall, also on a blended mix, the margins maintaining at the previous levels is going to be a tough call.

Moderator: The next question is from the line of Rohit Natarajan from Antique. Please go ahead.

Rohit Natarajan: Sir, I see that you're doing a lot of collaboration with state-owned entities like PFC, IRFC. What is the scope of adding up consultancy order inflows through that kind of collaboration? Can we assume, like, for instance, PFC fit mix incrementally a loan of INR1 lakh crores, is it possible that INR1,000 crores could possibly come as consultancy revenue for potential pipe for RITES. Could you elaborate on those aspects?

Rahul Mithal: You see, not only IRFC and PFC, we are very aggressively trying to collaborate and partner across various sectors with our goal of trying to be a 1 order a day company. We have already reached about 0.85 orders a day in quarter 2 and moving forward, we feel that 1 order a day is reachable in the coming quarters. Specifically an IRFC and PFC type of collaboration.

It is more for projects or infrastructure projects which they plan to invest as they are both diversifying from their core sector like power and IR they're diversifying into other sectors also. So they want to use our experience of doing due diligence for their various investment opportunities, which they plan to invest in. So these are the initial deals where collaboration started as they grow and as they invest more in various sector, depending on the scope of work for each consultancy that we get from them, I see a good opportunity of get

ting orders from
both of them.

Rohit Natarajan: Sir, just to follow up on that. The conversion of this 1 order a day in terms of ticket size, what would that number look like?

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Rahul Mithal: So you see consultancy is a wide range you could have an order of INR50 lakhs, you got an order of about INR30 crores, INR40 crores, depending on which portion of the value chain that you enter in. So it's very difficult to give you number of 1 order, you can have the historical trend, which will give you an order and average. For example, 78 orders we got in quarter 2 this year, totalling to INR329 crores. So these are the average consultancy range of order that we get.

Moderator: The next question is from the line of Shikha Doshi from Axis Securities. Please go ahead.

Shikha Doshi: Could you give a guidance on the capex for this year?

Rahul Mithal: So we are a low capex company. We really don't -- our average capex has been in the range of about INR100 crores, INR150 crores traditionally. This quarter, we did a capex of INR28 crores bringing the cumulative to H1 to INR63 crores. And we would end up ending up somewhere around about INR145 crores, INR150 crores. That's the historical trend that we have. We are moving forward also we're not

going to be a major capex company, we range in that about INR100 crores or maybe less.

Moderator: The next question is from the line of Mehul from Nuvama Wealth. Please go ahead.

Mehul: Observing the dividend payout ratio over the last decade, there has been increased substantially from 20% to about like nearing 100% now. So is there -- if I look at like in the business segment, seems like it's not that significant change like over the period. So how should we look at what is driving that like?

Rahul Mithal: Yes, I'm glad you asked this question. It is a reiteration that we are a consultancy company, we are not a construction company. We are not an infrastructure capex company. With that clarity, long-term clarity in our core business and our core business strategy, once we are very clear and as a reconfirmation and reiteration of that, we don't see any

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reason of holding back on dividend and that is why we are flowing back the earnings that we get to our stakeholders and that's why you are seeing a steady dividend payout ratio of 90% to 93%.

Moderator: The next question is from Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Sir, a question from my side on the export front. So we have already seen the 3 orders probably you'll be getting in a few weeks and month time. But beyond that also, do you see a reasonable amount of pipeline which you could be working on? Because if I remember from last year onwards, we have been saying that every year, you will see some orders which will be coming up. So beyond these 3, is there a pipeline that you will be looking at? Or probably there could be some amount of lumpiness again, which has been the case.

Rahul Mithal: Mentioned that. Glad you asked this question because, again, this is reconfirmation of our strategy, which we started last year post-COVID as the world was opening up to reach out aggressively to all possible clients across the 3 continents, whether it is Africa, Southeast Asia or Latin America. And we did not rely purely only on G2G or line of credit type of tenders. We are now building, as you see from a live example of this Bangladesh coaches tender. This is an EIB-funded tender. And so we are now bidding aggressively literally on a week or a month basis, not only in LOC G2G type contracts. But global tenders of export. So with this, to my mind, is just the beginning and our aim will be not to see any lumpiness leading to this being some challenging quarters for us in terms of export tech revenue. So our aim is that we have

enough orders coming on a regular basis in exports, so that the contribution from this stabilizes over a period of time in the coming quarters on a steady basis.

Moderator: The next question is again from Harshit Kapadia from Elara Capital. Please go ahead.

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Harshit Kapadia: Sir, just a question on the turnkey construction. We saw a decline by 6% in this quarter. Now was that because of normally Q2 is generally a weak quarter because of monsoon. So in fact, activities are slow or is it because some of the projects have not reached the threshold level have you not able to book the revenue portion. If you can give us some sense on that.

Rahul Mithal: Yes. There was a slight dip in the revenue in turnkey in this quarter, not on very major substantial reason for RITES, except that we still have an order book of INR2,500 crores and various projects are at various

stages. So it's a question of some reaching, some particular stages in their completion and booking of the revenue. Moving forward, normally traditionally Q3-Q4, things pick up more in construction contracts. And I see this trend going forward in the turnkey stream of revenue in Q3-Q4 to increase substantially as these projects progress at a faster pace.

Moderator: The next question is from Rohit Natarajan from Antique.

Rohit Natarajan: Yes. This is just a follow-up on the IRSDC investment, which will probably get transferred to RLDA. Your investments of INR48 crores, I see that you have mentioned you don't see any impairment risk in that business. But could you clarify us in what are the future plans or RLDA has? Would there be a further equity participation in future projects for RLDA where the company will allocate some capital to these particular segments.

Rahul Mithal: See, Rohit, it's not fair for me to comment on RLDA plans. I can only say that our investments, as I've been saying earlier, it is safe and it's in the process of being wound up and the necessary processes are leading to a logical conclusion timely. We are pursuing it, watching it very closely. We don't expect any hit or impact at all. And that is where I'll limit my comments.

Moderator: The next question is from the line of Vishal Periwal from IDBI Capital.

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Vishal Periwal: Now I think you mentioned that as the competition is increasing and how the P&L changes could happen. From a balance sheet point of view, does this differ, will that increase in the working capital requirement or things like that, that you can provide a color.

Rahul Mithal: No, not really, Vishal. Our model, traditionally, as you've seen, our working capital requirements are very minimal. We are a debt-free company also. So this change of mode of awarding contracts is not really going to change the working capital requirements moving forward.

Moderator: The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: So the first half has seen a degrowth in terms of top line consolidated level. So do you think by the year-end, you'll be able to make up and at least reach FY '23 levels or that EBITDA from the revenue front?

Rahul Mithal: Yes, as I mentioned some time back, that, even with 2 major contributors being not there, compared to last FY, and even if these few export opportunities fructify into finite contract agreements in the coming weeks as you saw from my detailed explanation regarding the time frame for export revenues, the earlier that we could expect revenue would be Q1 in the next FY.

So yes, coming back to levels of FY '23 is going to be a challenge. But having said that, our efforts are on to compensate and minimize the impact as much possible by the growth in the project consultancy range, which, as I mentioned, this quarter also saw a 20% growth Y-o-Y compared to Q2. So

with that, we are trying to compensate levels of reaching back both in terms of bottom line and top line comparable to last FY.

Rahil Shah: Okay. Got it. So then from that perspective, FY '25 should see a substantial growth overall?

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Rahul Mithal: Yes, for sure.

Rahil Shah: Any ballpark percentage you can attached to it right now or then be typical?

Rahul Mithal: Not fair right now to pre-empt, but you see the direction in which we are moving. Even with 2 streams of revenue, having taken a hit if we are able to touch back the base of FY '23. And with these orders of exports generating revenue in Q1 onwards, we definitely would like to see a substantial growth both in top and bottom line vis-a-vis this base level.

Moderator: The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Just on the clarification, what we are hearing is that there has been some amount of ordering deceleration or other railways that can run up to election. Are you able to also see the similar thing for your turnkey construction projects as well, sir?

Rahul Mithal: So we are still getting a lot of consultancy. I mean we are bidding primarily for consultancy works for IR. We have got a lot of work in consultancy, which is our cost strength 2 sections we got for semi high-speed surveys and consultancy for DPR, we have got some orders for development of rail sidings, the consultancy, final location surveys. We are continuously getting orders, and I don't see any slowdown in that at all.

Harshit Kapadia: What about the turnkey part, sir, on the consultant you clarified, how turnkey is there something also.

Rahul Mithal: We are bidding very limited, as I said, turnkey is not really our main source of revenue. We still have about INR2,500 crores as our order book. We would like to limit it to very limited strategic opportunities, not only in the railway sector, but some buildings or some metro construction, these are the 3 broad areas. Station development, which

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we have been getting few construction orders in turnkey. So we don't see any major slowdown in that. Wherever we feel to balance our optimum turnkey requirements by phasing it out, we are bidding and getting some orders in turnkey business also.

Moderator: Thank you very much. As we have no further questions, I now hand over the conference to Mr. Harshit Kapadia for closing comments. Please go ahead.

Harshit Kapadia: Thank you, Malcolm. We would like to thank Shri. Rahul Mithal, Chairman and Managing Director; Shri. A K Singh, Director Projects; Shri. K.G. Agarwal, Director Finance; and Shri Dr. Deepak Tripathi, Director Technical for giving us an opportunity to host this call. And we also thank all investors and analysts for joining for this call. Any closing remarks Rahul, sir?

Rahul Mithal: Thank you, Harshit, and thank you to all my stakeholders who have the confidence in us. And as explained, we are on the track for the consolidating our position. We see progress in all the three areas which we have strategized as our way forward for this FY. All key fronts, as I explained, are moving in the right trend, if you see sequentially also. With that and our recent being accorded the Navratna status a few weeks back, which is a feather in our cap in our 50th year, as we reach 50 years in April. And the fact that we are currently at 0.85 order day, aiming to be a one order a day company, I see interesting quarters moving forward. Thank you very much.

Moderator: Thank you. On behalf of Elara Securities, Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

-End-

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Call: Feb 2024

No. RITES/SECY/NSE
Date: February 08, 2024

To:

Listing Department,
National Stock Exchange of India Limited
'Exchange Plaza', C-1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai - 400 051

To:

Corporate Relationship Department
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai – 400 001

Scrip Code - RITES
Scrip Code - 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call
held to discuss Financial Results for quarter and nine months ended 31st
December, 2023

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations 2015

Dear Sir/Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and
investors held on Friday, February 02, 2024 to discuss the Financial Results of the
Company for the quarter and nine months ended 31st December, 2023.

You are requested to take this information on record.

Thanking You,
Yours faithfully,
For RITES Limited

Nikhil Agarwal
Company Secretary & Compliance Officer
Membership No.: A42626

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"RITES Limited Q3 FY-24 Earnings Conference
Call"

February 02, 2024

MANAGEMENT : MR. RAHUL MITHAL – CHAIRMAN AND MANAGING

DIRECTOR.
MR. A.K. SINGH – DIRECTOR PROJECTS.
DR. DEEPAK TRIPATHI – DIRECTOR TECHNICAL.
MR. K. G. AGARWAL – DIRECTOR (FINANCE).
MODERATOR : M R. HARSHIT KAPADIA–ELARA SECURITIES PRIVATE LIMITED

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Moderator: Good morning, ladies and gentlemen. Good day and welcome to the Q3 FY24 Earnings Conference Call of RITES Limited hosted by Elara Securities Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you, and over to you, sir.

Harshit Kapadia: Thank you, Aditya. Good morning everyone. On behalf of Elara Securities, we welcome you all for the Q3 FY24 and Nine Month FY24 Conference Call of RITES Limited.

I take this opportunity to welcome the management of RITES Limited represented by Shri. Rahul Mithal – Chairman and Managing Director; Shri. A K Singh – Director Projects; Shri. Deepak Tripathi, Director Technical and Shri. K. G. Agarwal – Director Finance.

We will begin the call with a brief overview by the management followed by Q&A session.

I will now hand over the call to Rahul, sir for his opening remarks. Over to you, sir.

Rahul Mithal: Morning everyone. Let me begin with the Safe Harbor Statement:

The presentation and the press release, which we uploaded on our website yesterday and all discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously, carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically.

So, let us break down the Q3 numbers:

If you compare Y-o-Y the revenue has been flat, profits have dipped by about Rs.18 crore and the hit has been by the two identified areas about Rs.25 crore from the export stream of revenue and about eight crore from the inspection stream of revenue. which, as you are aware due to changed goalposts now. croreIn line with our efforts and push to maximize the project consultancy stream of revenue to minimize the

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impact of these two streams the YoY, the project consultancy revenue saw a growth of 21%.

And what we are happy that the challenges and the strategy that we identified at the beginning of this FY to counter these two impacts to the maximum and minimize that impact have seen a steady growth sequentially in line with our strategy.

And if you compare sequentially, all the areas whether revenue Q2, Q3 has gone up by about 20%, EBITDA has gone up by 30%, PAT has gone up, margins have gone up by about 2% and project consultancy has continued to grow, so sequentially also it has grown by 5%.

So, this is in line with our direction, consolidating our position in this FY. And the biggest, the happiest moment for us was when we got the first export order after a gap of four years. So, that also now will start generating revenue. And finally, we can be proud to say that we are now a one order a day company. In quarter three, we got +100 orders totaling +600 crore. So, our immediate target of being a one order a day company is now in place.

And with this, I think consolidating our position moving forward, will only see further improvements sequentially also. So, with these opening comments, I leave the floor open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Yash Gupta from Thinkside Advisory. Please go ahead.

Yash Gupta: Sir my question is on the consultancy margin, in the last four, five quarters we have seen a volatility in the margin, in this quarter also we saw a dip in consultancy margin, what's your outlook for next financial year FY25?

Ra

hul Mithal: Yes, Good morning Yash. See in consultancy, all the streams of revenue contributing to the consultancy revenue including the inspection revenue, all of them opening up to competitive bidding and we aggressively bidding and getting orders as I mentioned at the outset, as I said more than +100 orders we got in this quarter, yes, definitely margins will be difficult to maintain at the historical levels even within the consultancy stream and also overall the EBITDA margins, including in each of these sectors. So, while these margins will continue to be difficult, as I said to secure the historical levels, but yes, considering that we are now getting more and more orders and increasing our order book, as you see our consultancy order book has also remained healthy, our aim

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will be to maximize the orders in the consultancy wing, continue with their effective execution so that you see actual growth in EBITDA, in profit while securing margins to an appreciable level.

Yash Gupta: We can say that consistency margin will be around to be 22 to 25 level or below 42%.

Rahul Mithal: You see overall we have a blended mix of revenue and our aim will be that overall our EBITDA margins we will be aiming for anything above +20%.

Moderator: Thank you. Next question is from the line of Viraj from Jupiter Financials. Please go ahead.

Viraj: My question is, we are still in international consultancy what is the reason for that?

Rahul Mithal: See international consultancy, I agree Viraj that the revenue realization of international consultancy has been slightly low in this quarter. However, orders have started flowing in and the way we have bid across a number of geographies in international consultancy, I'm sure that they will start generating revenue maybe about two quarters henceforth. So, in the coming FY, you will see a growth, both not only in the international consultancy contribution to the revenue as well as, as I said at the outset the export order, which has now coming, we have got Rs 300 crore order to start generating revenue next year.

Moderator: Thank you. Our next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Sir my question was pertaining to the export orders. So, as you see, we have just converted partial of our L1 into the firm orders. So, when can we see the larger pie coming, converting into revenues or even into firm orders?

Rahul Mithal: No, see there were two different geographies one was Mozambique, which is the locomotive order, which we have got for 10 locomotives and locomotives are normally a longer lead area and while we are hopeful of pushing them, but they will definitely start generating revenue by latter part of the FY. The second case was where we are L1 for about 200 coaches amounting to Rs. 800+ crore at Bangladesh. We are hopeful that, that should mature into a finite LOA soon in the coming weeks. Coaches since take a lesser lead time, they to my mind will definitely start generating revenue quicker than the locomotives but, both combined as of now should definitely start generating

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revenue in the coming FY, besides this we are pitching for a number of orders and bids for export across various geographies.

Shreyans Mehta: Sure. And sir any clarity on the Zimbabwe orders the rolling stock?

Rahul Mithal: The agreement, as I mentioned last time has been signed few months back, they are pursuing, getting their funding in place. They are moving in the right direction, we are also in closely in touch with them, they are getting the funding from the African Development Bank and all the necessary paperwork is moving in the right direction. And I'm sure that it should mature into a formal finite committed agreement very soon.

Moderator: Thank you. Our next question is from the line of Vishal from IDBI

Capital. Please go ahead.

Vishal: Just one clarification, last time in the call you have mentioned that the two orders which is the Bangladesh is upward of 1500 and Mozambique is upwards of 500. So, just for clarification, so what I can understand like as per the release Mozambique is roughly Rs.300 crore that we have received, and Bangladesh is working out to be like Rs. 900-odd crore so is it like remaining part yet to be, the tender are yet to come out or this is firm like out of 1500 for Bangladesh we have got 900 and similarly for lower for Mozambique. Is that the right way to understand?

Rahul Mithal: No, there's a slight difference, you can recheck the figures what we had mentioned last time was that, 1500 is the total export orders there's a visibility out of that the one

order has converted into a finite order in agreement which is the Mozambique one. The Bangladesh one is in the final stages, where you have declared L1 which is totally ranging in about Rs.800 crore to Rs.900 crore which is what which should mature soon. So, these are things which are immediate visibility, we had mentioned a total pie of the visibility in the range of about Rs.1500 crore.

Vishal: Okay. So, is it that the pie still remains or probably that's all we can get from the Bangladesh and Mozambique as of now?

Rahul Mithal: So, that was including the orders which was in hand, and that has already we have now in quarter three if you see we have exported two locomotives and 10 coaches which has generated revenue. So, now what we see and if something more mature, we become L1, we bid for a number of locations, we will definitely inform you. One portion of the pie which was where you were declared L1 was the wagon order in Mozambique which was approximately about Rs.150 crore to Rs.175 crore to Rs.200 RITES Limited

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crore. And that was the one where while we were declared L1, but at the stage of finalizing the order they didn't give us the orders for various reasons. So, to that extent that out of 1500 that amount has gone down.

Vishal: Right. Maybe just one last thing, so these orders they are in built to us in USD and is it like FOREX and gain and loss that comes to our P&L or how it works?

Rahul Mithal: Yes, it comes to our P&L. So, the approximate figures in INR I'm quoting is approximately at the time of getting the order but obviously the revenue realization happens in USD.

Moderator: Thank you. Our next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Sir with all the change coming online, what would be your guidance now?

Rahul Mithal: So, you see Viraj our main goal at this FY, was to number one, come as close to FY22-23. Number two, to get an export order to increase our consultancy order book have a growth in the project consultancy revenue and continue bidding aggressively while securing our margins to the extent possible. So, with all these as you see at the outset that I mentioned, they are moving in the right direction, what we are aiming is that, this FY we should come as close as possible to the last FY. In the coming FY these export orders will start generating revenue, these large number of consultancy orders that we are getting, will start generating more revenue and this push as you see in the project consultancy revenue which is happening sequentially also, with all this our aim is that next FY, our baseline will be FY22-23, not '23-24. And based on that baseline of '22-23, our aim will be to have a healthy double digit growth in the EBITDA and profits.

Viraj: Even the top line would grow at the same level or would be less than double digit?

Rahul Mithal: Viraj, as I have been mentioning earlier in my various interaction, we are bottom line driven company. And we will aim at double digit growth on the EBITDA and profit on our baseline of '22-23 rather than just focus on the top line, without giv

ing you enough

growth in the bottom line. So, the growth in top line will be governed by the strategy which is aiming to give you a healthy growth in the bottom line.

Moderator: Thank you. Our next question is from the line of Rohit Natarajan from Antique. Please go ahead.

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Rohit Natarajan: Sir, I joined the call a bit late, probably I must have missed it. But if you could just touch upon the over and above the current export pipeline, what numbers are we looking at to finalize this year. Like will it be how many countries if you are talking to, can we make a ballpark statement like maybe \$100 million tickets that will be really helpful sir.

Rahul Mithal: So, if you have seen our figures for last two, three FYs our biggest challenge has been a sinusoidal revenue contribution of the export stream and that is primarily because about more than two, three years we did not get any orders. And more so, it was two years of COVID and one year after these countries were recovering, the economies were recovering from the COVID impact. So, now with the aggressive push that we have had for the last year, these have started generating results. As I mentioned the first order after a gap of nearly four years, we've got of 300 crore, we are L1 in the Bangladesh order which is about Rs.850 crore to Rs.900 crore and these two are the ones which are seem to be right away there, which will generate revenue in the coming

FY. Besides this the opportunity are tremendous we have bid for a number of tenders across geographies in Southeast Asia, in Africa and aiming to penetrate the Latin American market also. So, moving forward, we see a healthy uptick in my export order book.

Rohit Natarajan: Just to confirm, I thought these are G2G orders where RITES become L1 because you have the Government of India financing. So, it should be a nomination.

Rahul Mithal: No, in fact both these orders which we have got, one order which we have got in Mozambique and one which we have declared L1 in Bangladesh. Both are funded by the parent countries in the Mozambique order it was funded by the Mozambique government and in the Bangladesh tender it has been funded by EIB. Both were competitive global tenders where we were competing with a very aggressive competitor base and these are all through complete global tender competition. So, these are not on the G2G basis. Even on cases where there are line of credit extended on G2G, they are through a tendering process floated by the Exim Bank where all Indian entities are free to participate. So, they are also through a tendering process rather than a nomination process.

Moderator: Thank you. Our next question is from the line of Rahul Jain from JM Financials. Please go ahead.

Rahul Jain: I just started covering the company and I had two questions. Are we the preferred consultant for all rail and transportation projects in India and secondly, what

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percentage of projects going forward in the transportation and rail side, do you see RITES being a part of well, that's turnkey or consultancy?

Rahul Mithal: So, let me first answer your specific question in terms of the preferred consultant. You see RITES is now in its fifth decade, we will complete 50 years in April, and I can say with full sense of responsibility that we are the only company in India both in the PSU or the private space, which does consultancy across all areas of infrastructure except maybe oil and natural gas. So, I have 13 different verticals doing consultancy in rail infra, airports, ports, highways, buildings, metro system, sustainability, city planning, et cetera. So, across all areas of infrastructure, we have been getting orders and as I mentioned at the outset, this quarter, we proud to become a one order a day company, we got (+100) orders in 92 days. So, we continue to get orders through com

petitive

mode both in the domestic as well as the International sector.

The second part of your question was regarding turnkey and consultancy. So, we are very clear, we are a consultancy company, we are not a construction company. So, whether it is our order book, whether it is our strategy, whether it is our revenue, our aim is that the consultancy revenue, will always be about 50% upwards and it will continue to grow. Even the export of rolling stock that we do is not just export, we are not just a window for a trader, it is primarily consultancy design, sourcing as well as customizing the product for the client country. So, if you add that (+75%) of our revenue is aimed at consultancy.

Moderator: Thank you. Our next question is from the line of Yash Gupta from the Thinkside Advisory. Please go ahead.

Yash Gupta: Rahul sir just a small clarification, for FY24 we are saying that the top line will be same as FY23 and there is like double digit growth in the net profit. Is my understanding correct?

Rahul Mithal: No, I think you got it wrong. What I was trying to say was, that the trends of nine months Y-o-Y we compare both in terms of top line EBITDA and the profits, we are aiming to be as close as possible to the 22-23 figures because there is hardly any contribution, number one of the export revenue and number two there is a major hit in the inspection revenue. While the efforts have been there, as you see 21% Y-o-Y growth in project consultancy but we will not be able to reach the FY22-23 figures either in terms of the top line or the EBITDA or profits. The aim will be to minimize the gap as much as possible. In terms of next FY, these export orders will start generating revenue, the large numbers of consultancy orders which we have been getting including the

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most recent quarter, these will start generating revenue. So, our aim is that the coming FY we will build up on the base of 22-23 and that base we will aim to have a double-digit growth in the bottom line, the profits and the EBITDA based on the baseline of 22-

23.

Yash Gupta: Okay, great. Sir one small thing on the turnkey, our turnkey this quarter is also roughly around 230, 240 crore for FY25 are we expecting some bigger change into this or we are expecting 250 crore of every quarter in turnkey?

Rahul Mithal: As I mentioned a few minutes back, we are a consultancy company, and the aim will be to maximize first the consultancy and the export revenue. To that extent we are not a construction company, so we take in turnkey projects also, we take primarily on a very strategic and consultancy kind of model where it is a cost-plus turnkey type of model. So, to that extent it will have a certain growth but in terms of total pie evened out over a period of few quarters we would aim to have it in the range of only about 25% net contribution in the overall revenue.

Moderator: Thank you. Our next question is from the line of Viraj from Jupiter financial. Please go ahead.

Viraj: Sir, I would like to know what will be our addressable market size in terms of this rail orders announced by in the budget as well as on the infrastructure side like, what percentage would be the 5% of the total order size or 2% or how much?

Rahul Mithal: So, the announcement yesterday of the large CAPEX push across infrastructure, we are very excited about it, because we have the advantage that we can leverage this CAPEX across sectors. So, whether it is the three corridors which have been announced in the rail sector, each one of them we are already have been working and we will continue to leverage whether it is the mineral cement corridor whether it is the port connectivity corridor and whether it is decongesting the high-density routes corridor. We are already doing a lot of surveys and studies and consultancy for semi high-speed corridors for the railways. We have a very strong tunnel

bridge engineering and road

& foot over bridge section vertical which will pitch in for the various entities. We already got a lot of orders in the recent quarters and will continue to leverage that as these corridors move forward. Similarly, across sectors, whether it is the metro sector there has been a lot of allocation in that, growth in the airport sector so we are doing a lot of work in the airports. So, across sectors, I see this as a perfect opportunity for us to further leverage and continue this trend of being a one order-a-day company.

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Viraj: So, what will be the percentage like suppose one is to analyze that will be how much of the pie like, suppose 1 lakh crore is announced infra package, what will be the right addressable market size, would be 1%, 2% how much would be, just to add up with my understanding.

Rahul Mithal: The 11 lakh crore is a total CAPEX budget spread across sectors for each sector we do different types of work, somewhere we make the feasibility report, somewhere we make the DPR, somewhere we do the project management consultancy. To give an overall one percentage of the total pie would not be a fair assessment, what is definitely there is that the allocation across each sector. In fact the green mobility we have now recently started a green mobility vertical, the push on EVs and green mobility each one of them gives us an opportunity to leverage our vertical strength and you will definitely see this trend of one order a day stabilizing in the coming quarters moving forward.

Moderator: Thank you. Our next question is from the line of Sriharsha an Individual Investor. Please go ahead.

Sriharsha: Like recently there was a news article saying that the government is going to invest 1.25 lakh crore to build 200 ropeway projects in five years. So, I want to know what is the order prospects in this sector and what is the percentage of the order prospects in this ropeway project for our company?

Rahul Mithal: We can say with pride that, we are the oldest and the most accomplished consultants in the ropeway area in India. Any major iconic ropeway that you see in the country, MITES has been a consultant for it, whether it is the Vaishno Devi ropeway and across the country there are large number of ropeway which we have been a part of. Even now we are working on about 9-10 different ropeways, different stages some of them the initial feasibility report from the project management consultancy, in fact the next ropeway from Katra that also we are already working on. We are working on the Shillong ropeway. So, this announcement few days back, gives us a lot of opportunity which we will build up upon. Again to give you one ballpark percentage of the total pie will not be a fair assessment but yes, we come into the picture at various stages right from the initial feasibility, then maybe post feasibility or detail project report and then helping the client do the tendering, finalizing the executing agency and then the post

contract consultancy, the execution consultancy, the project management consultancy. So, a blended mix of all these opportunities in a nutshell, it will give us a lot of scope to tap in, in this push in the ropeway sector.

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Moderator: Thank you. Our next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Thanks for the follow up, sir our nomination based in terms of order book is closer to 74%. So, I'm just trying to reconcile whatever last orders which we have received are primarily on the competitive based, still the nomination is at 74%. So, can you just help me reconciling the same?

Rahul Mithal: It's 50-50. So, if you see this 50% is of the order book and this is primarily because a large number of turnkey orders which are higher value like the railway orders of the electrification, e

t cetera which were given to the PSUs a few years back, and where we started working and which are now reaching gradually their completion. If you break down the numbers and if you go down and see the fresh orders, which are coming for example as I mentioned in quarter three, we have got (+100) orders totaling to (+600) crore, the percentage of competitive versus nomination would be a wide skew from this, in fact it is roughly about 2/3rd, 1/3rd is the breakup in quarter three. The trend has been in every passing quarter moving more and more from the nomination to competitiveness basis, about quarter two it was around about 50 odd percent, 50% to 60% and every quarter it is moving forward becoming more and more on competition basis.

Moderator: Thank you. Our next question is from the line of Yash Gupta from Thinkside Advisory. Please go ahead.

Yash Gupta: One question on the India Middle East Europe corridor, have we started doing anything on it, any work on it?

Rahul Mithal: Yes, so this is a very interesting opportunity for us and we have been associated in making various plans and the possible opportunities, these are early days, but yes, we have been constantly associated with this and we will continue to be associated with this as this pans out in the coming years. So, this is our area of strength, we have our expertise in this both in terms of the location surveys, the alignment surveys, the designs, the rolling stock design, the port augmentation, the feeder route augmentation. So, while we are associated with this closely, we will continue to capitalize on this in the coming years as this catches up speed.

Yash Gupta: But we don't expect anything in FY25 maybe '26 or '27 only?

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Rahul Mithal: I won't like to speculate, it may not be correct for me to speculate let's see how at what pace it moves, what I can only say that, we have wherewithal and we are already closely associated in all aspects of it, whether it be the rail infra, whether it be port augmentation, whether it is the logistic infra, whether it is a design or other consultancy. So, as it moves forward we will continue to capitalize on it.

Moderator: Thank you. Our next question is from the line of Rohit Maheshwari from TATA AIG.

Please go ahead.

Rohit Maheshwari: First question is related to, from your export order book. What you have in hand, it seems that for the next two quarters your execution to export orders will be very low and then second half onwards it will pick up significantly, yes so my understanding is correct?

Rahul Mithal: Yes, very correct. As I mentioned some time back, the locomotives take a longer lead time to generate revenue, get manufactured and revenue realization happens when these are exported out from the port. So, that comes in one go, if one locomotive is exported the entire amount comes the day it is the bill of lading is made at the port. So, while you are correct that these will start generating revenue by latter part of the FY. The other one is where we have the coaches Bangladesh one where we are L1, we are hoping that it matures into a finite order soon in the coming weeks. And since coaches have a lesser lead time compared to locomotives, they would start maybe generating revenue a little earlier than the locomotives, but yes, next two to three quarters they would not be able to generate revenue and then they suddenly start generating revenue together maybe by latter part of the FY.

Rohit Maheshwari: Okay. Now related to this only, then I guess like for the next two or three quarters there

will be some pressure on the margin side correct, because export orders will be low. So, they will be some 100 or 200 basis point impact on the margin for next two or three quarters?

Rahul Mithal: Yes, for sure, because the export is a good margin stream of revenue in our blended four streams of revenue. If you look at it in

the next one or two quarters as you correctly said the contribution from this stream of revenue would be low. From this aspect, there will be a definitely a pressure on the margins. But while I said the efforts will be, which we have seen in the sequentially also, to maximize the project consultancy revenue, which is also a good stream of revenue. So, to that extent, we have been able to minimize the impact Q2 to Q3 the project consultancy revenue grew and that's why in spite of generally or sequentially Q1, Q2, Q3, we could even still come back with the RITES Limited
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2% growth in the EBITDA margins in Q3. So, to that extent yes, there will be a pressure, but efforts will be to blunt that pressure to the extent possible by project consultancy revenue.

Moderator: Thank you. Our next question is from the line of Viraj from Jupiter Financials. Please go ahead.

Viraj: Yes, sir this is regarding REMCL, can you explain there is a line in the REMCL report which says, your company has facilitated executing PPA about 5111 megawatt, out of which 136 megawatt is operational and remaining should start by FY23-24 and target to be completed by 25-26. Sir, can you please explain this, is it possible I couldn't understand this, what's the model there?

Rahul Mithal: No, this is basically the RTC tender which we had floated and as these are split between different parties and the power purchase agreement gets signed between the various parties. So, they are in the process of one by one getting signed that was the basic the amplification in that.

Viraj: So, what is the basic model of REMCL if you can just give some color on that, how do we make money in this?

Rahul Mithal: So, basically REMCL, the main role of REMCL when it was formed was to procure the traction power for Indian railways and that is a very important exercise because to be able to procure and balance the power requirements, so that you spend the minimum and end up as less on spot purchase. We have a control center at our REMCL office which tracks the demand across the Indian railways and from where it can source and do the power balancing and optimize the purchase cost. So, as a consultant REMCL works as the consultant for procuring power for Indian railways across Indian railways, the various zones and it gets a consultancy fee as a percentage of the total power procurement. So, as the electrification grows, or as the traffic grows, and there is more and more demand by the Indian railways, the revenue which is a percentage of that as a consultancy fee grows. So, that's the basic model of REMCL. Further to that, a few years back with the net zero initiative REMCL was given the dictate of being the key nodal agency for implementing the net zero initiative of Indian railways. So, now REMCL has been floating various renewable tenders on a developer mode and for doing that work, it also gets some consultancy fee.

Viraj: The same thing when we go from 136 megawatt to 5111 megawatt, what will be our size of revenue and opportunity in this?

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Rahul Mithal: No, that we have floated the contract, we have finalized the contract and we have got the consultancy fee for it and this is just an information that these contracts are getting in place. And the power will switch from, the sourcing will switch gradually in line with the vision of being net zero from the conventional source of traction energy to these renewable sources of energy.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique. Please go ahead.

Rohit Natarajan: So, if you could just help us understand what is the total addressable market in export for countries like Africa in Latin, South Asia, where I am coming from is essentially trying to understand what is your conversion ratio within that total addressable market?

Rahul Mithal: So, t

o give you a rough insight into what we are trying to assess, Africa itself there are 11 countries which are in a unique gauge called cape gauge. This is unique to these 11 countries, which is 1067 mm, which is somewhere greater, little bigger than the meter gauge. Now, about four years back we designed, we were the pioneers in designing high horsepower locomotives, push pull DMU coaches as well as state of the art AC and non-AC coaches for them for Mozambique on the cape gauge. Because of this, we have got interest from all these 11 countries. The scope, whether it is in coaches, locomotives or wagons or DMU push pull trains is tremendous across all these 11 countries. However, each one of them has funding issues, some of them are trying to get a line of credit from India, some of them are trying to source funding from their own sources or African Development Bank and other multilateral funding agencies. So, it's to give one figure, one ballpark figure of the size of the market, even for the 11 countries it is very difficult to come at one figure. But the scope is enormous, and it is more dependent on their funding mechanism. So, while we keep trying to help them in forging out the funding mechanism, more and more as they get their funding mechanisms in place, we are the preferred choice for them. Similarly, for the immediate neighbors, whether it is Bangladesh or Sri Lanka, because both are in broad gauge we have been exporting to them. And in this tender we became L1 through a global tender as they get more and more funding in place, their requirement is huge. Sri Lanka is wanting to revive back in a big way, the requirement is huge, whether it is in coaches, wagons, locomotives, they are looking for the ideal funding mechanism. Then we can supply them these rolling stock. So, the market availability is huge, it is more dependent on them getting their funding mechanisms in place.

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Rohit Natarajan: Just to follow up on that, sir. If we have to gauge what is the funding potential of maybe all these countries, what barometer or what parameter should be the tracking?

Rahul Mithal: Each of these countries have a different appetite for taking loans, their strength of their economy and their creditworthiness besides the loan which they get from any of the funding agencies whether it is the ADB, EIB or the Indian line of credit, so it varies from country to country. And that's the constant exercise. These countries look for and take our support also and advice on what are the possible size of the funding which they can get.

Moderator: Thank you. Next question is from the line of Harshit Kapadia from Elara Securities Limited. Please go ahead.

Harshit Kapadia: Just one question from my side. If you look at your Q3 results, when we look at on a quarter-on-quarter basis, there has been an improvement. Would it be right to say that this is a quarter that we will have hit the bottom and we will not see on a quarter-on-quarter basis decline, or we have hit the bottom both in terms of growth, revenue as well as in terms of margins, if any color would be helpful?

Rahul Mithal: Yes, Harshit. So, if you compare Y-o-Y moving forward also it may not always be a fair comparison, because of the goalposts being slightly different in terms of contribution from two very large streams and high margin streams which were the export and the inspection business. So, however having said that, the sequentially if you even see this FY Q1 onwards up till Q3, in all parameters, there has been a steady uptick in line with our strategy at the beginning of the FY and to my mind and our assessment, we will continue to push this moving forward even in Q4 so that we keep consolidating our position and our push so that on FY basis we come as close as possible to the FY22-23. And then building up on these orders and the revenue realization in the coming FY, the

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oming FY will be a fairer comparison vis-à-vis baseline of '22-23.

Harshit Kapadia: And just one final question, follow up on this, what would be the consultancy revenue x of your quality assurance business?

Rahul Mithal: So, the consultancy revenue has seen a Y-o-Y growth of 21% and it has seen a sequential growth also of 5%, the project's consultancy revenue. While it may not be fair for me to break down the further because it takes down the total consultancy revenue as a whole but I can only add color to the fact that in spite of this hit of about four quarters back in the inspection business where we became one of the four entities to be awarded the inspection business which took a hit of about with the rates also

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going down about 20% hit on the top and bottom line from this stream of revenue, we have been able to stand ground and diversify our other clients. And on steady basis on

all three quarters, we are close to the levels of the inspection stream, which we were hitherto earlier before this sector opened up. So, the impact has been able to be nullified to an extent possible, we are down by 20%, 25% in the inspection stream of revenue from the earlier levels. And as per our target, which we were aiming for, we should be able to come back to those levels in about two quarters time.

Moderator: Thank you. Our next question is from the line of Vishal from IDBI Capital. Please go ahead.

Vishal: Sir you did touch upon the previous participant question that you will come back to the same level what it was two quarters back for the consultancy. So, that was on the margin front you mentioned or on which side you mentioned?

Rahul Mithal: No, I said on the inspection portion of the consultancy business. You see the project consultancy business has seen steady growth and which has been our push to be able to blunt the impact of the export and inspection. So, project consultancy has seen a growth Y-o-Y of (+20%) even sequentially it has seen a growth of (+5%) even with a high baseline. So, the inspection stream of revenue which contributes to my total consultancy pie, which was the one which has taken a hit. It used to be in the range of about 2/3rd, 1/3rd in terms of the railways as a client and other clients about 1/3rd which in the last three quarters we have made attempts and got a number of orders across the other non-IR clients and that contribution will start coming up and we are aiming that in about two to three quarters maximum our inspections stream of revenue should aim to come back at the level it was prior to its opening up. Yes, in terms of the margin in the inspection stream now with all of these coming on a competitive basis it will definitely be difficult to maintain those levels of margin. So, the first immediate milestone is to come back to those levels of revenue and then further grow in that so that the actual contribution in EBITDA from the inspection stream comes back to the earlier levels. So, to give you an example, most recently we've got a good order of about Rs. (+14) crore for our inspection vertical from the GEM marketplace. So, we are doing the inspection, and the vendor verification services are about +14 crore, we got an order from the GEM vertical. So, this is a very unique and a very good breakthrough for us and we'll build upon on this to get many such similar orders.

Vishal: Okay. So, last two quarters we are seeing that at an EBIT level consultancy margin has been quite a range bound at 44% and 44.5% EBIT margin consultancy. So, can we say that probably like whatever the impact has to happen say for opening up at the RITES Limited

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sector, competition the margins are reflecting and then probably this is kind of bottom on the margin for consultancy, can we say that or do you still think yet to get more clarity as the quarter comes?

Rahul Mithal: The

consultancy pie has contribution from about 13 different streams of revenue inspection is one of them. So, whether it is the building, highway, metro, rail infra, airport, port across the sector, as I mentioned some time back when I was answering that question about the nomination versus the competitive basis, in this quarter itself our fresh orders of (+100) orders which you've got at least (+50%), in the range of about 50% to 60% are on the competition basis both domestic and international. So, as all clients whether these are the ministries or the state governments or private clients, they are all opening up through the competitive mode, the margins even at the range of about 40% to 42% are difficult to secure at those levels moving forward because each one of these 13 contributors to the consultancy revenue are taking a stronger challenge in terms of margins. So, while the margin percentage will definitely be tough to ensure what the aim is that you get more and more orders that you see there's a healthy growth in our consultancy order book itself. So, that is absolute contributions in the EBITDA and profit we are able to have a steady growth.

Vishal: Okay. So, then this new orders that we are getting, what margins are probably any range that you can provide sir?

Rahul Mithal: Well these are different across sectors it will be again unfair and give a wrong picture if we give you one figure there'll be a different margin in areas of conventional consultancy like highways, where there are much tougher competition then there are areas there are more skilled area, higher skill sets and there are lesser players or bigger players. So (54:00) is the metro sector or the airport sector or the tunnel engineering sector, bridge engineering sector. So, there the margin are slightly better. So, every vertical has a different range of margins depending on the competition and the players involved.

Moderator: Thank you. Our next question is from the line of Viraj from Jupiter Financials. Please go

ahead.

Viraj: Sir my question is, what is the timeline of the execution timeline for the export orders maybe one year or two years like what is the execution timeline if you can give some color on that?

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Rahul Mithal: Viraj normally locomotives take a longer period of time and as I mentioned the revenue realization happens at one go. There are unfortunately no intermediate milestones where we can recognize the revenue, the revenue comes in one go when these are shipped out and the bill of lading is made at the port. And normally it is not that one or two locomotive, normally they don't take sets of one locomotive. So, normally minimum of two to three locomotives or more when they get manufactured then a vessel is arranged, and the revenue realization happens. So, locomotives are the longest lead time anything ranging from, beginning from 12 to 14 months to ending in about 16 to 18 months the coaches are much faster to manufacture and so, once the Bangladesh order is in place and we actually start the manufacturing process, to my mind they have a faster lead time and they can start from anything from about six to nine months' time approximately.

Viraj: Okay. So, the coaches is like, when you deliver, it can be delivered in batches and we can get the payment is this the way throughout is it?

Rahul Mithal: Yes, for all export orders whether it is coaches, locomotives, wagons, et cetera. So, even for coaches so suppose these are 200 coaches the order, normally again they would be dispatched in lots of maybe 20, 30 coaches, the first set of as soon as 20, 30 coaches are ready to be shipped, they will be shipped and at least to that extent that particular day the revenue realization will happen. So, while there is a lead time, the revenue happens on one particular day for one set which is exported.

Viraj: So, the revenue will come in one parti

cular quarter in bulk that's what how it works.

That's a correct way to think?

Rahul Mithal: Yes. There is no intermediate milestone for revenue realization, it only happens when one set of say 20, 30 coaches or two or three locomotives are exported.

Moderator: Thank you. Ladies and gentlemen that was the last question for the day. I now hand the conference over to Mr. Harshit Kapadia for closing comments.

Harshit Kapadia: Thank you. We would like to thank Shri. Rahul Mithal – Chairman and Managing Director; Shri. A K Singh – Director (Projects); Shri Dr. Deepak Tripathi – Director (Technical) and Shri. K.G. Agarwal – Director (Finance) for giving us an opportunity to host this call. We also would like to thank all investors and analysts for joining for this call. Any closing remarks Rahul, sir?

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Rahul Mithal: Yes. I just wanted to reiterate our strong commitment in the direction we are moving.

We are proud to have touched some milestones in this quarter, we were declared the Navratna status. We have got two very important awards from the Institute of Chartered Accountants of India for good governance, we have got a scope award for good governance and institutional excellence. We were proud to be having made the Ayodhya Dham station which was inaugurated most recently by the honorable Prime Minister and the milestone of becoming a one order a day company in this quarter.

So, with all those in spite of the various challenges which we have discussed, we are very confident that the movement is aggressively in the right direction, and we will continue to build up on the space and consolidate our position.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

-End-

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Call: Jun 2024

No. RITES/SECY/NSE Date: June 05, 2024

To
Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai – 400051

To
Corporate Relationship Department,
BSE Limited,
Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Code - RITES

Scrip Code - 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call held
to discuss Financial Results for quarter and year ended 31st March, 2024

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations 2015

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and
investors held on Wednesday, 29th May, 2024 to discuss the audited financial results of
the Company for the quarter and year ended on 31st March, 2024.

This is for your information and records.

Thanking You,
Yours faithfully,
For RITES Limited

Ashok Mishra
Company Secretary & Compliance Officer
Membership No.: F6411

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"RITES Limited
Q4 FY '24 and FY '24 Earnings Conference Call"
May 29, 2024

MANAGEMENT : MR. RAHUL MITHAL – CHAIRMAN AND MANAGING
DIRECTOR.
MR. A.K. SINGH – DIRECTOR PROJECTS
DR. DEEPAK TRIPATHI – DIRECTOR TECHNICAL

MR. K. G. AGARWAL – DIRECTOR FINANCE

MODERATOR : MR. MUDIT KABRA -- ELARA SECURITIES

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May 29, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the RITES Limited Q4 and FY '24 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mudit Kabra from Elara Securities. Thank you, and over to you, sir.

Mudit Kabra: Thank you, Steve. Good morning, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY '24 and FY '24 Earnings Conference Call of RITES Limited. I take this opportunity to welcome the management of RITES represented by; Shri Rahul Mithal, Chairman and Managing Director; Shri Arun Kumar Singh, Director Projects; Dr. Deepak Tripathi, Director Technical; and Shri Krishna Gopal Agarwal, Director Finance. We will begin the call with a brief overview by the management, followed by a Q&A session.

I'll now hand over the call to Rahul sir for his open remarks. Over to you, sir.

Rahul Mithal: Good morning. Thank you. Let me begin with the safe harbor statement. The presentation and the press release, which we uploaded on our website yesterday and discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically.

So thank you, and let me give you a brief overview of where we started the year and where we ended up. The two huge challenges, as you all have been following us quarter-on-quarter were the order book on export below INR100 crore at the beginning of FY and the impact of the change dynamics in the QA business, which was to start hitting us from Q1 of FY. So we were very clear, we wanted to take the challenge head on. We had a 3-pronged strategy to tackle and minimize the impact of these 2 huge challenges. The first one was to try aggressively and get at least one export order, which we had not got for the last 4 years and we got 2 orders of INR1,200 crore Mozambique plus Bangladesh.

The second was to minimize the impact of the IR element in quality assurance business, which is about 2/3 of my quality assurance business and a huge margin contributor.

So by end of the year, successively quarter-on-quarter, we managed to get a large number of non-IR clients and customers, wherein the ratio from 2/3 to 1/3 IR to non-IR has now flipped to about 50% plus on non-IR clients and getting huge orders like about

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INR 67 crore from PM Vishwakarma Scheme and getting orders from the GeM Portal etc.

The third was to maximize the project consultancy revenue to minimize the impact of the QA revenue. And that too saw a substantial 10% jump year-on-year. In fact, the total consultancy revenue (consolidated) reached a figure of about INR1,300 crore, which is an all-time high, which was a huge satisfaction to us because it is moving in the right trend and could help minimize the impact of the 2 challenges.

So in a nutshell, the direction which we had set out in the beginning of the year, we are moving sequentially in the right direction. And having set a platform in the last 2 quarters, especially in terms of the exports orders coming and the diversification in the QA business, we are sure that the coming FY, we will definitely build up aggressively on this base and give you a much better set of numbers, especially in terms of the EBITDA and the bottom line.

So that's a brief overview. And as we go into specifics, we

'll go into specific numbers

and the way forward. We can start taking the questions one by one,

Moderator: First question is from the line of Shreyans Mehta from Equirus.

Shreyans Mehta: So my question pertains to the margin profile. So now that we've moved more towards the competitive base and large part of our orders, be it international or even in domestic are on a competitive bidding. The margins this quarter were much better over last 3 quarters. So can we take this as a benchmark or take this as a guidance going forward as well?

Rahul Mithal: I think yes, if you see the sequential trend of margins, and you're correct that both in terms of international business, these 2 export orders were global tenders for the first time, maybe in the last 4 decades, these are global bidding orders, which we got. And even in the consultancy and the QA business, the margins are definitely tougher. In spite of that, if you see the Q4 has kind of stabilized at a good margin level, both in EBITDA or PAT, while it is lower, definitely Y-o-Y. But to my mind, we would aim moving forward to keep both the EBITDA and PAT margins at this level, it will be tough to maintain. But yes, in terms of absolute EBITDA and PAT, we are aiming for a finite appreciable growth. In terms of Margins, yes, we will try to defend them or protect them to as close to these levels as possible.

Shreyans Mehta: Got it. Got it. Got it. Sure. And sir, on clarity on export orders, can you give the number in terms of how much we've received in terms of LOA and how much is in L1, which is not a part of the current order book of Q4?

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Rahul Mithal: So the 2 orders, which we got were INR300 crore from Mozambique, which is part of the INR5,700 crore order book of 31st March. The INR915 crore order of Bangladesh came in April. So we have not added that to the order book. But now that's also a finite order and a contract agreement has also been signed. In fact, all the work already has started in aiming to try and push the manufacture and export by latter part of this year. So the revenue realization starts happening.

Moderator: The next question is from the line of Yash Gupta from Think Site Advisory

Yash Gupta: Sir, my question is on exports. How export is looking out? We won some of the contracts last week and some last quarter also. So how the export order book looks like? And whatever realization we can have in FY '25?

Rahul Mithal: Yash, you see international business under RITES Videsh initiative has 2 elements. One is export of rolling stock and one is international consultancy. As far as export of rolling stock is concerned, these 2 orders in the last few months, INR300 crore plus and INR900 crore is a good step after a gap of 4-plus years. This INR900 crore from Bangladesh is for 200 coaches and INR300 crore from Mozambique, is for 10 locomotives. So by nature of their production cycle, coaches take a lesser time. And since the revenue realization happens only when we ship them, we are aiming to try by Q3, Q4 to start getting some revenue flowing from coaches and aiming to try and get some from the locomotives also.

In terms of further opportunities, we are bidding for a number of global tenders. And we are hoping that this trend of getting export orders on a competitive mode would continue in the coming quarters.

In international consultancy, we've got some recent breakthroughs. We have also opened recently our offers in the Middle East in UAE and looking for some opportunities there. Southeast Asia, there are a lot of opportunities, Bangladesh, Sri Lanka, et cetera. In Africa, in any case, we have a stronghold in a number of sectors. I think international consultancy also, both in terms of fresh orders as well as the existing order book giving revenues in the next 2, 3 quarters, we see a healthy trend.

Yash Gupta: Okay. Sir, on the margin side, this -- or the o

rders which we have received recently, the

margins are on the same page of 20% to 22% or any difference, major difference?

Rahul Mithal: See, every order would have a different range. But as the fact, both orders were global tenders. These are not line of credit Exim Bank funded tenders where the competition is only among Indian companies. Once they are global tenders funded by different multilateral funding agencies or the country itself, they have tighter margins. As a whole, whether it is export of rolling stock or international consultancy, which also we

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are now getting a number of orders, which are not funded under the line of credit Exim

Bank and they are obviously on an international bidding methodology, Our overall margins are getting tighter in international consultancy as well as export.

Moderator: The next question is from the line of Parimal Mithani from Credential Investments.

Parimal Mithani: Sir, congratulations on your consultancy revenue growing to INR1,300 crore. Sir, I just want to update on REMCL going ahead, how do you see the business? And secondly, sir, second question is in terms of quality assurance, do you think the worse is behind us for that business?

Rahul Mithal: Thank you, Parimal, for your encouraging words. And let me tell you, for REMC, this has been a hugely satisfying year. The revenue, if you look at the entire year, jumped by 30% plus it was the highest ever revenue. The PAT jumped by plus 37% plus. And we gave a huge dividend of about INR 80 crore, and RITES got about 51% of it. So dividend payout ratio was about 99%. In terms of performance, REMC has really looked up and doing well. The trend has been maintained even sequentially and I see this trend continuing. In terms of specifics also the RTC tenders, the first PPA of 900 megawatts was signed. The second LOA for 700 megawatts RTC tenders is issued. There have been initiatives under the solar power plant Bhilai getting inaugurated under the developer mode. In terms of both the conventional work of REMC of supply of electric traction power as well as work on the net-zero renewable initiatives, REMC is moving in the right direction.

In terms of QA, I can say with full confidence and sense of responsibility that the challenge that we took on head on at the beginning of the FY where the impact of the changed dynamics started hitting us from Q1 and by the end of Q4, there has been a huge shift. As I said, started from 2/3 of the contribution traditionally being from IR as a client by the end of Q4, it has changed over that more than 50% to 55% is non-IR clients. We have got some interesting orders across spectrum, whether it is defence, whether it is power distribution, discoms, whether it is the sewage or urban infra or water or PM Vishwakarma quality checks order of INR 67 crore for the tool kits being supplied. We've also got an order from the GeM for vendor evaluations, which is about INR 14 -15 crore. So in terms of the rapidly diversifying portfolio of the QA business, we are more than confident that we are out of the woods.

Moderator: The next question is from the line of Viraj from Jupiter Financial.

Viraj: Congratulations on the good number. And my question is regarding exports, can you give some more color, you talked about INR900 crore Bangladesh order? So how would the revenue plan out in the mix? How much will come in this year, next year? If you can just explain to us?

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Rahul Mithal: You see the two orders of INR300 crore of 10 locomotives and INR900 crore, 200 coaches of Bangladesh, in terms of timeframe, the coaches are quicker to make and we recently on 20th May signed the formal contract agreement also. So now the final designs and approvals are underway and we will start production of the prototype and manufacturing very soon in a month or so.

Bangladesh is

also in need of these coaches urgently. So there is a joint effort from us, Indian Railways and Bangladesh Railways to try and push manufacturing of these coaches at least 1 or 2 racks at the earliest. It's a mix of 8 types of coaches. So in the most conservative scenario also at least latest by Q3, Q4, some revenue realization must start happening.

In terms of locomotive, these require a longer time frame in manufacturing. So while the efforts will be on to realize some revenue by end of the FY, that's a huge challenge, which we'll try and see what best can be done as the months span out.

Viraj: Sir, a follow-up to this is. This order book is executable in how much time like 3 years, 2 years? And what will be the time of execution of the order book or export order book?

Rahul Mithal: See, both have time frames ranging from about 2.5 to 3 years. So that's the contractual milestones as per the contract agreement. But since we have got these orders after a long gap and we've already seen the impact, which not having an export has had on our revenues and margins on FY24. So our aim, jointly along with this client, would be to try and complete these 2 orders at least in 2 years as far as to the maximum.

Moderator: The next question is from the line of Shreyans Mehta from Equirus.

Shreyans Mehta: So just wanted to know the status of the Zimbabwe order, which we had announced last year.

Rahul Mithal: Yes. Zimbabwe, if you remember, was an agreement signed, a contract agreement signed with National Railways of Zimbabwe for the locomotives, coaches and wagons.

But it was subject to their funding getting in place. We have constantly been in touch with them and our teams have been working together.

They have moved forward post their new government also coming in place of getting the fundings moved ahead with the Exim Bank and other players. I would say that they're moving in the right direction, and we are very keen that they convert it into a formal LOA, so that we add it to our order book and start manufacture. But as of now, the only thing which I can say is that it is moving in the right direction, slow and steady, but we are hopeful that it should get matured into something in the coming months.

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Shreyans Mehta: Got it. Got it. Got it. Sure. And sir, lastly, in terms of guidance, in terms of top line, if you can guide us for this year and next year as well?

Rahul Mithal: See, both with these orders coming as well as us maintaining a trend of being a one order a day company. Q3, we achieved a milestone of being one order a day company, and we maintained that in Q4. We got 100-plus orders totaling to INR940 crore. And the way the trend is, these orders both export and consultancy orders, which we have been getting across sectors, I think we are confident that the FY24, which is a year of consolidation. And as I said at my opening comments, moving sequentially every quarter, we have consolidated and hung on and packed-back the challenges and minimize the impact. So I think FY25, we are confident that you will see an appreciable growth in the EBITDA and the profit vis-à-vis FY24.

Shreyans Mehta: Sir, any number for top line, say, 15%, 10% any number you would like to assign, sir?

Rahul Mithal: I would not like to speculate in specific numbers. It's early on, but I can say with confidence that we are a bottom line-driven company as I always have been saying in my previous interactions. And my EBITDA and profit, you should see a healthy growth vis-a-vis '23-'24. As you can see from the mix of orders and the number of orders which we are getting, even though with tough margins, but even if you compare Q4 vis-a-vis Q3, there has been a growth in EBITDA, there's been growth in PAT margins, there's been a growth in consultancy margins, there's been a growth in PAT. So with this trend being maintained, you would see in terms of year-on-ye

ar, definitely a substantial growth in EBITDA and PAT.

Moderator: The next question is from the line of Vinod C from PhilipCapital.

Vinod C: So see, what we hear from some of the Rail EPC players is that the ordering pattern is shifting in railways, where earlier they used to get orders from the Rail PSUs. Now they have started getting -- they have to deal with this Zonal Railways now. Since you also undertake Turnkey projects, I just wanted to hear your thoughts on this. So what's actually shifting in the railways now in terms of the way the tendering happens?

Rahul Mithal: You see, as far as rail infra is concerned, majority of our orders are consultancy orders. If you see the order book profile, breakup of our order book, except the erstwhile 3, 4-year old orders of the turnkey from Indian Railways as a client, all our orders on the turnkey mode are primarily in institutional buildings, et cetera and some of them in other areas like we've got one in station development, Ayodhya station on a cost plus turnkey mode. But primarily, we are dealing in consultancy with IR as a client, as a project management consultant or as DPRs or in terms of FSRs and certain alignment surveys, et cetera.

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in terms of that, we don't see any change. Our core strength is in consultancy. And in the last year or so, also, we have continued to get orders. Yes, the change, which happened about 2.5 years back in terms of nomination vis-a-vis competitive mode. That is the major change, which has been there for about 2, 2.5 years.

Vinod C: Correct. Correct. Because the EPC players are mentioning that since they have to deal with the Zonal Railways, their receivables are taking longer to realize and does much better with the Rail PSUs earlier when the payment used to be more timely compared to what IR...

Rahul Mithal: We are not an EPC player, we are a consultancy company. So I don't think that even if, there is a change in that, it's not really affecting our business model.

Moderator: The next question is from the line of Shubham Salar from IDBI Capital.

Shubham Salar: Sir, in terms of our consultancy order book of INR2,600-odd crore, what is the split

between non-IR and IR?

Rahul Mithal: You see INR2,600 crore has both in terms of QA business and across various sectors. So I can give you a total in terms of numbers, INR2,600 crore has about 700-plus orders covering all my 13 verticals. And IR as a client has orders of different types in this. It has some on consultancy. Some, as I said, on QA. So it would be, just say difficult to give you a number on that, which is not giving a clear picture.

In terms of rail infra sector, if you see, rail infra sector is one of my 13 verticals. For rail infra, consultancy or project management consultancy that we do, we have 2 types of clients. One is Indian Railways as a client. And one are the other, whether it's the SAIL or the Coal India subsidiaries or a subsidiary or even private clients like Ultratech, Jindal et cetera. So in terms of rail infra, it covers about 200-odd orders out of a total number of 700-plus orders that I have. So that will give you an idea that rail infra is an important, very important player in my total order book.

Shubham Salar: Okay. And one related to that. In consultancy, you did mention in terms of execution, the split between IR and non-IR is 1:1. That is for FY '24? Or is it for this quarter, sir?

Rahul Mithal: No, no, that I mentioned in terms of the QA portion of consultancy. You see the quality assurance business or revenue is part of the overall consultancy pie. So the change in the dynamics at the beginning of the FY where we were for about 40 years plus doing all the QA work of Indian Railways, that has now opened up to a competitive mode between 4 players. So at the beginning of the FY this rough breakup of QA business was about 2/3 for IR as a client and about 1/3 for

other non-IR clients, which by the

end of the year in terms of numbers and volumes and revenue has now flipped to about 50% plus non-IR clients and the balance as IR business.

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Shubham Salar: Okay. And then this particular number of 1:1 QA. So is this 1:1 is something that is kind of bottom or probably the shift is still happening and that will for the...

Rahul Mithal: It will continue. As I said at the outset, this trend has been continuing sequentially. Our efforts to garner more clients have gained ground. I gave some examples of non-IR clients, huge orders, which have come recently in the last 3, 4 months. We got a recent first international consultancy QA order for Sri Lanka.

So this trend is going to continue. Our effort is to increase the total pie as well as have as many varied clients, as we recently got an order in the health infrastructure department of Haryana, urban infra for inspection Rajasthan. So in terms of the trend, this trend would continue.

Moderator: The next question is from the line of Viraman from JM Financial.

Viraman: So firstly, I wanted to ask, what was the reason for the steep decline in export sales this quarter?

Rahul Mithal: Yes. We had an opening order book of export at the beginning of the FY of below INR100 crore, it was about INR99 crore. And there was no fresh order of export, which we received in the last 4 years during the COVID and the pre-COVID. We were servicing those 2 orders, which we had got prior to COVID. One was Sri Lanka and one was Mozambique that we started servicing in the FY '21-'22 and '22-'23. By the end of FY '23, we were left with no orders. And as these countries' economies were stabilizing post-COVID, they were still arranging funds to get an and float new tenders, et cetera, for import of rolling stock. So last year was the first year where we saw opportunities coming up for fresh export opportunities and then that's how we bid aggressively for them, and we've got these 2 orders in the last few months.

Viraman: So you expect to recognize revenues from the Bangladesh and Mozambique orders in the second half FY '25, is that about right?

Rahul Mithal: Yes, for sure. Between the two, the coaches, as I said, have a lesser time of manufacture. So they would be easier to push and try and get some revenue by end of the FY. And locomotives will try, but definitely by early next FY, they'll contribute substantially to the revenue.

Moderator: The next question is from the line of Viraj from Jupiter Financial.

Viraj: My question is, sir, since we have considered it probably on the growth part. So would we be maintaining the same dividend policy in years to come?

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Rahul Mithal: Yes, Viraj. I can assure you that our business model, which we have been talking about more than a year now that we are not going to change 2, 3 of our basic models. One, we are a debt-free company. Two, we are a low capex company. Our capex will always be in the range of INR100-odd crore, INR130 crore to INR140 crore, as you see from the trend. Three, we are not going to be a construction company. Our core strength is consultancy. So we'll try and see how best we can make EBITDA growth and remain a bottom line-driven company. With this clarity and stability and clear direction and vision of our company business model, I don't think that you should worry about in terms of trying to give the best to our shareholders.

Our dividend payout ratio has been 95.2% for FY24. And as we grow and as we aim to grow in both our EBITDA PAT, we will continue to give our best to our shareholders.

Moderator: The next question is from the line of Yash Gupta from Think Site Advisory.

Yash Gupta: Sir, just want to check on the Chabahar port that recent agreement has been done by the Indian government. So are we looking for any export consultancy into it?

Rahul

Mithal: As of now, we're not part of any specific order or work there. But definitely, all over the international consultancy business, as I mentioned, we opened a recent offers in UAE and looking for pursuing a lot of opportunities which are coming up in the Middle East, UAE, Saudi, Qatar, Oman et cetera.

So in terms of diversifying from our erstwhile geographies of international consultancy in Southeast Asia as well as Africa, we started Latin America last year. We've got orders in Guyana, which we are getting good revenue from. And we are now targeting the Middle East also. So I'm sure that we will continue to look out as opportunities if they come up in the future.

Moderator: The next question is from the line of Uttam Kumar from Axis Securities.

Uttam Kumar: Congratulations on good set of numbers. Sir, my question pertains to Consultancy business. So this quarter margin is around 45%. Is this sustainable moving ahead?

Rahul Mithal: Yes, Uttam. I think you see in terms of the margins in consultancy, consultancy has 2 elements to it. One is the project consultancy and one is the quality assurance business of consultancy. As I explained, the quality assurance business now being on a competitive mode, all the orders that we are getting, including the non-IR clients as to the competitive bidding. So obviously, erstwhile margins has taken a hit overall consultancy margins because of the QA contribution.

In terms of project consultancy also, both in domestic and international, most of the clients are now going through EOI or tendering more. So in terms of the shift from RITES Limited

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nomination to competition, every quarter, there has been a shift in that. So yes, holding on to the overall margin is a challenge. But as you see the trend also in Q4, we've been able to hold on to on a consolidated basis, EBITDA margins of about 27% plus; PAT margins of 20% plus.

And consultancy margins have been in the range of about 45%, now on a consolidated basis. So there has been a mixed bag while we are aiming at execution of a certain high consultancy margin orders, the orders which we are getting are at a tighter margin. But in terms of trying to defend these margins or hold on to these margins as close to these levels, the effort would be continuous.

Moderator: The next question is from the line of Shubham Shaler from IDBI Capital.

Shubham Shaler: Regarding the Bangladesh order, what is the total number of coaches or rates that we are supposed to supply in this order.

Rahul Mithal: So this order is for 200 coaches, totalling to about INR915 crore, \$111 million. And it has 8 different types of coaches, both non-AC and AC. They will take these coaches, ideally in a mix of different types and rates.

Shubham Shaler: Okay. On the 200 coaches that we are supposed to supply, as per the agreement, what are the terms and terms of supply in FY '25-'26 number wise?

Rahul Mithal: You see, the order is in terms of the total supply over a period of 2.5 years. So that is the time frame for total supply. It is in our interest as well as Bangladesh Railways' interest to supply earlier. They have a huge requirement of coaches immediately. So we are trying to see to expedite the supplies as early as possible to realize the revenue in this FY.

Shubham Shaler: So is this 2.5 years for 200 coaches, or it is on cases in terms of in 12 months in this number and the next 24 months?

Rahul Mithal: This was the total. The contract says total. There's no intermediate milestones for suppliers.

Moderator: The next question is from the line of Viraman from JM Financial.

Viraman: Just have a couple more questions. So I think during the last call, you said that you want to increase the ticket size of orders, especially in consultancy. Any guidance as to what percentage increase in the average ticket size we can expect this year for consultancy orders?

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Rahul Mithal: Yes. So if you see the trend first in terms of numbers, is that we got 100-plus orders totaling to INR940 crore in Q4. So the trend of one order a day in terms of numbers has continued from Q3 to Q4, and we are aiming to maintain this trend in this FY also. In terms of total orders also consultancy, if you look at last year, out of the total fresh order that we got about INR2,200 crore, about INR1,200 crore plus orders was consultancy, which is about 55%, 58% odd. So in terms of number and total value, the orders of consultancy have been showing an upward trend.

But in consultancy, there is a range of orders from a few lakhs, few crore to a higher range double-digit orders. So it depends on the works, in the quantum and the scope of work. The aim, that's why is to have an optimum mix of both low-value and high-value consultancy order so that both in terms of total values and total numbers, there is an appreciable growth.

Moderator: The next question is from the line of Viraj from Jupiter Capital.

Viraj: Sir, how will be the margins on the export side, which is the competitive bidding coming in terms of EBITDA and net what be your margins on the export. If you can throw some light on that?

Rahul Mithal: The margins will definitely be much, much tighter than the era where we used to get orders under the line of credit funded projects. So these are orders on a global tender where we are competing like the coach tender, the toughest competitors across countries who are the major coach manufacturers in the world. So obviously, getting orders like that, the margins are tougher.

Each of these orders have different margins and our aim will be to even improve upon the margin even against the one that we bid for by earlier execution. So that's why even though these orders have a longer time frame in terms of the contractual requirements. It suits us both in terms of revenue realization as well as optimization of the cost to execute them at the earliest and optimize margin.

But fact that getting these orders on global tenders, the margins will be much, much tighter than the erstwhile export margins, which were in the range of 20%, 25%.

Viraj: So will it be still double digit in the double-digit space, I would assume that it's correct to assume that, sir?

Rahul Mithal: The margins would be different on order to order. What you should look for is in terms of getting good EBITDA and PAT at the earliest from each of these orders.

Moderator: The next question is from the line of Parimal Mithani from Credential Investments.

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Parimal Mithani: So I just wanted to update in terms of your leasing business. Can you talk for the lifetime, I think the scope of opportunity has been going at a really much larger now?

Rahul Mithal: Yes. Parimal. In fact, leasing business, what is the interesting thing is that both in terms of the growth and opportunities and trying to hold on to its margins. I'm saying that in spite of one interesting development in leasing, which is like other sectors of my revenue also. But given the leasing sector has started opening up to competition from players now. And with this, we have optimized our resources and try to get more orders.

We have been getting fresh orders continuously in this business. And that is why by optimizing the execution of this by optimizing the cost, we could improve upon the leasing margins. And in the coming year, you will see also trying to get at higher revenues and more opportunities and more clients in the leasing business.

So this has huge potential, and the requirement across the prospective clients has been increasing. Number of new clients, both in the private and public sector have been approaching us. And we are moving in the right direction in expanding our client base in the leasing business.

Parimal Mithani: So is it fair that the

re will be a faster growth in leasing business going ahead and with good margins?

Rahul Mithal: Good growth and good EBITDA. Margins may be tougher to maintain because now the competition is opening up, more in that. There were players, but there are more players jumping into it, looking at the huge opportunities as more and more power plant, cement plant, ports, steel plants, et cetera, including private players coming in these sectors in a big way. The opportunities are huge in this. So more players are jumping into it. So we would aim to get more orders, more revenue and more EBITDA. Margins may be a little tougher to maintain in the long term.

Moderator: The next question is from the line of Uttam Kumar from Axis Securities.

Uttam Kumar: Sir, what is our executable time line for the Turnkey projects? We have got around INR2,500 crore in Turnkey projects. So what was the executable time line for these 23 projects?

Rahul Mithal: See, Turnkey, by nature on average take about 2.5 to 3 years on an average. Some may take more. We are taking a limited turnkey projects. In fact, if you see the fresh orders in our turnkey have been only in the range of about INR500-odd crore in the last FY. We take very limited fresh orders in turnkey segment.

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So by and large, the orders that we take in the turnkey scheme are areas where there is no major hindrance, no major obstacles in moving our hands in the execution. So with that, I would say, a rough time frame of about 2.5 to 3 years. So this order book of about INR2,500 crore would mean roughly about a 3-year window, even if there is no addition, with the existing order book.

Uttam Kumar: And the margin will be saying, sir, around 4% that we are closing this quarter? Is it sustainable for the Turnkey projects also?

Rahul Mithal: Turnkey business by nature have a margin ranging from 3% to 4%.

Moderator: The next question is from the line of Viraman from JM Financial.

Viraman: Just one more question. So I want to know what is your competition, both domestically and internationally? And any idea of the market share of consultancy for Indian projects that we have?

Rahul Mithal: Yes. Interestingly, we can say with confidence that in the infrastructure consultancy business, we are maybe the only Indian company, whether in the PSU space or private space, which has all areas of infrastructure consultancy, except maybe oil and natural gas under one roof. We have 13 different verticals doing infrastructure consultancy across Airports, ports, highways, metros, rail infra, et cetera, buildings and all possible areas of infrastructure.

So each of my vertical has different competitors. Some may be common because they may be doing more than 1 or 2 verticals. But I don't see any single player in the PSU or private space who can compete with us overall, which has this entire bouquet covering all areas of infrastructure.

Moderator: The next question is from the line of Yash Gupta from Think Sight Advisory.

Yash Gupta: My question is on order book of consultancy. Sir, if you look at last 3, 4 years, our consultancy order book is ranging from INR2,500 crore to INR2,600 crore from last, I think, 3 years. Sir, when we are looking for the next leg of growth into it, like by revenue next 2, 3 years, we can reach INR3,500 crore?

Rahul Mithal: You see consultancy orders, by nature, are small in ticket size. Primarily the largest orders which you get in consultancy are project management consultancy, where you get a percentage of the total infrastructure cost, say, 1% of INR1,000 crore. suppose, you get 1% of that as a project management consultancy.

So in terms of the number of orders, as you've seen, there has been a growth, and we've got the trying to get and maintaining a one order a day. Now in terms of ticket

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size of these orders, obviously, t

he ticket size needs to grow in a much bigger way to

be able to jump substantially above this INR2,500 average crore of order book.

What can be definitely aimed at and what we are aiming is that while trying to get some bigger ticket size orders, the aim is to get more and more orders and faster execution. So you may find that the order book in terms of number at the end of the quarter in total value may not see a bigger change because also our growth in

consultancy revenue, as I said at the outset, has been the highest ever in this FY. We've seen a growth in 10% in the project consultancy revenue. So our aim is to get number one: orders while the effort to get higher ticket size orders, but also to execute faster the consultancy order so that the revenue realization and our positive effect on our EBITDA margin is in a much bigger.

Moderator: The next question is from the line of Viraj from Jupiter Financial.

Viraj: Sir, my question is since we have considered probably on the growth phase now. Is it fair to assume it will be back to your days of 2010, 2013 where the net margin in a range of 25% and having 15% top line growth?

Rahul Mithal: Viraj, what we will definitely aim is, as we have consolidated one of the toughest year this year and taken the challenge head on. And as you've seen sequentially, there has been a movement in the right direction based on our strategy, which we laid out at the beginning of the year. Our aim for FY '24-'25 will be to give you a substantial and a healthy growth in the EBITDA and the profit because that is what our aim is rather than just giving you a 15%, 20% growth in revenue and not being able to give you a growth in EBITDA and profit.

So our entire strategy, whether it is in terms of getting fresh orders, whether it is in terms of cost optimization, whether it is in faster execution of our existing consultancy order book, or our export order book, it is to try and see a healthy growth in the EBITDA and profit, and that is what we are aiming for FY '24-'25 vis-a-vis '23-'24.

Yash Gupta: So a follow-up to this, I think you commented that we are considering probably on a growth path. So do you see visibility across the sector in terms of order book, what are coming in and the feeling is much more better than the last year, is that so? Since you commented that probably we are seeing some growth ahead. So can you just give some color on that would be helpful.

Rahul Mithal: Yes, for sure. When we started the FY, we were at the rate of about 0.7 orders a day.

We have set a target that by end of the year, we would reach being a one order a day company. As you remember, we reached one order a day company in Q3. We maintained that in Q4. We got 100-plus orders in Q4 at INR940 crore. The trend of this RITES Limited

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year also has been healthy. We are continuing to tap on the various infrastructure sectors.

So if you see, just to give you an example, in the last few months, as I said, we got a ropeway order in the Northeast. We got airport orders in Orissa. We've got orders for IIT Bhubaneswar. We've got a tunnel order in J&K, highway order in Maharashtra. So across sectors, we are seeing a healthy trend. And we are confident that on an average basis for this coming FY, we should be able to maintain this trend of one order a day while trying to get bigger ticket size orders also so that in terms of value also, the entire order book sees a substantial growth.

Moderator: The next question is from the line of Prashant from ISJ Securities Pvt Ltd.

Prashant: May I know the current order book as on today? And what is the breakup of order book?

Rahul Mithal: Yes. The order book as of 31st March is INR5,700 crore. Consultancy is INR2,600 crore. Turnkey is INR2,500 crore. Export is the order of Mozambique, which is about INR300 crore, and the balance leasing and subsidiary, et cetera, is INR300 crore. We haven't

added the Bangladesh order of INR900 crore, which came in April. So this is an add-on over the INR5,700 crore, which was there on 31st March. And besides the other orders which we are getting in Q1 of this FY.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Mudit for closing comments.

Mudit: Thank you. We would like to thank Sri Rahul Mithal, Chairman and Managing Director; Shri Arun Kumar Singh, Director Projects; Dr. Deepak Tripathi, Director Technical; and Shri Krishna Gopal Agarwal, Director Finance, for giving us this opportunity to host this call. We also thank all the investors and the analysts for joining this call. Any closing remarks, Rahul sir?

Rahul Mithal: Thank you, As I said at my opening remarks that we are happy and encouraged and confident by the way we stuck on and consolidated and moved on the right track in the strategy that we had laid out at the beginning of the FY and we took the challenges head on. Having built up on that sequential we see a good trend this momentum continuing in the coming FY.

We recently, in the month of April, we completed 50 years. And we feel proud that

today the as we touch 50, a milestone, we are still on a positive momentum and having achieved the Navratna Status also a few months back.

RITES Limited

May 29, 2024

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Our 2 core strengths, which have been there for 5 decades, which we'll leverage on.

One of our strengths is the core expertise in core design, engineering design, which we will continue to leverage on under our initiative. And the second is our international presence, whether in export or project consultancy under the RITES Videsh initiative.

So these 2 pillars will be the key focus as we leverage this momentum on the coming FY. Thank you.

Moderator: On behalf of Elara Securities Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

-End-

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Call: Aug 2024

No. RITES/SECY/NSE Date: August 07, 2024

To
Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai – 400051

To
Corporate Relationship Department,
BSE Limited,
Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Code - RITES

Scrip Code - 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call held to discuss Financial Results for quarter ended 30th June, 2024

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and investors held on Thursday, 01st August, 2024 to discuss the unaudited financial results of the Company for the quarter ended on 30th June, 2024.

This is for your information and records.

Thanking You,
Yours faithfully,
For RITES Limited

Ashok Mishra
Company Secretary & Compliance Officer
Membership No.: F6411

RITES Limited
Quarter 1 FY 2025
01 Aug, 2024

Moderator: Good morning, ladies and gentlemen. I am Steve, Moderator for this conference. Welcome to the conference Call of RITES Limited to discuss its Q1 FY25 results. We have with us today, Shri Rahul Mithal - Chairman and Managing Director, Shri Arun Kumar Singh – Director Projects, Dr. Deepak Tripathi – Director Technical and Shri Krishna Gopal Agarwal - Director Finance & CFO.

At this moment, all participants are in the listen only mode. Later we will conduct a question-and-answer session. At that time, if you have a question, please press * and one on your telephone keypad. Please note this conference is being recorded and in the interest of time and fairness to all participants, you are requested to restrict yourselves to one question per participant. Participants, time permitting, you may come back in the question queue. I would now like to hand the conference over to Shri Rahul Mithal - Chairman and Managing Director. Thank you and over to you, Sir.

Rahul Mithal: Good Morning, at the out-set, let me start with giving the Safe Harbor

statement. The presentation and the press release which we uploaded on our website and exchanges yesterday and discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different and we do not undertake to update those statements periodically.

Let me give you a brief overview of Q1 performance with my opening comments and then can open the line for questions. The performance of Q1 has been muted. Let me analyze the numbers in a nutshell. The two main challenges which we have been talking about in the past, the dynamics which changed the business of inspection from IR and the export business.

This quarter, if you compare Q1FY24, this Q1 hit us with full impact. So, Rs. 35 crores was the export revenue in Q1 of last FY and it was nearly nil in this Q1. The impact of the QA business of IR had a hit of about Rs.25 crores on YoY Q1 to Q1. So, this Rs. 60 crore was the net impact which you see has, and both being high margin streams of revenue, hit the top line and the bottom line. The encouraging trend is that the order book, as you see, jumped by about 11% from 31st March to 30th June, an addition of about 1300 plus crore orders which were across sectors whether it was export, rail-infra, highways, buildings, tunnels, airports, etcetera, and in fact if you compare the two quarters H1 of last FY, the orders we got was only about Rs. 600 crore and in the last few quarters we've got an order of about Rs. 3000 crore. So, this is about 5 times. And that is what we need

to focus on execution of these orders in the coming quarters so that sequentially we are able to build up both on our top line and bottom line in the entire FY. So, with those opening comments, I leave the floor open for questions.

Moderator: Thank you. The first question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: Yaa Sir, thanks for the opportunity. And first of all, congratulations on the receipt of orders and build up in order book. My question is on the margin front. Though in the previous quarters we have been alluding to it that margins will see some bit of impact. So, can we say, if I just go segment by segment, maybe consultancy EBIT margins of 40%. So, this is a new normal for us going ahead?

Rahul Mithal: Morning, Vishal. Yes, I think across the four streams of revenue, what we see today, both on an individual stream wise margin as well as the blended margin say in a particular quarter, the blended margin may be varying depending on the contribution of each stream of revenue, but averaged out over a longer period of time, let us say half year or FY, what we see is really where the margins are going to settle on a blended margin as well as the margins in the individual stream. And why I say this is you see till about two to three years back, our order intake, if you compare the ratio between competitive and nomination was roughly about two third nomination, 1/3 competitive and as we have progressed over the recent quarters. In fact, this quarter itself the ratio has been changing roughly to about 75:25 in competition, whether it is domestic or international order. And that is seen in the breakup of the order book also. So, the fact that we are competing and still getting orders, yes, moving forward margins will be definitely not comparable to the earlier trends. But I think this to my mind where we are today could be the let's say the new normal and would be where the margins would settle down in the coming quarters and years.

Vishal Periwal: So just on the margins, on the consultancy, we did mention like 40% is a new normal for us. But for turnkey in this quarter the EBIT margin is roughly 1.2 kind of number.

Rahul Mithal: Oh, I got it. Yes, yes. So, in turnkey you see the margins normally on again on an overall average over in any case round about 2% to 3%. And they may vary in quarter to quarter depending on the stage of execution of the turnkey project. In some quarter, the material supply is more and the execution is lesser, in some of the quarters the manpower execution is more so. So, it varies quarter to quarter but turnkey would still remain between about 2 to 3% on an average.

Moderator: We'll move on to the next question. It's from the line of Yash Gupta from Think sight advisory. Please go ahead.

Yash Gupta: Yeah, hi. Good morning, everyone. My first question is on Export. What's your plan for the current export order? And when we will start to book some revenue out of it and what's the expected number for the complete year?

Rahul Mithal: You see, there are two export orders which we got – Rs. 900 crores from Bangladesh of coaches 200 and Rs. 300 crores from Mozambique of 10 locomotives. As far as coaches is concerned, while they have a lesser period of manufacture, the process being lesser compared to a locomotive. We expect that with the necessary approvals in coordination with Bangladesh for the prototype designs because there are about 10 types of coaches in this 200 coaches' order. We expect that they will start generating revenue by Q1 of next FY or we will try and maybe slip in few coaches end of this FY. Efforts would be on, but I think realistically by the time the prototypes are approved, they may slip over to the quarter one, once the manufacturing starts, the entire lots can be delivered very soon. So, that is as far as the coaches are concerned, as far as locomotives are conc

erned, by nature, they take

about 12 months to 18 months to manufacture. However, having said that, we are very keen that we try and at least again ship out a few of those 10 locomotives by the end of this FY. So, for both those orders, our aim is to, you know aim for by end of this FY quarter four, but it may slip in into quarter one. So, between quarter four and quarter one, some shipments should start.

Rahul Mithal: The next question is from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat: Sir, my question was around, you know, government CapEx versus private CapEx as government CapEx growth is reducing and private CapEx is expected to take over. Any changes in our strategy to serve incrementally higher to private clients compared to government?

Rahul Mithal: I'm glad you asked this question because you see our strength is that we across all our 13 verticals of consultancy over a period of time, we have both government and private clients. So, for example, whether it's a rail infra vertical, we are doing work with PSU's like NTPC, Sail, Coal India, whereas we are also doing work with the majors like Ultratech also. So, whether it is the inspection business while we are doing work with the government, we are also doing work with the process inspection with players like Jindal. We are doing work in ports for both private ports and government ports. We are doing work in airports for both private airports as well as government airports. So, across infrastructure verticals, we leverage the growth in CapEx and infrastructure, whether it is from the government CapEx or the private CapEx.

Vinamra Hirawat: So, you're indifferent as to whether one is coming from government or private CapEx. You expect orders to come in regardless the same rate?

Rahul Mithal: Yes, for sure.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Yeah. Thanks for the opportunity. Sir, again, coming back to margins. So just one clarification. So, since the export orders are on a competitive basis, will we see a dip in margins there as well? Vis-a-vis previous quarters of previous years which we used to enjoy?

Rahul Mithal: Yes. You see both orders are for the first time ever, maybe in the last five decades, that we have got orders on a global competitive tendering mode. Erstwhile export of rolling stock orders were under the line of credit tenders floated by EXIM bank, where the competition is limited to Indian companies and obviously the competition is much lesser. So, when you are pitching and for example this 200 Coach EIB funded tender was a very tough competitive tender and the margins in the export stream also would be much lower than where we have been seeing the erstwhile margins in the export stream. So, as I said at the outset, the aim is to maximize the revenue across the streams of revenue so that in absolute EBITDA and profits we are able to grow, these are the levels of margins which I see settling down over a period

of time.

Shreyans Mehta: So just to summarize, so on an aggregate console basis, you know once all export orders also come under execution, is it fair to assume that we will be at say closer to 20% EBITDA margins?

Rahul Mithal: Well, you see again the point I'm trying to make is that in a particular quarter, the blend of revenue would maybe have a variation, but overall, over a period of time, these are the kind of range which we can see settling out over a period of time averaged out.

Shreyans Mehta: Got it, Sir. Got it. Thank you, and, All the best.

Moderator: Thank you. The next question is from the line of Nemish Sundar from Elara Capital. Please go ahead.

Nemish Sundar: Yeah. Thank you for the opportunity, Sir. So first, just one question on the employee cost. So last year we observed, in line with the target to reduce employee cost, they were largely

reducing are flat, but this

quarter we have seen a slight rise in employee costs. So, is this ahead of some anticipation of some orders in turnkey or consultancy that we are ramping up our employees' time?

Rahul Mithal: Yes. In fact, as a strategy, a year to year and a half back, we were trying to see what the optimum level in our existing employee strength for the way is forward for our business model and then as a conscious decision in the last FY as we ramped up our bidding and getting orders as I said at the outset, we have got Rs. 3000 crore orders in the last few quarters vis-a-vis 600 crores in the 1st H1 of last FY. So, we got five times the order receipt and you see the growth in the order book also. So, to be able to execute this, we had a conscious decision to timely induct people of various skills at various levels. And that is why if you compare YoY, there is a growth in the employee strength net addition of about 250. This is besides a superannuation of about 100 odd, so gross we have inducted about 350 additional which is the net input plus of about 250 which is a conscious decision. So, while there as you correctly said there is an increase in cost or the cost YoY is flat even though the revenue has fallen and thus impacting the margins also, but this is a conscious decision because as these orders have to be executed, we cannot have a time gap for hiring the employees and we need faster execution in the coming quarters, so it's a conscious decision to, you know, build up this bench strength and yes, maybe this would incur a cost for one or two quarters before they start generating revenue.

Nemish Sundar: OK. Thank you for that, Sir. I have a couple of more questions. And I'll join back in the queue. Thanks.

Moderator: Thank you. The next question is from the line of Yash Gupta from Think sight advisory. Please go ahead.

Yash Gupta: So, my second question is one was on NHAI and Delhi Metro agreement. Recently we have done one more agreement with the NHAI. Can you throw some light on it and how we see both this agreement turns towards the revenue?

Rahul Mithal: Yes. So let me first talk about the NHAI MOU. We have been working a lot together over the last many years and this is a natural partnership between NHAI and us. We have a very strong highway design unit as well as safety, quality control, tunnels & bridge design units etc. So NHAI and we will be complementing each other's strengths. The design and quality control and safety aspects of their work, we would be there, kind of supplementing or you want to call it a back office or we'd be partners in their growth as they have a high CapEx and a high rate of execution. Similarly, DMRC, we have been partners for more than three decades now. We have done a lot of work with DMRC and this is further moving forward as DMRC is you know diversifying and pitching for other cities, both domestic and international. They are diversifying and growing their business portfolio and we have been working with DMRC for long. So, we are partnering with them for both domestic and international opportunities, whether it is for operation, maintenance, design you know or rolling stock design etc. So, both are natural partnerships where our teams have been working with each other in any case for last 2-3 decades.

Yash Gupta: Difficult to comment as of now for on the revenue front?

Rahul Mithal: See, these are kind of partnerships where each of the opportunities, as they come up both domestic and international, depending on the size and scope of the opportunity we will be working together. As I said, each opportunity will have a different element of share between the two of us.

Yash Gupta: OK. Thank you, Sir. All the best.

Moderator: Thank you. The next question is from the line of Raj Mithani from Jupiter Financial. Please go ahead.

Raj Mithani: Yeah. Thank you for the opportunity, Sir. What would be your guidance

for the current year and year forward in some current terms of top

line? And would we be maintaining broadly 20% net margins which have been maintaining so far?

Rahul Mithal: Morning. As far as the first part of your question, you see the Q1, both in terms of top line and bottom line, maybe have hit the bottom of the barrel to play and our effort will be that Q2 onwards we build up on that. Q2 may be a little tough because of, you know, the execution being affected maybe by heavy rains in certain geographies. However, efforts will be made to minimize the impact on our execution and revenue. But having said that our effort will be that for the sequentially we see a growth in revenue as well as trying to leverage the higher margin orders out of the order book and aim would be to try and reach as close as possible to the last FY levels, despite the muted performance of Q1. So that's the guidance for the entire FY sequentially moving forward. As far as margins are concerned, again to reiterate this, the margins that you see, whether in the individual streams of revenue or the blended margins, they have had the worst hit in this quarter because of the contribution of inspection as well as export, so moving forward, I think the margins remain in this range or maybe a little bit improvement as the export revenue contribution starts and the number of non-IR inspection orders which we have taken in the last few months. They will start, they have already started generating revenue. They are at the initial stages, but their contribution will grow in the coming quarters. So definitely maybe a little improvement vis-a-vis the Q1, but by and large definitely settling down to a blended margin in the range that we have seen in this quarter.

Raj Mithani: Thank you, Sir. I will join back in the queue.

Moderator: Thank you. The next question is from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat : I just wanted to update you know, I think we still have a Zimbabwe order that's pending. I just want to know is it being delayed because of any instability in Zimbabwe's currency freight rates and if there are any other exports in the pipeline that can be converted in the next couple of years?

Rahul Mithal: So as far as the Zimbabwe order is concerned, it's not really because of any instability. The structure of the agreement which we signed with them last year was, while the quantum of locomotives and wagons and the value of about USD 80 odd million order was also clear, depending on the funding. We were very clear that we would not take it in our order book unless the clear funding is concrete from their side for which they have been working on from the AFREXIM Bank. We are constantly in touch with them for whatever input they need from our side. It is moving maybe a little slowly between one year, but it is moving on the right track, and we are hopeful that as soon as the final funding is sanctioned by AFREXIM bank, they will go ahead with the necessary advances etc. And that's the time when we will declare it to stock exchanges and put it in our order book. As far as other export opportunities are concerned, there are a large number of export opportunities which are in line with our bidding for the Bangladesh and Mozambique order. Not only have we bid on competitive mode in various geographies, but we are also engaging with various geographies in trying to export certain types of rolling stock, including some in-service diesel locomotives from Indian Railways, which have now become available because of the electrification of Indian Railways. So, I think moving forward, we are looking forward for some

more orders in this FY.

Vinamra Hirawat : And what is the expected potential market size for us and what is the we're looking at just the ballpark figure maybe?

Rahul Mithal: The market size is huge because in terms of all types of rolling stock, whether c

ompetitive or nomination, including metro coaches etc., which we have forayed into the market is huge across geographies. So, sky is the limit.

Vinamra Hirawat : Got it. Thank you.

Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Thank you. Sir, what would be your order inflow guidance for FY25?

Rahul Mithal: You see the orders in flow for Q1 have been, as I said, an order book growth of about 11% within a quarter, fresh orders, we got about 80 plus totaling to about 1300 crores. Also, if you see, we have been maintaining that one order a day for the last two quarters. This quarter it's about 0.92, but that will average out for the year and definitely on the FY basis, we will be a 1 order a day company. So, I think to say that the order book vis-a-vis 31st March 24, will be higher when you see on 31st March 25, considering also the revenue that we do in 24-25. But there is going to be a substantial growth in the order book as the trend is showing.

Ketan Jain: Any particular number on the inflow, Sir?

Rahul Mithal: As I said, we will be aiming for one order a day. That's our target, that's our vision, that's we have been able to maintain and we will be able to maintain that.

Ketan Jain: OK. Thank you.

Moderator: We'll move on to the next question. It's from a line of Nemish Sundar from Elara Capital. Please go ahead.

Nemish Sundar: Yeah. So, thanks for the follow up. Just one question. Can you give the revenue contribution from quality assurance in this quarter?

Rahul Mithal: You see, quality assurance, the revenue is a merged revenue with the consultancy total overall revenue. But what I can definitely tell you is certain features of the quality assurance revenue which will tell you in perspective how it has progressed in this quarter. If you compare vis-a-vis FY23, the contribution from IR to non IR was about 80 to 20 or about 75:25. In 23-24, it's about 60:40 and now in this we have graduated to about 55:45, 55 as non IR clients in QA and 45 as the IR client. So moving forward what we are aiming is that in QA business, taking the impact of the change scenario as I've been mentioning fee cut in last year first quarter and the full impact has been felt in this quarter because all the old orders of QA as per the old rates finished and now we are getting all inspection calls as per the new rates and that also as one of the four players. We have taken orders, whether it is from the Gem portal, whether it is from the PM Vishkarma scheme, whether it is solar, renewables, power discoms, defense, state government. So, the contribution has turned on its head within two years and it has become non-IR about 55% vis-à-vis IR at 45%. So, we are aiming to come back to the levels of the total revenue which we were about two years back or maybe even a year back when this new regime started kicking.

Nemish Sundar: Thank you so much, Sir. All the best for the thank you.

Moderator: The next question is from the line of Parimal Mithani from Credential investments. Please go ahead.

Parimal Mithani: Sir, thank you and good morning. If I see sequentially order book, Sir, there has been a reduction in the consultancy business overall, and one of the things is if you compare from the last March quarter ended to the current quarter, if I see the revenue from the competition, the side of the business is increasing and the nomination is decreasing over this trend if I see, vis-à-vis also year wise. So, is it fair to say Sir, that more or less a revenue in consultancy are getting stabilized?

Rahul Mithal: No, to the contrary in fact the consultancy order are the most of the orders which we have been getting are besides these big export orders. Consultancy has been the largest number if you see the rate of one order a day. In terms of value, even today at Rs. 6350 crores order book, consultancy is the highest

share. It is Rs. 2500 crores. Yes, in terms of execution, as I said at the outset, both in terms of type of projects where our fee is dependent on execution of the projects at the ground level as well as certain type of consultancy orders where there are master plan studies etc., we need to expedite and speeden up the execution in the coming quarter so that their contribution of the consultancy in the overall revenue is much more. So, in terms of getting order or the order book, the future growth as well as the trends will be 'consultancy continue to remain playing a very major role' and just to give you an example of orders in the last quarter in the last few months itself, we have got orders in consultancy across sectors. So, whether it is a highway order in Assam of Rs. 42 crore, a rail infra order in Karnataka for about Rs. 27 crore, it's a jetty order in Porbandar for about Rs. 8 crore, it's an MMLP in Indore for Rs. 7 crore. So, I mean there are airports, mobility plan in Bihar at Rs. 6 crore. These orders are across sectors, and this is the heartening feature that the consultancy orders are coming across all our verticals, not in one particular vertical only.

Parimal Mithani: And sir, in terms of quality assurance business, is it fair to assume that margin are more or less stabilized now going forward from here?

Rahul Mithal: I think the quality assurance contribution, as I have said now it has flipped on its head in terms of 55 being non-IR business and 45 being IR business and by and large this quarter saw the full impact of the change regime of the new IR QA order, so in terms of margins for the contribution of the QA to the blended margins, I think maybe yes. This is to be the new normal as someone said in terms of since this is what we will continue to build up on our non-IR clients. Yes, most of them are competitive basis so there will be issues in margin of the QA contribution. But by and large this business model or this ratio between non-IR has stabilized over a coming period of time.

Parimal Mithani: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Rupali Junikar, an individual investor. Please go ahead.

Rupali Junikar: Good morning. Congratulations on securing the Award on most wanted company to work with.

Rahul Mithal: Thank you very much for your kind words. Thank you.

Rupali Junikar: My question is regarding the consultancy. As we are seeing that there is a continuous decline like for quarter on quarter and also year on yearly basis. So, is it because of the political impact or can you throw some color on it?

Rahul Mithal: You see, first of all the decrease in consultancy is not there really. If you dive deep down into the breakup, it's primarily as I said because the inspection business has been counted as part of the consultancy business. If you see the project consultancy, in fact, last year we had an all-time high project consultancy revenue. We are winning the order as I mentioned to the previous participant, we are getting across our all verticals, so our growth, both in terms of order book, both in terms of our strength that we have verticals of consultancy across all areas of infrastructure. Further sequentially quarter wise, the growth in execution is fully governed by our strength in consultancy. We are a consultancy company, we take pride in it and that's our strength so whether, as I said, getting one order a day or converting this order book of consultancy which is the maximum Rs. 2500 crores out of Rs. 6350 crores, that is our focus. That you will see continue growing whether in terms of the size of the order book or its contribution to the revenue.

Moderator: The next question is from the line of Raj Mithani from Jupiter Financial. Please go ahead.

Raj Mithani: Yeah. Thank you for the opportunity again, Sir. Now listening to your comment, is it fair to think say FY26 onwards will

be on the takeoff

mode? It's fair to think that way because the order is coming in, export probably kicking back, quality assurance coming in.

Rahul Mithal: See Raj, as I said at the outset, we believe in being very clear and transparent to all our shareholders and stakeholders and that's why we give a very clear and realistic assessment of our strengths and performance. The quarter 1 performance as I said at the outset, due to

the various reasons has been muted and our efforts will be that this order book that we have accumulated and managed to get in a very strong competitive environment, we are confident that the trend is that we will continue to get this rate of order and that's the very reason why in spite of a cost, we have inducted about 350 plus people in the last one year. So, as I said, even though it's a carrying cost for few quarters, we are going ahead as a conscious decision because we see that in the coming quarters at the balanced part of this FY, especially H2 onwards and as you correctly said, the next FY we will build up and focus on faster execution of this order book and continue getting orders at this rate. So, with that, while there is lot to be done, but yes, our basic strength and ability based on our credentials and our capability of our team, I am sure that we will sequentially aim to grow on this platform.

Raj Mithani: So, the bonus is sort of signaling confidence in the years to come, is it? One is to one bonus?

Rahul Mithal: You're very correct. That is our confidence in our capability and our inherent strength that, as I said, our order book, our bench strength and the visibility of fresh orders make us confident that as we execute our order book faster, we will be able to grow on this leverage and grow on this platform.

Raj Mithani: Congratulations and all the best for that.

Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: Yes, Sir. Thanks for the follow up, Sir. In terms of export orders, I think the PT mentioned that Bangladesh orders completion is 2029 and Mozambique is 2025. So, is it fair to say probably this year anything is happening or maybe next to 2025, any execution is happening or revenue buildup is happening then it's primarily Mozambique, the Bangladesh could pick up maybe FY27 in terms of supplying the maximum of the orders, is it fair to say that?

Rahul Mithal: No, you see, coming separately to the Bangladesh order, it is as per the contract, it's about 36 months, but the coaches, as I said have a shorter period of manufacture and both Bangladesh railway is very keen, they have a lot of shortage of coaches and we are very keen since they have a shorter period of manufacture, vis-a-vis locomotives that we are trying to push and coordinate literally on a weekly basis with them so that the 10 types of coaches which are there in 200 coaches, the prototypes are approved and we start bulk manufacture. So, my assessment is that we will definitely start shipping out few lots of coaches by quarter one of next FY. We may aim try and squeeze in few by end of this FY, but maybe quarter one is definitely a realistic where we will get this as far as again locomotives are concerned while they have a longer period of manufacturing of about 15 to 18 months but again Mozambique is very keen for movement of the minerals etc. We will try and ship out at least one or two locomotives by end of this FY. So again, while Q1 next FY, definitely some locomotives, we would aim to ship out, but both in locomotives and coaches, we will try and see if maybe we can slip in a few by end of this FY.

Vishal Periwal: Sir, thanks for the detailed clarification. I'll come back in the queue. Thank you.

Moderator: The next question is from the line of Rupali Junikar, an individual investor. Please go ahead.

Rupali Junikar: Just a small question. Are the orders of no

n-IR, the nomination one or the competition?

Rahul Mithal: No. In fact, most of them are on a competition basis and that is the whole trend. As I said maybe at the outset across whether any of our stream of revenue, whether it is consultancy, QA, turnkey export, all our streams of revenue, the trend which about two to three years back was roughly about you know, two third one third in terms of nomination versus competitive has now turned on its head in his roundabout, if you count the last few quarters, maybe two quarters into fresh order. It is about 80-20 in terms of competition and vis-à-vis nomination. And if you see the breakup of the current order book also because it has some old orders of nomination that itself, you will see

the changing trend in that. As of today, it is 61 competitive 39 nomination even in the existing order book and fresh orders which we have received in the last quarter ratio is roughly about 80 competition and 20 nominations.

Rupali Junikar: OK, understood. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the call over to the management for their closing comments.

Rahul Mithal: Thank you. And as I said at the outset and during the discussion, the focus is on, number 1, execute the existing order book at a faster pace, even faster than maybe the expected contractual requirements in various contract agreements so that we try and maximize the revenue realization moving forward sequentially quarter on quarter. Parallely continue this trend of bidding aggressively for both domestic and international, both consultancy as well as export orders so that the trend which we have seen in the last three quarters of getting Rs. 3000 crore fresh orders, we are able to maintain this trend of getting fresh orders in the coming quarters. So, with that we have, as I said, built up our bench strength. While yes, the quarter one has been muted, but our aim is moving forward to see a sequential improvement quarter in quarter so that we reach as close as possible to the last FY on a FY basis. Thank you.

Moderator: On behalf of RITES Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

-End-

Disclaimer

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Call: Nov 2024

No. RITES/SECY/NSE Date: November 13, 2024

To
Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai – 400051

To
Corporate Relationship Department,
BSE Limited,
Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Code - RITES

Scrip Code - 541556

Sub: Outcome of Investors/ Analysts meet - Transcript of the Conference Call
held to discuss Financial Results for quarter and half year ended
September 30, 2024

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the conference call with analysts and
investors held on Thursday, November 07, 2024, to discuss the unaudited financial
results of the Company for the quarter and half year ended on September 30, 2024.

This is for your information and records.

Thanking You,
Yours faithfully,
For RITES Limited

Ashok Mishra
Company Secretary & Compliance Officer
Membership No.: F6411

RITES Ltd
Quarter 2 | FY 2025
07 Nov, 2024

Moderator: Good morning, ladies and gentlemen. I'm Steve. Moderator for this conference. Welcome to
the conference call of RITES Limited to discuss its Q2 FY25 results.

We have with us today, S hri Rahul Mit hal - Chairman and Managing Director, Shri Arun Kumar
Singh - Director Projects , Dr. Deepak Tripathi - Director Technical and S hri Krishna Gopal
Agarwal - Director Finance.

At this moment, all participants are in the listen only mode. Later we will conduct a question -
and-answer session. At that time, if you have a question, please press '*' and '1'on your
telephone keypad. Please note this conference is being recorded and in the interest of time

and fairness to all participants. You are requested to restrict yourselves to one question per participant. Time permits, you may come back in the question queue.

Now, I would like to hand over the floor to Shri Rahul Mitthal - Chairman and Managing Director of RITES Limited. Thank you and over to you Sir.

Rahul Mitthal: Morning, everyone. I begin with the Safe Harbor statement. The presentation and the press release which we uploaded on our website and exchanges yesterday and discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be materially different and we do not undertake to update those statements periodically.

To begin with, let me give you a brief overview of the quarter two and then we leave the floor open for questions.

Quarter 2 has been a tough quarter in terms of the execution. Some of our projects in different geographies were impacted due to various reasons as you are aware of many infrastructure projects across various geographies being impacted in this quarter. We are consolidating and our focus has to be and will be in the coming quarters to continue increasing the execution and the sequential trend in terms of revenue about 11 to 12% from quarter one to quarter 2. That is what we will consolidate upon in the coming quarters, so that the effort is to be able to reach as close as possible of an FY basis as close as possible to the previous FY.

In terms of the order inflows, we are quite aggressively moving forward in maintaining our track record of being a 1 order a day company and in this quarter itself we got 90 plus orders totaling to about 700 plus crore. And this quarter was in fact more than even the entire H1 of previous FY. So, we need to keep on consolidating our order book and, we will continue to focus on increased execution in the balanced quarters of

this FY.

With these broad opening comments, I leave the floor open for questions.

Moderator: The first question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Yeah. Thanks for the opportunity. My first question is as far as the margins are concerned, so if you see Sir, you know after a long period of time, the margins have actually come down below 20. So just wanted to understand, are there any offsets during the quarter? And secondly in terms of you know, how should we see the margin trajectory going forward? That's the first question.

Rahul Mitthal: So, morning Shreyans. In terms of margin, if you see, we are in the range of about just below 20 EBITDA margins and PAT margins about you know 15% on a consolidated basis, we will continue to try and improve as execution improves in Q3-Q4, there will be slight uptick in the margin, but we will remain in this range. If you see H1 also, our overall margins i.e. EBITDA 289202/2024/S&CC285

margin on the consolidated basis is about 21% and PAT margins are 16%. So, in the range of about 20-21% and this would be the range the range of EBITDA and about 15 to 16% of PAT margin moving forward even on a FY basis.

Moderator: Thank you. The next question is from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat: So, I wanted to know what the ratio of the order book is where you know the share of nomination and competition orders will stabilize. We're currently at around two third and one third, where do you see this stabilizing and are we seeing further margin pressure as nomination orders go up in any of the segments moving forward?

Rahul Mitthal: Vinamra, so, the ratio which you see in the order book is the ratio of the order book. If you see the fresh intake of orders, the ratio of competitor is even higher. It's now in the range of about 70 odd percent plus. And this trend is only increasing from quarter to quarter. I see this only increasing, it will always remain, I think 70% plus in terms of competitive on an averaged-out basis and will only increase. In terms of margins, yes, because of this and continuously trying to get more orders also, there will be a stress on margin but I foresee as I told to the previous

caller that on an average , I see EBITDA margins hovering around about 20 odd percent and PAT margins hovering around about 15 odd percent on a console basis.

Vinamra Hirawat: Got it .

Moderator: The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Yeah. Good morning, Sir. My question is on exports only can you give some color what we're planning out? I understand we got three orders so far and the execution timeline.

Rahul Mithal: Morning, Viraj. So, we started breaking that hiatus of about three to four years of no export order. We got the 1st order of about `300 crore in Q4. Second order over `900 crore in Q1. In Q2, we got another order of South Africa about `35 crore . And in Q3 also in the one month or so we've got another order of about `50 odd crore from South Africa. So, we are trying and breaking that gap. We are now continuously getting orders. The average timeline and some of these are locomotive and some of them are coach orders like the Bangladesh `900 crore plus is a coach order. They have a finite timeline. What we are expecting is that the first revenue from these orders will start coming in by Q1 of next FY and most of these orders will generate a substantial revenue if you see during the entire next FY. So, the effort of trying to continuously keep on getting new orders that is our aspiration is to get one export order, at least one in every quarter . And then by next FY , the existing orders start generating revenue.

Viraj: Is the regarding export only? How is the Bangladesh export planning out because of the geopolitical uncertainties ?

Rahul Mithal: So, it is an EIB funded project, so there is no problem in terms of the funding, all necessary approvals paperwork is in place, the design approvals are going on for the prototype, the setback was only temporary for 2-3 month or so. So it is, you know, the timeline has slipped by about 2 -3 months. So, what we were aiming to somehow slip through some coaches by Q4 or early Q1 may slide by few months, but it's on track.

Viraj: OK. Thank you, Sir. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Parimal Mithani from Credential investments. Please go ahead.

Parimal Mithani: Sir, I just wanted to know, whether the reason for quality assurance is due to the competitive nature. How do you look into it there ?

Rahul Mithal: Yes, I'm glad you asked that Parimal. You see, we were doing quality assurance which has a good margin, higher revenue source for us for last nearly 5 decades and more than two -third of this was from Indian Railways as a client and this was on a nomination basis with a good margin. Early last year, the work was divided for the first time through an open tender between four players, so the volume went down to about 30% and the rates came down to 289202/2024/S&CC286

about 20% of the rate. So, you can see a double hit and these orders against the new contract , the inspection call started hitting in by latter part of the last FY, and now that is the new rates. So that's why this has given us a hit. Having said that , parallelly last year itself from early last year we started diversifying into a lot of other clients in the Q A Business and if you compare from last year within one year what used to be about 60% plus or two -third of IR as a client , in this Q2 it is down to about it's become reverse about 40% as IR as a client and 60% plus as non-IR as a client. So, we have taken work across a number of non-IR clients, both domestic and international. We got a first order from Sri Lanka, so with this , in the coming quarters, our aim is to come back, at least in terms of the total revenue from this stream to the pre this tender level, you know early last year's levels.

Moderator: The next question is from the line of Manan Poladia. Please go ahead.

Manan Poladia : Just a question since you said that our split of business from IR to outside business has slipped , is that also something that has a bearing on the margins , were we getting better pricing for the railway business that we're not now getting within the outside business that we're trying to do?

Rahul Mithal: So, Manan, I'm specifically talking of the QA stream of my business, right, we do lot of other

work for IR also , this is QA stream, the inspection stream of revenue which as I said was about two-third IR and one-third non-IR. And obviously now that we are diversifying and have been doing it in the last year or so. Taking orders across non-IR, the margins have taken comparatively of huge hit. The rates have also gone down substantially and if you analyze that , that is one of the main hits if you compare Y oY, all other schemes of revenue, whether it is project consultancy, leasing , turnkey, etcetera have been steadily growing. They have reached all-time highs in fact, in some quarters the hit has been due to contribution from this particular stream of revenue and as I mentioned to one of the earlier callers, the export revenue which has not been there for last few quarters, which is expected to pick up by next FY.

Manan Poladia: Right, Sir, I understand that .

Moderator: The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Yeah. Thanks for the opportunity, Sir. Coming to a FY25, as you said, you know, probably export orders traction should start from F Y 26. So how should one look at F Y 25 in terms

of

revenues given that export orders wouldn't be there and 2nd follow up would be you know once the export orders start trickling in? Will the working capital cycle be similar to what we had earlier, or would there be any changes?

Rahul Mithal: I didn't get your follow up when the extra orders keep coming up, I didn't get that.

Shreyans Mehta: When the export orders start contributing, say FY26 onwards , will the working capital cycle remain the same as we had earlier? How will the working capital cycle work?

Rahul Mithal: So, in terms of FY25, as I said at the outset, the focus now is Q3 -Q4 as normally Q3 -Q4 gives the best execution for infrastructure projects. The aim is to really step on the gas and execute all our infrastructure projects. We've got a huge order book now and we are growing not only in the order book, but as I said, the focus has to be increased in execution both in the consultancy as well as the turnkey so that we come as closer to the previous FY and the export revenue started, which will definitely start coming in by early next FY. And this large order book which we have now of about `1300 odd crore of export orders plus some orders will come up also , in terms of that, they will start generating revenue in next FY. The working capital requirement for exports has been hardly any . That's our traditional model which we have been doing export of rolling stock traditionally. So, working capital requirement has been minimal and will remain in that range.

Shreyans Mehta: Got it. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat: So, my question is regarding execution and so can we know why execution has been lower across multiple geographies like you said in the introduction, is there anything other than the 289202/2024/S&CC287

monsoons and any possibility of our sales having been impacted due to lower government spending than expected in the first half of this fiscal year ?

Rahul Mithal: I don't think there is any substantial reason except the reason that you pointed in terms of infrastructure , there have been certain geographies which were definitely impacted due to the you know, the rains, etc. But if you see Q1 to Q2 sequentially, we have tried to step on it and there has been about 11 to 12% growth in the operating revenue. But yes , if you compare Y oY, it is lower , about 7% odd lower. So, we need to and as I said Q3 -Q4, we will be able to , the visibility is quite clear in terms of execution at the ground level. There doesn't seem to be any major finite substantial reason why the execution level should not improve in Q3 -Q4 of these projects .

Vinamra Hirawat: So, it's not because of low government spending, it's more because of just monsoons and geographies ?

Rahul Mithal: No, not at all. We have about 600 plus orders of consultancy and turnkey across totaling to the `6580 crore and this definitely is these are just in terms of you see the factor which you saw in across certain geographies , across the country and so I don't see any problem at all in stepping up and seeing at least minimum , we've already seen Q1 to Q2 about 11 -12%. I see in terms of

execution even a bigger substantial execution growth moving sequentially.

Vinamra Hirawat: OK. Thank you.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Yes sir, my question is on the export order only, the ₹1300 crore the export order will be executed over what period of time, Sir, once you start from FY25?

Rahul Mithal: You see, Viraj, normally locomotives take about an average of 18 months and coaches about 15 odd months. These orders are locomotives and coaches and the coaches won for Bangladesh got affected by about let's say three to four

months. So, putting that time frame of about 18 odd months and these orders are already in our kitty. I think next FY, we have a bright chance of executing a substantial chunk. Our aim would be to, I would say rather than putting a specific percentage but with ₹1300 odd crore order in hand, we would like to execute a substantial chunk of it in the coming FY.

Viraj: And Sir, follow up on that, the margins on the export would be in range of 25% EBITDA and 20% PAT since it is an export order?

Rahul Mithal: No. I've explained that earlier, when we've got these orders for the first time, breaking hiatus about three to four years, most of the, nearly all the export orders which we have got in the last four to five decades have been through the line of credit through EXIM Bank tenders, which were primarily more or less kind of a nomination mode. The line of credit has completely become dry for export of rolling stocks in the last three to four years. All these orders which we are getting are non-line of credit orders through a competitive global tender bidding. It is like, I said the Bangladesh order is an EIB funded tender where there was huge competition across the countries. So obviously those levels of margins are in no way possible moving forward in the export stream, the margins will definitely be better than the turnkey segment, but definitely not in the range of the traditional export 25% odd margins.

Viraj: What would be the margin say in that case would be in what range would be give some indicative range?

Rahul Mithal: Well, it's premature. See each of these have been built at different margins and the aim would be to execute them quicker so that we get margins even better than what we bid at. So, it will be very difficult right now to make one figure, each one of them has different levels of margin, but for sure I mean in terms of very clear clarity, they are definitely well below 25 odd percent.

Viraj: OK. Thank you.

Moderator: Thank you. The next question is from the line of Parimal Mithani from Credential investments. Please go ahead. 289202/2024/S&CC288

Parimal Mithani: Sir, in terms of follow up to the quality assurance business, you launched this thing called Vista r. So how does it help in terms of if you can explain that and is it going to be margin accretive to us?

Rahul Mithal: Yeah, I'm glad you asked this question. This is, you know a very important initiative for from us, for getting cutting edge technology across our areas and QA being a very important area, this is basically the use of AI for inspections of rail at SAIL's Bhilai plant and this is a very good start. First of all, it improves the quality of inspection, it's a very important safety related aspects and these are early days. It is to get in this technology to 1st improve the quality and then be able to use this technology not only in rail but other safety items that we inspect and then that is the time when we'll be able to capitalize on this both in domestic and international market. AI based inspection to generate more and more profitable orders. Right now, these are early days of a very good initiative to try and have a breakthrough in using AI for this safety items inspection.

Parimal Mithani: OK. Thank you. I'll come in the queue.

Moderator: Thank you. The next question is from the line of Manan Poladia from MKP Securities. Please go

ahead.

Manan Poladia: My second question was on the R EMC business. You had said that we are putting out tenders for the 700 MW I think plan. I was just wondering if there is any update on that and if you could also tell me how we are thinking of the REMC business for say the next three to five years going forward, what sort of capacities we're looking at ?

Rahul Mithal: So, in terms of the R EMC business, it has been performing well , as you would have seen, it is being successively growing and giving profits. It's has given of about `20 odd crore profit in this quarter and also giving good dividend to RITES and IR. The tender s, we have finalized , one tender for 900 MW and 2nd of 600 MW . The PP A is being done the as of now the 695 MW is being reviewed.

Manan Poladia: OK. Understood, sir.

Moderator: Thank you. The next question is from the line of Uttam Kumar from Axis Securities. Please go ahead.

Uttam Kumar: Good morning and thanks for the opportunity. Sir, what is our current status of Zimbabwe order that we got around 500 crore ? Any update on that ?

Rahul Mithal: Yes, morning. So, this Zimbabwe as you would be recalling was an agreement signed last year, it is about `700 odd crore . We did not enter it into our order book , considering that it has a clause in the agreement that it is subject to funding from the AFREXIM bank. We have been continuously having deliberations with the NRZ and AFREXIM Bank. We are quite hopeful that the way it has been moving forward, they have had some basic in principle approvals in place. However, we are stepping cautiously, we don't want to expose, you know, take any liability till the clear funding letter comes from AFRE XIM Bank. But the way things are moving, I am hopeful that this should mature in the coming months.

Uttam Kumar: OK. Thanks a lot.

Moderator: The next question is from the line of Gaurav, an individual investor. Please go ahead.

Gaurav: Thank you for taking my question. My question was on the export front. Like you said, a major chunk of the order will be executed during this year. So, what number can we expect at the end of the fiscal year and how do you see it going forward?

Rahul Mithal: So, as I said, Gaurav, our order book of export as it stands now is about `1300 odd crore and we expect that this will start fetching revenue by early next FY because in the export stream of revenue , when a sizable lot is manufactured and is shipped out and we get the bill of lading that we recognize the revenue. So, the recognition of revenue will start sometime early next FY and considering an average lead time of about 18 odd months, 18 to 20 plus months for manufacture of locomotives and export and for coaches also, I see that for the `1300 odd 289202/2024/S&CC289

crore , if you calculate backwards would, as I said substantial amount would get booked in the next FY.

Gaurav: OK. Thank you so much. I'll get back in the queue .

Moderator: Thank you. The next question is from the line of Vishal from Antique Stockbroking. Please go ahead.

Vishal: Yes, Sir. Thanks for the opportunity. So, on a margin front or for a turnkey segment. On a quarterly basis, we are seeing clocking in roughly like you know one point 1% odd. So, is that fair to say probably like you know this is kind of a new run rate for turnkey margins for us ?

Rahul Mithal: You see , yes, turnkey business by itself hovers about 2 to 3% margin. This one has been substantially lower because now many of them are in the final execution stages, especially the IR projects that we were doing like electrification etcetera. So, at the latter stage where the execution is there and most of the material has come and the revenue has been booked, so margins go down but then normally on an overall basis, turnkey projects would hover around about 2 to 3% maximum.

Vishal: OK, so this first half run rate of 1 -1.1, so I mean is expected to move up to roughly 2 to maybe like 3, is that fair way to understand ?

Rahul Mithal: As the older lot of turnkey projects finish and the new orders that we have get as they start their execution and there is some overlap also of some of the earlier projects coming into Q3 - Q4, it will definitely creep up slowly and on an average basis if you see turnkey project , they would hover around about 2

odd percent.

Vishal: So, if I may ask one more, I think you did mention your order book has 63% on a competitive bidding. So, on a segment wise, I mean like you know how exactly it will fare where we have a nomination, where exactly it's a full order book is competitive bidding say between turnkey export and Consultancy?

Rahul Mithal: You see and again as I mentioned, 63 percent is the current order book. The fresh orders are all about 70% plus on competitive bidding. As I mentioned to one of the previous callers, all the exports are on competitive . The consultancy also, is hugely on competitive basis. So, they average out around about 80% of these are competitive basis where we may be still getting some orders on nomination is in our O&M & leasing business where traditionally there have been some clients who continue old PSU's that we've been working , some but that's also opening up and there is now about a 50-60% competitive. So, on an average it is set fresh orders are all about 70 -75% on a competitive basis.

Vishal: Sure Sir, that's all from my side and thank you for all the answers. Thank you.

Moderator: Thank you. The next question is from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat: So sir , you know, breaking our export orders high , it's been great news. I want to know , how exports order s flows will look 2 -3 years down the line, are we still going to see you know close to `1000 crore order and flows like we have this year or without push on competitive orders , can it even go higher in a couple years our order inflows than it has been this year, which is the first year we've broken our export high it is.

Rahul Mithal: Thank you. I'm glad you asked this question. A very favorite pet area of mine because it required huge lot of effort to do business re -engineering to be able to compete in the global market and get orders for the first time in five decades on a global tender basis and having broken that and now tasted blood, we are moving forward and trying to get orders, whether big or small, in every quarter. So , subsequent to that we got some orders `30-40 crore each from 2 order s from South Africa, and these were for in service diesel locomotives which had to be modified to their gauge and exported. There is a huge potential in that for a large number of in-service locomotives lying with Indian Railways and we are looking for markets to export them and with now being the hang of how to, you know, market intelligence for global tenders . I definitely see this picking up again because we have reengineered the way we are 289202/2024/S&CC290

tackling the export business and not only waiting for the line of credit opportunities which have hardly come in the last three to four years. There has been no line of credit export of rolling stock opportunities. So, I see this growing on a steady basis in the coming years.

Vinamra Hirawat: Got it. And you said you expect margins to be around 20% in this segment, right?

Rahul Mithal: I didn't mention any margin for export. I mentioned an overall margin that we are aiming at the current levels of EBITDA of around 20 odd percent and PAT around 15 odd percent , that's are aspirational targets and we hope that even though with the change d business scenario and the extreme levels of competition which within one year, the fresh orders we used to get about within a year itself, it has changed from about 50 :50 to about 70% plus on competitive basis overall across my vertical. So , that's the level of margins that we are aiming that we should be able to aim to secure.

Vinamra Hirawat: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: With all this, what these agreements and export orders all coming in, what will the FY26 look like? A

ny guidance on that would be?

Rahul Mithal: You see, this year is and will be the toughest year for us. As we have said at the beginning of the FY, it's a year of consolidation. We are trying to increase and improve the execution in Q3 - Q4 to come as close as possible on an FY basis to the previous FY. As you correctly said with the export stream contributing in FY26, I definitely see double digit healthy growth vis-a-vis the current FY in the next FY.

Vishal: You mean in terms of revenue, right top line with double digit growth?

Rahul Mithal: Yes, definitely. In terms of top line, because that's as you see the order book from export itself will contribute a substantial amount with literally a 0 contribution in this FY in terms of export. So that itself and other streams have been continuously growing. You know project consultancy has been growing, turnkey has been growing. So, in terms of FY26, we should see a substantial healthy growth vis-a-vis FY25.

Moderator: The next question is from the line of Harshad Jitendra from Elara Capital. Please go ahead.

Harshad Jitendra : Hi. Good morning and thanks for the opportunity. I know, Sir, we are having some difficult times at this point and I think you are doing a very good job sailing through this difficult time. Just a question from my side is the worst over as far as quality assurance is concerned as far as in terms of you know growth and if you can also give any number for the quarter in terms of what is the quality assurance number compared to YoY last year?

Rahul Mithal: Yeah. Morning, Harshad. Thank you for understanding the tough fight, which our entire team was giving. And I think whether it is in quality assurance or export or in terms of all our streams of business, it is only upwards now which we have been aiming at the beginning of this FY. Sequentially, as you see, we've been growing about 11 -12% and that definitely we will sequentially growth will be higher as you move on to Q 3 and Q4. In terms of quality assurance, this was quite a substantial business, it's part of our consultancy revenue. So, it's not fair for me to break it down separately and be able to give you the figures, but our internal analysis shows that the worst in quality assurance is over in terms of the fact that the new regime of orders, as per the revised rates from Indian Railways has kicked in from latter part of last FY. So, the last two quarters, three quarters which revenue from IR we are getting, we are getting as per the new rates. Parallely, all our efforts last year of diversifying into non-IR. Clients we have tipped the balance and as I said, two third plus now is non-IR clients in terms of our revenue as well as order book and these are the early last year where it was the reverse. So, our effort is that the levels of QA revenue which you are seeing which has now come, this will only increase now, we are getting, we've got a first revenue international QA from Sri Lanka, our revenue from PM Vishwakarma, revenue from GEM and a number of non-IR assignment you know across states whether it is Ja I Jeev an, whether it is solar energy, you know whether it is various other infra from various municipal corporations which we are doing process and the 289202/2024/S&CC291

product inspection. This is only adding and it the QA revenue is also on an upward swing now starting from this quarter, itself.

Harshad Jitendra : That's great to know, Sir. I have few more questions. I'll join in the question queue. Thank you.

Moderator: The next question is from the line of Parimal Mithani from Credential investments. Please go ahead.

Parimal Mithani: Sir, thanks for the opportunity. Is it fair to assume that what the work has to be done is over with in terms of quality assurances, export another line of business and the traction ahead is going to be more especially in exports?

Rahul Mithal: Yes, for sure Parimal. And I'm not saying it just out of thin air, it is in terms of numbers that speak, the worse in export is in terms of the numbers that we have now about `1300 odd crore of order book which are the first of these was received in Q4, which is already now about 7-8 months, sorry about 10 months old. So, these will and considering even the most conservative lead time of delivery from 18 months plus these will start generating, these orders will start generating revenue in the coming FY, and these the strike rate of getting export orders is not only one order which was in Q 3, which was the 1st order after gap of about 3 for four years. The order we have been flowing in. So as far as export is concerned, as I said, definitely the numbers speak for itself, the worst is over. In terms of revenue realization, yes, they will start generating revenue only next FY in terms of QA as I explained to Harshad

just now in terms of diversification of the order book, that effort has gone through in the last about three to four quarters and these new non-IR orders have started generating revenues and in Q3 -Q4 onwards, the QA contribution is only grown and increasing. Yes, obviously not at the levels of margin which have been there traditionally for four to five decades but in terms of total volume, this is now only an upward trend in the coming quarters.

Parimal Mithani: Just to follow up in terms of exports if we get the Zimbabwe order, it will be at 2000 crore by the end of the year, right. If you get that to that entire thing?

Rahul Mithal: See the value of that was about 80 million odd US D. So, let's see in terms of when, as I said to one of the callers that we are pursuing, it is moving on the right track, but we will only add it to our order book when the clear funding letter comes from AFREXIM bank, which we seem to be making a headway, but it is moving hopefully in the next few quarters it should mature.

Parimal Mithani: So, thank you and all the best, Sir. Thank you.

Moderator: The next question is from the line of Vivek Rathie, an individual investor. Please go ahead.

Vivek Rathie: Hello Sir. Thank you for taking my question. So, I just looking at the presentation here, I see the consultancy as you mentioned also over the conversation that it has gone down running, but I see more steep falling profit compared to revenue, I think revenue is somewhere down around 7.4%, but profit seems to be down around 20 odd percent. Is this because as you said non-IR consultancy revenue is less as we got compared to the last few decades? Or is there any other reason?

Rahul Mithal: Yes. No, very correct. You see QA is shown as consultancy in the presentation. So, the terms of contribution from Indian Railways as a client, both in terms of value as well as in terms of margin. As I said, it got divided between four players so that when our revenue came down to about 30% from what it was about a year back from IR, the rate came down to 20% of what were the earlier rate. So that's a double hit in terms of revenue as well as rates and the deployment for inspection across the country for the various orders remains more or less the same. So that's why a hit on the bottom line also from this stream of business. However, having said that, we have managed to generate a large number of non-IR clients and our first international order also on QA. So, to that extent that has been the hit in the consultancy both in the top line and the profitability if you see the overall consultancy figure.

Vivek Rathie: Thank you, Sir. Just a follow up. So, I mean as you said, you're moving in the right direction. So, do you have any timeline or any expectation where the margin where we were to the previous figures or that is not really no currently, we can foresee?

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Rahul Mithal: Not only in QA, but

on overall because of the various factors which I've pointed out, like the huge increase in competitive bidding, both domestic, including our export competitive global tenders. The current levels of EBITDA of about 20 odd percent and PAT margins of about 15 odd percent. That is the, you know, the realistic levels of margin which we see a visibility which is what we aim for.

Vivek Rathie: OK, thank you. Thanks a lot.

Moderator: Thank you. The next question is from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat: Sir, you spoke about, you know, AI based quality assurance, which can increase our consultancy revenues going forward. Is this a USP that we have or are our competitors also getting into this and if they aren't yet in AI based QA, is there anything stopping them in the future so like do we have a mode of any sort? Any color on this?

Rahul Mithal: You see, Vinamra, AI is a technology which every entities using in various facets. There are a large number of our competitors in the QA business and I'm sure they will and are working on AI. We gave a lot of importance to AI and as a first mover advantage started applying this for inspections of rail, which is one of the most safety related product. So, at our inspection site at SAIL Bhilai plant, we have introduced this and the experience that we gain, we already wanting to extend this to other products and keep safety processes and products. And I think this early moving will give us advantage, but I'm sure others will definitely opt for it. There is a

competition in that. But you see AI based inspection coupled with our technical experience of four to five decades, whether it is rails or wheels or many such safety products, this definitely gives us an edge. And in terms of Q A business as a whole in terms of our USP.

Vinamra Hirawat: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj: Yes, sir. My questions about this MOU with Etihad rail. Any color on that in terms of like what is it for the IMEC corridor or any current that would be helpful?

Rahul Mithal: Yes, Viraj, so Etihad Rail in the last few years is very aggressively expanding not only the rail network in UAE, but across the Middle East, whether it is Jordan, Qatar, Oman, etcetera. It's comparatively a young organization but in the last few years. It is expanding and executing a large number of, not only other said UAE but cross-border rail infra project. So, this was a very good important strategic breakthrough for us. We've entered into an MOU with them for five years for rail infra projects, not only in UAE but across the Middle East as well as they expand in other geographies also. So, I see a huge potential for leveraging this MOU in the coming months.

Viraj: It is in the field of consultancy, not exports, right?

Rahul Mithal: Yeah, it's an overarching MOU which covers all areas of our expertise, whether it is consultancy in rail infra network, whether it is export of rolling stock as their requirement increases because they are expanding. Their rail network is very young, it is for passenger, there is hardly any rail networks for freight, now they are started connecting their key ports for container movement in a big way. So, requirement of rolling stock for both UAE as well as other geographies is also an opportunity which is covered in this MOU.

Viraj: OK. Thank you. And all the best.

Moderator: The next question is from the line of Harshad Jitendra from Elara Capital. Please go ahead.

Harshad Jitendra: Hi, thanks for the opportunity, Sir. Just to check, we had, you know tied up with B EML for the Bahrain Metro project where we were going to do the consultancy part. Any update on that Sir? Where are we in that particular stage?

Rahul Mithal: No

, I think there's some factual error in that we didn't tie up with the B EML for Bahrain Metro. We had done a consultancy for Bahrain Metro. We have an MOU with B EML for various metro 289202/2024/S&CC293

rolling stock projects. We are working closely with them exploring various opportunities across other geographies.

Harshad Jitendra: OK and sorry to hop you on this margin question, but if you look at even last few quarters when your quality assurance business was falling, your domestic consultancy margin business was above 40%, but in this quarter, it went down below 35%. So, is there any projects on consultancy side on the domestic side which is also moving towards a lower margin? Is that a correct understanding or maybe this quarter is some off is there and from next quarter will again may rise to 40% plus?

Rahul Mithal: Plus, no consultancy, all streams of revenue, whether it is consultancy, whether it is export and QA, whether it is turnkey, the fact of the matter is at every quarter the percentage of bids which we are getting on a competitive basis is increasing steadily, it is now inching up nearly up to 75 percent, 70% plus, and even the balance about 25% odd orders that we are getting on nomination from erstwhile client, there is a huge amount of revisit of the erstwhile agreements for lower rates, so that's why and as I said at the outset, we are maintaining a rate of one order a day. There's a huge inflow of orders in quarter two itself, and even the one month of quarter three, we have got orders of 650 crore already in one month in this quarter 3 so for being able to keep on expanding the order book. Yes, the margins of even in consultancy of 40% plus on a competitive mode is definitely not possible to be maintained.

Moderator: The next question is from the line of Vivek Rathi, an individual investor. Please go ahead.

Vivek Rathi: Thank you, again. So, just follow up, Sir, on my last question, I mean you said there are

competition regarding among 4 different entities in QA . So, who are the other ones, Sir? I mean, are now there are new competitors, right? Because previously it was on nomination basis. Now there are 4 others .

Rahul Mithal: Yes. So, it was divided. It's what tendering process between three other players , totaling to four players . The other players, TUV, Intratech and Bureau Veritas.

Vivek Rath: Can you repeat , TUV?

Rahul Mithal: There are four players now in the QA business for Indian Railways besides RITES which has got 30% of the total pie, it is TUV, Bureau Veritas and Intratech.

Vivek Rath: OK, Sir, thank you.

Moderator: The next question is from the line of Harshad Jitendra from Elara Capital. Please go ahead.

Harshit Jitendra: Hi, thanks for taking my question again. So just you have recently got an order from DMRC for `35 cores for retrofitting of this O&M business. Can you just elaborate on what is this order and what is our scope and any more future orders expected?

Rahul Mithal: Yes. So , you see, we are expertise in design and you know of export of rolling stock. So, we have a very strong rolling stock vertical which has been customizing , designing rolling stock over the years for various clients and that's why we leveraged this expertise and experience as DMRC was looking for retrofitment of its first coaches, which were the earliest, about 20-year - old coaches which came in early 2000. These are about 22 rakes, about 1176 odd coaches which require midlife refurbishment for upgradation to the latest and whether it is in terms of technology, latest in terms of the interiors and then all over so. So that is a very good potential for us and we have got this through a competitive mode and in partnership with the expertise entities who have certain areas of expertise in the total pie. So, our share in this act is about `36 odd cores

and we see this as a good opportunity because DMRC being one of the oldest metro systems there are more of rolling stock will require this mid-life rehab in the coming years and definitely moving forward other metro systems across India.

Harshit Jitendra: Understood. And secondly, on employee cost, we have seen a rise. Would that be correct to say that since you're getting more consultancy orders or, you know, one order per day. You are increasing your headcount and if you can also highlight which areas are these employees being added to within the four or five verticals that you have?
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Rahul Mithal: Yes, I'm glad again you asked this question Harshit. You see that's a very strong strategic call that we have taken that in spite of the tough pressures on top line and bottom line because we are expanding our order book very aggressively. There is a certain time where you know, you're holding on and you need to build up your strength to be able to execute the fresh order. So, if you compare within a year itself, we have inducted about 300 plus people and besides superannuation of about 100 odd people , our net addition and employee strength has been about net 200. So, these 200 strengths we have increased obviously increasing the employee cost. Even though there has been, as I said, challenges on the top line and the margins so these are all engineers, graduates, postgraduates with areas of specialization ranging from design, from architecture, from town planning, etc. And these are primarily very carefully identified based on the order visibility that we have in our order book.

Harshad Jitendra: Understood Sir. Thanks for answering the question, Sir. Wishing you all the best .

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for their closing comments.

Rahul Mithal: So, thank you all. And as I said at the outset, the focus on H2 is to step on the gas to increase the execution to the maximum to come as close as possible to the previous FY levels and then definitely on this platform see a sizable and appreciable growth in the coming FY. The trend of fresh order inflows is encouraging as I said in the quarter three itself within a month, we have got orders up to `600 crore plus and this is being possible by our increased partnerships, collaboration , diversification, both domestic and international. So, in the last few months we signed an MOU with Etihad Rail , domestically arrangements and MoU with NH AI, NB CC, NMDC , DMRC , SAIL, HUDCO , across the board . So with that we definitely see we are confident

that we will continue to leverage our strength for expanding our order book on a steady basis. And currently the order book at `6580 crore has a visibility of about 2 and a half odd years. Our aim would be in the coming quarters and the next FY even with the increased execution to keep on expanding the order book and aiming to have an order book of at least a three -year visibility. So that's in a nutshell the way forward as we see it. Thank you.

Moderator: Thank you all for being part of the conference call. If you need any further information or clarification, please e-mail at investor s@rites.com. Ladies and gentlemen, this concludes your conference for today. Thank you.

-End-

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This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy. Statements in this transcript describing the Company's objectives, projections, estimates, expectations may be "forward -looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied . Important factors that could

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Call: Mar 2025

No. RITES/SECY/NSE Date: February 5, 2025

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Subject: Outcome of investors/analysts meet - Transcript o f the Conference Call held to discuss Financial Results for the quarter and nine m onths ended December 31, 2024.

██████████ /██████████ ,
Dear Sir/ Madam,

[illegible]

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith Transcript of the Conference call with analysts and investors held on Wednesday, January 29, 2025 to discuss the un-audited financial results of the Company for the quarter and nine months ended on December 31, 2024.

This is for your information and records.

■Ū■■■■ /Thanking You.
■■■■■ / Yours sincerely,
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Page 1 of 12 Rites Limited
Rites Limited Q3 and 9M financial year'25 Earnings Conference Call
January 29, 2025

Moderator: Good morning, ladies and gentlemen. I am moderator for this conference. Welcome to the conference call of Rites Limited to discuss its Q3 and 9M financial year'25 results. We have with us today, Shri Rahul Mithal, Chairman and Managing Director; Shri Arun Kumar Singh, Director Projects; Dr. Deepak Tripathi – Director Technical and Shri Krishna Gopal Agarwal - Director Finance. At this moment, all participants' are in listen-only mode. Later we will conduct a question-and-answer session. At that time, if you have a question, please press “*” and “1” on your telephone keypad. Please note this conference is being recorded and in the interest of time and fairness to all participants, you are requested to restrict your selves to one question per participant. Time permits, you may come back in the question

queue. I would now like to hand the floor over to Shri Rahul Mithal - Chairman and Managing Director.

Rahul Mithal: Good morning, everyone. Let me start with giving the Safe Harbor statement. The presentation and the press release which we uploaded on our website and exchanges yesterday and discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different and we do not undertake to update those statements periodically.

So, let me start with a brief overview of the Q3 performance before we leave the floor open for questions:

So, as you see, the Q3, YOY has a dip of about 15 to 16% both in top line and the bottom line. If you see sequentially, there has been an uptake in all the parameters, whether it is the top line, whether it is the EBITDA, the PAT, and in fact both the EBITDA margins and PAT margins also have seen about 1% growth. So, this is in line with our focus, as we have been saying right from the beginning of this financial year, in line with our focus strategy to improved execution.

The second prong of our two-pronged focus strategy was to get aggressive order inflow and as you must have seen, this quarter has broken all records. We have got about 110 plus orders totaling to Rs. 1900 plus crore, which is nearly equivalent to the Rs. 2200 crore which we got in the entire previous financial year, and it is about 3x the order inflow of Quarter 2. So, that is the kind of order inflows. We have maintained a Page 2 of 12 strike rate of one order a day now successively for 4 quarters. We have got an order book now of about Rs. 8000 crore, which is an all-time high. So, the performance to my mind, while YOY definitely there is a dip, but in terms of the performance of Q3, in line with our stated two-pronged focus strategy of improved execution and aggressive order inflows has been in line with our, as I said, our guidance and as our strategy at the beginning of this financial year and this would be the trend that we see moving forward into Q4. So, with those opening remarks, I leave the floor open for questions and I will come to specifics in response to questions. Thank you.

Moderator: Now, we begin the question-and-answer session. The first question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: Sir, in terms of execution, I know inflows have been pretty robust. So, when do you see execution picking up, particularly say for turnkey? Though we have orders, but on a year-on-year basis, revenue has declined last quarter also, in this quarter also. So, any color on that will be helpful, sir.

Rahul Mithal: Good morning, Vishal. Specifically for turnkey, you see the dip YOY has been as the older turnkey orders like, for example, railway electrification, etc., they have now nearly reached their completion and the fresh order inflows in the turnkey segment and overall, in the last quarter and this financial year, whether it is turn key, consultancy or expotech, will start generating definitely revenue Q4 & Q1 onwards and as I said, Q4, we would strive to continue the sequential trend. But if you see on a YOY basis, I see, the coming financial year 25-26, at least a 20% growth on the top line, which would be the result of these revenues flowing in from all, whether consultancy, expotech or turnkey. So, this is our target, our aspiration to see a 20% top line growth in the coming financial year vis-a-vis the current financial year. Thank you.

Moderator: Thank you. Next question comes from the line of from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat: So, I just had one question, which is on exports. So, now we have Bangladesh and Mozambique, both in our order books. I want to know what percentage of these will be executed in financial year '26, the timelines of these orders and the margins for these orders. Last year, we had like 21% in exports margins. Is it higher than that for these orders and an update on Zimbabwe, if possible?

Rahul Mithal: Yes. So, let me first break down your question into 3-4 parts. First is in terms of execution. We have an order book of export of about Rs. 1300 crore, which includes Mozambique, Bangladesh and South Africa. So, these will definitely, as I said, they have a lead time of about 12 to 18 months. So, we foresee these orders start giving us Page 3 of 12 revenue in the next financial year and out of this order book of 1300 crores in Exports, we aim at least a minimum 40% odd to see the revenue realization in the coming financial year. As I said, the export revenue gets booked only when the bill of lading happens. So, that's why there is a staggered revenue booking.

In terms of Zimbabwe, you asked a question. Well, still it is not part of our order book and the funding which is being sourced by them from AFRIEXIM Bank, is still being pursued jointly by the National Railway of Zimbabwe and us, but it is still

I to reach a finality. We are hoping that it does so, because it's been a long time since it has been in the process.

In terms of margins, these orders, both Bangladesh and Mozambique, have been for the first time in the history of about 4 to 5 decades on a competitive basis. The Bangladesh order was a global tender, an EIB funded tender. So, margins cannot be in the range which were there in the line of credit EXIM Bank tenders where the margin was much higher. So, the 20%-odd margins which have been traditionally there in the export stream, the margins will be lesser. Each order would have a different margin. So, on a blended basis, and by and large, it would be definitely much lesser than 20%-odd which has historically been there in the Exports. Thank you.

Moderator: Thank you. Next question comes from the line of Nemish Sundar from Elara Capital. Please go ahead.

Nemish Sundar : Sir, I am just continuing on the exports question. I just wanted to ask, so how is the export pipeline now and are we expecting any export order this year or could we expect a big order next year in line with your guidance of one big export order a year?

Rahul Mithal: In fact, I must tell you, we broke the hiatus about 4 quarters back and we made a target that we will try and get an export order every quarter and we have maintained that.

The last 4 trailing quarters, we have got an export order in every quarter. There are a lot of bids in the pipeline and we will continue to strive to get at least one export order in every quarter. Some could be big, some could be of medium size, but definitely with the kind of opportunities and the aggressive bidding that we are doing, not relying on the traditional line of credit opportunities which are hardly there now in terms of export of rolling stock, we foresee that we will maintain this trend of getting fresh Exports orders in the coming quarters.

Moderator: Thank you. Next question comes from the line of Shreyansh Mehta, from Equirus. Please go ahead.

Page 4 of 12 Shreyansh Mehta: Thanks for the opportunity. Sir, one bookkeeping question. What will be the net cash on our books as on date, our own cash?

Rahul Mithal: So, our cash balance is about 609 crores and the rest we keep as a client fund which is separate. That is a client fund of about 2600 crores which is taken on both side (asset & liability) side in our books. So, that is separate and our cash balance is about 609 crores.

Moderator: Thank you. Next question comes from the line of Viraj with Jupiter Financial. Please go ahead.

Viraj: Good morning, sir. My question is, now more than around 45% of the revenue coming from the turnkey, is it going to be new normal now for us because of the kind of circumstances we are in? Because the turnkey pie is increasing, and the margins are lesser there. So, even the margin, new pad margins also would be new normal?

Rahul Mithal: Good morning, Viraj. So, let me put the reply in a reverse manner. You see, we have been aiming that the consultancy revenue remains definitely 50% plus and that is what is going to remain. In some quarters, because the export revenue was not there, you saw bigger contribution from the turnkey segment. But moving forward, as the export revenue will also be substantial, on a quarter-by-quarter basis, there will be a mix of turnkey and export. Yes, turnkey would definitely have much lower margins compared to export. But the overall EBITDA margins of about 20% on a console basis and PAT margins of about 15-16% on a console basis. To my mind, as I have been indicating in the last quarter also, this is the bottom of the barrel that we have reached, and we would strive to maintain these levels of EBITDA and PAT margins on a console basis with a blend of the different streams of high and low margin revenue. Thank you.

Moderator: Thank you. Next question comes from the line of Nemish Sundar from Elara Capital. Please go ahead.

Nemish Sundar: Thank you for the follow-up question. I just wanted to know, in the quality assurance, I think we saw some dip this quarter due to some increased competition. So, could you please give some more clarity on that?

Rahul Mithal: There is not really a dip. The overall in quality assurance has been, as you are aware of the change dynamics vis-à-vis last year. So, yes, if you compare it on a 9-month to 9-month basis, as the new order started kicking in from Q2 of last financial year or Q3 of last financial year, gradually, sequentially, there has been a dip in the contribution of quality assurance to the overall consultancy revenue. But in terms of sequentially now, because of a larger client base, in fact last financial year, if you see the total revenue was about 60% from IR and about 40% from non-IR, that has flipped now and now we are about 60% on non-IR in this quarter and about 40% in IR as a client. So, because of the larger base of quality assurance clients, whether it is state governments, renewables, solar, power transmission, oil companies, gem portal, etc., the revenue mix is changing and the levels of quality assurance revenue contributing

to the overall consultancy revenue will now have seen, as I said again, a few quarters back, the bottom of the barrel is only going to increase now in sequential quarters because of the larger order book and larger client base.

Moderator: Thank you. Next question comes from the line of Viraj with Jupiter Financial.

Viraj: Yes, regarding the guidance you said in the last call, we will be matching last year's number, right? So, the current year guidance should be what? Last year's plus 20% growth and 15% PAT margin, is that correct to think? That should be the basis for my analysis?

Rahul Mithal: You see, if you see 9 months to 9 months, we have had a hit of about Rs. 200 crore on the top line and if you break it down, this Rs. 200 crore, Rs. 100 crore is because of export revenue which was nearly nil this year in the 9 months. Rs. 50 crore is a hit because of quality assurance revenue and Rs. 50 crore is a hit because of turnkey revenue which, as I said, the turnkey projects which were finishing. So, this is the Rs. 200 crore hit in the top line. The bottom-line hit in this 9 months is about Rs. 80 crore. This Rs. 80 crore, about Rs. 40 crore is because of this dip of Rs. 200 crore and another Rs. 40 crore is because of the dip in EBITDA margins, YOY, by about 5%. So, that's the total trend for these 9 months. That moving forward, and that is in terms of percentage, 9 months to 9 months, the top line has taken a dip of about 11% and the PAT has taken a dip of about 25%. So, moving forward for this financial year, with again increased focus on execution in Q4, what we will definitely strive to come as close to the previous financial year. We are aiming that the dip in top line should be at least below 10% and the dip in bottom line should be in the range of aiming to be 20% or at least aim below 20%. So, that's as far as this financial year is concerned. Execution is going to be the focus for coming quarters and this huge order book of Rs. 8,000 crore will start generating revenue Q1, Q2 onwards and we are aiming, as I said, for the coming financial year growth of at least about 20% on the top line vis-a-vis the financial year '24-25 and margins, we are aiming to, aspiring to maintain at the current levels of about 20%-odd on a console basis EBITDA margin and about 15-16% PAT margin.

Viraj: So, sir, we will be closing this year around 2400 recurrence revenue, right? That would be the target to strive. Is that correct to think?

Page 6 of 12 Rahul Mithal: Yes, in terms of numbers, as I said, we are about 11% down on top line, aiming to be 10% or below 10%, so somewhere in that range and in terms of profit, we are about 25% down, so aiming to be about 20 odd in that range.

So, that Q4 execution will aim to bring the overall financial year in that range.

Viraj: So, the Q4 would be the better quarter. We will try to be the better quarter for the year. That would be right.

Rahul Mithal: Yes, definitely. Q1, Q2, Q3 have been sequentially improving and definitely Q4 we are aiming to be better as Q3 has been better vis-a-vis Q2 in all parameters, whether it is the top line, whether EBITDA, PAT and even margins have gone up by 1 %-odd. So, Q4, we again aim that it sequentially improve over Q3.

Moderator: Thank you. The next question comes from the line of Viraj with Jupiter Financial. Please go ahead.

Viraj: Yes, sir. What would be our dividend policy? Would it be the same as last year, around 90% payout?

Rahul Mithal: Well, as you see the dividend payout for Quarter 3 has been about 95% plus averaging out, even if you take all the 3 quarters, it has averaged out to about 95% plus, which is in the range of the overall of last financial year, which again was about 95.2%. So, this is the trend that we would definitely like to continue. We don't see any major change in our policy. We are a low CAPEX company and debt-free company and we would like to maintain this trend.

Moderator: Thank you. Next question comes to the line of Parimal Mithani with Credential Investments. Please go ahead.

Parimal Mithani: I just wanted to get a clarification in terms of consultancy. You had a tie-up with one of the global consultancy companies. How is that tie-up going? How is the tie-up going across. In terms of Middle East, if you can show how you are progressing there?

Rahul Mithal: Parimal, which tie-up are you talking about? See, in Middle East, we have a MoU with Etihad Rail, which is the leading player in rail infra. We tied up last year with Abu Dhabi Ports, which not only has presence in UAE but across Africa and Asia in ports and other infra like economic zones and logistic parts. So, we are working with them. We are exploring various opportunities and these are early days. So, I am sure that we will, we have already opened an office in UAE and moving forward also working on the IMEC corridor. So, these will definitely generate more and more opportunities and orders in the coming quarters.

Page 7 of 12 Parimal Mithani: Okay and sir, in terms of my first question about the quality assurance, you had a tie -

up with some global major for consultancy business in India. So, can you, I forgot the company name, but it was one of the companies that you had a tie-up for consultancy across that format. So, can you through light on it?

Rahul Mithal: Yes. So, that tie-up has already started yielding results and we have got an order from Rail Coach Factory Kapurthala for the safety audit of the electrical systems in the coaches being manufactured and also we have got an order for Vande Bharat Rakes also, inspection of quality assurance of Vande Bharat Rakes. So, that tie-up is giving us results.

Moderator: Thank you. Next question comes from the line of Vinamra Hirawat with GM Financial. Please go ahead.

Vinamra Hirawat: I just want to understand your power gen REMC segment a little better. Why we are not getting orders and is this a segment that we can scale better in the future?

Rahul Mithal: REMC is primarily a consultancy company for power procurement for Indian railways and it has been showing a steady revenue of about Rs. 30 odd crores on every quarter, Rs. 35 crore in fact this quarter. It is showing a good PAT of Rs. 19-20 crores. This quarter it was 90 crores. It has given a good dividend. So, it is linked to power consumption as more and more electrification is happening, and it is definitely going to grow. One of its revenues also comes from doing renewable tenders for Indian Railways, which we got a revenue, and we finalized one tender of RTC and we already have other such tenders in the pipeline and as we finalize them this will add

to the revenue.

Rahul Mithal: Okay. Thank you. Next question comes from the line of Viraj with Jupiter Financial. Please go ahead.

Viraj: Would you like to throw some light for the opportunities in terms of IMEEC project?

The IMEEC that the south in the Middle Corridor which government is thinking about.

Do we have any play there?

Rahul Mithal: Yes, the IMEEC corridor. As I mentioned, we have set up an office in UAE. We are working with our 2 MoU partners there. Also, we are working here in close collaboration with the shipping ministry to develop certain digital interfaces in this corridor, which is basically for ease of doing business. This is a virtual trade corridor. So, these are a huge opportunity for us both in terms of the India side and the UAE side for leveraging opportunities in this IMEC corridor and I see in the coming years and quarters definitely some orders coming up in this.

Page 8 of 12 Viraj: Okay. Any numbers in terms of addressable market size?

Rahul Mithal: See, this is early days of development of this corridor and our engagement with various players in this has already started and it will be unfair to give number right now, but you can appreciate that the opportunities are huge and our presence there and our MoUs in UAE as well as our working already with the various stakeholders on the Indian side have opened up a huge number of opportunities and I am sure in the coming financial year, you will see some finite orders coming up in this regard.

Moderator: Next question comes from the line of Next question comes from the line of Shreyansh Mehta, from Equirus. Please go ahead.

Shreyansh Mehta: Sir, how should one look at the Bangladesh export order in terms of execution and in terms of working capital? I know we have guided for closure to 40% coming from that 1300 odd, but primarily how should one look at the Bangladesh given the recent developments?

Rahul Mithal: See, Bangladesh is about a Rs. 900 crore order and there was a few months of slight hit in terms of movement of this order which has resulted in sliding of the execution to the next financial year. We were hopeful that we would be able to execute at least 40 odd coaches by this financial year, but because of those few months, it has slid into the next financial year. But things have really picked up and we are closely working with the Bangladesh Railways and I see that execution is definitely going to start by middle or latter part of the coming financial year because the initial designs have been submitted for prototypes and they are under various approvals and then once that is done, manufacturing is not going to take much time because we have a huge manufacturing capacity and I see the revenue realization definitely happening by the latter part of the coming financial year.

Shreyansh Mehta: Sir, any colour on working capital cycle? I mean, will these payments be swift?

Rahul Mithal: There will be a very minimal working capital requirement and it will keep coming phase-wise based on the total production that happens and that is the basic model.

You see, our working capital requirement in all our export orders is not a very substantial amount. It keeps phased out and we get certain advance also from clients. There are milestones for getting some advance. So, the working capital requirement is not a very huge in any of these export orders.

Moderator: Thank you. Next question comes from the line of Vishal Periwal from Antique Stock

Broking. Please go ahead.

Page 9 of 12 Vishal Periwal: I think you did mention that in terms of our console-level growth, we are looking at 20%-odd, which is like an incremental revenue of Rs. 500-odd crores and exports, then you mentioned segment-wise 40% execution that itself can give us Rs. 500-odd crores kind of revenue. But then like turnkey and other projects, there will be a bit of growth. So, is it fair to say probably the growth will be much more than 20%-odd in financial year '26?

Rahul Mithal: Vishal, I am glad that you are doing numbers, back-of-the-envelope calculations very fast, catching on to the figures which I am saying. But as I said, 20% is the minimum that we hope, as you can see, and numbers are in front of you, and I am being very transparent in quoting the numbers and our aspiration also. But I think it is fair enough to say that because this financial year has been hit because of the various reasons and the breakup that I gave you, already Rs. 2000 crores in 9 months. So, I think building up on this base, we see at least a 20% growth in the coming financial year. But if you analyze the numbers and the order book, 20% is at least definitely doable.

Vishal Periwal: Okay and similarly, sir, for the margins again, like the shift will be there for turnkey and export. So, console-level margins can be a little lower. Growth can be there at the top line, but margins can be a little lower that is probably what I could gather. Is that fair to say that?

Rahul Mithal: You see, the console level EBITDA margins of 20%-odd and the PAT margins of about 15-16 %-odd, while in a particular quarter because of the blend of revenue may see some variation above this band, but averaged out over annual basis, considering that we have also got huge number of consultancy orders, both domestic and international orders and hopeful to get some more international orders, we feel that we should be, on an overall average basis, able to maintain this range of about console 20% EBITDA margins and PAT margins of about 15%-16%.

Moderator: Thank you. Next question comes from the line of Parimal Mithani with Credential Investments. Please go ahead.

Parimal Mithani: Sir, I just wanted to know, going ahead, will we be balancing the consultancy orders more compared to turnkey in terms of maintaining margin? Going ahead, in terms of order books, basically consultancy will be more part, or turnkey will be balancing both equally?

Rahul Mithal: So, you see, in terms of order size, because turnkey value of orders, they are much big-ticket orders vis-a-vis the consultancy orders, right? So, even now, today, because we are still getting a large number of consultancy orders, one order a day overall, 110-plus orders in this quarter, a large number of good consultancy orders. So, Rs. 8,000 crore order book also, in spite of turnkey being big ticket order, has Rs. 2800 crore of consultancy and Rs. 3600 crore of turnkey. While they cannot be compared in terms of value, but yes, the focus of getting more and more, because our strength is consultancy. Even the turnkey orders which we are getting, are not really a construction company like orders. They are primarily consultancy design orders where the revenue is flowing through our balance sheet. So, we are not really a construction company. That is very clear, which I have been saying in my previous interactions. We are a pure consultancy company and, in the turnkey also, part of the orders are those orders, where the project cost to our balance sheet. But our strength is consultancy design, project management consultancy. So, we will continue to focus on getting more and more consultancy orders and their increased execution, such that the blended margin still remains at the appreciable level which I brought out.

Moderator: Thank you. Next question comes from the line of Viraj with Jupiter Financial. Please go ahead.

Viraj: Yes, sir. I want some color on the export like going forward. What kind of order size will be looking at and what kind of export order if you can give some guidance on that and why have been so much delay? The delay in getting export orders is because of geopolitical reasons or some other issues? That's one question I have.

Rahul Mithal: So, second part of your question, we have now started getting export orders after gap of 3-4

years. Last 4 quarters, every quarter, we have got an export order and this is primarily because earlier for last 4-5 decades, we used to get export orders on the line of credit opportunities, which were floated by the Exim Bank. With those opportunities becoming very minimal. All these orders which we have got are on global tenders orders, on opportunities which have been funded by the client countries or multinational multilateral banks. We have bid also in various other tenders in various geographies, whether it is Africa, Southeast Asia, Latin America. So, we will aim and aspire to at least continue this trend in the coming quarters also of getting at least one

order of export in every quarter. The size of these orders, obviously, can vary as you have seen in the Rs. 1300 crore order book. So, they could vary anything from about Rs. 40, Rs. 50 crores to anything about Rs. 200 to Rs. 300 crores or maybe more. But, I mean, because we are bidding on various opportunities, it is very difficult to give one median size of an order. They could be as low as Rs. 50 odd crores and could go up to Rs. 3, 4, 500 crores also.

Viraj: And, sir, what would be our margins in the export business would be, new normal margins would be, since we are now competition-basis, so would it be around, like, what kind of margins we should be looking at?

Page 11 of 12 Rahul Mithal: You see, traditionally export revenue was in the range of about 20%-odd margins in the line of credit orders. These are all global competitive tenders and they would have different margins for different bids, definitely substantially lower from the 20%- odd. As the revenue flows in from different orders in a particular quarter, the blended margins on an export stream of revenue would work out depending on the percentage of contribution of the various orders, but definitely much, much lower than the 20%-odd and would be in the range of about 10%-odd broadly.

Viraj: That is net margins, right?

Rahul Mithal: Yes, the EBITDA margins.

Viraj: EBITDA margins, 10%. Okay.

Moderator: Thank you. Next question comes from the line of from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat: Sir, just, you know, slightly more technical questions in the 2 orders, export orders that we have. When will the two orders be fulfilled in terms of, are they both like 3-t o-4-year tenders where, all the, the order will be fulfilled after like financial y ear'29-financial year'30?

Rahul Mithal: No, not really. Not such a long-time frame. You see, as far as the coach order is concerned, the Bangladesh Railway is in a huge hurry to get these coaches. They are in extreme shortage of coaches and except for this delay of a few months, they were in fact wanting about 40 odd coaches in this financial year only, which has slid ed by about 6 odd months. So, I definitely see even the locomotives order from Mozambique Railways, that definitely is moving very fast and will start generating revenue very soon in the coming financial year. So, with the way things are moving, these 2 bul k orders, which are their part of the Rs. 1300 crore, will definitely not spill over to more than maximum 2 financial years. That's the max to my assessment.

Vinamra Hirawat: Okay. So, both the Rs. 1200, Rs. 1300 crores should be booked in 2 financial years?

Rahul Mithal: Yes, definitely for sure.

Moderator: Thank you. As there are no further questions, I would like to hand the call over to the management for closing comments.

Rahul Mithal: Thank you. So, this is a reiteration of our two-pronged focus strategy, which we are very clearly working on right from the beginning of this financial year, understand ing the overall environment and the change dynamics. The two-pronged focus strategy of Page 12 of 12 improved execution and aggressive order inflows is what Q3 results show and this is what we assure you that Q4 would continue to move i

n that direction and as I said,

definitely on this solid base that we have built up due to our team's efforts, we see financial year'25-26 building up on this platform by generating both a good top line and a good growth on the bottom line. Thank you very much.

Moderator: Thank you all for being a part of the conference call. If you need any further information or clarification, please email at investors@rites.com. Ladies and gentlemen, this concludes your conference for today. Thank you.

-End-

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Call: May 2025

No. RITES/SECY/NSE Date: May 21, 2025

To

Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra -
Kurla Complex, Bandra (E),
Mumbai – 400051

To

Corporate Relationship Department,
BSE Limited,
Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Code - RITES

Scrip Code - 541556

Sub: Outcome of investors/analysts meet - Transcript of the Conference Call
held to discuss Financial Results for quarter and year ended 31st March,
2025

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and
investors held on 15th May, 2025 to discuss the audited financial results of the
Company for the quarter and year ended on 31st March, 2025.

This is for your information and records.

Thanking You,
Yours sincerely,
For RITES Limited

Ashok Mishra
Company Secretary & Compliance Officer
Membership No.: F6411

RITES Limited
Q4 FY '25 and FY '25 Results Conference call

Event Date / Time: 15/05/2025, 1 1:00 Hrs.

Moderator

Good morning, ladies and gentlemen, I am Pelsia, moderator for this conference. Welcome to
the conference call of RITES Limited to discuss its Q4 FY '25 and FY '25 results.

We have with us today Shri Rahul Mithal, Chairman and Managing Director . Dr. Deepak
Tripathi, Director Technical & Director Projects (Additional Charge) , and Shri Krishna Gopal
Agarwal, Director Finance and Chief Financial Officer. At this moment, all participants are in
the listen only mode. Later, we will conduct a question & answer session. At that time if you

have a question please press * and 1 on your telephone keypad. Please note this conference is being recorded. In the interest of time and fairness to all participants, you are requested to restrict yourself to one question per participant. Time permits, you may come back in the question queue.

I would now like to hand over the floor to Shri Rahul Mithal, Chairman and Managing Director, Rites Limited. Thank you, and over to you, sir.

Rahul Mithal

So good morning, everyone. To begin with, let me give you the Safe Harbor statement. The presentation and press release, which we uploaded on our website yesterday and discussion during the call today, may have some forward-looking statements. These statements are considering the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically.

With that, let me give you a brief overview of the performance in quarter four and the FY overall. You see the performance in Q4 is in line with our two-pronged business focused strategy of improved execution and aggressive order inflow. If you recall, at the end of Q3, we had given a guidance that we'll make all out efforts in Q4 to try and peg back and come as closer to as possible to FY '24 and will try and get the revenue dip to below 10%, profits dip to below 20%.

The operational efficiency and the focused approach in Q4 helped us achieve at the end, an overall FY dip in revenue of 8% and PAT dip in 14%. Further, the aggressive order inflow, we maintained the strike rate of more than one order a day, the strike rate of one export order a quarter. We got more than 150 plus orders totaling to INR 1,400 crores in Q4 and ending the FY with an all-time high order book of nearly INR 8,900 crores.

So that in a nutshell is the performance of Q4 and FY in total. I leave the floor open for questions now.

Rites Limited 15.05.2025
Q4 FY '25 and FY '25 Results Conference call
Questions & Answers

Mode

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Thank you. Now we'll begin the question & answer session. If you have a question please press * and 1 on your telephone keypad. In the interest of time and fairness to all participants, you are requested to restrict yourself to one question per participant. Time permits, you may come back in the question queue. We will wait for a moment while the question queue assembles.

The first question comes from Anand Bhaskaran from Ksema Wealth Pvt Ltd. Please go ahead.

Anand Bhaskaran

Yes. So, regarding your export book, as per the previous Q3, you mentioned that some of the orders like the supply of 10 locomotives to Mozambique and supply of 200 number of broad-gauge coaches, that will be completed in 2029. But the realization will come in the next quarter of FY '26. Is that still on the plan? Or will it be still delayed?

Rahul Mithal

No, I didn't get your question. You see, let me again clarify. There are two orders. One is 10 locomotives to Mozambique and 200 coaches to Bangladesh. What we have said in Q3 is that starting this FY, that is FY '26, the deliveries will start and aiming at least that from Q1 latest or beginning of Q2, both these deliveries, the locomotives and the coaches will start for the balance from the latter part of the FY and that's still on track.

Anand Bhaskaran

Okay. That's still on track. So, deliveries will happen, but you also mentioned the realization

will start taking place within Q1 as well.

Rahul Mithal

Yes. So, the way it works in export orders is that, number one, the realization takes place of revenue only when the actual bill of lading is made at the ports. So even if the product is ready, it is shipped and the date it is shipped, we get the revenue. So that is still on track. As I said, we are aiming maybe latest by end of Q1 or early Q2, the locomotives delivery will start out of the 10-part deliveries will start because there has to be a minimum number of quantity, which is also, then you get the berth in the ship. And the coaches we are aiming by latter part of the FY out of the 200 coaches; some basic initial lots of coaches will start deliveries.

Anand Bhaskaran

Okay. and you also mentioned the revenue guidance and the top line and bottom -line guidance selection also. But do you have a sense of what will be the revenue mix for the FY '26?

Rahul Mithal

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Q4 FY '25 and FY '25 Results Conference call You see, as we said at the end of Q3 and we maintained that also at the end of the FY, that having now completed the FY with the highest ever order book of nearing INR 8,900 crores , we are aspiring to reach the highest ever revenue in the coming FY and then we are aiming to get about 20% growth in the top line and commensurate growth in the bottom line. And that guidance which we are aiming for at the end of Q3, that gets substantiated. We are still on track on the same guidance in view of the continued order book inflow in Q4 as well as the operational efficiency, which we demonstrated in Q4.

Moderator

The next question is from Nemish Sundar from Elara Capital. Please go ahead.

Nemish Sundar

Yes, sir. Congratulations on a very good set of numbers during the quarter. So some margin saw really impressive rise during this quarter, around 30%. So how would be this run rate going forward on a sustainable basis with exports kick in from FY 26?

Rahul Mithal

Yes, morning. You see, the margins in Q4, I would not advise you to see them in isolation. The margins, if you see on an overall FY, give you the real picture. And in overall FY, the EBITDA margins are at about 23% and the PAT margins are at about 18%. And moving forward, as you see the split in our order book, more and more it is tending every passing quarter to have more orders on the competitive basis and as the higher margin orders start reaching their completion, moving f

orward, as I have been indicating in the previous quarters also, on an overall FY basis, we feel that the expected range of EBITDA margin would be about 20% odd and PAT margins would be about 15% to 16%.

Moderator

Thank you. The next question comes from Uttam Kumar Srimal from Axis Securities Ltd. Please go ahead.

Uttam Kumar Srimal

Sir, currently, now our export order extends at INR 1,360 crores. So how much execution we see in FY '26?

Rahul Mithal

So, the bulk of these two, the two orders which make the bulk of these INR 1,360 crores , one

is the Mozambique order, as I said, sometime back, about 10 locomotives and 200 coaches, from Bangladesh. The locomotives delivery, we are aiming to start by, as I said, definitely by end of Q1 or early Q2. The coaches, the designs are getting finalized and prototypes. So, there are about 5 types of coaches. The prototypes manufacture will start, and we are aiming to start delivery by latter part of the year.

So, let's see I mean, both the Bangladesh coaches and the Mozambique locomotive, both our clients want that irrespective of the contractual large delivery period, they wanted as early as possible. We are also keen. So, let's see how it pans out in these coming months. But we would

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Q4 FY '25 and FY '25 Results Conference call try and maximize the revenue out of these two orders in this FY. So, it will be too premature

right now to peg a number. I can only say that out of the 10 locomotives, we will try and give maximum number of locomotives, try and achieve at least about 70% - 80% of the order. And, coaches, as I said, the design, they're getting finalized. And as the delivery starts, the latter part of the FY, we see in the coming months how much we can expedite it.

Moderator

The next question comes from Shreyans Mehta from Equirus Securities. Please go ahead.

Shreyans Mehta

So, my first question is on margin. So, as you said that this quarter, we have noticeably higher margin. So, is it sustainable in the long term or we can have the 20% margin as you guided for FY 26?

Rahul Mithal

Yes, as I said, the margins viewed in a particular quarter Q4 may not give a real overall holistic picture. The margins which we have been preempting in my earlier guidance is also and as we see the order book that we have, the mix in the order book, as I said, most of these orders, both the export as well as domestic, are on very tough competitive margins. So, we are aiming and we would see that a realistic EBITDA margins on an overall FY basis would be in the range of about 20% odd and PAT margins would be over 15% to 16%.

On a particular quarter due to a certain change in the mix of inflow, you would see some ups and downs in the margin. But on an overall FY in the coming FY 26, we would see, as I said, 20% and 15% to 16%.

Moderator

The next question comes from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Sir, I just want to reconfirm. You are saying that we'll grow at 20% from this year and EBITDA margins would be in the range of 18% and PAT in the 15%. Is that correct?

Rahul Mithal

Yes. So just a correction, I said that we are aiming to grow in the top line of about 20%. The EBITDA margins would, we foresee will settle down somewhere around about 20% odd and PAT margins about 15% - 16% in the coming FY.

Viraj Mithani

Is it because of the more of a turn key project you've taken? And then this is, well, now the honesty, the composition of the order book, the turn key is higher than any other, you know, segment of business ?

Rahul Mithal

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So, first of all, let me clarify. As I have said it repeated times earlier also, we are a pure consultancy company. We are not a construction company. What you see as INR 4,200 crores in the as a

turnkey in the order book, that's not really a construction, I mean, not like an EPC construction company. Primarily our role is still as a consultant. Only thing the revenue passes through us. So, let's say, a consultancy fee of INR 4 rupees, instead of the order value being INR 4, the order value is INR 104 or 100 plus 4. So that's the only difference. Our work, our content, our scope of work is exactly the same. So we are not deviating from our core strength of being a consultancy company.

Having said that, the impact on margins is primarily due to a mix of factors. And one of the key factors is changing business dynamics, if you see compare our mix of order book every year in the last two to three years especially, the shift now is a majority on the competitive basis and on the nomination vis a vis the nomination basis. And even the orders which are on nomination basis, I wouldn't really call them nomination. They are primarily kind of single tender orders given to us, because of our capability and experience where it is based on a very tough negotiation, on deciding the rates, et c.

So, with all those factors and the competition around, that's contributing by and large to the margin. So the erstwhile margins, which have been there three to four years back, are not possible to be achieved. And that was what makes us feel that we will be in the range of about 20% in EBITDA and about 15% to 16% in PAT margins.

Viraj Mithani

And it's in connection to the same question. we will maintain the same dividend policy?

Rahul Mithal

Yes. Dividend, as you have been seeing, our dividend payout ratio in FY24 overall was 95.2%. In FY25, we maintained that level, at about 95.4%. So with that, we are assuring that since because our business model, as we have been very firmly unequivocally saying in the last few one or two years, we are a low CapEx company. We are not going to give you any surprises. Our business model remains same. We are a consultancy company. So the dividend payout ratios will be appreciably in the same trend.

Moderator

Next question comes from Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani

Sir, second, the question relates to consultancy business. So, if you see over a period of time, as you highlighted earlier also, we are shifting more towards the competitive bidding landscape. Is it fair to assume that, sir? And we'll be able to achieve consultancy revenues of INR 1,200 crores odd, which we had a couple of years back in this landscape max, if you can highlight that.

Rahul Mithal

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Q4 FY '25 and FY '25 Results Conference call Yes. So, as you correctly pointed out, the overall trend in all consultancy across all areas of

infrastructure, 13 odd verticals are shifting and both domestic and international are shifting to competitive mode. And that's why, you see the growth in actual consultancy revenue, even if you see sequentially there has been a substantial growth, Y-o-Y if you see in quarter four, there has been a growth of 11%. And as these recent orders in the last two - three quarters which we have received, as they start generating revenue in the coming quarters, both in terms of fresh inflow of consultancy orders as well as revenue coming from execution of these orders received in the last FY, you will continue to see a growth in consultancy.

So consultancy being our core bread and butter strength, we will continue to grow both in terms of order inflow, domestic and international, as well as revenue realization from the order book.

Parimal Mithani

And so follow -up to that question, can you highlight the update on the RITES and DME, JV in terms of assurance business? If you can show -- how it is going through, which we had.

Rahul Mithal

Yes. So , as we have diversified in our QA business in the last 1 to 1.5 years, we are part

nering

with a number of QA entities, both domestic and international. And that is why if you see the QA business in front of a huge hit this year, the hit of QA business to our revenue and profit both combined have been the range of about INR 40 to 50 crores, which is a huge hit. And so, the ratio in this FY, this was the first FY where this diversification of taking on fresh clients has really borne through due to these various partnerships, both in the competitive mode.

We started getting our first international QA order in Sri Lanka Railway and today, our diversified QA inspection vertical is taking on orders, has got a majority now of about 55% to 60% of non-railway QA business also. So as the pie expands, the ratio also in diversification is expanding. And these partnerships , not only this, but other partnerships also that we've done in QA has helped us in this diversification.

Moderator

There is no response. We have a follow -up question from Anand Bhaskaran from Ksema Wealth Pvt Ltd. Please go ahead.

Anand Bhaskaran

So I just want to ask about what will be the revenue mix for the upcoming financial year? What do you think would be sure?

Rahul Mithal

So, Anand, it would be safe to say the order book mix, as I mentioned, the export orders, we are definitely aiming to, maximize out of the INR 1,350 crore , we can get. The consultancy, which is a healthy INR 3,000 crore and even the turnkey, which is INR 4,200 crore, as I explained, these are primarily consultancy itself except the method of account al.

Rites Limited 15.05.2025

Q4 FY '25 and FY '25 Results Conference call So the primarily, the export will bounce back after a gap of nearly two years. This year, the

export revenue was almost nil. Last year, it's about INR 100 crores. So these two years, if you have taken a hit, export you will see a bigger contribution in both in top line and bottom line. And consultancy and turnkey will continue to see a growth that has already seen sequential growth, healthy growth Q3 to Q4 , Y-o-y Q4 has shown about 11% growth in consultancy revenue.

Anand Bhaskaran

So you mentioned that, okay, consulta ncy & turnkey will relatively maintain the same amount of order book growth?

Rahul Mithal

Yes.

Moderator

We have a follow -up question from Shreyans Mehta from Equirus Securities. Please go ahead.

Shreyans Mehta

Yes, sir. So my next question is on the export orders. So can you share the value of the export

orders, where we are currently L1, but yet to be converted into the company's book? And also, any guidance on the new export orders inflow expected in the FY '26? And what revenue we are targeting from the export orders as we have nearly INR 1,300 crores as on date?

Rahul Mithal

So as far as L1 is concerned, we will declare it the minute we are L1. We don't like to speculate with the works in progress. We are engaging in a number of bids for export. Only one old agreement, which is not included in our order book, which we signed about two years back with the National Railway of Zimbabwe, for wagons and locomotives, that is yet to be converted into an order because they are still waiting for a funding confirmation, which they are trying.

So that's as far as the order book of export is concerned. In terms of realization, as I explained, the locomotives order of 10 locomotives to Mozambique, which is totaling about INR 300 crores. The deliveries will start in the next few months, as I said, maybe, end of Q1 or beginning Q2. And, we aim to, let's see, as I said, maximize out of these in this coming FY. It's too early right now to predict an exact number. I can only say that we are trying to maximize out of all of these, the entire order.

The coaches 200, which is again a huge order of about INR 900 crores. The designs are under final approval. There are five types of design with Bangladesh railway. And,

we will aim to get the prototype manufactured and get it approved and start deliveries by latter part of the FY. So in the coming few months, in terms of exact numbers, more clarity will emerge. But it is safe to say that this is the first year after a gap of nearly two years where you see a substantial contribution of export revenue in both top and bottom line.

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Shreyans Mehta

Yes. Sir, Just you can quantify the export or new export orders, what we can expect in this financial year?

Rahul Mithal

So again, that's speculative, right? As I said, we have maintained in the last five quarters successively the aspirational target that we had said, for one export order a quarter. We will try and continue to maintain that the exact details will be speculative at this stage.

Moderator

Next question comes from Gaurav Jagirdhar an Individual Investor. Please go ahead.

Gaurav Jagirdhar

I have one question. Can you shed some light in the consultancy scenario, the present orders, what is the quantum and how does the future look like?

Rahul Mithal

Yes. You see, our biggest strength in consultancy is that, both domestic and international, we are tackling all areas of infrastructure except oil and natural gas. So if you see that give you a flavor of the type of orders which we got in the last few months in Q4, so whether it is rail infra orders, whether it is a study of new high speed corridors, the feasibility studies, the DPRs, whether it is study for sidings, you know, whether it's an oil company or whether it is a mineral company, whether it is DPR s for Jaipur Metro, whether it is orders for leasing of locomotives, whether it is the orders for operation and maintenance of the mini rail systems that we run for the various PSUs.

So you see a mix of all these orders across whether it is building consultancy orders, third party highway, large number of highways , third party and safety and quality inspections . orders across states including Northeast. So whether it is bridges, tunnels, highways or all areas of infrastructure, we continue to get orders and maintaining this strike rate of more than one or literally more than one order a day. As I said, quarter for ur, we got 150 plus orders.

We will continue to get orders in consultancy in the coming FY.

Gaurav Jagirdhar

That's really great. And what is this quantum, sir, quantum of international order? There is an absolute number and any specific countries we are targeting we have in mind?

Rahul Mithal

So in international, we have today an export order book of about INR 1,350 crores and a consultancy order book of about INR 400 crores (including turnkey). You will see in this FY, and that's our focus, that's the next milestone which we are trying to achieve besides growth in export order book, definitely growth in the international consultancy order book. And whether it is the African Continent, whether it is the Southeast Asian countries, whether it is

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Q4 FY '25 and FY '25 Results Conference call Latin America, we are doing got a recent order of highway in Guyana, whether it is the, Middle East countries, we've got an order in Jordan. So we are targeting these geographies, and obviously aspiring to even go to some of the G7 countries to try and get international consultancy orders building up on our strength.

Moderator

The next question comes from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

My question is, since you have so many JVs with so many renowned companies in the world, can you give some color on what kind of orders or what kind of business we're getting from them?

Rahul Mithal

So, you see, Viraj, our basic strategy, whether for domestic or international consultancy, is depending on the kind of sector, you cannot have all

possible resources within under the one

-- under one roof. That is not cost viable. And the complexities of the consultancy in various sectors require some skills to be complemented.

So all of these, number one, none of these are JVs. These are all MOUs, memorandums of understanding for partnership and collaboration of supplementing each other's skills, to take on opportunities. For example, we signed an MOU with Etihad Rail a few months back in UAE. And now we are, empaneled with them and we are getting some work. We started getting some work in Jordan. This collaboration and partnership, in supplementing either working for them or joining them and working together with them for a third-party opportunity. Both kinds of MOUs exist.

Viraj Mithani

You talked about, MOU is regarding quality assurance business. So any color on that in terms of growth this year or number which would be back? So that's one of very good businesses for us.

Rahul Mithal

Yes. We have grown and this sustained effort in this FY and this partnership has got us orders for, ISA of Vande Bharat, which was in partnership with another company. We got an order. We are now, as I said, diversified in so many areas of quality assurance inspection, whether it is the solar area, whether it is other infrastructure, whether it is the state government, whether it is vendor assessment for the GEM portal. So all these are initiatives which is helping us, these partnerships, these MOUs and supplementing with the skills of these partners has helped us grow. And we are confident that the way we have grown in this FY, we have feathered the hit by the QA business changed in dynamics. And by end of the coming FY, at least in terms, we are aiming to reach back the same levels of business in terms of QA.

Moderator

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Q4 FY '25 and FY '25 Results Conference call Thank you. Next question comes from Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani

So I just wanted to know in terms of the R EMCL business, so what is the way R EMCL, I can tell us?

Rahul Mithal

Yes. So R EMCL has been, as you're aware, doing two things. One is traction procurement, which has been growing in terms of because nearly 100% electrification and the growth in traffic. The second is the net zero initiative, where it is doing consultancy for Indian Railways, where it is playing a huge role. The growth in R EMCL has been steady. There has been, it has been paying us a huge amount of dividend to both Indian Railways and RITES. So we got a good dividend for about INR 40 crores in this year. I see the growth continuing. And what we are now doing in the last few quarters and definitely you will see that coming forward in the coming FY, it's R EMCL skill in renewables, which is collected and accumulated in the last 10 to 11 years, it's already started doing consultancy work in the renewable sector and started getting orders. And those I see growing substantially in the coming FY.

Moderator

Next question comes from Uttam Kumar Srimal from Axis Securities Ltd. Please go ahead.

Uttam Kumar Srimal

Yes, sir. Thanks for the opportunity again. Sir, what would be our CapEx guidance for FY 26 & FY 27?

Rahul Mithal

See, we are a very low CapEx company by our business model, and the CapEx would be very minimal. It would definitely not be exceeding about INR 50 to INR 75 crores odd. So, definitely well below INR 100 crores, I can say. Our resources are manpower, skilled manpower. So we don't really see it changing. As I've been reiterating, our business model is very clear. We won't come up with any surprises. We continue to grow in our consultancy field, both domestic and international. With that, I don't see any major shift in the trend of CapEx. In fact, it remained in the range of INR 450 odd crores.

Moderator

Thank you. The next

question comes from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Yes. Sorry, can you quantify, how this quality assurance business? What kind of contribution would be there in this serving FY?

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Q4 FY '25 and FY '25 Results Conference call Rahul Mithal

In terms of contribution, it has come up in terms of our consultancy business, I can only say that it is part of the total consultancy revenue. And we were down in 2022, 2023, we took a hit of about 50% reduction. We have now come back to about 70%, 80% of the levels of quality assurance revenue, which we had. Margins and contribution in terms of bottom line are definitely much lesser.

We have taken a hit of about INR 40 crores to INR 50 crores in both the top and bottom line in this FY, which by the coming FY, as I mentioned, we will try and reach back the same levels of top line in the QA business. Yes, margins being much lesser, the contributions from the bottom line in the quality assurance business will definitely take much more time to come back to those levels. And that can only be achieved as we go beyond the levels of top line on the erstwhile levels that we had in quality assurance.

Moderator

Thank you. We have a follow-up question from Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani

Sir, regarding quality assurance, I'm sorry, once again, sir. I just wanted to know is the worth over in terms of the consultancy business? And from here on, we should see margins being stable there, sir?

Rahul Mithal

Yes. Not only in the quality assurance business, which is a part of my consultancy revenue and the bottom line, as I said, 2024 -25 was a good year of settling down at the levels of margin because this was the year where the huge shift took place in terms of the shift to a majority of the competitive orders, whether it is in quality assurance or all areas of consultancy.

So what we see that moving forward, we will settle again as a repeat on overall margins of about 20 % odd EBITDA and 15% - 16% PAT margin. And the consultancy margin, which contribute in this overall EBITDA and PAT margin, would also settle in the same range which we are seeing primarily if you analyze the three - four quarters of this FY to be able to settle it overall on 20 % & 15% .

Moderator

Thank you. We have a follow-up question from Anand Bhaskaran from Ksema Wealth Pvt Ltd. Please go ahead.

Anand Bhaskaran

Yes. I just want to know about the leasing side of the business. How is that going about? And what are the expectations for the future?

Rahul Mithal

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Q4 FY '25 and FY '25 Results Conference call Yes. The good thing in leasing is that we are continuing to target new clients, new areas. It has seen in spite of this sector, again, this is an area which is also now opening up to competition. Erstwhile, we used to be the only player. Now we are still the dominant player, but it has now opened up a large number to smaller players coming in. So, if you compare growth Y-o-Y in the leasing revenue, you will see, however the competition being more, the margins and profits are more or less flat. So what we are definitely targeting is that after we have now reached a growth of about more than 20% in the number of locomotives that we have leased, which are owned by us and leased.

We have also, got huge number of orders from clients who are owning their locomotives but giving us on to operate and maintain them. Moving forward, as I said, this is one of the recent sectors which is opening up to competition, but the expertise and the experience which we have in that, I see a sustained growth. We've been able to see a growth in that, at least in the top line and not allowing the bottom line to go beyond the current levels.

Moderator

As there are no further ques

tions, I would like to hand over the call to the management for their closing comments.

Rahul Mithal

Thank you. At the end, I would like to just pinpoint. You see, sometime back, we put some milestones for us. The first milestone was trying to become a one order a day company. We maintained that. We have maintained that in the last four quarters, and we will try and maintain that.

The second milestone we put for ourselves was trying to get one export order a quarter. We have maintained that in the last five quarters, and we aspire to achieve and maintain that. We these two, we set ourselves a milestone to grow aggressively in our order book and we have ended the FY with the highest ever order book at INR 8,900 crores. In fact, the last entire FY, we got more than 500 orders totaling to INR 5,500 crores, which is nearly equivalent to the closing order book of 31st March 2024, which was INR 5,700 crores.

The third milestone of breaking a record of the highest ever order book we have achieved. As we move forward, we have set ourselves to aspirational milestones of this FY trying to reach and break the record of highest ever revenue. We will see how it pans out. But definitely, this is some milestone which we are aspiring for. And moving forward in the coming FYs is also trying to break the record of being the highest ever profit.

So we will not only maintain the three milestones that we have achieved, we'll try and maintain them in the coming quarters, but also aspire to achieve these two targets and milestones that we have set ourselves in the coming FYs. So thank you very much. And we, our entire team is committed, as I said, to maintain these milestones achieved and aspire to achieve these milestones which we have set for ourselves in the coming years, in the coming financial years, next year and the subsequent years. Thank you.

Moderator

Rites Limited 15.05.2025

Q4 FY '25 and FY '25 Results Conference call Thank you all for being a part of conference call. If you need any further information or clarification, please mail at investors@rites.com. Ladies and gentlemen, this concludes your conference for today. You may disconnect your lines now. Thank you, and have a pleasant day.

-End-

Disclaimer

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy. Statements in this transcript describing the Company's objectives, projections, estimates, expectations may be "forward -looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied. Important factors that could make a difference to the Company's operations include, among others, economic conditions affecting demand / supply and price conditions in the domestic and overseas markets in which the Company operates, changes in Government regulations, tax laws and other statutes and incidental factors. This communication is not an offer to sell or the solicitation of an offer to buy securities.

Call: Aug 2025

No. RITES/SECY/NSE Date: August 14, 2025

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Corporate Relationship Department,
BSE Limited,
Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Symbol - RITES Scrip Code - 541556

■■■■: 07 ■■ ■, 2025 ■■ ■■■■■■ ■■■■■ ■■■■■ ■■■ ■■■■■■

Sub: Transcript of the Investors Conference Call held on 07th August, 2025.

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and
investors held on 07th August, 2025 to discuss the unaudited financial results of the
Company for the quarter ended on 30th June, 2025.

This is for your information and records.

■■■■ ■■■■ / Thanking You,
■■■■ ■ / Yours sincerely,
■■■■ ■ ■■■■ ■■ ■■ / For RITES Limited

■■■■ ■■ / Ashok Mishra
■■■■■ ■■■ ■■ ■■■■■■ ■■■■ / Company Secretary & Compliance Officer
■■■■ ■■ ■■ / Membership No.: F6411
RITES Limited
Q1 FY26 Results Conference Call 07.08.2025

RITES Limited
Q1FY26 Results Conference Call

Event Date / Time: 07/08/2025, 1 1:00 Hrs.

CORPORATE PARTICIPANTS :

Mr. Rahul Mithal

Chairman and Managing Director

Dr. Deepak Tripathi
Director Technical and Director Projects (Additional Charge)

Mr. Krishna Gopal Agarwal
Director Finance & Chief Financial Officer

Moderator

Good morning, ladies and gentlemen. I'm Ka rthikeyan , moderator for this conference. Welcome to the conference call of RITES Limited to discuss its Q1 FY 26 results .

We have with us today, Mr. Rahul Mit hal, Chairman and Managing Director ; Dr. Deepak Tripathi, Director Technical and Director Projects (Additional Charge) and Mr. Krishna Gopal Agarwal, Director Finance and Chief Financial Officer.

At this moment, all participants are in listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, please press * and 1 on your telephone keypad. Please note , this conference is being recorded.

And in the interest of time and fairness to all participants, you are requested to restrict yourselves to one question per participant. Time permits, you may come back in the question queue.

Now I would like to hand over the floor to Mr. Rahul Mit hal, Chairman and Managing Director, RITES Limited. Thank you, and over to you, sir.

Rahul Mithal

Good morning. Thank you. Let me start with giving the Safe Harbor statement. The presentation and the press release, which we uploaded on our website and exchanges yesterday and discussions during the call today, may have some forward -looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically. So , let me give you a brief overview of the Q1 results.

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The results have been flat. The order book, as you see, about INR 8,800 crore , bulk of it, in fact, about INR 3,500 crore from about 300+ orders was added in the last two quarters of the last FY. So, now we are at the stage where we have to focus on expeditious execution, which we foresee starting from the latter part of this FY.

And the guidance, which we gave at the beginning of the FY, that we will try and definitely surpass the previous year's performance. We are on track. All these orders are at the various stages of finalizing the design, fixing up the executing agencies. So , the revenues will start flowing in by latter part of this FY. So , that's the opening broad where we have been in Q1 and where we see moving forward.

And I'll go into more details as I answer individual questions. Thank you.

Moderator

Thank you. Now , we begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad. In the interest of time and fairness to all participants, you are requested to restrict yourselves to one question per participant. Time permits, you may join back the question queue.

The first question comes from Harshit Kapadia from Elara Securities.

Harshit Kapadia

Good morning, sir. Thanks for giving me this opportunity. So , just one question right now. On the consultancy side, we have seen the growth coming back. Now , have we seen a broad -based growth, or is the consultancy also seeing growth only from certain sectors? And followed to that would be the quality assurance. Is this now normalized? Or are we going to see an uprise on the

quality assurance side?

Rahul Mithal

Good morning, Harshi t. So, the first part of question, yes, the consultancy has shown an overall growth of 7%. In fact, that is what has helped us see a growth in the EBITDA by about 8%, focused on the high -margin consultancy orders. So , you see the orders which we have been getting in the latter part of the last FY, the design, engineering portion of those orders have started generating revenue, and those will continue to generate revenue because the initial milestones are in the designs, etc. And as the execution starts in the latter part of the FY, the other elements of the turnkey and top line will keep adding on . And this is across sectors, not only one particular vertical. This is broad based across because since the orders were broad based, covering all the sectors, about 13 different verticals that we have.

As far as quality assurance is concerned, quality assurance has been showing a regular uptick. And the worst to my mind, as I had mentioned in the beginning of this FY also, is over. We will definitely keep on growing sequentially both , not only in terms of quality assurance, in terms of getting more orders, in terms of revenue realization from the recent orders, which we got in quality assurance from the newer clients, the non -Indian Railway client. So , quality assurance will only show an uptick both sequentially and the entire F Y vis-a-vis the last F Y.

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Harshit Kapadia

Understood, sir. Wishing you all the best. I'll come for more questions, sir. Thank you.

Moderator

Thank you . The next question comes from Anand B from Ksema Wealth Private Limited. Please go ahead with your question.

Anand B

Good morning, sir. Regarding your export orders, I remember in the previous con call, you mentioned the 10 locomotives by around 70-80% of execution is done, and deliveries will be starting from Q1 of this time.

So, I think in the press release, you mentioned that the deliveries have already started. So , is there a confirmation that the deliveries have already started? And can we see a realization of that revenue by this quarter or the next quarter?

Rahul Mithal

Good morning, Anand. So yes, it's correct. I had mentioned that the ten locomotives to Mozambique , the deliveries will start. And the first two locomotives have got shipped out in the first week of July -- early July. So , the revenue booking happens when the actual shipping out takes the bill of lading. So, these two locomotives, the revenue will definitely figure in Q2.

And the other eight locomotives are also on track in various stages in the pipeline. So definitely, in the coming quarters, these will start generating revenue. So yes, the booking of revenue of these two locomotive s shipment did not happen in Q1. They will happen in Q2 because the actual shipment took place in early July. But yes, the shipments have started.

Anand B

Okay. And you said like in Q2 or Q3, you'll be able to see realization of the impact in locomotives or just two or three?

Rahul Mithal

No. These two, which have already got shipped out, these for sure will get booked in Q2. And each of the balance eight are in various stages. Successively in each quarter, as the bill of lading gets made as they get shipped out in Q2, Q3, Q4, we will try and definitely complete the entire order.

Moderator

Thank you. The next question comes from Shreyans Mehta from Equirus Securities.

Shreyans Mehta

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Thanks for the opportunity. Sir, my first question is, can we expect or is it fair to assume in terms of margins, the worse is behind us? Because now we are talking about export contribution to kick in. So, hopefully, that will also add to our margins going forward?

Rahul Mithal

Good morning, Shreyans. Yes, you are correct in your assessment. If you recall in the guidance which I gave at the beginning of this FY, I was saying that the worst seems to be over, especially in terms of execution, in this FY from the export orders also. And we had said that we'll aim at overall, on an annual basis, an EBITDA margin about 20% -odd and PAT margins about 15% -odd.

And the Q1, because of the uptick in the consultancy contribution, in fact, has been higher both in the EBITDA and the PAT margins. And so I think, yes, definitely, we should be able to maintain those levels on a minimum on an overall annual basis.

Shreyans Mehta

Great. And sir, secondly, if you can help us with the cash on the books as on date?

Rahul Mithal

The cash balance is about INR 800 crore and client fund is about INR 2,400 crore.

Moderator

Thank you. We have next question from Viraj Mithani from Jupiter Financial.

Viraj Mithani

Thank you for the opportunity, sir. My question is, what will be your guidance for this year and next year since things are, like, you are saying the worst seems to be over? Can you give some color on that?

Rahul Mithal

Good morning, Viraj. So, work has just started. Work is we have got the orders now. We have to really expedite the execution. As I said, out of INR 8,800 crore, about INR 3,500 crore is very young. So, these are young orders, which need to be executed.

And yes, in terms of the only sequentially uptick and being on an annual basis, whether in terms of which I had given the guidance at the beginning of the year, definitely, we will surpass by a substantial amount, the top line vis-a-vis last year.

And as I said, on an annual basis we'll be able to maintain EBITDA margins of about 20% and PAT margins of about 15%.

Moderator

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Thank you. Participants, to ask a question, please press * and 1 on your telephone keypad. In the interest of time and fairness to all participants, you are requested to restrict yourselves to one question per participant.

We have a follow-up question from Harshit Kapadia from Elara Securities.

Harshit Kapadia

Yeah. Hi. Thanks for the opportunity. Just wanted to check on the margins on the consultancy side. They have been something above 40-45 times if you look at last two, three years. Now, we are in the vicinity of 35-40%. Now, should we look at this to be a more sustainable number? Or is there a possibility that we can move towards 45% margins?

Rahul Mithal

No. You must appreciate that these 40-45% margins traditionally included the quality assurance contribution also, which was earlier on a much higher contribution. So, the levels of about 30-35% are what is now especially a large percentage of our orders now across verticals are on competitive bidding basis, and there's huge competition.

Even in our international consultancy orders, which we are getting, if you compare the trend of margins in that vis-a-vis earlier international orders are much more competitive. So, realistically, anything between 30-35% is what, on a consolidated basis, the consultancy margins would settle down over a period. And that is what contributes to the overall EBITDA margins of about 20% and PAT margins of about 15%.

Moderator

Thank you. We have the next question from Vishal Periwal from Antique Stock Broking.

Vishal Periwal

Yeah, sir. Thanks for the opportunity. Sir, in terms of our Bangladesh order, can you give some color like where we are in terms of design and approvals? And second, related to that, like when that order can enter into revenue recognition stage?

Rahul Mithal

Good morning, Vishal. So, Bangladesh is a complex order in the sense that there are different types of coaches. There are about seven different types of coaches. And now in the last few months, there has been a very substantial progress in that in terms of regular meetings, interactions with the manufacturer and the Bangladesh Railway to finalize the designs.

Most of the design elements are getting finalized and the ordering of the detailed subassemblies for the prototype has started. So, we are foreseeing that the first rake of 20 coaches, we are aiming that before the end of the FY, we should be in a position to export because it will require earlier individual prototype approvals of each type of coach and then the mass manufacture will start.

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So, our assessment is that the first rake of 20 coaches before the end of the FY 26 we should be aspiring to send it. And so, that's the time when the first revenue bookings we are aiming for in Q4 from this order.

Vishal Periwal

Okay. And this order, will you conclude by when, tentatively?

Rahul Mithal

So, once the mass manufacture starts, then considering that we have a huge manufacturing capacity, that's not an issue. If we are on track and the first rake we are able to push through in Q4, then we should be able to definitely aim to complete the entire order in the next FY.

Moderator

Thank you. The next question comes from Uttam Kumar Simal from Axis Securities.

Uttam Kumar Simal

Sir, very good morning, and thanks for the opportunity. Sir, currently, our turnkey order book stands at INR 4,209 crores. So sir, what is the execution rate for these orders? Time-frame?

Rahul Mithal

So, Uttam, as I mentioned, a large chunk of these orders has come in the last two quarters and more so also recently and even in this quarter. So, if you take an average time span of any infrastr

ucture about 2.5 years to 3 years, the first, about 6-9 months goes in the design and fixing up the executing agencies. We are very trying to ensure that the physical construction in most of these orders starts in the next 3-6 months so that by Q3, when the actual construction at the site starts, the revenue booking in Q3 -Q4 starts.

So, that's the broad -- on a bigger picture, you see bulk of the turnkey order book, the revenue booking should start coming in from latter part of this FY. And on an average, these projects have a time -span of about three years.

Uttam Kumar Srimal

Sir, can you quantify how much we can book in this year for turnkey in terms of revenue?

Rahul Mithal

I don't want to give numbers as it would be speculative, as I said, giving a mix of the orders and depending on the time -frame. On an overall basis, our aim is that the turnkey segment contributes substantially so that this guidance that we surpassed by a substantial amount, the revenue vis -a-vis last FY, that we will ensure. But what will be that figure? I think that will be speculation at this stage.

Moderator

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We have a follow -up question from Anand B from Ksema Wealth.

Anand B

Good morning, sir, once again. So, I just want to know, like, what will be your estimated statement breakup between the different sectors, like consultancy, export, turnkey and leasing in terms of percentage for FY 26?

Rahul Mithal

Sorry. Your first sentence, I lost you. Sorry. Could you repeat, please?

Anand B

I'm asking for, like, a segment breakup between the verticals, consultancy, export, leasing, turnkey in terms of percentage for FY 26. Do you have an estimate?

Rahul Mithal

If you look at let's work at reverse. You can see the order book, consultancy is about INR 2,900 crore out of INR 8,800 crore, which is roughly about nearly 30% +. The turnkey element, which I mentioned in the last response, will start generating revenue by latter part of this FY. The export revenue will start picking up as I answer.

To my assessment, we aim that the high margin, the contribution, which is primarily consultancy and export of the mix. And the balance would be picked up by turnkey. In a nutshell, the consultancy export and leasing elements, which are primarily the high -margin contributors, that we aim to be at least 60% + so that we have a safe margin level that we have been guiding at. And then turnkey contributes to about 30% odd.

Anand B

And do you please repeat like in between, I kind of lost you. Can you just repeat on terms of breakup for consultancy, leasing and export?

Rahul Mithal

So that is, again, as I said, would vary on a Quarter on Quarter basis. And again, what would be the element of each one of them? Again, export, as I said, ten locomotives would go, we would aim at one rake from Bangladesh. Again, giving a mix of each one of them right now is too speculative. Yes, we would keep tweaking with an overall aim at keeping the EBITDA margins at 20%. As the quarters evolve, focus on the high margins, even within the export, consultancy and leasing, so that at least 60% + remains the mix of these and turnkey doesn't 5% so that the hit on the overall margins is not substantial.

Moderator

Thank you. The next question comes from Sundar from Elara Capital.
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Sundar

Hi, sir. My name is Sundar from Elara. Sir, I just wanted to understand the payment realization from the Bangladesh order. So, would it be milestone based? Or would it be at the end of the project? And have you received any advance for that?

Rahul Mithal

Yes. We have received the advance and like in all export orders, the revenue is booked as the bill of lading gets made. So, whether it is the Mozambique order or the Bangladesh order. And revenue realization normally is not an issue in them because all of them are covered by LCs. And for Bangladesh order, we've got the advance also.

Sundar

Okay. And sir, any update on the Zimbabwe export order?

Rahul Mithal

The Zimbabwe order, as I said, we have not added it still to our order book. It's about INR 700-plus crore. It's not part of the order book because we were very clear that even though the agreement is signed, the funding is not fully in place. So, while they are pursuing with us and the Afri-EXIM bank, it is yet to be fully in place. The term sheet is yet to be fully accepted.

So, we are still hopeful but it's been quite a long time, more than 2-1/2 years, that it sees the light of the day. But as of now, it's not part of the order book.

Moderator

Thank you. We have a follow-up question from Viraj Mit hai from Jupiter Financial.

Viraj Mithai

Yes, sir. Can you give some color on the export side since you said we'll be focusing on exports this year. So, how are we doing on this front? And, sir, follow-up with that, we are seeing so many MOUs. So, when will the benefits of those MOU come to us?

Rahul Mithal

Right. So, as far as exports are concerned, there were two guidance, if you remember, which we had given. One was that we will aim to get one export order per quarter. I'm talking about export of rolling stock; and it's not the international project consultancy. In the export of rolling stock, we have maintained that. And even in this quarter, we've got one fresh export order from African Railway Company. So, that's as far as adding to the orders of export, which is about INR 1,400 crore now.

In terms of execution, the guidance which we had given that the Mozambique ship ments will start by early this year, and they have started. The first two locomotives were gone in early July. And
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we are aiming to execute the entire order this year. The execution for the Bangladesh order will be, as I mentioned sometime back that we will try and start aiming that the first rake starts before the end of the FY.

As far as the question on MOUs is concerned, each of these MOUs start a collaboration. And these are all non-financial, non-binding MOUs. They set a collaboration process. So for an example, the MOU, which we signed with Etihad Rail late last year, gave us results, and we have already got our first order of this collaboration with Etihad Rail in Jordan. We are doing a consultancy project in Jordan. And this collaboration, this interaction has already started. It has opened a lot many opportunities, which I'm sure in the coming quarters will convert into orders. So, each of these MOUs, this is just an example, our strategic collaborative MOUs, which as the opportunity comes up generate orders because you're collaborating and constantly in touch with the MOU partner.

Moderator

We have a follow-up question from Vishal Periwal from Antique Stock Broking.

Vishal Periwal

Yes, sir. Thanks for the follow-up. Sir, on that Mozambique order that we have shipped, so what sort of margins that is looking for the export now for us?

Rahul Mithal

You see, one thing is very clear that both these orders, after a hiatus of about 3-4 years, and we got the first order early in 2024, the Mozambique order. And then in the Q1 of last year, we got the Bangladesh order. These two were the first orders in the last five decades, which were on a global competitive order, and they were not on the line of Credit by Exim Bank.

The margins are now lesser, as you're competing on a global tender and the erstwhile export margins were about minimum 20-25% plus.

But yes, they are competitive. And what we will try and maximize is that the more expeditious execution that you do, you inch up by at least one or two percent more by the earlier envisaged margin. So, I can only say that the overall exports margin will be lower, yes, in double digits, but not in the range of 25%, which were hitherto historically there.

Vishal Periwal

Okay. So, maybe a range wise, if not exact, it will be more like 10-15% or a bit of a higher?

Rahul Mithal

You see, every order, Vishal, will have a different margin. But I think, let me put it this way, it will be in a double digit, but not above 20%.

Moderator

Thank you. Participants, if you have a question, please press * and 1 on your telephone keypad. Participants are requested to restrict yourself to one question per participant.
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A follow-up question from Anand B from Ksema Wealth Private Limited.

Anand B

Yeah. Thanks for the opportunity again. These three specific export orders that we got in the last three quarters. One is the Ntokoto Rail Holdings, the two orders from there and Tsiko Africa Logistics, the order that we got in Q2. Can you just shed some light on that and when we can get revenue realization and in which year?

Rahul Mithal

Yes Anand. This is a very interesting initiative which we have taken. It opens to huge potential. All these three orders, while from different clients, are basically similar orders. You see, Indian railways

now has a large number of in-service diesel locomotives, which are spare now because of the large-scale electrification. And most of these high-horsepower diesel locomotives have a minimum of 15-20 years' life left at least, and they are at a very good competitive price. The challenge only is that this is on broad gauge, Indian railways is on broad gauge, which is 1676 millimeter. And South Africa is on Cape Gauge, which is 1067 millimeter. So, these locomotives have to be modified to be able to run on that network. So, considering we took this as a challenge because it's a win-win situation for all, for Indian Railways because these locomotives can go, They're available at a competitive price for the client. So, we've started work on that. We've gone into detailed designing on how to go about it. The designs are at a very advanced stage. They've got nearly finalized. We also started indenting the requirement for it.

The aim is to have at least one prototype ready. On paper, all the designs are ready, and the sourcing has started. But the aim is to get at least one prototype ready and get it cleared by the African Railways by end of this FY. Once the first prototype is ready, then the mass manufacture and the design proofing would have been done.

And it not only opens these nine locomotives orders which we've got in FY25, but it also opens huge amount of potential for the more than 100+ locomotives which are available to be spared for export.

Anand B

Okay. And what about the Ntokoto Rail Holdings? Is that for the supply, all of these, it's the same thing?

Rahul Mithal

There are four different orders totaling 11 locomotives, which are including the most recent two, which we received in this quarter. So now, there are four different orders of all similar locomotives, different clients but all in South Africa. And this would not only open opportunities in South Africa, but there are about 11 different countries in Africa, which have the Cape Gauge.

All of these, once the first prototype physically runs on that system and gets all the necessary statutory approval the

mass manufacture will not be an issue at all.

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Anand B

Okay. So, once one prototype, like, is approved, everything, so that would be a common base for all of these orders that will be going forward?

Rahul Mithal

Yes.

Anand B

Okay. In the last three quarters when you got these orders, when do you expect sort of a completion of the order?

Rahul Mithal

Yes. So, I said the first prototype, we are aiming to see that it reaches physically by end of this FY. That's the evolved design that's now being finalized, and the manufacturing will start in the next few months. Then we should be able to send the first prototype of physical trials by end of this financial year.

Moderator

Thank you. We have a follow-up question from Shreyans Mehta from Equirus Securities.

Shreyans Mehta

Yeah. Thanks for the follow-up. Sir, how should one look at the REMC part of the orders? I mean,

especially from the scalability perspective, you think, I mean, it's largely INR 130-odd - INR 140 - odd crore yearly? Or can we scale it up from here on as well?

Rahul Mithal

Yes. I think, Shreyans, the key point in R EMCL scaling up are two folds. One is the consultancy, which it gets for the traction power procurement that it does for Indian Railways. As more states open up to open access, the quantum of procurement from them increases and our consultancy fee, which we get, increases. Efforts are on, and we've got some headway in the last few months, two states, we've opened. So, in the coming quarters, the efforts to get more states to give us open access for procurement, that's the scalability which we are aiming at. And I see a scope for at least a 20% scalability in the next one year or so. That's the one broad area for scalability.

Another area, which now R EMCL is working on, is based on the experience of the last few years, which they've worked on, on the green energy area. For last 2-3 years, they've been piloting the green energy initiatives for Indian Railways. So now, they are in a position where they started getting small orders already in the last few months, and that's, again, a scope for a lot of scalabilities for consultancy opportunity for other possible clients. So, both these areas, as you would appreciate, have a scope of scalability. And REMCL can then reach much above the current levels of about INR 130 - INR 140 crore.

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Moderator

Thank you. The next is a follow-up question from Harshit Kapadia from Elara Securities. Mr. Harshit Kapadia, your line is unmuted. Please go ahead with your question.

Harshit Kapadia

Sorry. Yeah. Hi, sir. Thanks for the opportunity. So on turnkey, do you think since the electrification is completely done, not more EPC-related projects, which are likely to come this year or even in next five years, what's your view, let's say, in a five-year thing?

Is it going to go down or is it only going to go up? And would BITES' share remain at that same 10% share or 30% of your revenue would remain to be turnkey construction? That's the question.

Rahul Mithal

Harshit, I'm glad you asked this question because this is something important which we have been saying earlier, and we want to reiterate. We are not EPC construction company and will not be an EPC construction company. We are a consultancy company. Whether it is pure project consultancy or the export portion, which is primarily design consultancy. In turnkey also, the new orders which we are taking, whether they are in the rail infra sector or the building sector, etc., all of these are

primarily consultancy work. It's not EPC tender, none of them. They are primarily consultancy.

It's the method of accounting where the revenue is flowing through our balance sheet. If, for example, the consultancy fee is INR 4 on a INR 100 project, then the revenue is INR 104 rather than INR 4. We are very clear. Our role remains the same only for certain clients for ease of dealing with one entity, single window compliances etc., they feel it is more comfortable for the revenue to flow through us.

So, that's very clear and that model, depending on the comfort of the client, we will continue to pursue because they are not really EPC construction contracts. So whether, as I said, in rail infra, like you see, we got some orders, we've got some orders in the turnkey segment in rail infra. We've got some orders in buildings, for example the IIT Delhi one work we are doing. We recently got about 10 days back the BEL work in Andhra Pradesh, which is also on basically a cost-plus turnkey model. So, that's going to be there. And that contribution would depend again over a period of time as more and more clients, whether in the building vertical or rail infra vertical come up, wanting to work on this model as a client, and we would be okay with that.

Harshit Kapadia

Understood, sir. And just one follow-up on the export side. On the Zimbabwe, you said there's

been 2.5 years. So , how much more time would you think would take for us to get order? Or is there a risk that the order will be canceled?

Rahul Mithal

The Zimbabwe order , right?

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Harshit Kapadia

Yeah. The Zimbabwe order, sir.

Rahul Mithal

So, very frankly, that risk is there. It was there from day one. And that's the very reason we were very clear that even though a formal agreement has been signed, we will not include it in the order book.

So, the funding is always a challenge in these orders. This funding was being arranged by the National Railway of Zimbabwe from various sources, and they are quite confident that they may still get it from the Afrexim bank . But yes, you're correct, that risk remains.

Moderator

Thank you. We have a follow -up question from Anand B from Ksema Wealth Private Limited.

Anand B

Thanks again. Just a follow -up question from before. So , since you mentioned consultancy and exports will be your main focus, so it is fair that turnkey construction , the share of revenue can go down in comparison to them?

Rahul Mithal

Yes. So, the turnkey contribution, as I said, would remain in the range of about 30% -odd percent of the total pie. That's on an average, on an annual basis. On a particular quarter, the mix may change depending on the shipment or the execution of a particular turnkey project or the shipment of an export order.

But on an annual basis, what we foresee is that the contribution from turnkey would remain in the range of about 30% -odd.

Anand B

Like not quarter basis, but like in next, let's say, 4-5 years range, in a long -term basis?

Rahul Mithal

On a long -term basis, again, we are very clear, as I said a little while back, that we are a consultancy company, and this turnkey segment is not really an EPC segment. So , it depends on the comfort level of clients. For example, many of these educational institutions, which I mentioned, the orders which we have got, like IIM Raipur, IIT Bhubaneswar , IIT Delhi, many of them prefer to deal with a single window. So , the entire revenue flows through us. Even though it's primarily the scope of work is consultancy but it's a concept to commissioning.

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I gave an example, INR 104 flows through us rather than INR 4 . That is what may be the extent of orders that we get on this model may change the percentage in the coming years. That we can only see in the coming quarters in terms of the fresh order inflows.

Anand B

Okay. But will it go, let's say, below 30% -odd in the next 2, 3, 4 years?

Rahul Mithal

No, it will not go below 30% .

Moderator

Thank you. Participants, if you have a question, please press * and 1 on your telephone keypad.

We have a follow -up question from Harshit Kapadia from Elara Securities.

Harshit Kapadia

Hi. Thanks for the opportunity. So , on REMCL, we were expecting there will be a leg -up because of the DFC. So , we understand that is the East DFC section has started. So , the REMCL is doing work for East DFC and West DFC which is partly operational.

Where are we? And is there a leg -up if, let's say, the DFC gets operational maybe this year or next year?

Rahul Mithal

Yes. So Harshit, as I explained, the R EMCL leg -up happens as more and more procurement of traction power comes from states, which open up to open access. This is the target area which we keep pushing in every quarter to try and come out more states on open access. So , about 7-8 states still left, which are to come on open access. And recently, we had success in one or two states.

We are on talks and discussions to get more states open -up to open access for procurement of traction power for Indian Railways in the coming months. So that is a leg -up, which generates more revenue because in terms of electrification, the electrification is now more or less reaching its maximum 100% .

Only in terms of more traffic that flows , that grows, and it moves on these corridors or Indian Railway network that is the incremental portion , and there'll be more requirement of electrical energy. But the substantial growth is as you open up more states for open access for procurement of traction power.

Harshit Kapadia

No. Even for DFC, it would be through state only, sir?

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Rahul Mithal

Yes. So, all traction power you're buying from states, the electricity you buy through the grid through open access, which is covered by the individual regulatory issues of every state.

Harshit Kapadia

So, we were expecting some 500 megawatts would be added via DFC. How much of that has been done till now, sir? Any color if you can provide?

Rahul Mithal

I would not be able to give you individual breakup figures of that right now , but definitely, the requirement of power, whether it is for the entire network, IR, etc ., is primarily sourced and entirely depends on the procurement from states. And where there is no open access, limits the probability of buying, and that's what reduces the possibility of the fee that we get, the consultancy fee.

So, the catch is that more and more states as we can get on open access opens up or gives us the leg-up for larger scalability in terms of the revenue of R EMCL .

Harshit Kapadia

Can you name the states which have already boarded and some states ?

Rahul Mithal

I wouldn't have the list ready right away, but we'll share that with you.

Harshit Kapadia

No problem. And lastly, on the rate side, you mentioned. So, is the rate at INR 0.05 per unit? Or has it changed?

Rahul Mithal

It's about INR 0.07 per unit.

Harshit Kapadia

INR 0.07 per unit. Okay. And lastly, on your wagons, sir, I think we have a separate joint venture on the wagon side. And we have seen the procurement from the Indian Railways for wagons have increased, even the tenders were also floated.

So if you can give any color on the tendering for wagons in future? And is t

here a capacity

expansion plan for your particular joint venture that you have?

Rahul Mithal

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The joint venture with SAIL at Kulti, in fact, in last year, we started with the first major turnaround and it maintained the profitability in FY25. And now also this quarter, we've got profits. In fact, it was after about first time it has started giving dividend in FY24 and now also it's generated profit.

We have an order book of INR 480 crore as of June 30. So, the interesting thing is that, that JV, SRBWIP, is not only getting orders from Indian Railways, but also orders from private players, which it has executed successfully last year.

So, we see potential. We've also recently got design approvals for container flat wagons from RDSO. So, now we are pitching for getting orders for manufacturing of this type of wagons from not only Indian Railways, but from private players also. So, this order book of INR 480 crore is only going to increase in the coming quarters.

Moderator

Thank you. We have a follow-up question from Anand B from Ksema Wealth Private Limited.

Anand B

Thanks for the opportunity again. I just want to get a shed on the dividend payout, sir. In the last conference call, you mentioned the payout to be around 95% for the current FY 26. Would you still maintain that dividend payout?

Rahul Mithal

Yes, Anand. You see, we are a debt-free company with low Capex requirements. With that, broadly, our pattern of dividend that you see in every quarter and even if you see on the FY basis and even now the dividend that we have declared for quarter one is in that range. We will try maintaining that trend in the coming quarters in terms of the dividend payout percentage.

Anand B

Okay. So, I think in this quarter, you gave an interim dividend of INR 1.3 per share.

Rahul Mithal

Yes.

Anand B

So, at the end of the financial year, what would be the total dividend that we'll be able to declare?

Rahul Mithal

That would be speculative, but you see, by the trend and my guidance that we will maintain the levels of dividend payout ratio, which we have maintained. It also depends on how much profit we're going to make, right?

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Anand B

Yes. Right, sir . Yeah, go ahead. Sorry, sir.

Rahul Mithal

No, I said we'll try maintain ing that dividend payout percentage in the range that we mentioned. And that's the basic business model. So , depending on the way we are aiming for the profit levels on the entire FY basis. But this is for sure that every quarter, we will declare some dividend. That's for sure.

Moderator

Thank you. We have a follow -up question from Harshit Kapadia from Elara Securities.

Harshit Kapadia

Yeah. Hi, sir. Thanks again. On turnkey construction , sir, we have seen in the last two years, it has been open for even private sector. So , can you just give some understanding on how has been the private sector competition in the turnkey project? And has it impacted on your business for RITES and margin? Is there aggression coming from private sector? It is still largely, you three guys, the PSUs are getting the majority of the project, sir?

Rahul Mithal

No, not at all, Harshit. In fact, all these orders across sector and as I mentioned, not the rail infrastructure alone, even the building sector ; these are open to all players, whether private or PSU. So , we are very clear, as RITES , we are not bidding for EPC tenders , those is for construction companies to bid for, whether they are private players or other PSUs. We are basi

cally bidding for tenders , whether in rail infra or building, where primarily the expected scope of work is on a cost plus P MC type of model, where the revenue flows through us.

So, that's the basic difference between our orders and the other private players or other PSUs. So yes, even for this, there are huge amount of competition, but our pickup on the turnkey segment is very focused and very specific in not going into the EPC mode l.

Moderator

Thank you. The next question comes from Parimal Mit hani from Credential Investments.

Parimal Mithani

Sir, thanks for the opportunity. Sir, this is regarding your JV with a consultancy with D NV business. Can you just highlight how the business is in terms of going and what's the way ahead from there?

Rahul Mithal

JV with ?

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Parimal Mithani

DNV business with the Norwegian company for quality assurance, which we are tied up with .

Rahul Mithal

So, that's not a JV. That's basically the partnership for the consultancy, which we are doing for quality assurance. Yes, that we are working with them

Rahul Mithal

My Director of Technical is here in front of me. So , that's a partnership really, not a JV. And we had collaborated with them on some opportunities, nothing very substantial in terms of revenue realization. So , it's there that it's kind of an M oU, which is there for collaboration. And we keep looking for more opportunities if they come, whether domestic.

The aim of that collaboration with them was, if you remember, this was quite some time back or more than a year back, when the quality assurance vertical was reinventing itself to come out of the crisis. And we were looking at various domestic and international partners to complement our gaps, which we had in our capability to try and target newer clients.

And for that, this was one of the initiatives and many such initiatives have resulted . In the fact that the quarter that went by, our quality assurance vertical, which I said some time back, has seen the bottom of the barrel and it has come out of it. And now , we have two -third of our quality assurance revenue is from the non -Indian Railways traditional clients. So, steps like these have only helped us reach that stage now.

Moderator

Thank you. We have a follow -up question from Anand B from Ksema Wealth Private Limited.

Anand B

Hey. Thanks again. Just shed light on the competition nomination point of view. So , the last couple of quarters, the trend has been going down from 63% -odd to now , I think , it's coming to 53% competition versus nomination.

So, where you shed a light on, will this trend continue henceforth?

Rahul Mithal

No. In fact, what you're seeing is a breakup of the order book. If you analyze the fresh inflow breakup of the competition vis -a-vis the nomination in fresh inflow, a larger percentage, I would say about 65-70% are on competitive basis, and this trend is only increasing.

The order book breaks up , yes, if you're seeing this is slight reduction, but that basically depends on maybe some of the orders on the competitive basis have got executed. So , that keeps varying.

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But in terms of an overall feel, just to get you a feel, most of these orders, like for example, in the Q1 that went by, we got about 155 orders totaling to about INR 400-plus crore, INR 400 -odd crore . Majority of them, two -third plus are on competitive basis.

Moderator

Thank you. As there are no further questions, I would like to hand over the call to the management for their closing comments.

Rahul Mithal

Th

ank you all. I am glad that the questions which were asked really helped us give our detailed insights and in -depth analysis into what is , where we are, how the Q1 was and what is the way forward for this FY ?

As I said in the outset, the focus now is on expeditious execution so that this young order book starts generating revenue, whether it is from the export vertical or the consultancy or turnkey. And by the latter part of the FY, number one, sequentially, you should see an improvement and later on the FY basis, a substantial improvement.

So that overall we surpassed the figure of last year. That is a nutshell, to my mind, the way forward for the coming FY. Thank you.

Moderator

Thank you, sir. Thank you all for being a part of this conference call. If you need any further information or clarification, please e-mail at investors@rites.com.

Ladies and gentlemen, this concludes your conference for today. Thank you.

-End-

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This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy. Statements in this transcript describing the Company's objectives, projections, estimates, expectations may be "forward-looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied. Important factors that could make a difference to the Company's operations include, among others, economic conditions affecting demand / supply and price conditions in the domestic and overseas markets in which the Company operates, changes in Government regulations, tax laws and other statutes and incidental factors. This communication is not an offer to sell or the solicitation of an offer to buy securities.

Call: Nov 2025

No. RITES/SECY/NSE Date: November 18, 2025

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Symbol- RITES Scrip Code - 541556

Sub: Transcript of the Investors Conference Call held on November 12, 2025

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations
and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and investors
held on November 12, 2025 to discuss the unaudited financial results of the Company for the
quarter and half year ended on September 30, 2025.

This is for your information and records.

Thanking You,
Yours sincerely,
For RITES Limited

Ashok Mishra
Company Secretary & Compliance Officer
Membership No.: F6411
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RITES Limited 12.11.2025
Q2 FY26 Results Conference Call

RITES Limited
Q2 FY26 Results Conference Call
Event Date / Time: 12/11/2025, 11:00 Hrs.

CORPORATE PARTICIPANTS:

Rahul Mithal
Chairman and Managing Director

Dr. Deepak Tripathi
Director (Technical) and Director (Projects)- (Additional Charge)

Mr. Krishna Gopal Agarwal
Director (Finance) and Chief Financial Officer.

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RITES Limited 12.11.2025
Q2 FY26 Results Conference Call Moderator

Good morning, ladies and gentlemen. I am Karthikeyan, moderator for this conference. Welcome to the conference call of RITES Limited to discuss its Q2 FY26 Results. We have with us today, Mr. Rahul Mithal, Chairman and Managing Director; Dr. Deepak Tripathi, Director (Technical) and Director (Projects)- (Additional Charge) and Mr. Krishna Gopal Agarwal, Director (Finance) and Chief Financial Officer.

At this moment, all participants are in listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please press * and 1 on your telephone keypad. Please note, this conference is being recorded and in the interest of time and fairness to all participants, you are requested to restrict yourself to one question per participant. Time permits, you may come back in the question queue.

Now, I would like to hand over the floor to Mr. Rahul Mithal, Chairman and Managing Director, RITES Limited. Thank you, and over to you, sir.

Rahul Mithal

Good morning. Let me start with giving the Safe Harbor statement. The presentation and the press release, which we uploaded on our website and exchanges yesterday and discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically.

Let me give you a brief overview of the overall performance of Q2, and then I leave the floor open for questions. It's been a satisfying quarter for us. In terms of the roadmap that we have set for ourselves at the beginning of the FY, if I look at it, five key points.

One, we will like to maintain a one-order-a-day strike rate. And we did that. We got 150-plus orders totalling to INR 850 crore, which is about 1.6 orders a day. Two, we want to maintain one export order a quarter. We continued to maintain that. We got an order of INR 160 crore for 10 locomotives for South Africa in this quarter. Three, we want to achieve order book of INR 10,000 crore somewhere down the line, maybe as early as possible by end of this FY. We are heading in that direction. We added net to our order book by INR 300 crore and again reached an all-time high of INR 9,090 crore. Four, we want to do sequential growth for improved execution so that overall, on an annual basis, we surpassed the figures of last year, both top and bottom line. As you see, Q2 sequentially is it's about 12% better than the Q1 in revenue and PAT and EBITDA are in any case much higher. And five, we will like to secure our

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Q2 FY26 Results Conference Call margins, which as you see, the minimum baseline of about 20% in EBITDA margins and 15%-odd in PAT margins, we have been above that.

So in a nutshell, the direction which we had set, the key levers, the key operating points, we are moving in that direction. And the roadmap, as I said, which we have set ourselves in the beginning of the financial year, we are in line with that roadmap, moving to try and definitely

surpass last year's performance.

So that, in a nutshell, are the opening comments, and I'll leave the floor open for specific questions.

Moderator

Thank you, sir. Now, we begin with the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad. In the interest of time and fairness to all participants, you are requested to restrict yourselves to one question per participant. Time permits, you may join back the question queue. We will wait for a moment while the question queue assembles. Ladies and gentlemen, to ask a question, please press * and 1 on your telephone keypad.

The first question comes from the line of Parimal Mithani from Credential Investments. Please go a

head.

Parimal Mithani

Thanks for the opportunity, and congratulations on a good set of numbers.

Rahul Mithal

Thank you, Parimal. Good morning.

Parimal Mithani

Yeah. So, I just wanted to know: in consultancy, the margin that you have grown, is it now steady state of margin that we'll have going forward from here?

Rahul Mithal

So, you see, normally, consultancy margins remain in the range of about ~30% odd. And we would like to maintain that. In a particular quarter, some low margin orders or in some high

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Q2 FY26 Results Conference Call margin orders may contribute. But by and large, on an equalized basis, on a long-term basis,

those are the range of margins in the consultancy stream that we would like to maintain, and we have been maintaining that. If you see in the last 3-4 quarters, even if in this competitive regime and tough competition and tough margin, on an average basis, if you see in the preceding quarter, we'll be maintaining about 30% margins in the consultancy.

Parimal Mithani

And is it fair to assume that we'll have better execution and consultancy going ahead?

Rahul Mithal

Yes. So, this quarter, in any case, consultancy and export are the two segments which have contributed to the overall performance. The turnkey is down by INR 90 crore YoY. And this INR 90 crore was compensated by consultancy & export. That's why you see the revenue nearly flat, about 1.5% growth only. But because of the change in mix, the INR 90 crore contributed to a higher margin mix, and that's why the EBITDA and PAT and margins have gone up.

So consultancy wise this quarter has seen good execution, there has been about a 12% growth both YoY as well as sequentially. We'll continue to see better execution.

Parimal Mithani

Okay, sir. Thank you. I'll join back in the queue. Thank you, sir.

Rahul Mithal

Thank you.

Moderator

Thank you. Next question comes from the line of Raghav Maheshwari from Kanakia Wealth Management. Please go ahead.

Raghav Maheshwari

Hi, Sir. Congratulations on a great set of numbers. Sir, we are seeing improvement in the margins. We are seeing good growth. Can you show some light upon the top-line guidance?

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Yes. So, the top line has been flat, as I mentioned to Parimal, and that's primarily because the turnkey segment, which contributes to the top line, that about more than two-third of the order book is less than a year old. It's about eight, ten months old. And normally, the execution at the ground level and revenue booking starts nearly at the end of the year. So, Q3, Q4 by the time these orders reach a time of about a year, they will start contributing to revenue.

So, even more INR 90 crore have been the hit due to turnkey, but in terms of bottom line, it resulted in a hit of only about INR 1 crore to INR 2 crore because the turnkey margins are always in the range of about 1% or 2%. So, when turnkey grows that will add to the top line. And with our continued stress on growth in the consultancy and exports, we will see the growth in the top line as we had laid down at the beginning of the FY.

Raghav Maheshwari

And what percentage growth are we looking at, if you can share the number?

Rahul Mithal

So, it depends on Q3, Q4 to what extent we are able to execute, but definitely aiming to see at least about trying to reach somewhere near a double-digit growth. Again, the coming months in terms of execution on the top line, on the turnkey projects, we'll see that.

Raghav Maheshwari

Okay. And the last question, what is the average turnaround time for the order book if you can give a bifurcation?

Rahul Mithal

It's a very difficult question to answer with one number because the four streams of revenue have different turnaround times.

Raghav Maheshwari

What I'm asking for bifurcation.

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Yes. So, a turnkey project takes about three to four years. An export project takes anything from two to two and a half years. Consultancy project could take anything from 90 days to about three years to four years if it is linked to the execution of the project.

Raghav Maheshwari

Understood, sir. Thank you, sir, and all the best.

Rahul Mithal

Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad.

The next question comes from the line of Harshid Kapadiya from Elara Securities. Please go ahead.

Harshid Kapadiya

Yes. Thanks for the opportunity. And sir, congrats on a recovery on the export side and stable consultancy growth. My few question starts with, sir, so you mentioned some INR 90 crore hit is what you have done in turnkey. So, that particular revenue would be then booked in Q3? Is that what we'll be able to see when we see the Q3 results?

Rahul Mithal

Well, it may not be INR 90 crore exactly because, as I said, more than two-third of the turnkey order book of INR 4,300 crore is about eight, ten months old. And considering a lifespan of about three years to four years, the initial designs, approvals, etc. at the site level, including fixing of the executing agency, the revenue booking normally, we have seen starts by the end of the first year. So, I foresee a bump in the turnkey revenue beginning from Q4/Q1. So while the efforts will be there, and that was my answer to the previous question also. And the gentleman was asking regarding the guidance for the top line growth.

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Q2 FY26 Results Conference Call We'll see how to best possible we can extract the turnkey execution in Q3, Q4, which will give

us a better idea over the end of Q3 where we are heading in terms of top line growth. But definitely, the emphasis on trying to make good to the extent possible from consultancy and export, which was the effort in Q2, would continue in Q3, Q4. While the order size are much smaller; and therefore, they may not be able to fully contribute in terms of equalizing the top line, but definitely being better margin contributor, they contribute better to the bottom line.

Harshid Kapadiya

On domestic consultancy side, could you be able to share, sir, how has quality assurance grown within the consultancy for you? And within domestic consultancy, any specific area, whether it is related to housing or rail or airports or ropeways, what has seen the growth, sir?

Rahul Mithal

Yes, Harshid. So, one very encouraging trend is that the quality assurance vertical has the tough times which we have seen in the last one and a half to two years but it has been steadily, sequentially improving, increasing and trying to garner new clients. And I must say that this has been one of the best quarters in the last six, seven trailing quarters in terms of reaching not only close to the levels which we were in terms of the revenue.

Yes, margins are definitely now tougher being more in the competitive environment. In fact, more than two-thirds of the revenue in the quality assurance vertical is coming from the non-IR client base, which shows the diversification, which we have been able to do in a span of about two years and now generating revenue from those clients. So, quality assurance is growing steadily.

Another very good area, which is contributing to the consultancy revenue is, yes, our strong point in terms of rail infra as well as the third party quality orders that we are doing across various sectors of infrastructure, whether it is the highways or the buildings, various infrastructure. As also, we are getting good PMC contribution for some of the building projects that we are doing. So across sectors, the consultancy revenue has contributing and growing. And that's why you see about a 10% to 12% growth

both YoY and sequentially in consultancy revenue.

Harshid Kapadiya

Understood, sir. That's really encouraging. Just a question on exports, sir. So, now that we have started seeing exports, what has been the delivery for us? This is for how many locos that we have delivered and how many coaches we have delivered?

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So, the first deliveries have started of the locomotives, the Mozambique order of 10 locomotives. So in quarter two, we could dispatch two locomotives. And that's when you see break in the hiatus for about nearly one and a half, two years. And now, export revenue has started generating revenue and it will be steady now in every quarter. In fact, subsequent to that, the next two locomotives have also been shipped out in the month of October, and they will contribute to the revenue in Q3. So, we continue to push three to four locomotives. We are hopeful that these 10 locomotives definitely by Q1 of next year, we should be able to complete this order.

The coaches order, as I said, had a slight gap in the middle of last year for about four, five months that we have picked up now. There are about seven types of coaches, for which the designs of prototypes are more or less in the final stage. So, we are hopeful that the prototypes will start getting manufactured. And the first rake, we are definitely aiming to send out by Q1 of next year.

Harshid Kapadiya

Understood, sir. I have more questions. I'll join in the question queue.

Moderator

Thank you. The next question comes from the line of Uttam Srimal from Axis Securities Limited. Please go ahead.

Uttam Srimal

Yes sir. Very good morning, sir. And congratulations on good set of numbers. Sir, my question pertains to our export order book, which is currently around INR 1,541 crore. So, how much activation we are building on the next two quarters and in FY27?

Rahul Mithal

Yes. Good morning. So, the three key elements of this order books are the Mozambique order, the Bangladesh coaches order and various orders of the in-service diesel locomotives to South Africa. We are definitely trying to complete the Mozambique order by the Q1. As I said, two locomotives, we have booked the revenue and see the booking of the revenue happens when the locomotives finally get the bill of lading. So even if they are ready, but only when they get loaded onto the vessel at the Mumbai Port, that's when we recognize the revenue.

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The next two locomotives, which were shipped out in October, will figure in the revenue of Q3. We are trying to see that about six to seven locomotives get booked in this FY26 and the balance definitely by Q1 of FY26.

As I mentioned regarding the coaches' export project order to Bangladesh, these are 200 coaches and seven different types of coaches. So the first rake, which Bangladesh Railways asked for, consists of four types of coaches, where we are at the final stages of getting the prototypes approved. And we are wanting to hoping that we can get the four prototype coaches manufactured and approved by them in Q4 so that the bulk manufacture starts in the first rake of 20 coaches moves out by Q1.

So, your specific question regarding FY27, once this first rake moves out and the prototype would have been got approved, then I think one rake per quarter would definitely be the aim for FY27 for the Bangladesh order.

Ujjam Simal

Okay, sir. I shall come back in a queue. Thanks.

Rahul Mithal

Yes. Thank you.

Moderator

Thank you. The next question comes from the line of Gaurav, an individual investor. Please go ahead.

Gaurav

Hi sir. Good morning. Congratulations on the good set of numbers and taking my questions. Thank you so much for that. I just have one question. Can you just shed some light on the Bangladesh coaches order and the number of inductions in Q2?

Rahul Mithal

So, I just mentioned in my reply to the previous question, in the Bangladesh order, there are 200 coaches and seven different types of coaches. The first shipment, we are aiming of a rake of 20 coaches by Q1 of FY27. The prototypes are in the stage of final approval and

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Q2 FY26 Results Conference Call manufacture by Q4. And once the prototypes are manufactured and approved, the bulk manufacturing will start.

So starting from Q1, definitely, the next FY, the rake consisting of 20 coaches will subsequently be exported. A rake consisting of 20 coaches would go at one time. So, about 10 rakes are the total order for about 200 coaches.

Gaurav

Okay. Thank you. Thank you so much, sir. That's all from my side. Thank you.

Moderator

Thank you. The next question comes from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Yes, thank you for the opportunity, sir. Sir, my question is the order book which we have, the 50% comes off the PMC business, right? So, are we changing our trend?

Rahul Mithal

Good morning, Viraj. No. See, the breakup of the order book of INR 9,090 crore, there's about INR 4,300 crore turnkey, then INR 2,930 consultancy, export INR 1,540 crore and balance are leasing and REMC. So, we are very clear. We are not a construction company. We are purely a consultancy company. And the turnkey order book that you also see, it is because it's a method of accountal.

Our scope of work and everything remains same of a consultant design. For example, the most recent order, which you saw, we got last week only for the NIMHANS facility at Bangalore, which is about INR 373 crore, our role in that is of a consultant only.

It's a question of the accountal that the cost of the total project, including our consultancy fee flows through our top line, our balance sheet. Otherwise, we are very clear, we are a consultancy company, we are not a construction. So whether it is the turnkey order or the consultancy order, it's a question of only the method of financial accountal, our scope of work remains exactly the same.

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Q2 FY26 Results Conference Call Viraj Mithani

Okay. And sir, so with this export order kicking in, we'll close the year more than the last year level? What will be the guidance for current year and the next year?

Rahul Mithal

Yes, Viraj. With the export revenue now kicking in and building up and consultancy showing a steady growth of 10%-plus and as also the young order book in turnkey will start generating revenue definitely by end of the FY, we should be definitely a minimum be able to touch the levels of last year top and bottom line, but we are definitely aspiring to grow above that both in top and bottom lines.

Moderator

Thank you so much, sir. Next, we have a follow-up question from the line of Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani

Sir, I just wanted to know if the MoU signed with parties in in Middle-East, any updates there? And also, your JV with DNV, can you just highlight if anything meaningful is happening there, sir?

Rahul Mithal

Okay. Yeah. So, first your first question first. The MOUs in Middle-East, those have, in a short period of time of less than one year, started giving us gains already. The MoU with Etihad Rail has got us work in Jordan, which we are doing with them. We are also now partnering with them in providing consultancy services by deploying our people and our expertise in their various projects in Middle-East and beyond. And we see in such a short time, we are able to capitalize on that, and we see huge potential moving forward. We've already set up an office in UAE. So, I see this grow moving forward.

The other question regarding the partnership with DNV, Italy was regarding the ISA certification, which we are doing for Vande Bharat coac

hes for the Indian Railways. And it's been moving successfully. And we are doing the ISA certification for manufacture of new Vande Bharat rakes.

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Okay, sir. And sir, just last one, in terms of leasing business, do we see any traction going ahead more? Because we're seeing a good growth there, the first half.

Rahul Mithal

Yes, leasing business has been substantially growing despite newer players trying to come in and trying to hit the margins. But we are growing sequentially. We've already reached the target of being more than 100-plus locomotives of our own, which we are leasing besides doing O&M of clients' locomotives.

So, the way we are getting orders in in leasing constantly, this is a growing segment both in terms of the revenue as well as the contribution to the bottom line.

Parimal Mithani

Okay, sir. Thank you. Thank you very much.

Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad.

We have a follow-up question from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Yes, sir. My question was, we signed so many MOUs with so many companies. How is it going to help us? Like, anything materially happening there?

Rahul Mithal

Yes, Viraj. All these MOUs in some way or the other, the umbrella MoUs and it'll differ, obviously, from case to case and geography to geography. But as I mentioned to Parimal in the last question, for example, the MoU with Etihad Rail has helped us already expand to new geographies where we were primarily operating in Africa, Southeast Asia, Latin America, now we have started getting work in the Middle-East geography.

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Q2 FY26 Results Conference Call So similarly, MoUs in the domestic sector with various entities. And one MOU, like I mentioned, in the inspection quality assurance vertical, which has helped us jointly do the ISA certification for Vande Bharat rakes. So similarly, in consultancy, our MOUs with various players depending on where we end up doing work in a particular bid, in a particular geography. Each one of them have different potential. And that's why we very carefully enter into strategic MOUs.

We recently entered into an MoU last week, you must have seen with the DG naval projects in Mumbai. So, we see a huge -- we're already working with them in in one or two projects, and we see that more potential in that sector.

Viraj Mithani

Okay. And sir, my question is on our policy of exports now with this two orders kicking in. Have we made some goals for exports as a segment?

Rahul Mithal

Yes. Our goal for export segment is, one, that we will continue to try and achieve one order a quarter, which we have been doing now for about seven, eight trailing quarters. We will continue to get that. And normally, the export order starts generating revenue after about one and a half, two years, about 18 months or so. And that's why you see the first order that we got in early 2024, that has got generated revenue in Q2 now.

So with this, you will see over a period of time. And one of the objectives is that once now we have a sufficient variety and number of export orders, what we want to avoid is spikes in booking of the export revenue. Like you saw it in the last two, three years, there was hardly any contribution by the export revenue. And now our aim is that every quarter, you don't see a blank in the export revenue, you see a substantial contribution from the export revenue. So, that's one objective, which we will definitely achieve. Now, you'll see that regularly in the coming quarters of revenue from export vertical.

Viraj Mithani

Okay. That's it from my side. All the best, sir.

Rahul Mithal

Thank you. Thank you, Viraj.

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Thank

you. Next, we have a follow-up question from Raghav Maheshwari from Kanakia Wealth Management. Please go ahead.

Raghav Maheshwari

Yes. So sir, just a couple of follow-ups on the order intake. We have been maintaining one order per day track record for past many quarters now. To understand a bit upon the competitive landscape, how are we going to maintain that? First question. And second is, for that matter, what is the average ticket size of the order that we take?

Rahul Mithal

So rather, the first question is that as the competitive scenario is evolving more and more, when we set this target about eight quarters back, we were in the range of about 0.6, 0.7 strike rate. And we had to do a lot of business reengineering to be able to reach that milestone. And we have set few boundary lines both in not sacrificing the margin beyond a certain point. And two, not picking up small ticket size orders just for getting number of orders. So, with those broad boundary lines in each of the 13 verticals that we have, various sectors, we have now been able to maintain that. So if you see, it's not only the number of one order a day, it's also the value.

For example, we got in Q2 about 150 orders totalling to INR 850 crore. And you could see a net addition in the order book from June 30 to September 30 of INR 300 crore. So, while the size of the order may vary depending on a particular sector or the nature of work, because as you see, we have four broad streams of revenue. But what we ensure is that we will not pick up, as I said, two red lines. One, ticket size of orders below a certain value just to increase the number of orders. And two, sacrifice the margin and unnecessarily dilute our level of quality in terms of the execution of order that we intend to do.

Raghav Maheshwari

Can you share that, like, the minimum order average value that you would not go beyond?

Rahul Mithal

You see, again, it varies from each of the different verticals. It varies on the four different streams of revenue where the size of order can be huge in terms of export or in terms of turnkey segment. But in terms of some consultancy, they could be small orders. In consultancy, 15

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Q2 FY26 Results Conference Call there are three, four different types of work that we do. We could do a DPR, which is, again, a

smaller value order. It could be a PMC, where it's a percentage-based order, where your value depends on a percentage of the infrastructure work or it could be a third-party audit, TPI, third party inspection of a completed infrastructure project. So again, to give one number would be a misnomer. But yes, for each of the different verticals as well as for each of the different scopes of work, we have set some internal red lines for both in terms of the ticket size as well as the margins that we claim.

Raghav Maheshwari

Understood, sir. Okay, sir. Thank you so much, sir. That's it from my side.

Rahul Mithal

Thank you.

Moderator

Thank you. Next, we have a follow-up question from Gaurav, an individual investor. Please go ahead.

Gaurav

Hi, sir. Thank you again for taking my question. I just wanted to know about the number of employees. Last year, it was around in the range of 2,700 and now increased to 2,800-plus. So, where do you see this number going? And what were the additions in H1?

Rahul Mithal

So, yes, we are at about 2,800, and we are considering that our order size is constantly increasing. In H1, we have inducted about 300 people. And you would see that only there's a net increase of roughly about 100 because a large number of superannuations have also been happening because considering that we are about 51 years old, there was a huge induction in the company in its initial years in the '90s when the company was diversifying, growing in its 2-3 decade. And those are the large number of employees, which are now in the span of three years to f

our years superannuation after completing about 30, 35 years of service.

So, while there is a large number of superannuation, we are inducting in a big way so that net, you can see an increase. And this trend of superannuation will plateau down after about maybe a year or year and a half or so. However, our induction is going to continue both for our project-16

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Q2 FY26 Results Conference Call based employees, which as we get more and more orders, we are inducting employees on a specific project. So, this number overall, which includes both our regular employees and project-based employees, will go on increasing as you see in every successive quarter.

Gaurav

Thank you, sir. Thank you. That's it from my side. Thank you.

Moderator

Thank you. Next, we have a follow-up question from Harshid Kapadiya from Elara Securities. Please go ahead.

Harshid Kapadiya

Yes. Hi. Sorry, sir, I missed the call last time. So, just wanted to check where are we on the export order inflow, sir, which we have been targeting one order a year?

Rahul Mithal

Yes. Harshid, in fact, it's one order a quarter. We have set ourselves a target of one order a quarter, eight quarters back, and we are maintaining that. And this quarter also, we got that one order. This is 10 in service locomotives to South Africa at about INR 160 crore.

So, we had set ourselves a target at the beginning of 2024 of trying to get one export order a quarter, and we are maintaining that successively for about seven, eight trailing quarters now.

Harshid Kapadiya

Okay. And for, let's say, second half also, you expect some of the order announcements to come and our target is largely Middle-East and Africa as a market, sir?

Rahul Mithal

In terms of export of rolling stock, it is primarily Africa and Southeast Asia. And as I said, all our efforts are on to maintain one export order a quarter. And that is the basic reason, as I mentioned a few questions back, is very important to have a diversified large number of orders in the export order book so that they are at different stages of execution. And despite of revenue generation from the export segment, which we suffered in the last two, three years, there was a gap, if you see, we will now be able to ensure, and that's the strategy that every 17

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Q2 FY26 Results Conference Call quarter, you see some contribution, this being the first quarter after a long gap that you saw an export revenue of INR 60 crore, that now on a regular basis, every quarter, we should be

able to have a contribution from the export revenue.

And that is only possible if you have large number of export orders in different geographies at different stages of manufacture and execution.

Harshid Kapadiya

And all these are competitive bidding, as in global competitive bidding, or are these on nomination business, sir?

Rahul Mithal

Most of them were on competitive bidding, but some of these i.e. the South Africa in service locomotives orders, these were on nomination because we have -- this is a proprietary kind of work. We took a lot of initiative in trying to finalize the design to use the in-service locomotives, which Indian Railways has large number of diesel locomotives now and are available because of electrification. How best to modify them to the gauge and customize them to the requirement of South Africa and be able to get the designs modified and approved by them and export to them.

So, these are a very kind of a proprietary design-specific work, which we are working on, and we've got some orders on that from South Africa. But the bigger orders from Mozambique and Bangladesh were all competitive.

Harshid Kapadiya

Fine, sir. I have few more questions. I'll join in the queue.

Rahul Mithal

Yeah.

Moderator

Thank you. The next question comes from the line of Anand B from Ksema Wealth. Please go ahead.

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Q2 FY26 Results Conference Call Anand B

Good morning. I just wanted to know the margins that you earn differentiate between, let's say, margins that you earn from consultancy orders, margins that you earn from export, margins that you earn from turnkey. Can you just give a breakup of that?

Rahul Mithal

Yes. So, the margins traditionally in the consultancy are the highest. They are in the range of 30%- odd. The turnkeys are always lower. They are about 1.2%, 1.1%. And export because this is the first order, the first quarter that the revenue has been booked. So, while this is in the range of about 10%, and this is the kind of range, maybe it'll be a better picture as revenues flow in over two, three successive quarters because the cost booking and the revenue, etc. will equalize and we'll be able to get a better idea of the margins.

In terms of leasing, our margins have always been in the range of about 30%-odd. So, these are the four broad segments of margins. As you see, the large range from turnkey to consultancy to export to leasing.

Anand B

Okay. And final question, what sort of revenue division that you see between these four key segments this year and next year as well?

Rahul Mithal

As I mentioned, the turnkey is they are all young order book. So while this quarter, you've seen a very low contribution from turnkey. This will start growing by Q4/Q1. And in terms of its contribution to the top line, it will definitely grow. Consultancy has been growing steadily at the rate of 10%, 12%, which we will aim that it continues growing.

Export, the revenue booking has started. And we definitely as the roadmap that I laid out for the Mozambique locos as well as the Bangladesh coaches, we will definitely see revenue coming in every quarter. So the mix between the various segments may differ from quarter to quarter, but that's the trend which you can see. And maybe a better picture would emerge of the total overall percentage of each of the segment over an annual basis. So in a particular quarter, it may vary depending on the deliveries.

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Okay. So, I think to annual also, but just to get some clarification. So let's say, if the share of export revenue goes up, does that mean, like, the share of revenue, let's say, turnkey or leasing comes down because of that? Or how does it work? Like, what grows vis-a-vis to another?

Rahul Mithal

No, they are not interlinked. You see, the point is that overall, there are two broad directives or two broad guardrails of the things that the overall things that we want to achieve. And that's the overall growth in the top and bottom line, while still securing our overall EBITDA margins at 20%-plus and PAT margins of 15% red line minimum, both these two 20% and 15%.

Now as I explained, the variation in margins across the four streams is so large, what we definitely try and achieve while we don't sacrifice or pull up one for the other, but we definitely keep an interblend mix between the four segments so that the overall, there is a growth in top line, bottom line with these two red lines having been maintained of 15% and 20% in EBITDA and PAT margins.

Anand B

Okay. Thank you so much.

Moderator

Thank you. Next, we have a follow-up question from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Yes, sir. Thank you for the opportunity. Sir, my question is what will be your OpEx and what will be our dividend policy? Would it be the same as last year's or some change will be there?

Rahul Mithal

Yes, Viraj. I have committed always in the last more than a number of quarters that you will not come up with any surprise of us suddenly putting our capital somewhere or doing something away from our basic business model or suddenly changing our colour from a consultancy company to some other company. So, we are

very clear in our strategy and our business model, and we will continue to try and improve on that and give better performance.

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So with that, our basic requirement of being a debt-free company, low-CapEx company, literally minimum working capital requirement, I don't foresee any reason of us not maintaining the healthy dividend payout ratio that we have been maintaining. And as you'll see this quarter also, we maintained about 94% dividend payout ratio.

Viraj Mithani

Okay. Thank you, sir. Thank you.
Moderator

Thank you. The next question comes from the line of Sahaj Arora, an individual investor. Please go ahead.

Sahaj Arora

Hi. Good morning, sir. Thanks for the opportunity. I just wanted to check with you. Like you said, in the PMC business, due to the accounting policies, you have to, like, pass it through the revenue. What percentage of that revenue would be our consultancy income?

Rahul Mithal

Not in the PMC business, in the turnkey business.

Sahaj Arora

Sorry.

Rahul Mithal

In the turnkey business, the revenue passes through us. So again, we get most of our orders on competitive basis. So for example, let's say, our consultancy fee for discussion is about 5% or 6%. Now, if we had got that as a consultancy order, our value of order would have been INR 6 crore. If we get it as a turnkey order, its value is INR 106 crore.

So, if it's a turnkey order, INR 106 crore passes through our balance sheet. If that order was a pure consultancy order, INR 6 crore would pass through our balance sheet. That's the only difference in account. Our scope of work and responsibility, everything remains identical.

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Q2 FY26 Results Conference Call Sahaj Arora

And the margins also remain identical like the consultancy business?

Rahul Mithal

No. Obviously, because the margins in a turnkey business, the denominator being much larger, they are in the range of 2%-odd, 1% to 2%. And consultancy, definitely, it is much larger, in the range of about 30%-odd.

Sahaj Arora

Yeah, but like you said, INR 6 crore would be the consultancy income. On that, the margins would be what you guide for the consultancy business, is that correct understanding?

Rahul Mithal

If it was a consultancy order, if the order was in the form of a consultancy order, if the value of the order was INR 6 crore, then it would be accounted in our consultancy order book and the margins would be higher. But if the order value would be INR 106 crore, then it would be accounted for in our turnkey order book and the margins and the contribution from the margins in the turnkey could be much lesser.

Sahaj Arora

Okay. Thank you, sir.

Rahul Mithal

Right.

Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. In the interest of time and fairness to all participants, you are requested to restrict yourself to one question per participant.

Next, we have a follow-up question from Harshid Kapadiya from Elara Securities. Please go ahead.

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Q2 FY26 Results Conference Call Harshid Kapadiya

Yes. Thanks for the opportunity again, sir. Just wanted to check with you, since you mentioned that after first year, the turnkey construction generally started booking the revenue. So, when is the peak revenue expected from your INR 4,000 crore order book? Will it be like FY28-29? Is that correct?

Rahul Mithal

I would see the revenue start picking up in a big way by latter part of FY27. Because as I mentioned at the outset, about two-thirds of this order book are young. They are about eight to ten months old, and I foresee them starting to generate revenue by Q4 or maybe Q1 of next FY.

So, maybe latter part of FY27, say, Q3 onwards, H2 of FY27, there should be a substantial bump from these young orders while you'r

e continuing to get fresh orders, which, as I said, with a lifespan of about three years to four years will maintain that trend of turnkey revenue. But you would see a bump coming in from latter part of FY27.

Harshid Kapadiya

Understood, sir. Thanks for the clarification. And just on consultancy, you had said that, is there any large order expectation which is there in the pipeline, like one we heard about, there's a high-speed rail corridor, which is where the consultancy work is out for Delhi connecting to Jammu?

So, are you guys participating in any other such large consultancy tender, which is out, which, if we win, could be a bump up for us?

Rahul Mithal

Harshid, I would not like to speculate on orders which are in the pipeline, but I can only say maintaining one-plus order a day, we are bidding on large number of orders. And more than two-thirds of these, about 70% are on a competitive basis. So, whether it is domestic or international, we are bidding for a large number of consultancy orders across various sectors, including rail, infra, etc. And we will keep most recently, we got the IIM Bangalore PMC order in our building vertical, which was about 14 crore. So, we continue to get the orders.

In our QA vertical, we've got orders for various consultancy work in the QA. So, we will continue to bid, but it'll not be proper for me to speculate an order that are in pipeline.

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Q2 FY26 Results Conference Call Harshid Kapadiya

Fair enough, sir. No problem. Thanks for answering all the questioning. Wish you all the best.

Rahul Mithal

Thank you, Harshid.

Moderator

Thank you. Next, we have a follow-up question from Anand B from Ksema Wealth Private

Limited. Please go ahead.

Anand B

Thanks for the opportunity again. I just want to know what would be like the seasonality of your business? I mean, I agree that export will be, is this a new what do you say, see one export a quarter as well. But for consultancy, turnkey and leasing, what will be the seasonality across the four quarters? Which quarter will do better? Which quarter will do not that great?

Rahul Mithal

Yeah. So, I was saying, Anand, that in case you lost me, now we are getting revenue from each of these streams, for example, in export. The Mozambique order that we got in '24 early, early 2024, this was the first quarter that it started generating revenue because the locomotives have started getting manufactured and started getting exported. And now, we see that continuously, whether it's the Bangladesh order or the Mozambique order, the export stream will generate revenue continuously irrespective of the seasonality in every quarter.

Similarly, in the turnkey, the young order book, they are now in the stage that by Q1, latest of next year, you will see a substantial contribution from the young turnkey orders because they would be about 12 months to 15 months old and execution would start at the ground level.

Consultancy orders consist we have a large bouquet of consultancy orders, small and big. And they generate revenue regularly on every quarter irrespective of the particular quarter. So, that's why you see a steady growth of about 10% to 12%, both YoY and sequentially in the consultancy segment.

So, each of these segments in the coming quarters have a different time line of generating revenue, turnkey being the one which will start seeing substantial increase in the next FY.

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Okay. Thank you.

Moderator

Thank you. As there are no further questions, I would now like to hand over the call to management for their closing comments.

Rahul Mithal

Thank you. Thank you all for taking our time and asking us about our performance. As I said at the outset, this has been a satisfying quarter for our team that we are moving in the right direction in the roadmap, in line with the roadmap

that we had set at the beginning of the FY.

And I'm sure that we will continue our focus on improved execution in Q3, Q4, so that definitely not only touch the levels of last year, but try and exceed them both in top and bottom line while securing our margin, definitely exceed the top and bottom line by a substantial quantum.

Thank you very much.

Moderator

Thank you, sir. Thank you all for being a part of the conference call. If you need any further information or clarification, please email at investors@rites.com. Ladies and gentlemen, this concludes your conference for today. Thank you.

-End-

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Call: Feb 2026

No. RITES/SECY/NSE Date: February 11, 2026

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Symbol - RITES Scrip Code - 541556

Sub: Transcript of the Investors Conference Call held on February 05, 2026

Ref: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

Please find enclosed herewith Transcript of the Conference call with analysts and investors held on February 05, 2026 to discuss the unaudited financial results of the Company for the quarter and nine months ended on December 31, 2025.

This is for your information and records.

Thanking You,
Yours sincerely,
For RITES Limited

Ashok Mishra
Company Secretary & Compliance Officer
Membership No.: F6411
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RITES Limited
Q3 FY26 Earnings Conference Call 05.02.2026

RITES Limited
Q3 FY26 Results Conference Call

Event Date / Time: 0 5/02/2026, 1 100 hrs.

CORPORATE PARTICIPANTS :

Mr. Rahul Mithal
Chairman & Managing Director

Dr. Deepak Tripathi
Director Technical and Director Projects (Additional Charge)

Mr. Krishna Gopal Agarwal
Director Finance & Chief Financial Officer

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Moderator:

Good morning, ladies and gentlemen. Karthikeyan, moderator for this conference. Welcome to the conference call of RITES Limited to discuss its Q3 FY26 results. We have with us today Mr. Rahul Mithal, Chairman & Managing Director ; Dr. Deepak Tripathi, Director Technical & Director Projects - Additional Charge ; and Mr. Krishna Gopal Agarwal, Director of Finance and Chief Financial Officer.

At this moment, all participants are in listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, please press * and 1 on your telephone keypad. Please note , this conference is being recorded. In the interest of time and fairness to all participants, you are requested to restrict yourself to one question per participant. If time permits, you may come back in the question queue.

Now, I would like to hand over the floor to Mr. Rahul Mithal, Chairman and Managing Director, RITES Limited. Thank you , and over to you, sir.

Rahul Mithal

Good morning, everyone. Let me start with giving the Safe Harbor statement. The presentation and the press release which we uploaded on our website and exchanges yesterday and discussions during the call today may have some forward -looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty because of which the actual results could be different, and we do not undertake to update those statements periodically.

Let me give you an overall assessment of Q3, and then I'll leave the floor open for questions. So, our assessment is that we are very frankly on a roll. Our performance in Q3 is completely in -line in a steady and focused manner in all the points and the road map which we had identified when I had given my commentary at the end of H1. So, whether you take the first item in terms of maintaining one order a day, we got 140 plus orders totaling to about INR 1140 crores, an average of 1.5 orders a day. Second export , we said we'll target one export order a quarter , and we've got two this quarter totaling to about INR 350 crores. Third, targeting a INR 10 ,000 crore order book , we are already moving ahead. We are at an all -time high of INR 9 ,262 crore and definitely the way Q4 is going, we should be able to try and touch INR 10,000 crore by about Q1 FY27 .

Fourth, for a continuous sequential growth, whether it's the operating revenue or the EBITDA, there's a sequential growth of about 10%. And fifth, maintaining red lines of 20% EBITDA margin and 15% PAT margins, we are about 24% and 18% respectively . So, whether it is order inflow or execution of the young

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order book, as I said, we are on a roll, and we are poised to definitely achieve what we had given a guidance of a double -digit growth on an FY -to-FY basis as we really step on the gas in Q4 FY26 .

So those are my opening comments, and I leave the floor open for specific questions.

Moderator

Thank you, sir. Ladies and gentlemen, we begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad. In the interest of time and fairness to all participants, you are requested to restrict yourself to one question per participant. If time permits, you may join back the question queue. We will wait for a moment while the question queue assembles. Ladies and gentleman, to ask a question please press * and 1 on your telephone keypad.

The first question comes from the line of Rehan Saiyyed from Trinetra Asset Managers. Please go ahead with your question.

Rehan Saiyyed

Good morning to the team, and thanks for giving me the opportunity. So, like I want to understand how your sequential performance. So far you have seen that consultancy margin

remains very healthy at

35.4%, but turnkey margin is significantly lower at 1.3% . So, as turnkey now constitutes 49% of the total order book, so what structural changes are being made to ensure that the overall consolidated PBT margin doesn't compress as this project scale up? This is my first question.

Rahul Mithal

So, as you see -- we have a blended revenue mix , and as you correctly said, there are two extremes of the margin. And we also have an export and leasing stream of revenue, which is somewhere midway. So, what we try and do now that we have a healthy order book, which is a good mix of all the streams of revenue. We definitely lay down our strategy in every quarter and definitely on an HY -to-HY or a complete FY basis , that we push the levers on the mix of the orders. We are executing today as we speak, more than 700 plus live orders across the country and beyond. As I said, we definitely fine -tuned that and iterate it continuously in the quarter, so that the red lines of 20% EBITDA margins, we are able to maintain.

Moderator

Thank you. Next question comes from the line of Raghav Maheswari from Kamayakya Wealth Management Private Limited. Please go ahead.

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Raghav Maheswari

Good morning. Sir, my first question will be around the export margin, sir. On this quarter, we are seeing, as stated on the PPT, approximately 13.5% of margin you have highlighted. So sir, my question is , where do we -- since we have now begun ramping up exports, and we are seeing the order inflow for exports as well, so where do we see these margins stabilizing for export orders? And sir also, what kind of hindrances do you see going forward from here for our overall business?

Rahul Mithal

So, in terms of export stream of revenue, as I have highlighted earlier, for the first time, most of these orders were on a global tender competitive basis. So bulk of these orders and for the first time in our last five decades two major orders are on competitive basis . So definitely, the margins are tighter than the hitherto margins of -- historical margins of export. And the levels that you see now ,as the last two quarters, Q2 and Q3 export shipment and revenue booking have started, are the levels of margin in which it will settle down on a quarterly or a half -yearly basis.

And, in terms of constraints in export business, it's not really a constraint. We had realized this about two years back and revisited the entire export and international consultancy strategy that now for substantial growth in our RITES Videsh business, we have to get orders on a global competitive basis and not just rely on the line of credit funded projects.

So we are now in fact ended Q3 with an all -time high order book of our international business, which is at about INR 2 ,150 crores, which includes the export of about INR 1 ,700 crores and the other infrastructure consultancy and execution, etc. So, our RITES Videsh, while it's not really a constraint, but yes, that's a watch out which we will do to keep on trying to reinvent ourselves, so that we get more and more international orders.

Raghav Maheswari

So, because of the exports orders, you saw revenue booking. Is it safe to assume that we'll see a significant top line expansion by -- in Q1 of FY27 onwards?

Rahul Mithal

Yes, for sure. So, whether it is export or whether it is the turnkey orders, as I pointed out, a bulk of our order, about 60% of our order book, nearly two third is very young. It's about a year or so old, whether

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these are the fresh export orders or fresh turnkey or even consultancy orders. So that's why the target that sequentially, will definitely continue growing in terms of top and bottom line. This is what we have seen Q3 versus Q2, and that trend will continue

moving forward, both in terms in top and bottom lines.

Dixit Doshi

Yeah, thanks for the opportunity. So, I have a question regarding our export business only. As you've mentioned, we are at INR 1,700 crore order book as of Q3. I think the last month we received a \$20 million order from Mozambique. So that is not included in this. So our order book would be INR 1,900 crore approximately as of today?

Rahul Mithal

Yes, very correct. This INR 1,700 is as of 31st December. This order of about INR 180 odd crores has come in Q4 in January. So that's not included in INR 1,700.

Dixit Doshi

Okay, thank you. So, in this INR 1,900 crores, what would be the execution timeline for this? And you mentioned that now since we are getting these orders through competitive bidding, so earlier what we used to do, say, 25% kind of margin in export, now I think this 12% to 13% would be more sustainable. Is it fair to understand?

Rahul Mithal

Yes, sir. Assessment is very correct. And in terms of timelines, you see, this is a mixture of locomotives and coaches orders, mix of different orders. Well, on an average, they have an execution timelines of about two to three years depending on locomotives sometimes have larger timeline. But, on an average I would say anything between two to three years. And you're correct, that this is the level of margins which will stabilize over a period of time, since most of them, including this most recent order of Mozambique, which we got in Q4, that's also on a competitive basis.

Shreyans Mehta:

Yeah, thanks for the opportunity. Sir, you guided for closer to 15% PAT margin, wherein if I look at the nine-month number, we are closer to say, upwards of 18% - 19%. So, is it that we are guiding conservatively or probably we would see some margin degradation going forward?

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Rahul Mithal

Good morning, Shreyans. You see, the Q3 has given good margin because the mix in revenue, and if you see carefully, it's more of consultancy and export vis-a-vis turnkey. So, what I had said was that 15% is our red line in terms of PAT margins and 20% is our red line in terms of EBITDA margin. So, it will be fair, not really realistic to take one quarter to be an indicator. But yes, definitely it will be above 15% and above 20% on an average six-monthly or an annual basis.

Shreyans Mehta

Got it, sir. And then how should we look at export contribution in FY27?

Rahul Mithal

So export, the order book is now INR 1,700 crore as of 31st December and another about INR 180 crores, which we got in January. So, I think, as I mentioned, about two to three years execution time you could see an average output. Definitely, now there's no looking back every quarter. That gap that we had of about two years of literally zero, pulling down the overall top and bottom line, now every quarter you would only see an upward swing.

Shreyans Mehta

Got it. I have a couple of more questions. I'll join back in the queue. Thank you and all the best.

Manan Poladia

Hi, sir. Congrats on a good quarter. Thanks for the opportunity. One question on the order book side. We've seen that there's a big delta quarter. The quarter, if you look at competition and nomination, I think it's jumped from 56 to 61. Just curious if you can give some color on like why the big jump and should we expect it to be this way? Secondly, just some color on what specific projects are you still getting under nomination considering the competition in the consultancy space as well?

Rahul Mithal

So, you see, in fact the fresh order inflow in competitive business is literally more than two-third or roughly 70% plus. That breakup of 61 is basically the existing order book breakup. It is the breakup of the order book of INR 6139 crore. But in terms of fresh order inflow, it is literally about two

-third or about 70% on.

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So most of the orders we are getting, whether it is across sectors, whether it's domestic or international -- including, as I said, this recent export order also, are on competitive basis. By nomination would mean primarily maybe few orders which are there in some MOU or in terms of some agreement, either with some PSU or some central or state government. And that too primarily in terms of, let's say, our skill, which has been there and working with them for long, those are some of the agreements which we still managed to get it on nomination. But primarily, I would say that most of our trend, every quarter, the fresh inflow contribution of competition in fresh order inflow is getting higher.

Manan Poladia

But would you say that the nomination orders that you are getting had significantly higher margin than your competition orders, or would there not be that good of a choice?

Rahul Mithal

No, not really. In fact, to the contrary, what has happened is that even the few orders that we are getting on nomination, because of the bulk of the orders and the margins being lower in competition -- competitive orders, even those clients are revisiting the nomination and the agreements, etc., and having hard-nosed negotiations to lower the margin. So that's why, whether it's a competition or a nomination, the overall scenario is that now you have to work on a broad higher competition, tough lower margin kind of scenario.

Moderator

Thank you. Ladies and gentlemen, you are requested to restrict yourself to one question per participant. And if time permits, you may join back the question queue.

The next question comes from the line of Viraj Mithai from Jupiter Financial.

Viraj Mithai

Thank you for the opportunity. My question is, you mentioned the word disruptive growth in the result. Can you give some color on that? That's a very strong word to mention.

Rahul Mithal

Yes Viraj , and we say it with a full sense of responsibility that FY27 is going to be a year of disruptive growth. You see, as you've been watching and many of your colleagues and peers have been watching

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our performance , and every quarter the road map which we have been saying, you see 'FY 24-25 was a year of consolidation. It was the year of bottom growth. I mean the bottom of the barrel and then we consolidated, revisited, started getting orders. FY 25-26, I had forecast will be a year of growth vis -a-vis FY 24-25, so we are aiming for a double -digit growth.

But since, as you see, the order book has been an all -time high and growing steadily. And these orders are now started generating revenue in every quarter sequentially, whether they are export orders or whether they are turnkey orders or consultancy orders . So, definitely, we are poised now to extract the maximum from these orders , and that's why Q4 FY26, Q1FY27 onwards, even more, Q3FY26 has been higher than Q2FY26 in all parameters. So that's why we see FY27 being pitched as a year of disruptive growth. And I repeat , that that is because that is in all parameters we see , firing on all cylinders to be able to make good the slide that we had , and especially in '24 , '25.

Viraj Mithai

So, does it mean you'll be going upwards of 20% in terms of revenue?

Rahul Mithal

Well, it may be premature and kind of speculative to give numbers right now. But definitely , you can see the way things are moving on all our order book, four streams of revenue, that we will definitely aspire to be not just a year of growth, but a year of disruptive growth.

Viraj Mithai

And the quality assurance business is back, sir ? Can we assume that?

Rahul Mithal

Yes, it's definitely back. It's coming back to the level that it was , where it was, but we

had hit the bottom

on FY23-24, where the competition had just kicked in. So, this year we are trying to after a gap of one and a half years . After revisiting and restructuring the entire business, we are coming back to that levels that we -- when we got the bottom of the barrel in FY23-24.

Parimal Mithani

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Sir, I just wanted to know, in R EMCL business, with Indian Railways electrification coming almost 99% completion, how do you see the business going up? Because I think we reported good numbers in the REMCL. And for the first time, we have order book in R EMCL.

Rahul Mithal

Yes. So , good thing about RMCL is that, it is definitely banking on the increased electrification and the increased traffic, so it is getting increased consultancy and that is contributing to the revenue and the profitability. It's been doing very well, sequentially growing, YoY growing, operating at about 50% plus PAT margins.

The other thing is also that it is working on -- it has again finalized another 1 ,000 megawatt RTC tender, which is a third one. So now we have done 3 tenders totaling to 2 ,500 MW . And each of these tenders that we finalize requires huge amount of effort, and we get the consultancy fee from that. So that's another thing which got finalized in quarter three, a 1 ,000 megawatt RTC round the clock tender, so which also gave us consultancy fee.

REMCL is also now exploring and already started getting orders of consultancy in other streams of renewable energy , building up on its experience of 10 plus years. It is also exploring avenues for international consultancy in renewables. So , all the four fronts, R EMCL is growing. That's why you can see a growth in both the revenue, profitability, and the order book.

Parimal Mithani

So this INR 120 Cr. is for the consultancy part of the business of R EMCL, which is independent ?

Rahul Mithal

Yes, it's a combination of all ..

Yash Jain

Sir, I just wanted to know more about the competition in the consultancy segment. So, is there any specific sector where we are facing a lot of competition or any sector which we have backed out to save margins?

Rahul Mithal

You see, we have 13 different verticals, so all areas of infrastructure, except oil and natural gas. And each of these sectors have different levels of competition, different category, and different types of

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competitors, some international, some domestic, some international competitors will set up shop here. And definitely, depending on the competition size, the levels of margins of competition are different in different verticals. So, it's not that we have stepped out, out of any of the verticals. We are getting orders in each of these verticals. We got 143 orders in quarter three at a strike rate of 1.5 orders per day.

So yes, only thing that we are very clear is , that we don't compromise beyond a point in our bidding , to be able to overall have very, very tight margins. Because as I said, our overall blend, we have targeted of keeping 20% plus EBITDA margins.

Anand B

Yeah. So, regarding the execution tenure of these export orders versus the Mozambique order of locomotives , and a couple of other orders from Ntokoto Rail Holdings, African Rail Company, Talis Logistics in South Africa , can you just tell me the status of the execution timeline of these orders?

Rahul Mithal

Yes. Anand, so as far as the Mozambique order is concerned, it was about 10 locomotives, out of which two got shipped out in Q2 , two in Q3. And that is the uniqueness of the export business , that the revenue gets booked only when the shipping bill is made. So even if the locomotive is made, reaches the port, but we recognize the revenue and actually the shipping bill is made. So, two plus two, four have gone out of the

se -- out of these 10. And we are hoping and targeting that at least minimum of four more should definitely go in Q4. So, these are on track, and we expect to complete the order of 10 locomotives ideally definitely latest by Q1 FY27 , if not by end of Q4 or early Q1.

And the other orders are there. One is the most recent order of five locomotives which we got. That was an order for Mozambique. The other order which we have got, a series of orders, those are for the in - service locomotives, which is the in -service diesel locomotives, which are spare in Indian Railway due to electrification. We are converting them to the cape gauge, which is a smaller gauge in Africa, about 11 countries , and we have got orders, different orders totaling to about 30 locomotives.

This is a developmental initiative. We have got the designs approved. The manufacturing of the first two locomotives has started. And definitely, we should be able to move them in the early FY26 -27. And once these two go and run the proving trials there, the production of the balanced locomotives will be much quicker , because these are the first two converted locomotives from broad gauge to cape gauge that will be shipped out.

Anand B

Okay. You mentioned that you're expecting to complete within FY26 in the previous quarter. So would you still stick to a timeline or ?

Rahul Mithal

No. as I said, this is for the Mozambique 10 locomotives new order. We are still targeting. As I said, four have gone, at least four more definitely in Q4FY26. The last two -- because they go in lots of two. The shipment happens in the lots of two. So maybe we will try and pull it up to end of Q4FY26, but it may slide to Q1FY27 latest in terms of actual shipment, etc.

Anand B

You were referring to the rest -- the other export orders, the Ntokoto Rail Holdings, African Rail and Talis Logistics.

Rahul Mithal

That's what I said, those locomotives are all -- the order of 30 locomotives are different orders. They are all in-service locomotives converted from broad gauge to cape gauge. And the first two of those are under production, and they will definitely be shipped out by early Q1FY27. And once they reach there and they go through the prototype trials and get the prototype approvals from the African Railways, then the balance would be shipped out. And subsequently, the production will start.

Vishal Periwal

Thanks for the opportunity. Sir, on our turnkey segment, I think we have been reporting good order inflow and order book buildup is also there. But in terms of execution, I mean like, not seeing a similar sort of optimism. So can you give some colors, where exactly things are? Are they slow moving orders which are impacting the execution out there? Any color that you can provide, sir?

Rahul Mithal

You see this turnkey order book of about INR 4,500 crores, about 65% of it is about a year now, a year old. And as I had indicated in last H1 and Q2, that we -- these are now in the stages where all the designs have been approved, the execution agencies are in place and the execution at the ground level will start, and we will see a sequential growth. And that's what, if you see Q3 vis-a-vis Q2, there's an upward tick of about INR 60 crores in turnkey execution. And now most of them are now in the situation where moving forward, Q4 you will see definitely a double-digit, uptick vis-a-vis Q3, etc.

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So all of these turnkey orders, because most of these have a timeframe of about three to four years. And by the end of first year onwards by the, you know the 12th to 18th month period, that's when they actually start booking revenue in terms of actual physical execution and the revenue realization happening. So, the upward tick of about 60 odd crores

has already happened, Q3 vis-a-vis Q2. And every sequential quarter, there will be a substantial growth in contribution from the turnkey segment.

Vishal Periwal

Sure, sir. That's helpful. And I think you did mention good year in FY27. So is it fair to say probably the good -- I mean, like you know, in terms of execution, it will start in Q4 onwards? Because you did mention turnkey will have good numbers also, and others will follow. So, is that fair to say, quarter four onwards, we'll have a decent jump in the revenue growth?

Rahul Mithal

Yes, definitely. So quarter four, whether it is the export execution or the turnkey execution, quarter four, we are poised to be much higher than quarter three. So that our overall FY26 is definitely on a double-digit, aiming to have a double-digit growth in revenue vis-a-vis quarter -- vis-a-vis FY25. And definitely, Q4 being more than Q3, that gives us the confidence that sequentially this growth will see FY27 being

definitely of a much higher level of growth vis -a-vis FY26.

Uttam Srimal

Good morning, sir. Thanks for the opportunity. Sir, if you see in nine months, as far as the export is concerned, so we have done a revenue of INR 126 crores. So now sir, what would be our guidance for quarter four in terms of export revenue? And for that sir, once we ramp up this export revenue, so can we -- can our margin will also be increased from 13.4% to 15% once, or there will be some operating leverage benefit once we ramp up the export orders going forward?

Rahul Mithal

So, in terms of Q4 revenue, you see this nine month , this revenue which has been there is about four locomotives, about INR 120 odd crores. And as I said, definitely, we will be able to ship out four more locomotives in Q4. So at least a step up of another about INR 120 crores minimum export revenue should be there in quarter four. And we are also moving forward, we will see with the other locomotives and the Bangladesh coach order in the coming quarters, in the coming FY . It should definitely start execution and contributing to revenue.

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As far as the margin question you asked regarding the export stream of revenue, especially which is around about 13%, this as I have said , that most of these orders are on competitive basis. And this is the broad range where on an annual or a half yearly basis, the export margin would settle down. A particular quarter may not be a right indication, but this is a broad range where on an average basis, the export margins would settle down.

Manan Poladia

Hi, sir. Thanks for the opportunity again. So, my question with respect to your turnkey business, clearly your execution has picked up this quarter and like you're saying, next quarter as well. Curious if we will close somewhere around the 600 - 650 mark this year. And if you could guide a range for the next year as well as with the PBIT margin, I think that would be great, sir. Thank you.

Rahul Mithal

So, in terms of turnkey, the indication, what we are seeing in terms of execution of the INR 4,500 crore order book , is that we are aiming for at least double -digit growth in turnkey , in Q4 vis -a-vis Q3, and we will try and touch the last year overall annual levels of turnkey contribution. Because you see, if you compare with last year, in certain quarters the turnkey revenues were high , because those were the contribution from the earlier older orders , and now in Q3, Q4 onwards, the contribution of turnkey revenues from the new younger orders.

So, on an annual basis, this would be the comparison. But moving forward, Q4 FY26 , Q1FY27 , and Q2 FY27 , etc., every quarter the contribution from the turnkey segment should gradually have a sequential -- we target about a sequential growth of about double digit. In terms of overall margin, the turnkey has a lowest contribution

margin. But as I said, then we plan strategically , in every quarter , execution of the various streams of revenue , so that an overall mix of ideal margin of above 20% we are able to ensure.

Manan Poladia

Just a quick follow -up on that. I think last couple of quarters since you had a higher mix of consultancy, our margins have trended closer to the 23% - 24% mark than the guided range. Next year, since we see turnkey going back up, 20% is the number that we should pick?

Rahul Mithal

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Yes, for sure. That's why I've been saying that on an annual basis our red line is 20% EBITDA margins. And we will try and definitely maintain that on an half yearly or an annual basis , with balance between all

streams of revenue, export, consultancy, turnkey, etc.

Shreyans Mehta

Thank you for the follow-up. So, my question is pertaining to our consultancy segment. So, if you see in terms of order book or revenues, it's largely in that 3% to 5% growth range. So, any plans to scale this up, say, at least what export orders are or probably you know in -- probably that 10% to 15% mark over the next, say, two to three years, how should one look at the consulting fee segment in terms of order book and revenues?

Rahul Mithal

Shreyans, you see, in consultancy, that is the sector where the highest level of competition is there in terms of fresh order inflow. So, if I say that 70% odd today is the ratio overall in our fresh order inflows in a competitive basis, the larger percentage is in terms of the consultancy order. And that's why you see a smaller bump in terms of the revenue growth or the profitability, the profit -- actual profit growth.

But having said that, since we are constantly trying to get more and more orders at a strike rate as I said of one plus order a day, and the consultancy order book is growing. Yes, you're correct that it is at a rate of about 5% odd. But definitely, it will -- we are trying that, and we feel that as we expand more and more, including international orders, we've had a number of bids in international orders also, we feel that we will aim to try and touch 10 % odd in terms of growth in consultancy.

Shreyans Mehta

Got it. So and sir, if I can just add one more question. To previous participant you said, next year we'll be giving out a few -- rolling out a few export orders, and the first batch would be on a trial basis. So, what would be the time lag between the -- when we get the confirmation? So what I'm trying to understand is, could there be a case where they are taking more time, and because of that, our revenues from exports could be postponed towards FY28?

Rahul Mithal

Not really, because now strategically, the INR 1,700 crore order book that we have in export, plus the INR 180 odd crore, which you recently got in January, so about INR 1,900 odd crore. That also has the coach, Bangladesh coach order of about INR 900 crores, which definitely the shipment will start in the coming 15

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FY. So, it's a varied mix. Plus this Mozambique order which we have got, this is of new locomotives, which is similar to the locomotives, which we are currently exporting, the old order of 10 locomotives.

So, there is a mix of all types of stock in our export order book. So, we are definitely going to be able to not get bogged down by -- if by chance there is any delay in one -- this approval of this particular type of new developmental order. I don't see -- so that is the key strategy. That dip that you saw about two years back, subsequently for about two years in export revenue contribution, I don't foresee happening, that happening again now.

Parimal Mithani

So, in terms of the budget, there has been increased allocation in terms of the neighboring countries, in terms of capital assets

by Ministry of External Affairs? Do you think it will benefit us in the long run since we have presence in all these areas?

Rahul Mithal

Yes, definitely. In fact, all the allocation, whether it is in the infra-domestic sectors, highways, railways, MRTS, city development, urban infra-ports, waterways, and international, all these areas, these freight corridors, these high-speed corridors, the mineral corridors, each one of these has already our presence. And in fact, in our international business, which we call RITES Videsh, at Q3 end we have an order book of INR 2,150 crores, which includes the INR 1,700 crores of export. So, which is an all time high ever, which is the highest ever RITES Videsh order book, which RITES has had.

So, this is an uptick in our international business also. So, whether it is the domestic or the international,

all aspects in this budget allocation are definitely going to be useful for us, and we're going to leverage that.

Viraj Mithai

Yes, sir. I wanted to ask, like, do we still maintain the one consecutive order target a day?

Rahul Mithal

Oh yes, Viraj. We have maintained that steadily. In fact, quarter three, we have got 143 orders, which is a strike rate of 1.5. So, now successively for about seven, now eighth quarter, we have been able to maintain a strike rate of one order a calendar day.

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Viraj Mithai

And sir, do we maintain -- intend to maintain our dividend policy for 95% payout in the going forward also?

Rahul Mithal

Yes, for sure. We maintained that in Q3, and as I have been reiterating in every quarter, our business strategy is very clear and transparent, and we don't like to bring any surprises. So, our broad policy of giving a high dividend payout would definitely be maintained.

Harshid Kapadiya

Yeah. Hi. Thanks for the opportunity and good set of numbers. Good to see growth coming back and margins also sustaining. Congrats on that. Just a few -- one question from my side. On the consultancy side, sir, could you break the revenue in terms of how much has been from the QA and non-QA in terms of consultancy? That's one question.

Rahul Mithal

Good morning, Harshid. So, thank you. You see, I can only tell you broad numbers in QA. QA, the levels which we were at FY23-24, the year when the competition -- competitive orders stuck in, and there were four players besides -- I mean, three more besides us. This year, the way nine months have gone, we will -- and the way we have planned Q4, we will definitely, after an entire, reinventing the whole business, taking on new clients, varied clients, including some international order, we will come back to that level after the first time in terms of the revenue where we started in FY23-24. So that's a huge, huge recovery.

Obviously, the bottom-line contribution from QA will not be there, but we will definitely come back to that level. And by next year you will see a double-digit growth in terms of the QA contribution to my consultancy.

Yash Jain

Thank you for the follow-up question, sir. Can you just throw some light on the working capital requirements in the export segment, especially after the competitive orders we are getting?

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Rahul Mithal

There is hardly any working capital requirement. Most of it, we covered by advance. Also, our orders are structured like that. And it is very, very minimal, and in fact, it's a very staggered requirement. So, that's why we -- that's very minimal and insignificant.

Anand B

Yeah , thanks for the follow -up question. So, can you just tell me what would be your, you know, expected breakup in terms of revenue breakup between consultancy , especially from turnkey, export and leasing for FY27 and FY28? Some [indiscernible 00:43:41] .

R

ahul Mithal

So, the FY27, a breakup of between all the segments right now would be to -- I mean, speculative to be able to give you. But definitely, on an average basis, you see our business strategy has been that consultancy and export , because export also we count as a kind of a type of consultancy business , and that's what our -- we are a consultancy company. So, consultancy and export combined would definitely be in the range of about 70 % odd, which has been our broad business strategy.

And on an annual basis -- if you look at quarter basis, sometimes they tend to get deviated from that because of the -- one particular stream contributing more. But on an annual basis, consultancy plus export would contribute about 70 % odd, and the leasing in about 5% odd and the balance from about turnkey. So that's broadly what is our business strategy, which we try to achieve on an annual basis.

Raghav Maheswari

Yeah. Thanks for the opportunity again. Sir, just one small question. So we have a good order book or I don't know, a high order book over INR 9,000 crores. I just wanted to understand , how much of the order book we are booking, like, in terms of revenue ? How much of the revenue booking in terms of percentage for, let's say, for each quarter? So like, in terms of percentage, can you -- if you can guide?

Rahul Mithal

No. It's not really. You see, this order is a combination of four streams of revenue, which we have of our business. So consultancy is INR 2 ,750 crores, export is INR 1 ,700 crores, turnkey is INR 4 ,500 crores and

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balance leasing and R EMCL is about INR 300 crores. So each one of these , and these total add up to about 700 plus orders, which total up to this INR 9 ,262 crores.

Now each of these orders, they have definitely different timeframes . Like in consultancy some are studies, which could be a six -month, nine -month study. Some are project management consultancy, which are a percentage of the infrastructure getting created. So they have a timeframe of about three to three and half years. And export, again as I said, have about two to two -and-half years.

Leasing, again, some are long -term leasing contracts, some are about two -year leasing contracts. So, to put one number as an average would not give a correct picture. But what you should definitely see is the overall revenue trend , and overall revenue, nine month, if you compare vis -a-vis YoY, in terms of profitability, there's about 10% growth. And that's what the guidance , you will try and see FY -to-FY to see our top line and EBITDA trying to reach at least a double -digit minimum.

Harshid Kapadiya

Yeah. Thanks for the opportunity again. Just wanted to check on the turnkey construction side. Since sir, from last three quarters, the revenue is continuously declining only, and our order book is increasing. So where are we in that cycle where we will see the growth coming? Will it be Q4 or do you think it will be next year?

Rahul Mithal

So Harshid, in terms of the total turnkey, yes, it is declining. But , as I said, many of these orders were the last phase of the earlier order book. And the new order book of about 65% of INR 4 ,500 crores is about a year of plus old , and if you see, these orders have now started giving contribution. So, if you see sequentially, there's a growth in INR 60 crores in turnkey. So, it would not give a correct picture if you compare YoY. If you compare sequentially, there's a growth in turnkey in INR 60 crores as these young orders have started giving revenue. And definitely, Q4 will be definitely minimum 10% higher than Q3 in terms of turnkey.

So, every passing quarter, these turnkey projects now are in those timeframe between the 12 to 18 month timeframe, where the work has started on the ground level and the revenue booking has started. So, every quarter

sequentially, you will see growth in the turnkey contributions. The realistic picture will be to see a sequential growth, because the YoY will not really give a very clear picture in terms of comparison. That was an older order book finishing, and this is a new order book kicking in.

Harshid Kapadiya
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Understood, sir. I have one more question. I'll just ask you after. Thank you.

Vishal Periwal

Yes, sir. Thanks for the follow-up. Sir, even on the turnkey segment, sir, even if we do QoQ 10% sort of growth, I think YoY things still will be weak. I think they will decline 5% - 6%. So, probably it looks like the execution is picking up, but the real -- I mean, the benefit of execution could happen in quarter one of next year. Is that's fair to understand?

Rahul Mithal

Yes, you're correct. Your assessment is very correct, because YoY definitely will be down. If you compare FY26 with FY25, it will be definitely down. As I said, because there's a gap of few quarters between the old order book winding up and the new order book kicking in. But as I said, the aim is to increase sequentially as much as possible, so that when you compare maybe H2 this year with H1 and H2 next year, those would give you a better comparison in terms of sequential growth.

Vishal Periwal

Sure, sir. And maybe one last thing. On the Bangladesh order, whatever is happening country-to-country level and the relationships and all. So does this have any bearing in terms of our order execution? Second is recovery of the one-time dispatches has already commenced. So, any color that you can provide and that will be helpful to us and the market, sir?

Rahul Mithal

No. I think our order is safe. One is in terms of this an ECI B-funded order. We have already received the advance, the six types of coaches which are there. Four types of coaches, the prototypes have already got approved and the production of the prototypes have started. We are targeting the first rake definitely by early next FY.

So, this 200 coaches, which is about 10 odd rakes, these are on track. And we don't see -- we're in very close -- the Bangladesh Railways in very urgent need of these coaches, and the funding is in place. As I said, the advance has already come in. So, I don't see any challenge whether in terms of executing this order or getting our money.

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Anand B

Yes. Thanks for the opportunity. Just a follow-up from the previous question. I just asked about the Bangladesh order. So, in mentioning the presentation will be executed in 2029 only. So, since there's no urgent need of these coaches, so let's stick to that timeline only, and the execution in 2029 only? So there'll be no revenue realizations in the next year or anything of that sort?

Rahul Mithal

No, -- let me clarify. The Bangladesh order is 200 coaches, and the first rake of 20 coaches, we are definitely targeting to ship out in next FY. So, the execution of the Bangladesh order should definitely

start from this coming FY27.

Anand B

Okay. So , early FY27 the first 20 coaches, and then rest of it in the next couple of years going forward , like that?

Rahul Mithal

Yes. So normally, we will be sending it in rakes of 20 coaches each. So as I said, the first rake of 20 coaches, we are trying to -- definitely things are on track. As I said, the prototype approvals have happened , and the -- now the production is going to start in a bulk way with the prototype also getting more fine -tuned. So, as I said, the early FY26 -27, the first rake should start moving out and subsequently the other rakes in 20 coaches each.

Anand B

Okay. And they would be targeting towards the 2029 where the entire 200 coaches will be executed by that time line?

Rahul Mithal

Yes, Outer I

imit, so that's the contractual requirement, FY29. But as I said, we will try and see to optimize and maximize, expedite it to the extent possible. That's the outer limit as per the contractual agreement.

Harshid Kapadiya

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Yeah , thanks. And sir, just wanted to check sir. I know you have spoken about the railway , but in a positive way. But if you look at some data points , like the increase in the construction of new lines as well as doubling of lines, in terms of value, we have seen a very decent growth, as in leaning anywhere between 10% to 20% , but in terms of kilometers, we have seen a decline. Okay, in terms of -- so just wanted to check. Is it right to assess? Maybe not from FY27 perspective, but probably we have reached a stage where the number of kilometer addition every year will not be that substantial. It 's just that value is higher because of maybe commodities are valid to that extent. So probably maybe we are nearing an end to the rail construction cycle. Is that right, fair in assessment according to you?

Rahul Mithal

I don't agree with your assessment. If you see , the kind of the seven high speed corridors, the East -West freight corridor, the mineral corridors, each of these are the huge amounts of large kilometres. So each one of them, and for us as a consultant which has been associated with such corridors in the past, whether it is the DFC 's, whether it is the current high speed two corridors, which we are doing the DPR, etc. So, we see each one of these as a huge opportunity for all our various activities that we do in terms of study, alignment studies, PMC, etc.

Harshid Kapadiya

Okay. And sir, on the seven high speed rail corridor s which have been announced, have we done all seven of them, or are we involved in any one of them, sir?

Rahul Mithal

Currently we are doing two , DPR's for two, which have been -- which are in process for some time now.

Harshid Kapadiya

Okay, sir. Fair enough. Thank you very much and wishing you all the best, sir.

Rahul Mithal

Thank you.

Moderator

Thank you. As there are no further questions, I would like to hand over the call to the management for their closing comments.

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Rahul Mithal

Thank you , all, and thank you for the avid interest and the questions which I got. As I say always, that it's a learning experience for my team and me also. As based on your questions, we revisit our strategies and see what better we can do.

As I said, we are the way -- it has been a satisfying quarter in terms of being able to move in a steady and focused manner in all the areas which we had and all the milestone and all the strategy points that we had laid down at the beginning of the FY and we had reiterated at the end of H1. So, we are poised to leverage and build up on that on Q4. And I assure you that we are, as I said, firing on all cylinders to be able to definitely surpass the previous FY and also create the sufficient ground for next FY to be a year of disruptive growth. Thank you.

Moderator

Thank you, sir. Thank you all for being a part of the conference call. If you need any further information or clarification, please e-mail at investors@rites.com. Ladies and gentlemen, this concludes your conference for today. Thank you.

-End-

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This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy. Statements in this transcript describing the Company's objectives, projections, estimates, expectations may be "forward -looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those

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Call: May 2026

No. RITES/SECY/NSE Date: May 26, 2026

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Corporate Relationship Department,
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Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Symbol- RITES Scrip Code - 541556

Subject: Outcome of investors/ analysts meet - Transcript of the Conference
Call held to discuss Audited Financial Results for quarter and year
ended 31st March, 2026.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015, and amendments thereof, please find enclosed herewith Transcript of the Conference call with analysts and investors held on May 20, 2026 to discuss the audited financial results of the Company for the quarter and year ended on 31st March, 2026.

Kindly take the same on record.

Thanking You,
Yours sincerely,
For RITES Limited

Nikhil Agarwal
Company Secretary & Compliance Officer
Membership No.: A42626

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RITES Limited
Q4 FY26 Earnings Conference Call 20.05.2026
RITES Limited
Q4 FY26 & FY26 Results Conference Call

Event Date/Time : 20/05/2026, 11.00 Hrs

CORPORATE PARTICIPANTS

Mr. Rahul Mithal
Chairman & Managing Director

Dr. Deepak Tripathi
Director (Technical)

Mr. Krishna Gopal Agarwal
Director (Finance) & Chief Financial Officer

Mr. Prem Singh Meena
Director (Projects)

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RITES Limited

Q4 FY26 Earnings Conference Call 20.05.2026 Moderator

Good morning, ladies and gentlemen. I am Karthikeyan, moderator for this conference. Welcome to the conference call of RITES Limited to discuss its Q4 FY26 & FY26 results. We have with us today Mr. Rahul Mithal, Chairman & Managing Director; Dr. Deepak Tripathi, Director Technical; Mr. Krishna Gopal Agarwal, Director Finance and Chief Financial Officer; and Mr. Prem Singh Meena, Director Projects. At this moment, all participants are in listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please press * and 1 on a telephone keypad. Please note, this conference is being recorded, and in the interest of time and fairness to all participants, you are requested to restrict yourself to one question per participant. Time permits, you may join back the question queue. Now, I would like to hand over the floor to Mr. Rahul Mithal, Chairman & Managing Director, RITES Limited. Thank you, and over to you, sir.

Rahul Mithal

Good morning. Thank you. Let me start with giving the Safe Harbor statement. The presentation and the press release, which we uploaded on our website and exchanges yesterday, and discussions during the call today may have some forward-looking statements. These statements consider the environment we see as of today and obviously carry a risk in terms of uncertainty, because of which the actual results could be different, and we do not undertake to update those statements periodically.

Let me start by giving you a brief overview of this quarter and the financial year. The most reassuring thing for us is that the performance of this FY was in line with the road map and the strategy that we had laid down at the beginning of the FY, and we had been watching it and updating it at every quarter. We aimed for a double-digit growth and growth in profit. While keeping our margins secure, we broke the first gap in our export income, about INR 300 crore after a gap of nearly two years, a very important milestone, which we had to achieve. We continued the steady order inflow rate of one order a day and one export order a quarter.

And despite the high execution in Q4 of about INR 750+ crore, we ended with the highest-ever order book on 31st March of INR 9,416 crore. So, all of these were in line with the road map, which we had set, and have set us a platform to leverage on this and as we have been giving guidance for a further substantial disruptive growth in the coming FY. What is also reassuring to us is that in the last two, three years of business re-engineering, followed by a year of consolidation, we were aiming for FY26 to be a year of growth. And that has moved in the direction which we had planned strategically. So, these are the broad overview of a bigger picture on the overall performance, and we'll come to specific numbers as each one of you ask specific questions. Thank you.

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Q4 FY26 Earnings Conference Call 20.05.2026 Moderator

Thank you, sir. Ladies and gentlemen, now we begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad. In the interest of time and fairness to all participants, you are requested to restrict yourself to one question per participant. Time permits, you may join back the question queue. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles.

We have the first question from the line of Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani

Good morning, sir.

Rahul Mithal

Good morning, Parimal. Go ahead.

Parimal Mithani

Sir, I just wanted to know, you've been mentioning the disruptive growth in your press releases since last two quarters.

Can you highlight the reason for this optimism in terms of considering t

he geopolitical headwinds right

now? And, can you highlight across your businesses how do you see it going forward, something with

consultancy, sir? It'd be helpful for us.

Rahul Mithal

Yes. So why we are saying this is that the order book profile that you see, and if you see the trend of growth of order book in the last seven - eight trailing quarters, it has been showing an upward swing. And there's been a substantial increase, especially in the last 18 months or so. There's been an incremental jump in a big way. So, the order book currently of INR 9,400 crore, a substantial portion, more than 50% of it, is very young, which is about, as I said, 12 to 18 months old.

And these will be the orders which will start generating revenue in this FY27. And that's why, in fact, in the last quarter of FY26 also, you saw an increased revenue of INR 750-odd crore. So that's why the young order book, normally an infrastructure project has a time span of three to four years. And this is the second and third year where we start generating more revenue.

So, that gives us the confidence across all our streams of revenue that we will start generating revenue, whether it is consultancy, where we get a percentage fee of the infrastructure cost, whether it is the turnkey, where we get the entire revenue in our top line; or whether it is the export order book, which has been an all-time high of INR 1,700+ crore, which despite the INR 300 crore execution in this last FY, will generate more revenue because the Bangladesh delivery will also start in this FY27.

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RITES Limited

Q4 FY26 Earnings Conference Call 20.05.2026 Parimal Mithani

Okay, sir. And sir, we expect to maintain this margin going ahead, which we have maintained for this entire year?

Rahul Mithal,

No. As these are competitive orders, which I said will start generating revenue, and if you again compare every year-ending the mix of the order book, 63% is on competitive, that's the breakup of the order book. If you count the fresh order inflow, it is about 70%+. So, the margins across our streams, the margins on the new orders are much lower.

So, as these new orders generate more revenue in the mix of the total revenue, the margins will go down.

Yes, but as we have been giving guidance that the red line of PAT margins 15% and EBITDA margins of 20%, that in no condition will we allow that to be breached by suitably monitoring the high-margin orders.

Parimal Mithani

Okay, sir. I'll come back later for the question. Thank you.

Rahul Mithal

Thank you.

Moderator

The next question comes from the line of Lakshmi Narayanan GK from KSEMA Wealth Private Limited.

Please go ahead.

Lakshmi Narayanan GK

Sir, you are able to hear me?

Rahul Mithal

Yes. Go ahead.

Lakshmi Narayanan GK

Sir, could you throw some light on turnkey construction projects, sir? I see the PAT margins are very low for it. So, I just want to understand some nature of this business, because I'm new for covering the company.

Rahul Mithal

Yeah, sure. So let me be clear. We are not a construction company. We are a project management consultancy company. So, what you see is, while the order size in our turnkey is large, and that's why it is a large portion of the order book, our scope of work remains the same. To be able to explain to you as an example, let's say our fees is 5%. So, if in an INR 100 crore project, our fee is INR 5 crore. In a consultancy

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Q4 FY26 Earnings Conference Call 20.05.2026 mode, the client gives us an order of INR 5 crore. In a turnkey mode, he gives us an order of INR 105 crore, our scope of work remaining same.

So, our role remains the same. Certain clients like educational institutions, etc., primarily building projects, like to deal with a single window. So, they give us in the turnkey mode. That's why the denominator being large in turnkey projects, while the scope of work and the revenue remaining same, the margins a

re much

lesser in turnkey. But to be able to reiterate the key point, our role is that of a consultant, whether the mode of order is in a consultancy mode or a turnkey mode.

Lakshmi Narayanan GK

Understood, sir.

Rahul Mithal

It's just a difference in the method of accounting.

Lakshmi Narayanan GK

Yeah, I got it, sir.

Rahul Mithal

Thank you.

Moderator

Thank you. We have the next question from the line of Darshika Khemka from AV Fincorp. Please go ahead.

Darshika Khemka

Hi, thank you for the opportunity. I have a couple of questions. Firstly, could you help us with the impact that the competitive projects will have on the working capital position of the company? Would it, in any way, dilute the working capital position, or it would not have an impact?

Rahul Mithal

So, ma'am, our working capital requirement is barely minimal. That's the way we structure all our orders of consultancy. So, there is not really going to be significant impact in any way, because as a business model, our working capital requirement is hardly any.

Darshika Khemka

All right. And apart from that, do you see any raw material-related headwinds impacting the margins going ahead, apart from the competitive portion already having a minor impact?

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Again, the contracts that we give for execution of the -- see we have about 700+ live consultancy order that we are executing. The contracts that we give for execution, most of them have a price variation clause for the execution agency. Our fee as a consultant is a percentage of the infrastructure cost. So, in terms of the impact on fuel or raw material costs, etc., we don't see any major risk coming to our margins or our revenue.

Darshika Khemka

Would you expect any execution risk as well?

Rahul Mithal

Not really. The infrastructure construction projects across our various verticals, we have 13 different verticals. We don't foresee any major risk in any of the sectors in terms of execution. We just have to keep a watch on some of the costs like travel costs, etc., because being a consultants and, as I said, 700+ live project, we have travel costs is an important cost both for our domestic and a lot of international projects also. So, that's the only element which we have to keep a close watch on the margins.

Darshika Khemka

All right. Thank you so much. I'll come back in queue.

Rahul Mithal

Thanks.

Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We request the participants to restrict yourself to one question in the initial round and join back the queue for more questions.

Next question comes from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Yeah. Good morning, sir. My question is, these other expense have gone up in this quarter and the year. What is the proper reason for that?

Rahul Mithal

Which specific figure are you referring to?

Viraj Mithani

Other expenses figure, when you see the number.

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So basically, there are two major contributions to these other expenses. One is the, we have moved these 10 locomotives of Mozambique, right? And especially if you see six in the last quarter. So, the logistics for this movement is also an important. Similarly, for the warranty provisions which we make, so these are two important elements, which are related to execution of our export orders and since these 10 locomotives, the entire order was executed in this FY.

Yes. I said, because this entire 10 locomotives, Mozambique export order was executed in this year, that's why these two elements which are related to an export order execution, see an increase YoY.

Viraj Mithani

Okay. So, will be the same feature going forward also, will this kind of expense be higher or they'll be plateau

down this year?

Rahul Mithal

So, because the execution of export orders will be much higher this year, there will be a slight increase,

since, the major quantum of export contribution this year will be primarily from Bangladesh order, which will have lesser logistics cost because it has to move by rail. So, to that extent, it may get slightly neutralized, and this increase will not be substantial, even though there will be an increase in the export revenue.

Moderator

Thank you. The next question from the line of Harshit Kapadia from Elara Securities. Please go ahead.

Harshit Kapadia

Yeah, hi. Congrats, sir, on a good numbers on revenue terms. Just a few questions from my side. So, on consultancy, sir, can you give me a breakup between quality assurance and what is the consultancy because it was a flat in this quarter? That's the first question.

Rahul Mithal

Good morning, Harshit. Thank you. So, the overall consultancy YoY has seen a growth of 6%, and this is a year of real redemption for us in our quality assurance vertical. We have reached, when this hit of the competitor quality assurance for the railway sector of business started hitting us in the year 2023-2024, we reinvented the entire business.

And there has been a 16% increase in our QA business within this overall consultancy. And we touched an all-time, again, revival and came back, crossed the figure of the QA revenue, which were there in 2023-2024. So, all in all, the contribution of QA has come back to the same levels which it was at the beginning of 2023-2024.

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So, that would be what, INR 70-odd crore, sir?

Rahul Mithal

No. It is much, much more. It has different elements. It gets interspersed in the various consultancy verticals. So, it's very difficult to give a separate head-wise breakup of the entire because consultancy revenue of total INR 1,185 crore comes from 13 different verticals. But the account of our various orders from our quality assurance vertical has shown that we have come back to the levels which we were there, at least in terms of revenue contribution, even with a tighter margin, where the hit started about two years back.

Harshit Kapadia

Okay. So, you have back to FY24 numbers. Okay, great.

Rahul Mithal

Yes, FY24 numbers in terms of, in fact, with the key variation that we call our diversification of our QA business, where it used to be about 55% of the IR element in our QA revenue. Now, it is about reverse. The non-IR element is roughly about 60%+.

Harshit Kapadia

Okay. I have few more questions. I'll join back in the queue, sir. Thank you.

Rahul Mithal

Okay.

Moderator

Thank you. The next question comes from Vishal Periwal from PL Capital. Please go ahead.

Vishal Periwal

Yes, sir. Thanks for the opportunity. Sir, in terms of our export, can you give some color, like, how exactly the execution of pending order book will be? Say, for example, we have done 10 coaches, I mean, like the Mozambique order we have already supplied. So, what is pending? And then for the Bangladesh also, if you can just give some color around that, sir.

Rahul Mithal

Yes. So, with this execution of the Mozambique order, with the INR 1750 crore export order balance, one of the key elements of this is the 200 coaches of Bangladesh. And they are fully on track, which, as we have been indicating, is the first rake of 20 coaches, we are trying to send. The prototypes have been approved. The final production has started. They are in the finishing stage.

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Q4 FY26 Earnings Conference Call 20.05.2026 So, the first rake should go in about two months' time. And with that, once the first rake goes, we should

be able to maximize as many rakes, with gaps of at least three-four rakes minimum in this FY. We are trying to step it up, the production rate will increase after the delivery of the first rake. So, this is th

e main

contributor, which is going to be there for the export of rolling stock revenue in this FY. Besides, as I had indicated in the last quarter, we have a very important developmental exercise where we are converting the in-service diesel locomotives, or the spare diesel locomotives, of Indian Railways and converting them to Cape Gauge and proposing to export to African countries.

So, the first two locomotives also, again, the prototypes are ready, and we should be able to push them in the coming few months. Once the first two goes, the opportunity for sending more increases, because

we have an order of about 30 locomotives for the in-service locomotive, and we should be able to keep pushing them.

Vishal Periwal

Okay. So, just maybe one quantification with that. So, the order that we have of almost like INR 1,700-odd crore, so what sort of execution that one can see out of that in FY27?

Rahul Mithal

You see, we did about INR 300 crore in FY26. And we are aiming definitely much above the levels of INR 300 crore. As I said, it will be premature to peg a real number. But what I can safely say is that once the first rake moves out, because this is the first rake after approval of the prototype, which happened recently, this month itself, it will give a clearer picture -- each rake consists of 20 coaches. So, there are about 200 coaches which must be sent.

In the next two or three months, the exact number of rakes which we can send in this FY27 will become better clarity. So, maybe at the end of Q1, I will be able to give a clearer number in terms of the growth vis-a-vis INR 300 crore. But this is for sure, it will be much higher than INR 300 crore.

Vishal Periwal

Okay. Sure, I'll come back in the queue, sir.

Moderator

Thank you. We have a next question, which is a follow-up question from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani

Yes, sir. So now since most of the good amount of orders will be getting executed in these two years, what should be the earning trajectory of the RITES, like, if you can just give some color on that.

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Q4 FY26 Earnings Conference Call 20.05.2026 Rahul Mithal

See, Viraj, what we are pitching now for this FY as an ambitious target is to break the records of our revenue. All-time high revenue, we will definitely try, and that's our aspiration for this year. But as you would appreciate, the related EBITDA in those years when this was achieved were very much higher compared to what we are now.

Similarly, the blend will also be slightly different in this year, with turnkey starting to contribute more, which will be a lesser-margin. So, while we will aspire for breaking the record for an all-time high revenue in this FY, the profits, while they're aiming to have a growth, but will not be able to break the all-time high records of profit. That may take a subsequent, at least minimum two to three years to break those records because these revenue will have to grow substantially much higher with these lower margins to break the profit records also. So, that gives a bigger picture of the next two-three years' time frame.

Viraj Mithani

So, the all-time high profit was a net profit of INR 633 crore. The all-time high net profit for the company in last 10 years would be INR 633 crore, which I can see from the table here. That will be --

Rahul Mithal

The all-time high profit for the consolidated profit, all-time high has been INR 571 crore.

Viraj Mithani

Okay. So that will take time to be breaking on because of competition.

Rahul Mithal

Yes, and definitely, the margins in the blend mix in the total revenue. So, while the revenue will definitely, as I said, try and cross the all-time high, but the profits will not be able to cross the all-time high this FY.

Viraj Mithani

But will the profit grow by some 10-20, double-digit margins, or that may be also a bit difficult for the company to maintain?

Rahul Mith

al

Profits will grow. To give an exact number is too premature, but profits will grow.

Viraj Mithani

Okay. Thank you and all the best, sir.

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Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have a question please press * and 1 on your telephone keypad.

The next is a follow-up question from Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani

Sir, in terms of your REMCL business, you reach around INR 163 crore of revenue, and that is almost close to INR 90 crore profit. So, how do you see this business since, you know, with terms of diesel consumption being -- government try to reduce the diesel consumption, do you think this business will be getting more traction going well?

Rahul Mithal

Yes. So, REMC Ltd, as you correctly said, has grown by 16%, and the profits have grown by 19%. So, it's about INR 163 crore, the total revenue, and profit have been INR 90 crore, and it's given a substantial dividend to us of about INR 42 crore. You see, the electrification having nearly reached about 100% on the Indian railway system, the growth in the consultancy revenue from this stream of power purchase will be limited to only the growth in the volumes of traffic on the IR network.

So, what REMC Ltd is doing to further chart out a growth in the coming years, it has already started taking, in FY27, other consultancy orders in the renewable energy business from different clients and also started pitching for taking international orders. So, in the coming FY and the coming FYs, besides this steady growth from the Indian railway stream of business, we see REMC Ltd getting revenue from these two new streams of revenue, which they have already started getting orders and which will grow as a consultant with its experience of about 11 to 12 years in the renewable energy business, as well as getting some international order, which we definitely, we are sure in this FY itself, we will get our first international consultancy order for REMC Ltd.

Parimal Mithani

Okay, sir. And sir, second question, if I can answer. Sir, do you --

Rahul Mithal

I request you to come back in the queue, Parimal.

Parimal Mithani

Okay.

Moderator

Thank you. Next is a follow-up question from Harshit Kapadia from Elara Securities. Please go ahead.

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Q4 FY26 Earnings Conference Call 20.05.2026 Harshit Kapadia

Yeah, thanks for the opportunity again. Sir, on the macro side, I just wanted to understand. So, there's been a decent rise in the railway budget this year as well, and looking at the macro headwinds, there has been a talk that the CapEx is what has to come down if the government wants to ensure that the country's spending remains to be in a healthy situation.

So, there is other spending which is required. Do you think there would be some delay in spending on railway contracts or railway budget or infrastructure CapEx, or are you getting a sense from them that it's not going to get canceled, but there could be some delays? Or you will see second half to be better than the first half, something that you can give a sense of, sir?

Rahul Mithal

So, Harshit, our assessment of our order book and the opportunities we are getting, since we have order book across various domains, and each one of them, as you said, has got a substantial contribution in the overall CapEx budget of the government. I don't see any major impact on our consultancy, whether it's fresh orders or for the progress of the construction, so that our fee as a consultant gets the requisite fee from various milestones.

So, in fact, if you see the recent orders, which we have been getting, and even in this quarter, in the last one and a half months, we have been getting fresh orders across whether it is railways, from various PSUs, private sidings, Indian railways, from highways, ports, bridges, airports, we've got a

recent big order for

airport consultancy, another one for shipbuilding cluster from Kandla. So, I don't see our strike rate of fresh orders, as well as the execution going down. And if the execution is progressing at its normal pace, our related milestone consultancy fee continues to come at a regular rate.

Harshit Kapadia

Understood, sir. Very well explained, sir. Thank you, sir.

Rahul Mithal

Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on a telephone keypad. We have follow-up question from Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani

Hello, sir, the previous colleague asked the question, so you answered them. Thank you.

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Q4 FY26 Earnings Conference Call 20.05.2026 Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad.

I repeat, ladies and gentlemen, if you have a question, please press * and 1 on a telephone keypad. Next,

we have a follow-up question from Harshit Kapadia from Elara Securities. Please go ahead.

Harshit Kapadia

Thanks for the question again, sir. So just on the turnkey projects, just wanted to check, sir, the decline has come down, but we have still not reached the last year's number. When do you think we'll be able to reach last year's number? So, if you can give us status on the projects, where are we? Are they reaching the milestone phase now, or there are still some time away?

Rahul Mithal

Yes, Harshit. So, the turnkey revenue is lesser by about INR 200 crore. And the order book of INR 4,580 crore of turnkey, substantial portion of it is at the now the young stage, it is in the time frame of one to two years window. And that's the time where the contracts are in place, the execution has started. And in fact, these one or two, three quarters, they will start generating revenue in a substantial way. So, since the order book is young, nearly about two-thirds of the turnkey order book, and considering, as I said, a time span of three to four years for a turnkey project, the real time when it starts generating a revenue is from the second year onwards. So, many of our projects, the IITs and IIMs, etc., the building vertical, some of our rail infra siding projects, which we have taken on the turnkey mode, these will start generating revenue in this FY. And we foresee that we should be able to come back our projections based on the execution of each of these big projects to at least the turnkey revenue levels of last year.

Harshit Kapadia

Understood, sir. Fair enough. Wishing you all the best, sir. Thanks, sir.

Rahul Mithal

Thank you.

Moderator

Thank you. Ladies and gentlemen, as there are no further questions, I would like to hand over the call to the management for their closing comments.

Rahul Mithal

Yes, thank you. So, as I said at the outset, the foundation for growth year, building up on the growth of FY26, has already been created, as you can see from the numbers and the breakup of the order book. And one of the strongest signals from the result was, you see, not just the rise in revenue and profits, but the underlying growth emerging from all the three elements of high margin, that is consultancy, leasing being an all-time high, and exports.

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Q4 FY26 Earnings Conference Call 20.05.2026 So, all of these three streams of revenue contributed to the growth, both in top and bottom line. So, this

FY, while these will continue to grow, and as I summarize in the turnkey segment, which will also contribute, the key focus of ours will be to continue to focus on the mix of higher-margin projects and the turnkey projects so that, while maintaining a growth on the top line, we secure our PAT and EBITDA margins as per the guidance that we've given. So, we are sure that we will definitely grow in this FY. And our basic model of rewarding our shareholders with a high divi

dend payout ratio, that model is going to continue. Thank you very much.

Moderator

Thank you, sir. Thank you all for being a part of this conference call. If you need any further assistance or information or clarification, please email at investors@rites.com. Ladies and gentlemen, this concludes your conference for today. Thank you.

-End-

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